



SUPREME COURT REPORTS

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E-mail: editorial@sci.nic.in

Web.: scr.sci.gov.in/, www.sci.gov.in/

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Manjula and Others

v.

D.A. Srinivas

(Civil Appeal No. 7370 of 2026)

08 May 2026

[J.B. Pardiwala and R. Mahadevan,* JJ.]

Issue for Consideration

Whether there existed any fiduciary relationship between the Respondent-Plaintiff and ‘KR’ so as to exempt the transaction in question from the rigour of the Benami law; whether the suit schedule properties are liable to confiscation u/s.27 of the Prohibition of Benami Property Transactions Act, 1988; whether there is a bar u/s.25 of the Hindu Succession Act, 1956 since ‘KR’ was allegedly murdered by the Respondent; whether the High Court erred in allowing the appeal filed by the Respondent and setting aside the order passed by the trial Court whereby it had allowed the application filed by Appellants-Defendants u/Or.VII r.11 (a) and (d), Code of Civil Procedure, 1908, and rejected the plaint filed by the Respondent on the grounds that it did not disclose any cause of action and that the suit was barred u/ss.4 and 6, 1988 Act; whether the amended provisions operate prospectively or retrospectively; scope of the exception contained in s.4(3) of the unamended Act *vis-à-vis* s.2(9) of the Act post-amendment.

Headnotes[†]

Prohibition of Benami Property Transactions Act, 1988 – ss.3, 4, 6 – Benami Transactions (Prohibition) Amendment Act, 2016 – Code of Civil Procedure, 1908 – Or.VII r.11 (a), (d) – Respondent filed suit seeking declaration that he is the owner of the suit schedule properties on the strength of a Will allegedly executed by ‘KR’, the husband of Defendant No.1 and father of Defendant Nos.2 and 3 (Appellants) – Appellants filed Application u/Or.VII r.11 (a) and (d) CPC seeking rejection of the plaint – Case of the Appellants *inter alia* that the transaction between the Plaintiff and ‘KR’ is a

* Author

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benami transaction barred under the provisions of the Benami Act – Respondent contended *inter alia* that he is the real owner of the suit schedule properties, which were purchased in the name of the testator-‘KR’, owing to statutory restrictions under the Karnataka Land Reforms Act that prohibited him from acquiring agricultural land in his own name; the entire sale consideration was provided by the Respondent, and in recognition thereof, the testator executed a registered Will and upon his death the Respondent derived title by way of testamentary succession, forming the basis of the suit; that there existed a fiduciary relationship between him and ‘KR’ who was employed in the company of his father, and therefore the transaction cannot be termed benami – Application u/ Or.VII r.11 (a) and (d), allowed by trial Court – Order set aside by High Court, suit restored for adjudication on merits – Interference with:

Held: There is no fiduciary relationship between a director of a company and an employee of the company – An employer-employee relationship does not, by itself, fall within the recognized categories of fiduciary relationship for the purpose of exemption under the Benami legislation – The law does not ordinarily recognize a fiduciary relationship between a company and its employee, or between a director and an employee of the company, in the sense sought to be projected here – Rather, the recognized fiduciary duty is that of a director towards the company since a director is bound to act in the interests of the company – Fiduciary duty arises where one person is bound to protect the interests of another and must not derive personal gain from that position of trust – In the present case, the plaintiff himself pleads that the deceased was an employee in companies run by his father – There is no pleaded personal relationship of employer and employee between the plaintiff and the deceased ‘KR’ – Even otherwise, such relationship cannot, in law, be elevated to a fiduciary relationship so as to attract the statutory exception – Hence, the contention that the matter necessarily requires trial is liable to be rejected – Alleged transfer of funds for purchase of property was based on contractual arrangements embodied in the MOUs – Transaction was commercial in nature – An arrangement, involving consideration and reciprocal commercial obligations, cannot be equated with property being held in trust for the benefit of another so as to constitute a fiduciary holding – A

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commercial arrangement, breach of which may entitle remedies in contract or common law, does not become a fiduciary relationship merely because confidence is asserted by one party – A contract entered into for the purpose of circumventing the law is illegal and cannot be enforced or relied upon in a court of law – The contention of the Respondent that there existed any fiduciary relationship between him and 'KR' so as to exempt the transaction from the rigour of the Benami law, rejected – Initial transactions of purchase were benami transactions, against which the statutory bar continues even after the amendment – Therefore, the plaintiff cannot assert any claim thereto – The purchase of the properties by 'KR' is not protected by any of the exceptions contained in ss.3 or 4 of the Benami Act, either before or after amendment, and the object of the MOUs relied upon is illegal and void – Equally, the appellants-defendants, claiming as legal heirs, are not entitled to derive any advantage therefrom, having failed to establish that the suit properties were acquired from the independent funds of the deceased – Suit schedule properties are consequently liable to confiscation u/s.27 of the Act – Impugned judgment set aside – Hindu Succession Act, 1956. [Paras 24.4-24.6, 24.8, 28.3, 28.4, 28.5, 29, 31]

Hindu Succession Act, 1956 – s.25 – Respondent-Plaintiff filed suit seeking declaration that he is the owner of the suit schedule properties on the strength of a Will allegedly executed by 'KR', the husband of Defendant No.1 and father of Defendant Nos.2 and 3 (Appellants) – Appellants filed Application u/Or.VII r.11 (a) and (d) CPC seeking rejection of the plaint – Appellants contended *inter alia* that there is a bar u/s.25 since 'KR' was allegedly murdered by the Plaintiff, who was arrayed as an accused in the criminal case:

Held: Plaintiff has been accused of the murder of 'KR' and a CBI investigation is stated to be pending – The said fact has been suppressed by the Plaintiff in the pleadings – A person guilty of suppression of material facts is not entitled to be heard and the plaint is also liable to be rejected – The bar u/s.25 of the Hindu Succession Act, 1956 applies to both intestate and testamentary succession – A person accused of the murder of one from whom inheritance is claimed, is disentitled from asserting rights, not only u/s.25 but also on the principles of justice, fair play and

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equity – Strict proof is not indispensable in civil proceedings if the preponderance of probabilities points to commission of the offence – An application u/Or.VII r.11 CPC and a preliminary issue on a pure question of law may be considered together – Since the suppression is apparent on a plain reading of the plaint, it is unnecessary to relegate the parties to the trial Court again for adjudication of any question of law as a preliminary issue – Matter can appropriately be decided at this stage itself. [Paras 25.13, 29]

Prohibition of Benami Property Transactions Act, 1988 – ss.24, 25:

Held: Once a transaction is declared to be benami in judicial proceedings and such declaration attains finality, the property is liable to confiscation, and recourse to the procedure u/ss.24 to 26 of the Act need not be followed, since the Adjudicating Authority cannot sit in appeal over a judicial determination – Prosecution may thereafter proceed in accordance with Chapter VII of the Act, if not already initiated – Trial Courts, where any matter touching upon a benami transaction is pending, shall take up the issue as a preliminary issue and decide it at the earliest point of time, and if a *prima facie* case is made out, transfer the matter to the Adjudicating Authority or the Appellate Tribunal, as the case may be. [Para 29]

Code of Civil Procedure, 1908 – Or.VII r.11:

Held: An application u/Or.VII r.11 can be taken up along with a preliminary objection and decided together by the trial Court – Admission of a plaint is not automatic – Trial Courts shall verify whether the plaint satisfies the requirements of Or.VII r.11 CPC before issuing summons – However, merely because the plaint has been admitted and summons issued, the defendants are not precluded from seeking rejection of the plaint or raising a preliminary objection – A disputed question of fact requiring the adducing and appreciation of evidence cannot ordinarily be decided as a preliminary objection or while considering an application for rejection of plaint – However, this does not preclude the Court from examining whether the very basis of such question is legally sustainable before relegating the parties to the ordeal of trial. [Para 29]

Manjula and Others v. D.A. Srinivas**Pleadings – Clever drafting of suits – Suits barred by law, cause of action illusory, veil of clever drafting to be pierced by Courts:**

Held: Courts below must curtail frivolous suits which are barred by law, and cases where the cause of action disclosed is illusory, by piercing the veil of clever drafting and giving a meaningful and wholesome reading to the plaint and accompanying documents, preferably at the earliest stage of the suit – In the present case, though the plaint is ostensibly framed as one founded upon a testamentary instrument and succession to the estate of the deceased, a meaningful and holistic reading shows that the real foundation of the claim is the assertion that the suit properties were purchased by the deceased with funds allegedly provided by the plaintiff and were thereafter held for his benefit – The claim is thus inseparably intertwined with an assertion of beneficial ownership arising from an arrangement which squarely attracts the mischief of the Benami Act – The initial transactions of purchase were benami transactions, against which the statutory bar continues even after the amendment – Therefore, the plaintiff cannot assert any claim thereto – The purchase of the properties by ‘KR’ is not protected by any of the exceptions contained in ss.3 or 4 of the Benami Act, either before or after amendment, and the object of the MOUs relied upon is illegal and void – Equally, the appellants-defendants, claiming as legal heirs, are not entitled to derive any advantage therefrom, having failed to establish that the suit properties were acquired from the independent funds of the deceased – Suit schedule properties are consequently liable to confiscation u/s.27 of the Act – Benami Transactions (Prohibition) Amendment Act, 2016. [Paras 28.3, 28.4, 29]

Code of Civil Procedure, 1908 – Or.VII r.11 (a) and (d), stand-alone provisions yet, may overlap depending upon the facts of each case:

Held: Clauses u/r.11 of Or.VII, except Clause (d), do not use the word “suit” – If, upon perusal of the averments in the plaint, the suit is barred by law, then the plaint can be rejected – The bar can be express or by necessary implication – Therefore, while considering a claim that the suit is barred by law, a thorough and meaningful reading of the plaint must be undertaken – A

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suit can be held to be barred by law if the right asserted is legally unavailable or, even if available, there exists a bar to seek the relief in view of any other substantive law which conditions enforcement of such right upon satisfaction of certain requirements or compliance with prescribed procedures – While carefully analysing the plaint averments, the relief sought and all relevant laws must be considered – Clauses (a) and (d) are stand-alone provisions – Yet, depending upon the facts of each case, they may also overlap – Similarly, if by clever drafting a fictional cause of action is created to veil a bar under law, it is imperative for the Court to reject the plaint. [Para 8.9]

Hindu Succession Act, 1956 – s. 25 – Principle – *ex turpi causa non oritur action*:

Held: s.25 provides that a person who commits murder or abets the commission of murder shall be disqualified from inheriting the property of the person murdered, or any other property in furtherance of the succession to which such person committed or abetted the commission of murder – Hindu Succession Act contemplates both intestate and testamentary succession – Consequently, the bar u/s.25 applies equally to a person who seeks to inherit the estate of the deceased through testamentary succession – Principle underlying s.25 is founded upon public policy, justice, equity and good conscience, namely, that no person can be permitted to profit from his own wrong – The statutory provision merely incorporates a long-settled equitable doctrine – A person must not be permitted to profit from or take advantage of his own wrong – This principle is reflected in the maxim *ex turpi causa non oritur actio* and the rule that no man may benefit from his own wrong – s.25 does not envisage a situation where the person claiming inheritance must necessarily stand convicted in a criminal case – The disqualification operates against a person who commits murder or abets the commission of murder – The provision does not make conviction a condition precedent – It imposes a civil consequence against a wrongdoer and the issue may be examined on the standard of preponderance of probabilities, independent of the strict standard of proof applicable to criminal prosecution – The expression “murder” occurring in s.25 would include culpable homicide. [Paras 25.4-25.6, 25.10, 25.11]

Manjula and Others v. D.A. Srinivas**Prohibition of Benami Property Transactions Act, 1988 – Benami Transactions (Prohibition) Amendment Act, 2016 – Whether the amended provisions operate prospectively or retrospectively – Mischief rule of interpretation:**

Held: A curative or declaratory amendment is retrospective in operation – The scheme of the Benami Act does not prescribe any timeline for initiation of action by issuance of notice – The amendments introduced in 2016 are retrospective in operation and the provisions can be invoked in respect of earlier benami transactions as well – 2016 amendments were enacted to cure the mischiefs and omissions in the original legislation, which had become largely unworkable in practice – The legislative intent to make the statute effective is manifest – The prohibition against benami transactions already existed – No period of limitation was prescribed either under the original Act or under the amended Act for initiating action against benami property or against persons involved in such transactions – Action for confiscation or prosecution may therefore be taken whenever the transaction comes to the notice of the competent authorities – When a *lis* comes before a Court disclosing a benami transaction, the Court is duty-bound to consider the applicability of the Act and enforce the statutory prohibition – The amended provisions merely introduced a complete machinery for attachment, adjudication and appeals – Though attachment and adjudication were elaborately structured for the first time, these provisions are essentially procedural and regulatory, intended to ensure fairness and avoid arbitrary action before confiscation – Unless the amendment is given retroactive operation, the very object of making the legislation workable would be defeated – The appellate remedies introduced are beneficial safeguards providing checks against arbitrary exercise of power, and beneficial procedural provisions ordinarily operate retrospectively – So far as penal consequences are concerned, enhanced punishment cannot be retrospectively imposed; however, the machinery provisions enabling adjudication, confiscation and enforcement, being curative and procedural, can apply retrospectively – 2016 amendments, insofar as they are declaratory, procedural, curative and machinery-oriented, operate retrospectively / retroactively, while penal provisions creating new offences or enhancing punishment can operate only prospectively – Interpretation of statutes. [Paras 22.12-22.15, 29]

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Code of Civil Procedure, 1908 – Or.VII r.11 (a) and (d) – Prohibition of Benami Property Transactions Act, 1988 – Benami Transactions (Prohibition) Amendment Act, 2016 – Plaintiff to be given a meaningful reading to determine if it discloses real cause of action and whether any statutory bar is attracted – Plaintiff, apart from contending that the suit is founded upon the Will also pleaded that there existed a fiduciary relationship between him and the deceased ‘KR’ – According to the Plaintiff, acting in trust and confidence, he entered into various MOUs with ‘KR’, transferred funds to him for the purchase of agricultural lands in the latter’s name, to be held for the benefit of the plaintiff, thereafter converted into non-agricultural lands, and ultimately reconveyed or transferred in favour of the plaintiff – For the said arrangement, a consideration of Rs. 2,50,000/- per acre was allegedly fixed; and that the existence or otherwise of a fiduciary relationship is a mixed question of fact requiring trial:

Held: Disputed questions of fact are ordinarily to be adjudicated upon trial – However, there equally exists a duty upon the Court, while considering an application for rejection of plaint, to ascertain whether any real dispute of fact arises at all and whether the suit is barred by law even if the averments in the plaint are taken at their face value – Court must satisfy itself that the plaint discloses a genuine triable issue and not a mere illusion of cause of action – Plaint must be given a meaningful reading so as to determine whether it discloses a real cause of action and whether any statutory bar is attracted – In the present case, though the plaint does not expressly employ the phrase “fiduciary relationship”, the plaintiff seeks to infer such relationship on the basis that the deceased ‘KR’ was a loyal employee in the group of companies run by the plaintiff’s father and therefore, the relationship between the plaintiff and the deceased was fiduciary in character – Contention not agreed with.[Paras 24.2-24.4]

Interpretation of Statutes – Prohibition of Benami Property Transactions Act, 1988 – Benami Transactions (Prohibition) Amendment Act, 2016:

Held: Every statute is presumed to be prospective unless the statute itself expressly or by necessary implication provides otherwise – Equally, it is well settled that the mere fact that a law

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is brought into force from a particular date does not necessarily mean that it operates only prospectively – To determine the true temporal operation of a statute, the object of the enactment must be considered – If the purpose of the amendment is to cure a defect, remove an omission, substitute appropriate provisions earlier lacking, effectively implement the original legislative intent, or if the amendment is clarificatory, declaratory or validating in nature, it may legitimately receive retrospective operation – Protection against retrospectivity generally extends only to vested or accrued rights – The Act of 1988 had already prohibited benami transactions – Even prior thereto, provisions under the Indian Trusts Act, the Code of Civil Procedure and the Income-tax Act imposed restrictions on such arrangements – Further, after the Forty-Fourth Constitutional Amendment, the right to property ceased to be a fundamental right and remained only a constitutional right – A person, therefore, cannot claim a vested right to enter into transactions designed to defeat or circumvent the law – It is a settled principle that what cannot be done directly cannot be permitted to be done indirectly – Amendments as is evident, were introduced to cure the mischiefs and omissions in the original enactment, which had failed to curb benami transactions in the manner expected, and effective steps could not be taken for want of adequate procedural provisions. [Paras 22.2, 22.3]

Succession – Intestate succession; testamentary succession:

Held: Succession to the estate of the deceased devolves in two ways, (i) intestate succession, and (ii) testamentary succession – Intestate succession takes place in accordance with the rules of personal law governing inheritance – Testamentary succession takes place when property is bequeathed through a Will. [Para 25.4]

Prohibition of Benami Property Transactions Act, 1988 – Benami Transactions (Prohibition) Amendment Act, 2016 – Scope of the exception contained in s.4(3) of the unamended Act *vis-à-vis* s.2(9) of the Act post-amendment – “Fiduciary Capacity” under the Amended Act – “includes”; “means”:

Held: For the purposes of the Act, the expression “fiduciary capacity” must receive a restricted and controlled construction – Persons expressly enumerated would undoubtedly fall within the

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exception, and any additional category would ordinarily require notification by the Central Government – In the absence thereof, the scope of the exception cannot be widened merely on equitable considerations – s.4(3) as it stood prior to amendment, exempted certain categories of transactions, namely, those between coparceners in a Hindu Undivided Family or members of a joint family, purchases in the name of wife or unmarried daughter, and transactions involving persons standing in a fiduciary capacity – The said provision was omitted, and the relevant exclusions were incorporated into the substituted s.2(9) which defines a “benami transaction” – Such omission and substitution would operate retrospectively – The expression “fiduciary capacity” was not defined in the original enactment – However, under the amended provision, the explanation refers to a trustee, executor, partner, director of a company, a depository or participant as an agent under the Depositories Act, 1996, and any other persons as may be notified by the Central Government – In the present case, while explaining the category of persons standing in a fiduciary capacity, the legislature has specified identifiable classes such as trustee, executor, partner, director, depository participant, and has further expressly reserved power to the Central Government to notify additional categories – The conferment of such specific delegated power is a significant indicator that enlargement beyond the enumerated classes was intended to occur through notification rather than unrestricted judicial expansion – There is no fiduciary relationship between a director of a company and an employee of the company – Rather, the relationship between the company and its director is fiduciary in nature – Contractual relationships supported by valid consideration also stand outside the fiduciary exception, being commercial transactions and not arrangements founded merely on trust. [Paras 23, 23.1, 23.8, 29]

Code of Civil Procedure, 1908 – Or.VII r.13:

Held: r.13 of Or.VII lays down that rejection of the plaint does not preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action – r.13 can ordinarily be invoked only when the plaint has been rejected for non-disclosure of cause of action or curable defects – There is a distinction between “having” a cause of action and “disclosing” a cause of action – A plaint can be rejected if it fails to disclose a cause of action upon a meaningful reading – All that r.13 permits is, where the right to sue survives

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after rejection of the plaint on the ground of non-disclosure of cause of action, a fresh plaint may be presented – However, when the suit itself is barred by law, r.13 cannot come to the rescue of the plaintiff – Similarly, what is enabled is only presentation of a fresh plaint; it does not mandate automatic admission of the plaint or registration of the suit – The plaintiff must still establish compliance with all legal requirements, including the law of limitation. [Para 9.7]

Interpretation of Statutes – “includes”; “means”; “means and includes”:

Held: Ordinarily, where the legislature employs the word “includes”, the definition is *prima facie* extensive and enlarging – Where the word “means” alone is used, the definition is generally exhaustive – Where the expression “means and includes” is employed, the definition is ordinarily exhaustive while also clarifying its scope – However, even where only the word “includes” is used, the context, object of the statute, and the structure of the provision may indicate a restrictive or exhaustive intention. [Para 23.2]

Code of Civil Procedure, 1908 – Or.VII r.11 and Or.XIV – Interplay Between:

Held: A conjoint reading of Or.VII r.11 and Or.XIV r.2 CPC would show that both provisions enable the Court to examine the maintainability of a suit at the earliest possible stage, though they operate in distinct procedural spheres – Or.VII r.11 is confined to the averments contained in the plaint and the documents relied upon by the plaintiff – Or.XIV r.2, on the other hand, comes into operation after pleadings are complete and issues arise for adjudication – If the statutory bar is apparent upon a meaningful reading of the plaint, the plaint may be rejected u/Or.VII r.11 – If, however, the objection requires consideration of admitted or foundational facts emerging from the pleadings, the Court may frame and decide a preliminary issue u/Or.XIV r.2, where permissible in law – The distinction is one of procedure and evidentiary scope – u/Or.VII r.11, the Court does not embark upon disputed questions of fact, nor can it rely upon the defence in the written statement to reject the plaint – Under Or.XIV r.2, however, the Court may examine whether a pure question of law arises on admitted facts so as to obviate a full-fledged trial – Thus, while the former tests the sustainability of the

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plaint on its face, the latter concerns the mode of adjudication after issues are framed – While Or.VII r.11 and Or.XIV r.2 are distinct procedural mechanisms, both are designed to prevent unnecessary trials in cases where the suit is barred in law – The former operates where the defect is evident on the face of the plaint; the latter applies where a pure question of law arises upon admitted or undisputed foundational facts after pleadings are complete – Proper invocation of either provision advances procedural economy, curbs abuse of process, and would promote timely administration of justice as it is the duty of the Courts to weed out frivolous suits. [Paras 10.5, 10.7]

Prohibition of Benami Property Transactions Act, 1988 – History, object, provisions, scope, applicability and statutory framework under; offences and prosecution under the Act – Benami Transactions (Prohibition) Amendment Act, 2016. [Paras 13-21.7]

Words and Phrases – “Material facts”:

Held: Material facts have to be stated in the plaint – Material facts are those facts which create a complete cause of action; those facts which directly bear upon the maintainability or sustainability of the suit; and those facts upon adjudication of which may bring an end to the *lis* – Any suppression of a material fact, which has the effect of creating an illusory cause of action and eclipsing the legal bar, ought to be dealt with firmly, and the plaint would be liable to be summarily rejected – A person who has suppressed a material fact is not entitled to any relief – Suppression of a material fact within the knowledge of the party amounts to fraud upon the Court – The relevancy or otherwise of a fact is to be decided by the Court, and parties cannot contend that they omitted a material fact on the assumption that it was not relevant. [Para 10.5]

Code of Civil Procedure, 1908 – ss.26, 27, 35A, Or.IV-VII, IX – Role of Court in dealing with suits, discussed. [Paras 9-9.7]

Prohibition of Benami Property Transactions Act, 1988 – Chapter IV and Chapter VII – Constitution of India – Art.20(2):

Held: Actions contemplated under Chapter IV and Chapter VII pursue different objects, are governed by different procedures, and entail different consequences – They may therefore proceed

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simultaneously or successively – If action is taken under both Chapters, such course does not amount to double jeopardy u/Art.20(2) of the Constitution – Confiscation is a civil consequence and does not amount to prosecution under the scheme of the Act – Confiscation and prosecution contemplated under the Benami Act operate in distinct spheres and are governed by different procedures – Hence, Article 20(2) of the Constitution is not attracted. [Paras 20.4-20.7, 20.8, 29]

Prohibition of Benami Property Transactions Act, 1988 – Authorities under, not police officers:

Held: The provisions of the Act, 1988, though undoubtedly vesting the authorities with powers to search, seize, and prosecute offenders under the Act, do not render them police officers, nor can they exercise all the powers vested in a police officer. [Para 20.3]

Prohibition of Benami Property Transactions Act, 1988 – s.3 – Benami Transactions (Prohibition) Amendment Act, 2016 – Plea that the erstwhile provisions u/ss.3(2) and 5 of the Benami Act, stood struck down, and that the 2016 amendment must therefore operate prospectively:

Held: The prohibition contained in s.3 as well as the power of confiscation vested in the Central Government, continued to remain operative during the period when the property in question was allegedly purchased by 'KR' with funds said to have been provided by the plaintiff – Chapter IV deals with the mechanism for attachment, adjudication, and confiscation, while Chapter VII deals with offences and penalties – In the adjudication process, confiscation is the eventual consequence – The substantive power to confiscate property involved in benami transactions existed even under the unamended law; what the 2016 amendment introduced was a detailed procedural framework which was earlier absent – Chapters IV and VII are self-contained codes, inasmuch as they provide independent mechanisms governed by separate procedures and remedies under law. [Paras 21.6, 21.7]

Prohibition of Benami Property Transactions Act, 1988 – Deterrent measures to prohibit benami transactions – Confiscation and Punishment – Independent nature of:

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Held: The Act contemplates two distinct deterrent measures to prohibit benami transactions, namely, confiscation and punishment – Confiscation is a civil action directed against the property itself and not against the individuals participating in the benami transaction – Personal action against such individuals is by way of prosecution contemplated under Chapter VII – The consequence of adjudication and confiscation is that the property vests in the Central Government, as the rights of both the benamidar and the beneficial owner stand extinguished – Such action is in the nature of forfeiture of property, which is a civil consequence flowing from violation of the statute with recovery as its object – Penal action imposing punishment stands on a different footing – The burden of proof and presumptions applicable to the two proceedings are independent, and one does not depend upon the outcome of the other – Unless prosecution is launched u/ss.53 or 54 of the Act, the person proceeded against in adjudicatory proceedings, cannot be termed an accused – Similar provisions are found in several other enactments – Adjudication undertaken for the purpose of confiscation of benami property stands on a distinct and independent footing from criminal proceedings initiated for prosecution of offences under the Act. [Paras 21, 21.4]

Prohibition of Benami Property Transactions Act, 1988 – ss.45, 65:

Held: Since the bar u/ss.45 and 65 does not operate against the High Court or this Court, it is unnecessary to relegate the parties to the Adjudicating Authority once a competent judicial determination declaring the transaction benami has attained finality – In such circumstances, confiscation may follow as a consequence of that declaration. [Para 28.5]

Code of Civil Procedure, 1908 – Or.VII r.11 (a) and (d), ss.148, 149, 151 – Principles governing an application u/Or.VII r.11 CPC. [Paras 8-8.7, 8.9]

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List of Keywords

Sections 3, 4, Prohibition of Benami Property Transactions Act, 1988; Section 6, Prohibition of Benami Property Transactions Act, 1988; Section 27 of Benami Property Transactions Act, 1988; No fiduciary relationship; No fiduciary relationship between director of a company and employee; Employer-employee relationship not fiduciary relationship; Not fiduciary holding; Employee in company; Transaction benami; Benami transactions; Suit schedule properties

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liable to confiscation; Section 27 of the Prohibition of Benami Property Transactions Act, 1988; Order VII Rule 11 (a) and (d) of Code of Civil Procedure, 1908; Beneficial ownership; Mischief rule of interpretation; Section 25 of the Hindu Succession Act, 1956; Person accused of murder of one from whom inheritance claimed; Bar under Section 25 of the Hindu Succession Act, 1956; *ex turpi causa non oritur action*; Disqualified from inheriting the property of person murdered; Clever drafting of suits; Suits barred by law, Cause of action illusory, Veil of clever drafting to be pierced by Courts; Curative amendment; Declaratory amendment; Retrospective; Prospective; Retrospectively; Prospectively; Meaningful reading of Pleint; "Material facts"; No real cause of action; Confiscation; Punishment; Admission of a plaint not automatic; Disputed question of fact; Contract entered for circumventing law illegal; Frivolous suits; Separation of real ownership; Ostensible title.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7370 of 2026

From the Judgment and Order dated 22.02.2024 of the High Court of Karnataka at Bengaluru in RFA No. 2216 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Mukul Rohatgi, C. S. Vaidyanathan, Sr. Advs., Mahesh Thakur, Mrs. Anuparna Bordoloi, Narveer Yadav, Siddhartha Sati, Ms. Ruchi Kumari.

Advs. for the Respondent(s):

Vikas Singh, Gagan Gupta, Sr. Advs., T M Shivakumar, Deepak Goel, Ms. Deepika Kalia, Ms. Vasudha Singh, Sudeep Chandra, Ms. Laxmi Pundir, Ms. Simmi Bagga, Ms. Sanjana.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

1. Leave granted. For ease of reference, this judgment is divided into the following heads:

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I. RELIEF SOUGHT

2. The instant Civil Appeal is directed against the Judgment and Final Order dated 22.02.2024 passed by the High Court of Karnataka at Bengaluru¹ in Regular First Appeal No. 2216 of 2023 (DEC/INJ), whereby the High Court allowed the appeal filed by the Plaintiff / Respondent herein and set aside the order dated 30.10.2023 passed by the Principal Senior Civil Judge, Bengaluru Rural District, Bengaluru² in I.A. No. V and O.S. No. 246 of 2020.
 - 2.1. By the aforesaid order, the trial Court had allowed the application filed by Defendant Nos. 1 to 3 / Appellants under Order VII Rule 11 (a) and (d) of the Code of Civil Procedure, 1908³, and rejected the plaint on the grounds that it did not disclose any cause of action and that the suit was barred under Sections 4 and 6 of the Prohibition of Benami Property Transactions Act, 1988⁴. However, by the impugned judgment, the High Court reversed the said findings and restored the suit for adjudication on merits.
3. By order dated 08.04.2024, this Court, while issuing notice to the Respondent, directed that the restored proceedings shall remain stayed until further orders.

II. FACTUAL MATRIX

4. The Appellants herein were arrayed as Defendant Nos. 1 to 3 in O.S. No. 246 of 2020, instituted by the Respondent / Plaintiff, seeking a declaration that he is the owner of the suit schedule properties on the strength of a Will dated 20.04.2018, allegedly executed by the husband of Defendant No. 1 and father of Defendant Nos. 2 and 3, namely, K. Raghunath, who died on 04.05.2019. The Respondent also sought a declaration for rectification of certain alleged mistakes said to have crept into the schedule appended to the said Will, together with consequential relief of injunction.
 - 4.1. According to the Appellants, the properties in question were the self-acquired properties of late K. Raghunath, who had earlier

1 Hereinafter referred to as "the High Court"

2 Hereinafter referred to as "the trial Court"

3 In short, "CPC"

4 In short, "Benami Act"

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executed a registered Will dated 28.01.2016 bequeathing the same in favour of his wife, Appellant No. 1. On the basis of the said Will, the Appellants caused the revenue records to be mutated in their favour and have since been in peaceful possession and enjoyment of the properties. It is their further case that the Respondent, being aggrieved by the close relationship maintained by the deceased K. Raghunath with the Respondent's father, D.K. Adikesavalu, entered into a conspiracy with others and caused the murder of K. Raghunath. At the instance of Appellant Nos.1 and 3, two FIRs, namely Crime No.0089/2020 dated 05.03.2020 and Crime No.0148/2020 dated 15.09.2020, came to be registered against the Respondent and other accused persons.

- 4.2. During the pendency of the suit, the Appellants / Defendant Nos. 1 to 3 filed an Application under Order VII Rule 11 (a) and (d) CPC seeking rejection of the plaint on the grounds that it disclosed no cause of action and that the suit was barred by Sections 4 and 6 of the Benami Act. According to the Appellants, the averments contained in the plaint themselves rendered it liable to be rejected at the threshold.
- 4.3. The trial Court, after hearing the parties and upon a detailed consideration of the plaint averments as well as the legal principles governing benami transactions, allowed the application under Order VII Rule 11(a) and (d) CPC and by order dated 30.10.2023, rejected the plaint.
- 4.4. Aggrieved thereby, the Respondent / Plaintiff preferred Regular First Appeal No.2216 of 2023 before the High Court. By the impugned judgment dated 22.02.2024, the High Court allowed the appeal holding that the pleadings in the plaint did not attract the provisions of the Benami Act and that the plaint, therefore, could not have been rejected at the threshold. Consequently, the High Court set aside the order of the trial Court and restored the suit to file for adjudication on merits. Hence, the present Civil Appeal by the Appellants / Defendants before this Court.

III. CONTENTIONS OF THE PARTIES

5. The learned Senior Counsel appearing for the Appellants submitted that the impugned judgment of the High Court is wholly unsustainable

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in law, inasmuch as a plain, meaningful, and substantive reading of the plaint, read in conjunction with the recitals contained in the alleged Will dated 20.04.2018, unmistakably discloses that the Respondent / Plaintiff claims to be the real owner of the suit schedule properties, while the same stood in the name of late K. Raghunath only as an ostensible owner. According to the Plaintiff's own pleadings, the properties were purchased out of his funds in the name of the deceased K. Raghunath, who was merely a name-lender, and the subsequent Will was allegedly intended to restore or reconvey title in favour of the Plaintiff. It was contended that this crucial aspect has not been appreciated by the High Court, which erroneously proceeded on the footing that there was no reference to any benami arrangement in the plaint.

- 5.1. It was further contended that the High Court fell into grave error in reversing a well-reasoned order of the trial Court, which had, upon a comprehensive reading of the plaint, rightly concluded that the suit was barred by law. The trial Court correctly found that the substance of the relief sought was the enforcement of a benami transaction. The Plaintiff's own case was that he financed the purchase of agricultural lands, but caused them to be acquired in the name of the deceased, allegedly owing to statutory restrictions upon his own eligibility to purchase such lands. The present suit, therefore, seeks a declaration of title founded upon an alleged Will dated 20.04.2018 said to have been executed by the deceased, who has since been murdered, and in respect whereof, criminal proceedings are pending, in which the plaintiff himself is stated to be the principal accused.
- 5.2. The learned Senior Counsel emphasised that while dealing with an application under Order VII Rule 11 CPC, the Court is not confined to a formal or superficial reading of the plaint, but is duty-bound to undertake a meaningful and substantive examination of the averments and the real nature of the relief claimed. Even if the plaint does not expressly use the expression "benami", a holistic reading thereof clearly reveals that the Plaintiff asserts that the consideration flowed from him, the purchase was made at his instance, and the properties were held by the deceased merely as a name-lender. The High Court, by confining itself to the absence of express terminology, failed to discern the true character of the transaction pleaded by the Plaintiff.

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- 5.3. It was further submitted that while considering an application under Order VII Rule 11 CPC, the Court is entitled to look not only into the plaint averments but also the documents annexed thereto. The sale deeds relied upon by the Plaintiff themselves show that the consideration was paid by late K. Raghunath, thereby reinforcing the statutory presumption against the Plaintiff's claim. On a cumulative reading of the plaint and the accompanying documents, it becomes evident that the suit is barred under the provisions of the Benami Act. The mere attempt to camouflage the claim as one arising under a Will cannot salvage the Plaintiff's case, particularly when the genuineness of the Will itself is under serious cloud and is the subject matter of criminal investigation.
- 5.4. The learned Senior Counsel submitted that the principal question arising for consideration is whether, on a reading of the plaint as a whole, the properties claimed by the Respondent / Plaintiff are admittedly benami properties within the meaning of Section 2(9) of the Benami Act, thereby attracting the statutory bar on civil court jurisdiction under Section 45 and rendering the plaint liable to rejection under Order VII Rule 11(d) CPC.
- 5.5. It was next contended that the relationship between the Plaintiff and the deceased, namely that of employer and employee, cannot by any stretch of legal reasoning be construed as a fiduciary relationship so as to attract the exception carved out under Section 2(9)(A)(ii) of the Benami Act. The Plaintiff has not even pleaded the existence of any fiduciary relationship in the plaint. In the absence of foundational pleadings, the Plaintiff cannot be permitted to invoke such statutory exception for the first time in argument. To treat an ordinary employer-employee relationship as "fiduciary" would defeat the very object and purpose of the Benami Act.
- 5.6. Developing this submission further, the learned Senior Counsel pointed out that the Benami Transactions (Prohibition) Amendment Act, 2016 introduced exceptions for certain fiduciary relationships, including trustees, executors, partners, directors, and other persons standing in fiduciary capacity. However, the present case does not satisfy the essential requirement of existence of such fiduciary relationship. The pleadings

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themselves reveal no entrustment, confidence, duty of loyalty, or legally recognised fiduciary obligation between the Plaintiff and the deceased K. Raghunath. Reliance was placed by way of illustration upon the concept of fiduciary obligations recognised under Section 166 of the Companies Act, 2013 in the context of directors and companies, to contend that no such analogous duty arises between employer and employee in the present facts.

- 5.7. It was also argued that in any event, the question of invoking Section 2(9)(A)(ii) does not arise since no such plea was ever raised in the plaint, nor did the High Court restore the suit on the basis of that exception. Consequently, the Plaintiff cannot now seek to sustain the plaint by raising an altogether new foundation dehors the pleadings.
- 5.8. The learned Senior Counsel further submitted that the 2016 Amendment, which introduced the fiduciary exception in its present form, came into effect on 01.11.2016, whereas the sale deeds in respect of the suit properties were executed during the years 2006 and 2011. Relying upon the decision of this Court in ***Union of India and another v. Ganpati Dealcom Private Limited⁵***, it was contended that the 2016 Amendment is not retrospective in operation. Therefore, the subsequently introduced exception cannot govern transactions that had taken place much prior thereto.
- 5.9. It was then submitted that during the pendency of the present proceedings, the Respondent / Plaintiff caused mutation of revenue records in his favour and executed various sale deeds on the strength of the disputed Will. According to the learned Senior Counsel, the Will itself is under investigation by the CBI on allegations of forgery, including the use of fabricated stamp papers purportedly printed after the death of the testator. The Plaintiff is stated to have been arrested in connection therewith and to remain in custody since 22.12.2025. Despite these serious allegations, the Plaintiff is stated to have secured mutation entries and alienated portions of the properties, thereby aggravating the illegality.

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- 5.10. In sum and substance, it was contended that the admitted position remains that the suit properties stood in the name of late K. Raghunath, husband of Appellant No. 1 and father of Appellant Nos. 2 and 3, who are presently in possession thereof. The Plaintiff's own case is that he supplied the funds and caused the properties to be purchased in the name of the deceased. If these pleadings are tested in light of Section 2(9) of the Benami Act, the transaction squarely falls within the statutory definition of benami property. Since none of the statutory exceptions apply, the suit is clearly barred by law and the plaint is liable to be rejected under Order VII Rule 11(a) and (d) CPC.
- 5.11. In support of these submissions, reliance was placed on the decision in ***T.Arivandandam v. T.V.Satyapal and another***⁶, wherein this Court held that if clever drafting creates an illusion of a cause of action, the Court must, upon a meaningful reading of the plaint, nip such litigation in the bud.
- 5.12. Reference was also made on ***Valliammal (D) by LRs v. Subramaniam and others***⁷, wherein this Court exhaustively considered the concept of a benami transaction and held that no absolute formula can be laid down for determining whether a transaction is benami, the question being one of intention to be gathered from the surrounding circumstances. The Court identified certain well-recognised indicia, namely: (i) the source from which the purchase money came; (ii) the nature and possession of the property after purchase; (iii) the motive, if any, for giving the transaction a benami colour; (iv) the relationship between the parties; (v) the custody of title deeds; and (f) the conduct of the parties in dealing with the property after purchase. It was submitted that where the plaintiff himself pleads purchase in another's name with his own funds, the plaint prima facie attracts the mischief of benami law.
- 5.13. Reliance was next placed on ***K. Akbar Ali v. K. Umar Khan and others***⁸, wherein this Court reiterated that while considering

6 (1977) 4 SCC 467

7 (2004) 7 SCC 233

8 (2021) 14 SCC 51

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an application under Order VII Rule 11 CPC, the plaint must be read as a whole in a meaningful and not merely formal manner. The Court held that clever drafting or selective pleadings cannot obscure the real nature of the claim, and if upon a holistic reading the suit appears barred by any law, the plaint is liable to be rejected at the threshold. The substance of the pleadings, and not the form in which relief is couched, is determinative.

- 5.14. Further reliance was placed on ***Sree Surya Developers & Promoters v. N.Sailesh Prasad and others***⁹, wherein, this Court held that a cause barred in law cannot be revived or rendered maintainable by astute or artful pleading. The Court emphasised that litigants cannot circumvent statutory prohibitions or limitations by merely drafting the plaint in a manner that conceals the true legal impediment. Where the foundational averments themselves disclose a legal bar, the court must exercise powers under Order VII Rule 11 CPC.
- 5.15. Reference was also made to ***Ramisetty Venkatanna and another v. Nasyam Jamal Saheb and others***¹⁰, wherein this Court once again stressed that while deciding an application for rejection of plaint, the court must look beyond clear phraseology and superficial drafting. If a meaningful reading of the plaint reveals that the claim is illusory, vexatious, or barred by law, the court should not permit the suit to proceed to trial merely because the pleadings are skilfully structured. The judgment reiterates that Order VII Rule 11 CPC is intended to prevent abuse of process and needless trials where no legally sustainable cause survives.
- 5.16. In conclusion, it was submitted that the High Court failed to apply the settled principles governing rejection of plaints and overlooked the express statutory bar under the Benami Act. The impugned judgment, therefore, deserves to be set aside and the order of the trial Court rejecting the plaint restored.
6. *Per contra*, the learned Senior Counsel appearing for the Respondent/Plaintiff contended that the High Court was correct in law in setting aside the order of the trial Court rejecting the plaint under Order

9 (2022) 5 SCC 736

10 (2024) 18 SCC 426

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VII Rule 11 CPC. It was submitted that the Respondent/Plaintiff is the real owner in possession of the suit schedule properties, which were purchased in the name of the testator, K. Raghunath, owing to statutory restrictions under Sections 79A and 79B of the Karnataka Land Reforms Act that prohibited the Plaintiff from acquiring agricultural land in his own name. The entire sale consideration was provided by the Plaintiff, and in recognition thereof, the testator executed a registered Will dated 20.04.2018, bequeathing all rights, title, and interest in the suit properties in favour of the Plaintiff. Upon the death of the testator on 04.05.2019, the Plaintiff derived title by way of testamentary succession, which forms the basis of the present suit.

- 6.1. It was contended that the suit is not founded on any alleged benami transaction but is squarely based on a valid Will, which constitutes an independent and complete cause of action under the Indian Succession Act. The plaint seeks declaration of title, permanent injunction, and correction of clerical errors in the Will schedule, and therefore, the averments therein, taken at face value, unmistakably disclose a triable and enforceable cause of action. The trial Court's finding that the Will is "concocted" is wholly impermissible at the stage of Order VII Rule 11, as the genuineness or otherwise of the Will is a matter of evidence to be adjudicated during trial. A disputed cause of action cannot be equated with absence of cause of action.
- 6.2. It was further submitted that the scope of Order VII Rule 11 CPC is well settled and narrowly circumscribed. The Court is required to confine itself strictly to the averments made in the plaint and must assume them to be true in their entirety. The defence taken in the written statement or the allegations made by the Defendants are wholly irrelevant at this stage. This position stands authoritatively settled in the decisions in ***Liverpool & London S.P. & I Association Ltd. v. M.V.Sea Success I and another***¹¹, ***Popat and Kotecha Property v. State Bank of India Staff Association***¹², ***P.V. Guru Raj Reddy v. P. Neeradha Reddy and others***¹³, and ***Vinod Infra Developers Ltd. v. Mahaveer***

11 (2004) 9 SCC 512

12 (2005) 7 SCC 510

13 (2015) 8 SCC 331

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Lunia and others¹⁴. The test is whether, on a demurrer, the plaint discloses a cause of action or a right to sue. If, on a meaningful reading of the plaint, the answer is in the affirmative, the plaint cannot be rejected under Order VII Rule 11 CPC.

- 6.3. The learned Senior Counsel contended that the trial Court gravely erred in invoking Order VII Rule 11(d) CPC by inferring that the suit is barred under the Benami Act. A plain reading of the plaint does not disclose any admission of a prohibited benami transaction. On the contrary, the plaint sets out a transparent financial arrangement, supported by agreements and banking transactions, coupled with a fiduciary relationship between the plaintiff and the testator, culminating in a testamentary disposition. There is no statement in the plaint which, on its face, attracts the statutory bar under the Benami Act.
- 6.4. It was submitted that even assuming that the consideration for the purchase of the properties was provided by the Plaintiff, the case squarely falls within the statutory exception carved out under Section 2(9)(A)(ii) of the Benami Act, which excludes transactions where the property is held by a person in a fiduciary capacity for the benefit of another. The relationship between the Plaintiff and the deceased K. Raghunath was one of trust and confidence, akin to a principal, agent or employer, trusted employee relationship, and is therefore clearly fiduciary in nature. The scope and import of fiduciary capacity have been elaborately explained by this Court in ***Marcel Martins v. M. Printer and others***¹⁵, wherein it was held that such relationships are founded on trust, good faith, and confidence, extending beyond formal legal relationships.
- 6.5. It was further contended that the question whether a transaction is benami or falls within the fiduciary exception is a mixed question of fact and law, which necessarily requires evidence. This position has been conclusively settled in ***Pawan Kumar v. Babulal and others***¹⁶ and reaffirmed in ***Shaifali Gupta v. Vidya***

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15 (2012) 5 SCC 342

16 (2019) 4 SCC 367

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Devi Gupta and others¹⁷, wherein this Court held that such issues cannot be adjudicated at the stage of Order VII Rule 11 CPC and must be determined after a full-fledged trial. Therefore, the rejection of the plaint on the ground of a supposed statutory bar is premature and legally untenable.

- 6.6. The learned Senior Counsel submitted that trial Court has also failed to appreciate that the suit is fundamentally based on a Will and not on the underlying transaction of purchase. A Will does not operate as a transfer *inter vivos* but as an instrument of testamentary succession, taking effect only upon the death of the testator. As held by the Karnataka High Court in ***N. Ramaiah v. Nagaraj S. and another***¹⁸, a Will does not constitute a transfer of property within the meaning of the Transfer of Property Act, 1882, and, therefore, the prohibitions contained in Sections 4 and 6 of the Benami Act, which deal with recovery or re-transfer of benami property, have no application to testamentary dispositions.
- 6.7. It was further submitted that the trial Court exceeded its jurisdiction by relying upon the written statement, the application filed by the defendants, and even pending criminal proceedings to draw adverse inferences against the Plaintiff. Such an approach is directly contrary to the settled law laid down in ***P.V.Guru Raj Reddy (supra) and Hardesh Ores (P) Ltd v. Hede and Company***¹⁹ which categorically held that at the stage of Order VII Rule 11, the Court cannot travel beyond the plaint or undertake an evaluation of disputed facts or evidence.
- 6.8. The learned Senior Counsel submitted that the reliance placed by the trial Court on pending criminal proceedings to doubt the validity of the Will or to reject the plaint is equally misconceived. Civil and criminal proceedings operate in distinct spheres, and the pendency of a criminal investigation cannot extinguish civil rights or render a civil suit non-maintainable. The High Court has rightly held that criminal proceedings cannot be used as a ground to non-suit the plaintiff at the threshold.

17 2025 INSC 739

18 2001 SCC OnLine Kar 191

19 (2007) 5 SCC 614

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- 6.9. Lastly, it was submitted that the reliance placed by the Appellants / Defendants on ***Union of India v. Ganpati Dealcom Private Limited*** (*supra*) is misplaced, as the said judgment has been recalled in ***Union of India and another v. Ganpati Dealcom Private Limited***²⁰. In any event, the statutory exception relating to fiduciary relationships existed even under the unamended provisions of the Benami Act and continues to apply to the facts of the present case.
- 6.10. In view of the above, it was submitted that the plaint read as a whole, clearly discloses a cause of action and does not, on its face, attract any statutory bar. The issues raised are manifestly triable and require adjudication on evidence. The trial Court has exceeded the limited jurisdiction vested in it under Order VII Rule 11 CPC and erroneously rejected the plaint. On the other hand, the High Court rightly considered the same and set aside the order of the trial Court and restored the suit on file by the impugned judgment, which does not call for any interference at the hands of this Court.

IV. DISCUSSION AND ANALYSIS

7. We have heard the learned Senior Counsel appearing for the parties and perused the materials placed before us, including the decisions relied on in support thereof.

(A) LEGAL PRINCIPLES GOVERNING REJECTION OF PLAINT

8. Before venturing into the issue involved in the case at hand, it will be apposite to recapitulate the principles governing an application under Order VII Rule 11 CPC.
- 8.1. Rule 11 of Order VII deals with rejection of plaint, which reads as under:

“11. Rejection of plaint.— The plaint shall be rejected in the following cases:—

(a) where it does not disclose a cause of action;

(b) where the relief claimed is undervalued, and the plaintiff, on being required by the Court to correct

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the valuation within a time to be fixed by the Court, fails to do so;

(c) where the relief claimed is properly valued but the plaint is returned upon paper insufficiently stamped, and the plaintiff, on being required by the Court to supply the requisite stamp-paper within a time to be fixed by the Court, fails to do so;

(d) where the suit appears from the statement in the plaint to be barred by any law;

(e) where it is not filed in duplicate;

(f) where the plaintiff fails to comply with the provisions of rule 9:

Provided that the time fixed by the Court for the correction of the valuation or supplying of the requisite stamp-paper shall not be extended unless the Court, for reasons to be recorded, is satisfied that the plaintiff was prevented by any cause of an exceptional nature from correcting the valuation or supplying the requisite stamp-paper, as the case may be, within the time fixed by the Court and that refusal to extend such time would cause grave injustice to the plaintiff."

- 8.2. Rules 12 and 13 of Order VII, deal respectively with the procedure and effect of rejection of plaint. They read as under:

"12. Procedure on rejecting plaint.—*Where a plaint is rejected the Judge shall record an order to that effect with the reasons for such order.*

13. Where rejection of plaint does not preclude presentation of fresh plaint.—*The rejection of the plaint on any of the grounds hereinbefore mentioned shall not of its own force preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action."*

- 8.3. Rule 14 speaks about documents relied upon in the plaint, which reads as under:

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“14. Production of document on which plaintiff sues or relies.—(1) *Where a plaintiff sues upon a document or relies upon document in his possession or power in support of his claim, he shall enter such documents in a list, and shall produce it in Court when the plaint is presented by him and shall, at the same time deliver the document and a copy thereof, to be filed with the plaint.*

(2) *Where any such document is not in the possession or power of the plaintiff, he shall, wherever possible, state in whose possession or power it is.*

(3) *A document which ought to be produced in Court by the plaintiff when the plaint is presented, or to be entered in the list to be added or annexed to the plaint but is not produced or entered accordingly, shall not, without the leave of the Court, be received in evidence on his behalf at the hearing of the suit.*

(4) *Nothing in this rule shall apply to document produced for the cross-examination of the plaintiff's witnesses, or, handed over to a witness merely to refresh his memory.”*

- 8.4. The scope and applicability of Order VII Rule 11 CPC have been discussed in detail by this Court in ***The Correspondence, RBANMS Educational Institution v. B. Gunashekar and Others***²¹, as under:

“14. *Let us first examine the scope and purpose of Order VII Rule 11 CPC. This Court in Dahiben v. Arvindbhai Kalyanji Bhanusali (Gajra) dead through legal representatives (MANU/SC/0508/2020 : 2020:INSC:450 : (2020) 7 SCC 366), explained in detail the applicable law for deciding the application for rejection of the plaint. The relevant paragraphs of the said decision are reproduced below:*

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23.2. The remedy Under Order VII Rule 11 is an independent and special remedy, wherein the Court is empowered to summarily dismiss a suit at the threshold, without proceeding to record evidence, and conducting a trial, on the basis of the evidence adduced, if it is satisfied that the action should be terminated on any of the grounds contained in this provision.

23.3. The underlying object of Order VII Rule 11(a) is that if in a suit, no cause of action is disclosed, or the suit is barred by limitation Under Rule 11(d), the Court would not permit the Plaintiff to unnecessarily protract the proceedings in the suit. In such a case, it would be necessary to put an end to the sham litigation, so that further judicial time is not wasted.

23.4. In Azhar Hussain v. Rajiv Gandhi MANU/SC/0284/1986 : [1986] 2 SCR 782, this Court held that the whole purpose of conferment of powers under this provision is to ensure that a litigation which is meaningless, and bound to prove abortive, should not be permitted to waste judicial time of the court, in the following words:

“12. ...The whole purpose of conferment of such power is to ensure that a litigation which is meaningless, and bound to prove abortive should not be permitted to occupy the time of the Court, and exercise the mind of the Respondent. The sword of Damocles need not be kept hanging over his head unnecessarily without point or purpose. Even in an ordinary civil litigation, the Court readily exercises the power to reject a plaint, if it does not disclose any cause of action.”

23.5. The power conferred on the court to terminate a civil action is, however, a drastic

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one, and the conditions enumerated in Order VII Rule 11 are required to be strictly adhered to.

23.6. Under Order VII Rule 11, a duty is cast on the Court to determine whether the plaint discloses a cause of action by scrutinizing the averments in the plaint read in conjunction with the documents relied upon, or whether the suit is barred by any law.

23.7. Order VII Rule 14(1) provides for production of documents, on which the Plaintiff places reliance in his suit, which reads as under:

....

23.8. Having regard to Order VII Rule 14 Code of Civil Procedure, the documents filed alongwith the plaint, are required to be taken into consideration for deciding the application Under Order VII Rule 11(a). When a document referred to in the plaint, forms the basis of the plaint, it should be treated as a part of the plaint.

23.9. In exercise of power under this provision, the Court would determine if the assertions made in the plaint are contrary to statutory law, or judicial dicta, for deciding whether a case for rejecting the plaint at the threshold is made out.

23.10. At this stage, the pleas taken by the Defendant in the written statement and application for rejection of the plaint on the merits, would be irrelevant, and cannot be adverted to, or taken into consideration.

23.11. The test for exercising the power under Order VII Rule 11 is that if the averments made in the plaint are taken in entirety, in conjunction with the documents relied upon, would the same result in a decree being passed. This test was laid down in Liverpool & London S.P. & I Assn. Ltd. v. M.V. Sea Success I which reads as: (SCC p.562, para 139)

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“139. Whether a complaint discloses a cause of action or not is essentially a question of fact. But whether it does or does not must be found out from reading the complaint itself. For the said purpose, the averments made in the complaint in their entirety must be held to be correct. The test is as to whether if the averments made in the complaint are taken to be correct in their entirety, a decree would be passed.”

23.12. In *Hardesh Ores (P.) Ltd. v. Hede & Co.* (MANU/SC/7671/2007: 2007:INSC:576 : (2007) 5 SCC 614) the Court further held that it is not permissible to cull out a sentence or a passage, and to read it in isolation. It is the substance, and not merely the form, which has to be looked into. The complaint has to be construed as it stands, without addition or subtraction of words. If the allegations in the complaint prima facie show a cause of action, the court cannot embark upon an enquiry whether the allegations are true in fact. *D. Ramachandran v. R.V. Janakiraman* (MANU/SC/0154/1999: 1999:INSC:97 : (1999) 3 SCC 267).

23.13. If on a meaningful reading of the complaint, it is found that the suit is manifestly vexatious and without any merit, and does not disclose a right to sue, the court would be justified in exercising the power Under Order VII Rule 11 Code of Civil Procedure.

23.14. The power Under Order VII Rule 11 Code of Civil Procedure may be exercised by the Court at any stage of the suit, either before registering the complaint, or after issuing summons to the Defendant, or before conclusion of the trial, as held by this Court in the judgment of *Saleem Bhai v. State of Maharashtra* (MANU/SC/1185/2002 : 2002:INSC:554 : (2003) 1 SCC

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557). *The plea that once issues are framed, the matter must necessarily go to trial was repelled by this Court in Azhar Hussain (supra).*

23.15. *The provision of Order VII Rule 11 is mandatory in nature. It states that the plaint "shall" be rejected if any of the grounds specified in Clause (a) to (e) are made out. If the Court finds that the plaint does not disclose a cause of action, or that the suit is barred by any law, the Court has no option, but to reject the plaint.*

24. *"Cause of action" means every fact which would be necessary for the Plaintiff to prove, if traversed, in order to support his right to judgment. It consists of a bundle of material facts, which are necessary for the Plaintiff to prove in order to entitle him to the reliefs claimed in the suit.*

24.1. *In Swamy Atmanand v. Sri Ramakrishna Tapovanam (MANU/SC/0287/2005 : 2005 : INSC:205 : (2005) 10 SCC 51) this Court held:*

"24. A cause of action, thus, means every fact, which if traversed, it would be necessary for the Plaintiff to prove an order to support his right to a judgment of the court. In other words, it is a bundle of facts, which taken with the law applicable to them gives the Plaintiff a right to relief against the Defendant. It must include some act done by the Defendant since in the absence of such an act, no cause of action can possibly accrue. It is not limited to the actual infringement of the right sued on but includes all the material facts on which it is founded."

(emphasis supplied)

24.2. *In T. Arivandandam v. T.V. Satyapal MANU/SC/0034/1977: 1977:INSC:204 : (1977) 4 SCC*

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467 this Court held that while considering an application Under Order VII Rule 11 Code of Civil Procedure what is required to be decided is whether the plaint discloses a real cause of action, or something purely illusory, in the following words: (SCC p. 470, para 5)

“5. ...The learned Munsif must remember that if on a meaningful - not formal - reading of the plaint it is manifestly vexatious, and meritless, in the sense of not disclosing a clear right to sue, he should exercise his power Under Order VII, Rule 11 Code of Civil Procedure taking care to see that the ground mentioned therein is fulfilled. And, if clever drafting has created the illusion of a cause of action, nip it in the bud at the first hearing ...”

24.3. Subsequently, in *I.T.C. Ltd. v. Debt Recovery Appellate Tribunal* (MANU/SC/0968/1998 : (1998) 2 SCC 170) this Court held that law cannot permit clever drafting which creates illusions of a cause of action. What is required is that a clear right must be made out in the plaint.

24.4. If, however, by clever drafting of the plaint, it has created the illusion of a cause of action, this Court in *Madanuri Sri Ramachandra Murthy v. Syed Jalal* (MANU/SC/0485/2017 : 2017:INSC:366 : (2017) 13 SCC 174) held that it should be nipped in the bud, so that bogus litigation will end at the earliest stage. The Court must be vigilant against any camouflage or suppression, and determine whether the litigation is utterly vexatious, and an abuse of the process of the court.

.....

28. A three-Judge Bench of this Court in *State of Punjab v. Gurdev Singh* (MANU/SC/0612/1991 : 1991:INSC:200 : (1991) 4 SCC 1: 1991 SCC

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(L&S) 1082) held that the Court must examine the plaint and determine when the right to sue first accrued to the Plaintiff, and whether on the assumed facts, the plaint is within time. The words “right to sue” means the right to seek relief by means of legal proceedings. The right to sue accrues only when the cause of action arises. The suit must be instituted when the right asserted in the suit is infringed, or when there is a clear and unequivocal threat to infringe such right by the Defendant against whom the suit is instituted. Order VII Rule 11 (d) provides that where a suit appears from the averments in the plaint to be barred by any law, the plaint shall be rejected.

14.1. *Thus, it is clear that the above provision viz., Order VII Rule 11 CPC serves as a crucial filter in civil litigation, enabling courts to terminate proceedings at the threshold where the Plaintiff’s case, even if accepted in its entirety, fails to disclose any cause of action or is barred by law, either express or by implication. The scope of Order VII Rule 11 Code of Civil Procedure and the authority of the courts is well settled in law. There is a bounden duty on the Court to discern and identify fictitious suit, which on the face of it would be barred, but for the clever pleadings disclosing a cause of action, that is surreal. Generally, Sub-clauses (a) and (d) are stand alone grounds, that can be raised by the Defendant in a suit. However, it cannot be ruled out that under certain circumstances, Clauses (a) and (d) can be mutually inclusive. For instances, when clever drafting veils the implied bar to disclose the cause of action; it then becomes the duty of the Court to lift the veil and expose the bar to reject the suit at the threshold. The power to reject a plaint under this provision is not merely procedural but substantive, aimed at preventing abuse of the judicial process and ensuring that court time is not wasted on fictitious claims failing to disclose any cause of*

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action to sustain the suit or barred by law. Therefore, the appeal before us requires careful consideration of the scope of rejection of the plaint Under Order VII Rule 11 Code of Civil Procedure, particularly, in the context of the suit filed based on an agreement to sell against third parties in possession.

15. *Order VII Rule 11(a) Code of Civil Procedure mandates rejection of the plaint where it does not disclose a cause of action. In Om Prakash Srivastava v. Union of India and Anr. (MANU/SC/3240/2006 : 2006:INSC:463 : (2006) 6 SCC 207), this Court pointed out that cause of action means every fact which, if traversed, would be necessary for the Plaintiff to prove in order to support their right to judgment. It consists of bundle of facts which narrate the circumstances and the reasons for filing such suit. It is the foundation on which the entire suit would rest. Therefore, it goes without saying that merely including a paragraph on cause of action is not sufficient but rather, on a meaningful reading of the plaint and the documents, it must disclose a cause of action. The plaint should contain such cause of action that discloses all the necessary facts required in law to sustain the suit and not mere statements of fact which fail to disclose a legal right of the Plaintiff to sue and breach or violation by the Defendant(s). It is pertinent to note here that even if a right is found, unless there is a violation or breach of that right by the Defendant, the cause of action should be deemed to be unreal. This is where the substantive laws like Specific Relief Act, 1963, Contract Act, 1872, and Transfer of Property Act, 1882, come into operation. A pure question of law that can be decided at the early stage of litigation, ought to be decided at the earliest stage....."*

- 8.5. A careful reading of the above provisions and decision makes it clear that rejection of a plaint under the grounds mentioned under Order VII Rule 11 is essentially determinable on the basis of the averments contained in the plaint. The plaint must

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disclose a cause of action; the relief claimed must be properly valued; requisite court fee must be paid; a duplicate copy must be filed; and as many copies of plaint as there are defendants must be filed after the order of the Court directing issuance of summons. Before rejecting the plaint for improper valuation or deficit court fee, the Court must grant an opportunity to the plaintiff to properly value the relief and pay the requisite court fee, failing which the plaint shall stand rejected. The time granted by the Court to value the relief and pay the court fee cannot be extended unless the plaintiff satisfies the Court that for extraordinary reasons, he was unable to do so.

- 8.6. In this context, it would be useful to refer to Section 148 CPC, which enables the Court to extend the time for complying with any period fixed or granted by the Court for doing any act prescribed or allowed by the Code. The Court may extend such period by a maximum of thirty days, notwithstanding the fact that the period originally fixed or granted has already expired. Section 149 enables the Court, in its discretion, to allow the person responsible for payment of court fee to make such payment, and upon such payment, it shall be deemed as if the same had been paid in the first instance. Then, there is also Section 151 CPC which deals with the inherent powers of the Court. It must not be forgotten at this juncture that the Code of Civil Procedure is generally a procedural law, though some of its provisions are substantive in nature. When it comes to timelines fixed under the Code or granted by the Court, except where the plaintiff is required to institute the suit within the period of limitation or initiate execution of the decree within the prescribed period of limitation, in other words, where the Limitation Act comes into operation, the provisions are procedural and therefore cannot defeat the substantive right of a litigant to present or defend his case.
- 8.7. The jurisdiction to extend or enlarge time, once conferred, cannot be restricted merely by imposing a timeline, and the inherent power of the Court under Section 151 comes into operation to meet the requirements of justice. Such inherent power is to be exercised in appropriate cases where the party concerned is unable to comply with the direction of the Court within the time fixed or granted, for reasons beyond his control,

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and approaches the Court for further enlargement of time. Obviously, the totality of the circumstances and the prejudice likely to be caused to the other side are also to be considered. In matters relating to payment of court fee or filing of requisite copies, it is essentially a matter between the Court and the plaintiff, and ordinarily no prejudice would be caused to the opposite party.

- 8.8. In this regard, reference can be had to the decision in **D.V. Paul v. Manisha Lalwanī**²², wherein after analysing the various earlier judgments of this Court, it was held as follows:

“26. Insofar as the first aspect is concerned Section 148 CPC, in our opinion, clearly reserves in favour of the court the power to enlarge the time required for doing an act prescribed or allowed by the Code of Civil Procedure. Section 148 of the Code may at this stage be extracted:

“148. Enlargement of time. — Where any period is fixed or granted by the court for the doing of any act prescribed or allowed by this Code, the court may, in its discretion, from time to time, enlarge such period not exceeding thirty days in total, even though the period originally fixed or granted may have expired.”

A plain reading of the above would show that when any period or time is granted by the court for doing any act, the court has the discretion from time to time to enlarge such period even if the time originally fixed or granted by the court has expired. It is evident from the language employed in the provision that the power given to the court is discretionary and intended to be exercised only to meet the ends of justice.

.....

32..... *The power to fix the time for doing of an act must in our opinion carry with it the power to extend*

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such period, depending upon whether the party in default makes out a case to the satisfaction of the court who has fixed the time. There is nothing in Section 148 CPC or in any other provision of the Code to suggest that such a power of extension of time cannot be exercised in a case like the one at hand. The argument that the power to extend time cannot be exercised where the act in question is stipulated in a conditional decree has not impressed us. We see no reason to draw a distinction depending on whether the prayer for extension is in regard to a conditional order or a conditional decree. The heart of the matter is that where the court has the power to fix time and that power is not regulated by any statutory limits, it has in appropriate cases the power to extend the time fixed by it. It is common ground that neither CPC nor the provisions of the M.P. Accommodation Control Act place any limitation on the power of the court in case like the one in hand.”

- 8.9. However, when it comes to Clause (a) or (d), the Court has no option. The clauses under Rule 11 of Order VII, except Clause (d), do not use the word “suit”. If, upon perusal of the averments in the plaint, the suit is barred by law, then the plaint can be rejected. The bar can be express or by necessary implication. Therefore, while considering a claim that the suit is barred by law, a thorough and meaningful reading of the plaint must be undertaken. A suit can be held to be barred by law if the right asserted is legally unavailable or, even if available, there exists a bar to seek the relief in view of any other substantive law which conditions enforcement of such right upon satisfaction of certain requirements or compliance with prescribed procedures. It is needless to state that while carefully analysing the plaint averments, the relief sought and all relevant laws must be considered. Clauses (a) and (d) are stand-alone provisions. Yet, depending upon the facts of each case, they may also overlap. Similarly, if by clever drafting a fictional cause of action is created to veil a bar under law, it is imperative for the Court to reject the plaint.

Manjula and Others v. D.A. Srinivas**(B) ROLE OF THE COURT IN CONDUCTING SUITS AS CONTEMPLATED UNDER THE CPC**

9. Let us now examine a few other provisions of the CPC to ascertain the role of the Court in dealing with suits. They are as follows:

SECTION 26. Institution of Suits—

(1) Every suit shall be instituted by the presentation of a plaint or in such other manner as may be prescribed.

(2) In every plaint, facts shall be proved by affidavit.

SECTION 27. Summons to Defendants—

Where a suit has been duly instituted, a summons may be issued to the defendant to appear and answer the claim and may be served in manner prescribed on such day not beyond thirty days from the date of the institution of the suit.

SECTION 35A. Compensatory costs in respect of false or vexatious claims or defences—

(1) If in any suit or other proceedings including an execution proceedings but excluding an appeal or a revision any party objects to the claim or defence on the ground that the claim or defence or any part of it is, as against the objector, false or vexatious to the knowledge of the party by whom it has been put forward, and if thereafter, as against the objector, such claim or defence is disallowed, abandoned or withdrawn in whole or in part, the Court if it so thinks fit, may, after recording its reasons for holding such claim or defence to be false or vexatious, make an order for the payment to the objector by the party by whom such claim or defence has been put forward, of cost by way of compensation.

...

ORDER IV – INSTITUTION OF SUITS

Rule 1: *Suit to be commenced by plaint—*

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(1) Every suit shall be instituted by presenting a plaint in duplicate to the Court or such officer as it appoints in this behalf.

(2) Every plaint shall comply with the rules contained in Orders VI and VII, so far as they are applicable.

(3) The plaint shall not be deemed to be duly instituted unless it complies with the requirements specified in sub-rules (1) and (2).

Rule 2: *Register of suits— The Court shall cause the particulars of every suit to be entered in a book to be kept for the purpose and called the register of civil suits. Such entries shall be numbered in every year according to the order in which the plaints are admitted.*

ORDER V – ISSUE AND SERVICE OF SUMMONS

Rule 1 : Summons.— *(1) When a suit has been duly instituted, a summons may be issued to the defendant to appear and answer the claim and to file the written statement of his defence, if any, within thirty days from the date of service of summons on that defendant:*

....

Rule 3 : *Court may order defendant or plaintiff to appear in person. —*

(1) Where the Court sees reason to require the personal appearance of the defendant, the summons shall order him to appear in person in Court on the day therein specified.

(2) Where the Court sees reason to require the personal appearance of the plaintiff on the same day, it shall make an order for such appearance.

Rule 5 : *Summons to be either to settle issues or for final disposal—*

The Court shall determine, at the time of issuing the summons, whether it shall be for the settlement of issues

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only, or for the final disposal of the suit; and the summons shall contain a direction accordingly:

Provided that, in every suit heard by a Court of Small Causes, the summons shall be for the final disposal of the suit.

By the Karnataka Amendment, with effect from 30.03.1967, Rule 5 of Order V was substituted with the following rule:

5. *The Court shall determine, at the time of issuing the summons, whether it shall be –*

(1) for the settlement of issues only, or

(2) for the defendant to appear and state whether he contests to or does not contest the claim and directing him if he contests to receive directions as to the date on which he has to file his written statement, the date of trial and other matters, and if he does not contest for final disposal of the suit at once; or

(3) for the final disposal of the suit;

and the summons shall contain a direction accordingly:

Provided that in every suit heard by the Court of Small Causes, the summons shall be for final disposal of the suit.

ORDER VI – PLEADINGS

Rule 2 : Pleading to state material facts and not evidence–

(1) Every pleading shall contain, and contain only, a statement in a concise form of the material facts on which the party pleading relies for his claim or defence, as the case may be, but not the evidence by which they are to be proved.

(2) Every pleading shall, when necessary, be divided into paragraphs, numbered consecutively, each allegation being, so far as is convenient, contained in a separate paragraph.

(3) Dates, sums and numbers shall be expressed in a pleading in figures as well as in words.

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Rule 4 : Particulars to be given where necessary

In all cases in which the party pleading relies on any misrepresentation, fraud, breach of trust, wilful default, or undue influence, and in all other cases in which particulars may be necessary beyond such as are exemplified in the forms aforesaid, particulars (with dates and items if necessary) shall be stated in the pleading.

Rule 6 : Condition precedent

Any condition precedent, the performance or occurrence of which is intended to be contested, shall be distinctly specified in his pleading by the plaintiff or defendant, as the case may be; and, subject thereto, an averment of the performance or occurrence of all conditions precedent necessary for the case of the plaintiff or defendant shall be implied in his pleading.

Rule 9 : Effect of document to be stated

Wherever the contents of any document are material, it shall be sufficient in any pleading to state the effect thereof as briefly as possible, without setting out the whole or any part thereof, unless the precise words of the document or any part thereof are material.

ORDER VII – PLAINT

Rule 9 : Procedure on admitting plaint. —

Where the Court orders that the summons be served on the defendants in the manner provided in rule 9 of Order V, it will direct the plaintiff to present as many copies of the plaint on plain paper as there are defendants within seven days from the date of such order along with requisite fee for service of summons on the defendants.

ORDER IX – APPEARANCE OF PARTIES AND CONSEQUENCE OF NON-APPEARANCE

Rule 1 : Parties to appear on day fixed in summons for defendant to appear and answer—

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On the day fixed in the summons for the defendant to appear and answer, the parties shall be in attendance at the Court-house in person or by their respective pleaders, and the suit shall then be heard unless the hearing is adjourned to a future day fixed by the Court.

ORDER XIV – SETTLEMENT OF ISSUES AND DETERMINATION OF SUIT ON ISSUES OF LAW OR ON ISSUES AGREED UPON

Rule 2 : *Court to pronounce judgment on all issues. —*

(1) Notwithstanding that a case may be disposed of on a preliminary issue, the Court shall, subject to the provisions of sub-rule (2), pronounce judgment on all issues.

(2) Where issues both of law and of fact arise in the same suit, and the Court is of opinion that the case or any part thereof may be disposed of on an issue of law only, it may try that issue first if that issue relates to—

(a) the jurisdiction of the Court, or

(b) a bar to the suit created by any law for the time being in force;

and for that purpose may, if it thinks fit, postpone the settlement of the other issues until after that issue has been determined, and may deal with the suit in accordance with the decision on that issue.

- 9.1. A careful reading of the above provisions would exemplify the following: Section 26 CPC stipulates that a suit shall be instituted by presenting a plaint. As per Section 27, where a suit has been duly instituted, summons may be issued to the defendants. Section 35A empowers the Court to impose costs for filing frivolous suits. A reading of Order IV would indicate that a suit shall not stand instituted unless the requirements of Orders VI and VII are satisfied. Rule 11 of Order VII, as we have already discussed, which deals with rejection of plaint, states that the plaint shall be rejected if it fails to disclose a cause of action or if the suit is barred by any law. A conjoint reading of Order IV Rule 2 and Order VII Rule 9 would disclose that admission of the plaint is necessary before entering the particulars of the suit in the Register and issuance of summons.

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- 9.2. *As a fortiori*, Rule 1 of Order V states that summons may be issued after the suit has been duly instituted. Rule 3 of Order V empowers the Court to summon the plaintiff. Rule 5 of Order V, including the Karnataka High Court amendment, empowers the Court to state the purpose for which summons may be issued, which can also be for the final disposal of the suit. Rule 2 of Order VI states that material facts have to be pleaded. Rule 4 of Order VI requires that necessary particulars are to be given. Rule 6 of Order VI requires that compliance with condition precedent has to be stated. Rule 9 of Order VI requires that the averments in the plaint must state the effect of the document relied upon in the pleading. Rule 9 of Order VII states that upon admitting the plaint, the Court, after ordering that summons shall be served on the defendants, shall direct the plaintiff to present as many copies of the plaint as there are defendants within seven days from the date of such order, along with the requisite fee. Rule 14 of Order VII states that the plaintiff has to produce the document on which his claim is based.
- 9.3. Once the plaint is presented for institution, and before it is admitted, it is the duty of the trial Court to verify the contents of the plaint and ensure that all legal requirements are satisfied before admitting the plaint. A trial Court cannot mechanically admit the plaint and register the suit. Admission of the plaint cannot be a mechanical process by which the note of the Registry is merely endorsed by the Court. If, at the stage of admission of the plaint, the trial Court, upon a meaningful reading of the plaint, comes to the conclusion that the plaint is liable to be rejected, it shall reject the plaint. It is not necessary for the trial Court to wait for the defendant to enter appearance and seek rejection of the plaint. Once the Court finds that the suit is frivolous, without jurisdiction, instituted without compliance with prerequisites, fails to disclose a real cause of action, suppresses material facts, or is barred by law but couched in clever drafting to create an illusion of a cause of action, it must reject the plaint with costs. [See ***T.Arivandandam v. T.V. Satyapal*** (supra)]. In this context, it would be useful to refer to the following judgments of this Court and the observations made therein:

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“7. ...Normally, when a suit is instituted, the Court is to satisfy itself that the suit is maintainable and it disclosed cause of action and only thereafter the Court may issue summons to the defendants but merely because the summons are issued, the defendants right to raise preliminary objection for rejection of the plaint on the ground that it disclosed no cause of action is not affected. If a plaint or an election petition does not disclose any cause of action, it does not stand to reason as to why the defendant or the respondent should incur costs and waste public time in producing evidence when the proceedings can be disposed of on the preliminary objection. ...”

(ii) Odisha State Financial Corporation v. Vigyan Chemical Industries and others²⁴

“20. A decree passed without jurisdiction is null and void. A court is said to lack jurisdiction if it has no territorial jurisdiction, or if it has no pecuniary jurisdiction, or if its jurisdiction over the subject matter is circumscribed by any law. Such laws may be either substantive or procedural and may, by express provision or necessary implication, take away the jurisdiction of a court to deal with a matter, leaving no room for any judicial discretion. These provisions may either impose a total bar on the court from dealing with certain subject matters or impose any pre-conditions, non-compliance with which may prevent the court from entertaining the suit, even if it otherwise has jurisdiction over the subject matter. A plea questioning the jurisdiction of the court can be raised at any stage, including before the High Court or this Court, particularly when it involves a pure question of law.”

23 1987 SCC OnLine SC 638

24 2025 INSC 928

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- 9.4. Every plaint must be presented along with the documents relied upon in the plaint as per Rule 14 of Order VII. A document is ordinarily relied upon in the plaint, and the narration in the bundle of facts contribute to the cause of action. Therefore, it is imperative upon the plaintiff to produce such document. It is trite law that the plaint can be rejected for failure to produce documents relied upon or referred to in the plaint. There can be no quarrel with the well settled position that while considering an application for rejection of plaint, only the averments in the plaint and the documents filed along with the plaint can be looked into. Though we agree with the learned Senior Counsel for the Respondent / Plaintiff on this proposition, the plaint cannot be read in an incomprehensive manner. What is implied in Order VII is a meaningful reading of the plaint, because the bar under law may be either express or by necessary implication. **[See *T.Arivandandam v. T.V. Satyapal* (supra), *Sopan Sukhdeo Sable and others v. Assistant Charity Commissioner and others*²⁵ and *Madanuri Sri Rama Chandra Murthy v. Syed Jalal*²⁶].**
- 9.5. Similarly, all material facts have to be stated in the plaint. Material facts are those facts which create a complete cause of action; those facts which directly bear upon the maintainability or sustainability of the suit; and those facts upon adjudication of which may bring an end to the *lis*. Any suppression of a material fact, which has the effect of creating an illusory cause of action and eclipsing the legal bar, ought to be dealt with firmly, and the plaint would be liable to be summarily rejected. It is also settled law that a person who has suppressed a material fact is not entitled to any relief. Suppression of a material fact within the knowledge of the party amounts to fraud upon the Court. The relevancy or otherwise of a fact is to be decided by the Court, and parties cannot contend that they omitted a material fact on the assumption that it was not relevant. It is not only the duty of the Court to summarily reject the claim of a party suppressing a material fact, but also to ensure that any benefit obtained by such party is undone and *status quo ante* restored in its fairness

²⁵ (2004) 3 SCC 137

²⁶ (2017) 13 SCC 174

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and equity. The consistent view of this Court, irrespective of whether it is a petition under Article 136 of the Constitution, a writ petition under Article 226 of the Constitution, or in any proceedings before a civil, criminal, judicial or quasi-judicial forum is that the parties must disclose all material facts in their pleadings, and that a party, who suppresses any material fact is not entitled to any relief.

- 9.6. It would be useful to refer to the following judgments of this Court and the observations made therein, on the above aspects:

(i) ***Sopan Sukhdeo Sable v. Assistant Charity Commissioner***
(supra)

“20. There is distinction between “material facts” and “particulars”. The words “material facts” show that the facts necessary to formulate a complete cause of action must be stated. Omission of a single material fact leads to an incomplete cause of action and the statement or plaint becomes bad. The distinction which has been made between “material facts” and “particulars” was brought by Scott, L.J. in Bruce v. Odhams Press Ltd. [(1936) 1 KB 697: (1936) 1 All ER 287 (CA)] in the following passage : (All ER p. 294)

“The cardinal provision in Rule 4 is that the statement of claim must state the material facts. The word ‘material’ means necessary for the purpose of formulating a complete cause of action; and if any one ‘material’ statement is omitted, the statement of claim is bad; it is ‘demurrable’ in the old phraseology, and in the new is liable to be ‘struck out’ under R.S.C. Order 25 Rule 4 (see Philipps v. Philipps [(1878) 4 QBD 127]); or ‘a further and better statement of claim’ may be ordered under Rule 7.

The function of ‘particulars’ under Rule 6 is quite different. They are not to be used in order to fill material gaps in a demurrable statement of claim — gaps which ought to have been filled by appropriate statements of the various

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material facts which together constitute the plaintiff's cause of action. The use of particulars is intended to meet a further and quite separate requirement of pleading, imposed in fairness and justice to the defendant. Their function is to fill in the picture of the plaintiff's cause of action with information sufficiently detailed to put the defendant on his guard as to the case he had to meet and to enable him to prepare for trial."

The dictum of Scott, L.J. in Bruce case [(1936) 1 KB 697 : (1936) 1 All ER 287 (CA)] has been quoted with approval by this Court in Samant N. Balkrishna v. George Fernandez [(1969) 3 SCC 238] and the distinction between "material facts" and "particulars" was brought out in the following terms: (SCC p. 250, para 29)

"The word 'material' shows that the facts necessary to formulate a complete cause of action must be stated. Omission of a single material fact leads to an incomplete cause of action and the statement of claim becomes bad. The function of particulars is to present as full a picture of the cause of action with such further information in detail as to make the opposite party understand the case he will have to meet."

Rule 11 of Order 7 lays down an independent remedy made available to the defendant to challenge the maintainability of the suit itself, irrespective of his right to contest the same on merits. The law ostensibly does not contemplate at any stage when the objections can be raised, and also does not say in express terms about the filing of a written statement. Instead, the word "shall" is used, clearly implying thereby that it casts a duty on the court to perform its obligations in rejecting the plaint when the same is hit by any of the infirmities provided in the four clauses of Rule 11, even without intervention of the defendant. In any

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event, rejection of the plaint under Rule 11 does not preclude the plaintiffs from presenting a fresh plaint in terms of Rule 13.”

(ii) K.D. Sharma v. Steel Authority of India Limited and others²⁷

“34. The jurisdiction of the Supreme Court under Article 32 and of the High Court under Article 226 of the Constitution is extraordinary, equitable and discretionary. Prerogative writs mentioned therein are issued for doing substantial justice. It is, therefore, of utmost necessity that the petitioner approaching the writ court must come with clean hands, put forward all the facts before the court without concealing or suppressing anything and seek an appropriate relief. If there is no candid disclosure of relevant and material facts or the petitioner is guilty of misleading the court, his petition may be dismissed at the threshold without considering the merits of the claim.

35. The underlying object has been succinctly stated by Scrutton, L.J., in the leading case of R. v. Kensington Income Tax Commrs. [(1917) 1 KB 486 : 86 LJKB 257 : 116 LT 136 (CA)] in the following words: (KB p. 514)

“... it has been for many years the rule of the court, and one which it is of the greatest importance to maintain, that when an applicant comes to the court to obtain relief on an ex parte statement he should make a full and fair disclosure of all the material facts—it says facts, not law. He must not misstate the law if he can help it—the court is supposed to know the law. But it knows nothing about the facts, and the applicant must state fully and fairly the facts; and the penalty by which the court enforces that obligation is that if it finds out that the facts have not been fully and fairly stated to it, the court

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will set aside any action which it has taken on the faith of the imperfect statement.”

(emphasis supplied)

36. *A prerogative remedy is not a matter of course. While exercising extraordinary power a writ court would certainly bear in mind the conduct of the party who invokes the jurisdiction of the court. If the applicant makes a false statement or suppresses material fact or attempts to mislead the court, the court may dismiss the action on that ground alone and may refuse to enter into the merits of the case by stating, “We will not listen to your application because of what you have done.” The rule has been evolved in the larger public interest to deter unscrupulous litigants from abusing the process of court by deceiving it.*

....

38. *The above principles have been accepted in our legal system also. As per settled law, the party who invokes the extraordinary jurisdiction of this Court under Article 32 or of a High Court under Article 226 of the Constitution is supposed to be truthful, frank and open. He must disclose all material facts without any reservation even if they are against him. He cannot be allowed to play “hide and seek” or to “pick and choose” the facts he likes to disclose and to suppress (keep back) or not to disclose (conceal) other facts. The very basis of the writ jurisdiction rests in disclosure of true and complete (correct) facts. If material facts are suppressed or distorted, the very functioning of writ courts and exercise would become impossible. The petitioner must disclose all the facts having a bearing on the relief sought without any qualification. This is because “the court knows law but not facts”.*

39. *If the primary object as highlighted in Kensington Income Tax Commrs. [(1917) 1 KB 486 : 86 LJKB 257 : 116 LT 136 (CA)] is kept in mind, an applicant who*

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does not come with candid facts and “clean breast” cannot hold a writ of the court with “soiled hands”. Suppression or concealment of material facts is not an advocacy. It is a jugglery, manipulation, manoeuvring or misrepresentation, which has no place in equitable and prerogative jurisdiction. If the applicant does not disclose all the material facts fairly and truly but states them in a distorted manner and misleads the court, the court has inherent power in order to protect itself and to prevent an abuse of its process to discharge the rule nisi and refuse to proceed further with the examination of the case on merits. If the court does not reject the petition on that ground, the court would be failing in its duty. In fact, such an applicant requires to be dealt with for contempt of court for abusing the process of the court.

....

45. *In Agricultural & Processed Food Products v. Oswal Agro Furane [(1996) 4 SCC 297] the petitioner filed a petition in the High Court of Punjab and Haryana which was pending. Suppressing that fact, it filed another petition in the High Court of Delhi and obtained an order in its favour. Observing that the petitioner was guilty of suppression of “very important fact”, this Court set aside the order of the High Court.*

...

49. *“Strongly disapproving” the explanation put forth by the petitioner and describing the tactics adopted by the Federation as “abuse of process of court”, this Court observed: (All India State Bank Officers Federation case [1990 Supp SCC 336 : 1991 SCC (L&S) 429 : (1991) 16 ATC 454] , SCC pp. 340-41, paras 9 & 11)*

“9. ... There is no doubt left in our minds that the petitioner has not only suppressed material facts in the petition but has also tried to abuse judicial process. ...

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11. Apart from misstatements in the affidavits filed before this Court, the petitioner Federation has clearly resorted to tactics which can only be described as abuse of the process of court. The simultaneous filing of writ petitions in various High Courts on the same issue though purportedly on behalf of different associations of the officers of the Bank, is a practice which has to be discouraged. Sri Sachar and Sri Ramamurthi wished to pinpoint the necessity and importance of petitions being filed by different associations in order to discharge satisfactorily their responsibilities towards their respective members. We are not quite able to appreciate such necessity where there is no diversity but only a commonness of interest. All that they had to do was to join forces and demonstrate their unity by filing a petition in a single court. It seems the object here in filing different petitions in different courts was a totally different and not very laudable one."

(emphasis supplied)

51. *Yet in another case in Vijay Syal v. State of Punjab [(2003) 9 SCC 401 : 2003 SCC (L&S) 1112] this Court stated: (SCC p. 420, para 24)*

"24. In order to sustain and maintain the sanctity and solemnity of the proceedings in law courts it is necessary that parties should not make false or knowingly, inaccurate statements or misrepresentation and/or should not conceal material facts with a design to gain some advantage or benefit at the hands of the court, when a court is considered as a place where truth and justice are the solemn pursuits. If any party attempts to pollute such a place by adopting recourse to make misrepresentation and is concealing material facts it does so at its risk and cost. Such party must be ready to

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take the consequences that follow on account of its own making. At times lenient or liberal or generous treatment by courts in dealing with such matters is either mistaken or lightly taken instead of learning a proper lesson. Hence there is a compelling need to take a serious view in such matters to ensure expected purity and grace in the administration of justice.”

(iii) Dalip Singh v. State of Uttar Pradesh and others²⁸

“1. For many centuries Indian society cherished two basic values of life i.e. “satya” (truth) and “ahimsa” (non-violence). Mahavir, Gautam Buddha and Mahatma Gandhi guided the people to ingrain these values in their daily life. Truth constituted an integral part of the justice-delivery system which was in vogue in the pre-Independence era and the people used to feel proud to tell truth in the courts irrespective of the consequences. However, post-Independence period has seen drastic changes in our value system. The materialism has overshadowed the old ethos and the quest for personal gain has become so intense that those involved in litigation do not hesitate to take shelter of falsehood, misrepresentation and suppression of facts in the court proceedings.

....

3. *In Hari Narain v. Badri Das [AIR 1963 SC 1558] this Court adverted to the aforesaid rule and revoked the leave granted to the appellant by making the following observations: (AIR p. 1558)*

“It is of utmost importance that in making material statements and setting forth grounds in applications for special leave made under Article 136 of the Constitution, care must be taken not to make any statements which are

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inaccurate, untrue or misleading. In dealing with applications for special leave, the Court naturally takes statements of fact and grounds of fact contained in the petitions at their face value and it would be unfair to betray the confidence of the Court by making statements which are untrue and misleading. Thus, if at the hearing of the appeal the Supreme Court is satisfied that the material statements made by the appellant in his application for special leave are inaccurate and misleading, and the respondent is entitled to contend that the appellant may have obtained special leave from the Supreme Court on the strength of what he characterises as misrepresentations of facts contained in the petition for special leave, the Supreme Court may come to the conclusion that in such a case special leave granted to the appellant ought to be revoked.”

.....

5. *In G. Narayanaswamy Reddy v. Govt. of Karnataka [(1991) 3 SCC 261 : AIR 1991 SC 1726] the Court denied relief to the appellant who had concealed the fact that the award was not made by the Land Acquisition Officer within the time specified in Section 11-A of the Land Acquisition Act because of the stay order passed by the High Court. While dismissing the special leave petition, the Court observed: (SCC p. 263, para 2)*

“2. ... Curiously enough, there is no reference in the special leave petitions to any of the stay orders and we came to know about these orders only when the respondents appeared in response to the notice and filed their counter-affidavit. In our view, the said interim orders have a direct bearing on the question raised and the non-disclosure of the same certainly amounts to suppression of material facts. On

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this ground alone, the special leave petitions are liable to be rejected. It is well settled in law that the relief under Article 136 of the Constitution is discretionary and a petitioner who approaches this Court for such relief must come with frank and full disclosure of facts. If he fails to do so and suppresses material facts, his application is liable to be dismissed. We accordingly dismiss the special leave petitions.”

6. In *S.P. Chengalvaraya Naidu v. Jagannath* [(1994) 1 SCC 1 : JT (1993) 6 SC 331] the Court held that where a preliminary decree was obtained by withholding an important document from the court, the party concerned deserves to be thrown out at any stage of the litigation.

7. In *Prestige Lights Ltd. v. SBI* [(2007) 8 SCC 449] it was held that in exercising power under Article 226 of the Constitution of India the High Court is not just a court of law, but is also a court of equity and a person who invokes the High Court’s jurisdiction under Article 226 of the Constitution is duty-bound to place all the facts before the Court without any reservation. If there is suppression of material facts or twisted facts have been placed before the High Court then it will be fully justified in refusing to entertain a petition filed under Article 226 of the Constitution. This Court referred to the judgment of Scrutton, L.J. in *R. v. Kensington Income Tax Commissioners* [(1917) 1 KB 486 (CA)], and observed: (*Prestige Lights Ltd. Case* [(2007) 8 SCC 449], SCC p. 462, para 35)

“In exercising jurisdiction under Article 226 of the Constitution, the High Court will always keep in mind the conduct of the party who is invoking such jurisdiction. If the applicant does not disclose full facts or suppresses relevant materials or is otherwise guilty of misleading the court, then the Court may dismiss the action without adjudicating the matter on merits. The rule has been evolved in larger public interest

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to deter unscrupulous litigants from abusing the process of court by deceiving it. The very basis of the writ jurisdiction rests in disclosure of true, complete and correct facts. If the material facts are not candidly stated or are suppressed or are distorted, the very functioning of the writ courts would become impossible.”

8. *In A.V. Papayya Sastry v. Govt. of A.P. [(2007) 4 SCC 221 : AIR 2007 SC 1546]* the Court held that Article 136 does not confer a right of appeal on any party. It confers discretion on this Court to grant leave to appeal in appropriate cases. In other words, the Constitution has not made the Supreme Court a regular court of appeal or a court of error. This Court only intervenes where justice, equity and good conscience require such intervention.

....

10. *In K.D. Sharma v. SAIL [(2008) 12 SCC 481]* the Court held that the jurisdiction of the Supreme Court under Article 32 and of the High Court under Article 226 of the Constitution is extraordinary, equitable and discretionary and it is imperative that the petitioner approaching the writ court must come with clean hands and put forward all the facts before the Court without concealing or suppressing anything and seek an appropriate relief. If there is no candid disclosure of relevant and material facts or the petitioner is guilty of misleading the Court, his petition may be dismissed at the threshold without considering the merits of the claim. The same rule was reiterated in *G. Jayashree v. Bhagwandas S. Patel [(2009) 3 SCC 141]*.”

(iv) Ram Kumar v. State of Uttar Pradesh and others²⁹

“28. *This Court, in S.P. Chengalvaraya Naidu (Dead) By LRs. v. Jagannath (Dead) by LRs and others*

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[(1994) 1 SCC 1 : JT (1993) 6 SC 331] has held that non-disclosure of the relevant and material documents with a view to obtain an undue advantage would amount to fraud. It has been held that the judgment or decree obtained by fraud is to be treated as a nullity. We find that respondent No.9 has not only suppressed a material fact but has also tried to mislead the High Court. On this ground also, the present appeal deserves to be allowed.”

- 9.7. Rule 13 of Order VII lays down that rejection of the plaint does not preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action. Rule 13 can ordinarily be invoked only when the plaint has been rejected for non-disclosure of cause of action or curable defects. There is a distinction between “having” a cause of action and “disclosing” a cause of action. As noticed above, a plaint can be rejected if it fails to disclose a cause of action upon a meaningful reading. All that Rule 13 permits is, where the right to sue survives after rejection of the plaint on the ground of non-disclosure of cause of action, a fresh plaint may be presented. However, when the suit itself is barred by law, Rule 13 cannot come to the rescue of the plaintiff. Similarly, what is enabled is only presentation of a fresh plaint; it does not mandate automatic admission of the plaint or registration of the suit. The plaintiff must still establish compliance with all legal requirements, including the law of limitation.

(C) INTERPLAY BETWEEN ORDER VII RULE 11 AND ORDER XIV RULE 2 CPC

10. An application under Order VII Rule 11 can be filed at any stage of the suit. The Court is bound to look into the averments in the plaint, the documents filed therewith, and the law under which the bar is claimed. Once an application under Order VII Rule 11 CPC is filed, the trial Court is first bound to decide the same before proceeding with the suit. In this regard, reference may be made to the judgment of this Court in ***R.K. Roja v. U.S. Rayudu and another***³⁰, wherein it was held as follows:

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“4. We are afraid that the stand taken by the High Court in the impugned order cannot be appreciated. An application under Order 7 Rule 11 CPC can be filed at any stage, as held by this Court in Sopan Sukhdeo Sable v. Charity Commr [(2004) 3 SCC 137] : (SCC p. 146, para 10)

“10... The trial court can exercise the power at any stage of the suit – before registering the plaint or after issuing summons to the defendant at any time before the conclusion of the trial.”

The only restriction is that the consideration of the application for rejection should not be on the basis of the allegations made by the defendant in his written statement or on the basis of the allegations in the application for rejection of the plaint. The court has to consider only the plaint as a whole, and in case, the entire plaint comes under the situations covered by Order 7 Rules 11(a) to (f) CPC, the same has to be rejected.

5. Once an application is filed under Order 7 Rule 11 CPC, the court has to dispose of the same before proceeding with the trial. There is no point or sense in proceeding with the trial of the case, in case the plaint (election petition in the present case) is only to be rejected at the threshold. Therefore, the defendant is entitled to file the application for rejection before filing his written statement. In case the application is rejected, the defendant is entitled to file his written statement thereafter (see Saleem Bhai v. State of Maharashtra [(2003) 1 SCC 557]). But once an application for rejection is filed, the court has to dispose of the same before proceeding with the trial court. To quote the relevant portion from para 20 of Sopan Sukhdeo Sable case [Sopan Sukhdeo Sable v. Charity Commr., (2004) 3 SCC 137] : (SCC pp. 148-49)

“20. ... Rule 11 of Order 7 lays down an independent remedy made available to the defendant to challenge the maintainability of the

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suit itself, irrespective of his right to contest the same on merits. The law ostensibly does not contemplate at any stage when the objections can be raised, and also does not say in express terms about the filing of a written statement. Instead, the word “shall” is used, clearly implying thereby that it casts a duty on the court to perform its obligations in rejecting the plaint when the same is hit by any of the infirmities provided in the four clauses of Rule 11, even without intervention of the defendant.”

6. *In Saleem Bhai case, this Court has also held that: (SCC p. 560, para 9)*

“9. a direction to file the written statement without deciding the application under Order 7 Rule 11 cannot but be a procedural irregularity touching the exercise of jurisdiction by the trial Court,”

However, we may hasten to add that the liberty to file an application for rejection under Order 7 Rule 11 CPC cannot be made as a ruse for retrieving the lost opportunity to file the written statement.

7. *Apparently, in the present case, it is seen that Annexure P-4, affidavit dated 15-3-2015 with a prayer ... “to dismiss the present election petition under Order 7 Rule 11 CPC...”, was filed within thirty days of the receipt of the summons in the election petition. However, the court was not inclined to consider the same in the absence of a formal application, and thus, Annexure P-5, Application No. EA No. 222 of 2016 was filed on 22-2-2016 leading to the impugned order, posting the application for consideration at the time of final hearing.*

8. *The procedure adopted by the court is not warranted under law. Without disposing of an application under Order 7 Rule 11 CPC, the court cannot proceed with the trial. In that view of the matter, the impugned order is only to be set aside. Ordered accordingly.”*

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- 10.1. Therefore, an application for rejection of the plaint can be filed at any stage of the suit and once the same is filed, it has to be taken up first before proceeding with the suit, presupposing the legal position that the grounds raised therein are to be treated as preliminary objections. However, as held in *R.K. Roja's* case (supra), an application to reject the plaint cannot be used as a ruse to retrieve the lost opportunity to file the written statement, implying thereby that the right to seek rejection of the plaint must be exercised at the earliest stage, when the right to file the written statement subsists. The filing of an application to reject the plaint does not stop the clock for filing the written statement. If the defendant is set *ex parte*, he cannot, as of right, participate further in the proceedings, unless he exercises his option to file a written statement along with an application to set aside the *ex parte* order under Order IX Rule 7 CPC. It may be noted, that even when set *ex parte*, the defendant does not forfeit his right to contest the plaintiff's case through cross-examination. The plaintiff must still prove his case in order to obtain a decree, even in the absence of the defendant.
- 10.2. On the other hand, a preliminary objection as to the jurisdiction of the trial Court or the maintainability of the suit on the ground that it is barred by law can be raised in the written statement. The trial Court may then take up the issues relating to jurisdiction or statutory bar as preliminary issues under Order XIV Rule 2, leaving the remaining issues framed under Order XIV Rule 1 to be decided at a later stage, if necessary. The object behind the provision is to ensure that judicial time is not wasted and that the suit is disposed of at the earliest possible stage, so as to prevent abuse of process of law and dismiss frivolous suits. Rule 2 of Order XIV, which enables the Court to decide a question of law on undisputed facts, is an exception to Rule 1, which contemplates pronouncement of judgment on all issues. Therefore, where a pure question of law can be decided without entering into disputed facts requiring evidence, the Court may decide the same at the earliest stage.
- 10.3. In ***Nusli Neville Wadia v. Ivory Properties and others***³¹, this Court explained the scope of Order XIV Rule 2 CPC, as follows:

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“51. ... As per Order 14 Rule 1, issues arise when a material proposition of fact or law is affirmed by the one party and denied by the other. The issues are framed on the material proposition, denied by another party. There are issues of facts and issues of law. In case specific facts are admitted, and if the question of law arises which is dependent upon the outcome of admitted facts, it is open to the court to pronounce the judgment based on admitted facts and the preliminary question of law under the provisions of Order 14 Rule 2. In Order 14 Rule 2(1), the court may decide the case on a preliminary issue. It has to pronounce the judgment on all issues. Order 14 Rule 2(2) makes a departure and the court may decide the question of law as to jurisdiction of the court or a bar created to the suit by any law for the time being in force, such as under the Limitation Act. “

- 10.4. Referring to the aforesaid judgment, this Court in ***Sukhbiri Devi and Others v. Union of India and Others***³², reiterated that although limitation is generally a mixed question of law and fact, it may, in an appropriate case, be decided as a preliminary issue where the foundational facts determining the starting point of limitation are specifically pleaded and are either admitted or indisputable. In such circumstances, the court may postpone settlement of other issues and dispose of the suit in accordance with the decision on limitation. The following paragraphs are relevant:

“16. Now, we will consider the first question: ‘whether the issue of limitation can be determined as a preliminary issue under Order XIV, Rule 2, CPC’. It is no longer res integra. In the decision in Mongin Realty and Build Well Private Limited v. Manik Sethi [2022 SCC OnLine SC 156], even while holding that the course of action followed by the learned Trial Judge of directing the parties to address arguments on the issue of limitation as irregular since it being

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a case where adduction of evidence was required, a two-Judge Bench of this Court referred to a three-Judge Bench decision of this Court in Nusli Neville Wadia v. Ivory Properties observing that the issue therein was whether the issue of limitation could be determined as a preliminary issue under Order XIV, Rule 2, CPC. After taking note of the fact that going by the decision in Nusli Neville Wadia's case, in a case where question of limitation could be decided based on admitted facts it could be decided as a preliminary issue under Order XIV, Rule 2(2)(b), CPC., the two-Judge Bench held that in the case before their Lordships the question of limitation could not have been decided as a preliminary issue under Order XIV, Rule 2 of CPC as determination of the issue of limitation in that case was not a pure question of law. In the said contextual situation it is worthy and appropriate to refer to paragraphs 51, in so far as it is relevant, and 52 of the decision in Nusli Neville Wadia's case and they read thus:—

...

We referred to the said provisions and decisions only to stress upon the point that the appellants cannot legally have any dispute or grievance in taking their statements in the plaint capable of determining the starting point of limitation for the purpose of application of Order XIV, Rule 2(2)(b) of the CPC. Though, limitation is a mixed question of law and facts it will shed the said character and would get confined to one of question of law when the foundational fact (s), determining the starting point of limitation is vividly and specifically made in the plaint averments. In such a circumstance, if the Court concerned is of the opinion that limitation could be framed as a preliminary point and it warrants postponement of settlement of other issues till determination of that issue, it may frame the same as a preliminary issue and may deal with the suit only in accordance with the decision on

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that issue. It cannot be said that such an approach is impermissible in law and in fact, it is perfectly permissible under Order XIV, Rule 2(2)(b), CPC and legal in such circumstances. In short, in view of the decisions and the provisions, referred above, it is clear that the issue limitation can be framed and determined as a preliminary issue under Order XIV, Rule 2(2)(b), CPC in a case where it can be decided on admitted facts.

.....

27. *The relief sought for, in suit No. 410/2000 would reveal that the first prayer, which is the main prayer, is declaratory in nature. Even according to the plaintiffs, as revealed from the plaint the second prayer (extracted hereinbefore) is only consequential relief. A perusal of the same would undoubtedly show that it is consequential and not an independent one and therefore the courts below are right in holding that the said prayer is grantable only if the first prayer is granted. In this case based on the determination on the preliminary issue of limitation and in accordance with the decision on that preliminary issue the suit was dismissed. As held by the three-judge Bench in the decision in Nusli Neville Wadia's case (supra) the provisions under Order XIV Rule 2(1) and Rule 2(2)(b) permit to deal with and dispose of a suit in accordance with the decision on the preliminary issue. In the case on hand in view of the nature of the finding on the preliminary issue and the consequential consideration of the suit in terms of Order XIV Rule 2(2)(b) and taking note of the fact that the suit do not survive after such consideration we find no reason to consider the contention of the appellants with reference to Order VII Rule 11 based on the decisions relied on by them and referred hereinbefore. So also, the contentions of the appellants based on Articles 17 and 65 also would pale into insignificance and warrant no consideration at all, in the circumstances."*

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- 10.5. A conjoint reading of Order VII Rule 11 and Order XIV Rule 2 CPC would show that both provisions enable the Court to examine the maintainability of a suit at the earliest possible stage, though they operate in distinct procedural spheres. Order VII Rule 11 is confined to the averments contained in the plaint and the documents relied upon by the plaintiff. Order XIV Rule 2, on the other hand, comes into operation after pleadings are complete and issues arise for adjudication. If the statutory bar is apparent upon a meaningful reading of the plaint, the plaint may be rejected under Order VII Rule 11. If, however, the objection requires consideration of admitted or foundational facts emerging from the pleadings, the Court may frame and decide a preliminary issue under Order XIV Rule 2, where permissible in law. The distinction is one of procedure and evidentiary scope. Under Order VII Rule 11, the Court does not embark upon disputed questions of fact, nor can it rely upon the defence in the written statement to reject the plaint. Under Order XIV Rule 2, however, the Court may examine whether a pure question of law arises on admitted facts so as to obviate a full-fledged trial. Thus, while the former tests the sustainability of the plaint on its face, the latter concerns the mode of adjudication after issues are framed.
- 10.6. In this context, reference may also be made to the judgment in **Abdul Rahman v. Prasony Bai & another**³³, wherein this Court held as follows:

“21. For the purpose of disposal of the suit on the admitted facts, particularly when the suit can be disposed of on preliminary issues, no particular procedure was required to be followed by the High Court. In terms of Order 14 Rule 1 of the Code of Civil Procedure, a civil court can dispose of a suit on preliminary issues. It is neither in doubt nor in dispute that the issues of res judicata and/or constructive res judicata as also the maintainability of the suit can be adjudicated upon as preliminary issues. Such issues, in fact, when facts are admitted, ordinarily should be decided as preliminary issues.”

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- 10.7. In ***Srihari Hanumandas Totala v. Hemant Vithal Kamat and others***³⁴, this Court considered a plea of *res judicata* raised through an application under Order VII Rule 11(d) CPC. In that case, the property in question had been mortgaged in favour of Karnataka State Finance Corporation, which auctioned the property upon default in repayment of the loan. The legal heirs of the borrower instituted O.S. No. 138 of 2008 challenging the sale deed dated 08.08.2006 executed by the Corporation and seeking partition of the suit property. A separate suit in O.S No. 103 of 2007 had already been filed by the auction purchaser, which was decreed on 26.02.2009 and affirmed by the High Court thereafter on 11.08.2017. The purchaser from the Corporation filed an application under Order VII Rule 11 seeking rejection of the plaint. The said application was dismissed by the trial Court. The order was affirmed in revision by the High Court on the ground that the plea of *res judicata* could not be decided merely by looking at the averments in the plaint. This Court held that a plea of *res judicata* ordinarily requires examination of the pleadings, issues, and decision in the previous suit, and would therefore, generally travel beyond the scope of Order VII Rule 11 CPC. Nevertheless, liberty was granted to raise the question of maintainability before the trial Court, which was directed to consider whether a preliminary issue under Order XIV Rule 2 CPC should be framed and decided expeditiously. The operative portion is extracted below for better appreciation:

“28. For the above reasons, we hold that the plaint was not liable to be rejected under Order 7 Rule 11(d) and affirm the findings of the trial court and the High Court. We clarify however, that we have expressed no opinion on whether the subsequent suit is barred by the principles of res judicata. We grant liberty to the appellant, who claims as an assignee of the bona fide purchaser of the suit property in an auction conducted by KSFC, to raise an issue of the maintainability of the suit before the Additional Civil Judge, Belgaum in OS No. 138 of 2008. The Additional Civil Judge,

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Belgaum shall consider whether a preliminary issue should be framed under Order 14, and if so, decide it within a period of 3 months of raising the preliminary issue. In any event, the suit shall be finally adjudicated upon within the outer limit of 31-3-2022.”

Thus, while Order VII Rule 11 and Order XIV Rule 2 are distinct procedural mechanisms, both are designed to prevent unnecessary trials in cases where the suit is barred in law. The former operates where the defect is evident on the face of the plaint; the latter applies where a pure question of law arises upon admitted or undisputed foundational facts after pleadings are complete. Proper invocation of either provision advances procedural economy, curbs abuse of process, and would promote timely administration of justice as it is the duty of the Courts to weed out frivolous suits. It would be useful to refer to the judgment of this Court in **A. Shanmugam v. Ariya Kshatriya Rajakula Vamsathu Madalaya Nandhavana Paripalanai Sangam & Others**³⁵, this Court observed as under:

“39. Our courts are usually short of time because of huge pendency of cases and at times the courts arrive at an erroneous conclusion because of false pleas, claims, defences and irrelevant facts. A litigant could deviate from the facts which are liable for all the conclusions. In the journey of discovering the truth, at times, this Court, at a later stage, but once discovered, it is the duty of the court to take appropriate remedial and preventive steps so that no one should derive benefits or advantages by abusing the process of law. The court must effectively discourage fraudulent and dishonest litigants.”

(D) WHETHER SUIT IS BARRED BY LAW

11. Having discussed and settled the scope of Order VII Rule 11 and Order XIV Rule 2 CPC, we now move to the question of the bar under law raised by the Appellants / Defendants.

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- 11.1. The Appellants in their application averred that the transaction between the Plaintiff and K. Raghunath is a benami transaction barred under the provisions of the Benami Act; that the Will dated 20.04.2018 is a forged document; and further that there is a bar under Section 25 of the Hindu Succession Act, 1956 since K.Raghunath was allegedly murdered by the Plaintiff, who has been arrayed as an accused in the criminal case.
- 11.2. On the other hand, the Respondent / Plaintiff contended that the suit is founded solely on the Will; that while considering an application for rejection of plaint, only the averments in the plaint are to be examined; that there existed a fiduciary relationship between him and K. Raghunath who was employed in the company of the Plaintiff's father, and therefore the transaction cannot be termed benami; that no transfer of property takes place under a Will; and that each of the grounds raised cannot be summarily decided, but can be adjudicated only at trial.

(D1) THE PROHIBITION OF BENAMI PROPERTY TRANSACTIONS ACT, 1988

12. Before proceeding to analyse the facts of the case and juxtapose them with the legal position, we deem it necessary to ascertain the history, object, provisions and applicability of the Benami Act.

Origin

13. Prior to the enactment of the 1988 legislation, there was no specific statute dealing comprehensively with benami transactions. However, such transactions which were prevalent in the country, had received legal recognition through judicial decisions, notwithstanding the existence of certain enactments touching upon the subject. In ***Musammat Bilas Kunwar v. Desraj Ranjit Singh and others***³⁶, the Privy Council observed as under:

“Down to the taluqdar’s death the natural inference is that the purchase was a benami transaction; a dealing common to Hindus and Muhammadans alike, and much in use in India; it is quite unobjectionable and has a curious

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resemblance to the doctrine of our English law that the trust of the legal estate results to the man who pays the purchase money, and this again follows the analogy of our common law, that where a feoffment is made without consideration the use results to the feoffer.”

- 13.1. Reference may also be made to the judgment in **Punjab Province v. Daulat Singh**³⁷, wherein the Federal Court, while considering the propriety of such transactions, observed as under:

“A notion has sometimes prevailed in this country that all benami transactions must be regarded as reprehensible and improper if not illegal; but, as late as in 1915, Sir George Farwell, delivering the judgment of the Judicial Committee in 37 ALL. 557 spoke of them as ‘quite unobjectionable’ and as having their analogues in the English law; and Mr. Amreer Ali, delivering the judgment of the Committee in 46 Cal. 566, observed that “there is nothing inherently wrong in it, and it accords, within its legitimate scope, with the ideas and habits of the people”. As indicated by the qualifying words “within its legitimate scope”, their Lordships’ observations were clearly not meant to countenance transactions entered into for fraudulent or illegal purposes.”

The Court, however, clarified that such observations were never intended to countenance transactions entered into for fraudulent or illegal purposes.

- 13.2. Though such transactions were regulated to some extent by Sections 81, 82 and 84 of the Indian Trusts Act, 1882, Section 53 of the Transfer of Property Act, 1882, Section 66 of the Code of Civil Procedure, 1908, and Section 281A of the Income Tax Act, 1961, none of those provisions expressly employed the term “benami”, nor were they sufficiently deterrent to prevent such transactions.

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13.3. The 57th Report of the Law Commission of India dated August 1973 also did not treat benami transactions as inherently illegal. Instead, it recognised that such transactions were generally legal, except in specified situations, and considered several alternatives for reform. Ultimately, the Commission preferred the second alternative, namely, refusal of the law to recognise the benami character of transactions rather than criminalising them. It recommended that where property is transferred benami, the benamidar should be treated as the real owner, thereby abolishing judicial recognition of benami claims. The Commission further observed that this would be the simplest and most effective course and that the doctrine of benami would, under such reform, cease to form part of Indian law. The relevant paragraphs of the Report of the Law Commission are usefully extracted below:

“5.2. Summary of present position - in general - A few basis points concerning benami transactions may be stated, as follows:

(a) Benami transfer or transaction means the transfer by or to a person who acts only as the ostensible owner in place of the real owner whose name is not disclosed;

(b) The question whether such transfer or transaction was real or benami depends upon the intention of the beneficiary;

(c) The real owner in such cases may be called the beneficiary, and the ostensible owner the benamidar.

...

5.3. Effect of benami transfer.- The effect of a benami transfer is as follows:-

(a) A person does not acquire any interest in property by merely leading his name;

(b) The benamidar has no beneficial interest though he may represent the legal owner as to third persons.

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(c) A benami transaction is legal, except in certain specified situations.

.....

6.3. Possible alternative for regulating benami transaction.- Several possible alternatives could be thought of, with reference to prohibiting or regulating benami transactions for avoiding prejudice to private individuals or minimising litigation:-

(i) Entering into a Benami transactions could be made an offence;

(ii) A provision may be enacted to the effect that in a civil suit a right shall not be enforced against the benamidar or against a third person, by or on behalf of the person claiming to be the real owner of the property on the ground of benami; a similar provision could be made to bar defences on the ground of benami.

(This provision would be based on the principle on which the existing provisions in the Civil Procedure Code and the new provision in the Income-tax Act are based, but could be wider in scope and more radical).

(iii) The present presumption of a resulting trust in favour of the person who provided the consideration may be displaced (as in England) by the presumption of advancement, in cases where the person to whom property is transferred is a near relative of the person who provided the consideration. (This would bring in the doctrine of advancement, so as to rebut the presumption of resulting trust under section 82 of the Trusts Act).

Whichever alternative is adopted, it may be desirable to make an exception for an acquisition made by the manager of a joint Hindu family in the name of one of the co-parceners, and similar cases.

....

Manjula and Others v. D.A. Srinivas**6.24. First alternative not likely to be effective-**

The first alternative referred to above, namely, the imposition of a criminal prohibition against benami transactions, is the most drastic alternative, but it is not likely to be more effective than the others. A prohibition backed by criminal sanctions would not, moreover, be desirable, unless the mens rea is also included in the provision to be enacted.

If this alternative is to be adopted, a provision could be enacted on the following lines:-

“Where property is transferred to one person for a consideration paid or provided by another person, and it appears that such person did not intend to pay or provide such consideration for the benefit of the transferee, the person paying or providing the consideration shall be guilty of an offence punishable with imprisonment upto three years, or with fine, or both.

Provided that this section shall not apply where the transferee is a co-parcener in a Hindu undivided family in which such other person is also a co-parcener, and it is proved that such other person intended to pay or provide such consideration for the benefit of the co-parceners in the family.

Exception-Nothing in this section shall be deemed to affect section 66 of the Code of Civil Procedure, 1908 or any provision similar thereto.”

Yet another device for giving effect to the first alternative, with a requirement of mens rea, would be to have a law on the following lines:

“Where property is transferred to one person for a consideration paid or provided by another person, and it appears that such person did not intend to pay or provide such consideration for the benefit of the transferee, the person paying

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or providing the consideration shall, if he has caused the transfer to be entered into with the intention of facilitating the evasion of any law, or defeating the claims of his creditors, or the creditors of any other person be guilty of an offence punishable with imprisonment upto three years, or with fine, or with both."

Yet another device to give effect to the first alternative would be to add a section in the Indian Penal Code as follows:-

"421A. Whoever, dishonestly or fraudulently causes to be transferred to any person, any property, for which transfer he has paid or provided the consideration, intending thereby to prevent, or knowing to be likely that he will thereby prevent, the distribution of that property according to law among his creditors or the creditors of any other person, or intending thereby to facilitate, or knowing it to be likely that he will thereby facilitate, the evasion of any law, shall be punished with imprisonment of either description for a term which may extend to two years, or with fine or with both."

6.25. Second alternative- The second alternative is less drastic than the first. In form, it could follow the existing statutory provision limiting the judicial recognition of benami transactions, such as, section 66, Code of Civil Procedure, 1908. But its scope would be much wider. The provision could be to the effect that no suit shall lie to enforce a right in respect of any property held benami, either against the person in whose name the property is held or against any other person, by or on behalf of a person who claims to be the real owner of the property on the ground that the person in whose name the property is held is a benamidar of the claimant. (If necessary, a defence can also be barred).

...

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6.27. Second alternative refusal to recognise Benami preferred- *In our opinion, the simplest alternative would be the second alternative. The law should refuse to recognise the Benami character of transactions, without making them an offence. The law should, in effect, provide that where property is transferred benami, the benamidar will become the real owner. The result of such a provision will be that the fact that the benamidar did not provide the consideration, or that the consideration was provided by a third person, will not be a ground for recognising a person other than the benamidar as owner. To put the matter in broad terms, the doctrine of benami will, under the proposed amendment, cease to be a part of the Indian law.*

It may be observed that in enacting the proposed provision, the legislature will carry, to its logical conclusion, the trend illustrated by provisions, such as, section 66 of the Code of Civil Procedure. The section in the Code is applicable to involuntary alienations, while the proposed provision will extend the same principle to voluntary transfers as well.

We think that this will be the simplest and most effective course, and is, therefore, preferable to others.

The amendment will bring out a change in the legal position in some of the situations where, at present, the benami character is recognised.

6.27A. We are also of the view that it is not necessary to enact a prohibition attracting criminal penalties – which is the course suggested in the first alternative. Such a prohibition will have to be accompanied by a requirement of mens rea, thus narrowing down its scope and limiting its practical utility.”

- 13.4. After the 44th Constitutional Amendment in 1978, the Government, for the first time, considered that the time was ripe to curb such transactions by prohibiting the right to recover

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property held benami. Accordingly, an Ordinance to that effect was promulgated by the President of India on 19th May 1988 bringing into force the Benami Transactions (Prohibition of the Right to Recover Property) Ordinance, 1988. The Ordinance prohibited any person from instituting a suit or raising any defence claiming to be the real owner of the property held benami. Two exceptions were carved out to this prohibition: first, where the property stood in the name of a coparcener in a Hindu Undivided Family and was held for the benefit of the coparceners in the family; and secondly, where the property stood in the name of a trustee or any other person standing in a fiduciary capacity, and was held for the benefit of another person for whom he was a trustee or in whose favour he stood in such capacity. The Ordinance however, suffered from several shortcomings and did not appear to be a comprehensive scheme capable of effectively preventing such transactions. Consequently, a further report was sought from the Law Commission of India, which culminated in its 130th Report. The Report contained five chapters dealing with the introduction, legislative approach, coverage of the proposed statute, benami transactions and the motivations behind them, and the suggested future course of action. Ultimately, the Report recommended enactment of a suitable legislation, which paved the way for the Benami Transactions (Prohibition) Act, 1988.

Legislative intent

14. Before delving into the provisions of the Benami Act, it would be apposite to extract the relevant portions of the parliamentary debates preceding the passing of the Bill, together with the Statement of Objects and Reasons for the enactment, for the purpose of understanding the legislative intent underlying the statute. They are as follows:

Statement and reply of the Minister of Law and Justice and the Minister of Water Resources on 1 September, 1988

“That the Bill to prohibit benami transactions and the right to recover property held benami and for matters connected therewith or incidental thereto, be taken into consideration.

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As the House is aware, the President promulgated the Benami Transactions (Prohibition of the Right to Recover Property) Ordinance, 1988, on 19th May 1988. The Bill seeks to implement the recommendations of the Law Commission contained in its 57th report. Although the Government has taken some time to implement the recommendations of the Law Commission, the Government felt that this was the most opportune time for bringing out such a legislation. The Ordinance evoked mixed response from the press, public and the Bar. While some sections congratulated the Government on making a beginning in the law of benami transactions, there was some criticism that the Ordinance had not gone very far to achieve the object, that is to say, prevention of proliferation of black money. There was also criticism that the Ordinance was not and touched many of the important aspects of benami transactions. It was also criticised that the Ordinance did not specifically provide for those cases where properties were transferred in the name of inanimate persons or in the name of tenants or deceased persons. In view of all these criticisms, it was felt that the Bill to replace the Ordinance should be drafted as comprehensively as possible, and if necessary, after obtaining the recommendations of the Law Commission. Accordingly, our Ministry had referred it to the Law Commission and the Law Commission was good enough to send its recommendations so that we might bring the Bill after considering its recommendations, before the expiry of the period of six weeks from the commencement of the session when the Ordinance will expire. The report of the Law Commission has already been placed on the Table of the House.

Before dwelling upon the provisions of the Bill, I would like to take the indulgence of the House for bringing this Bill at such short notice. As I mentioned earlier, in view of the peculiar circumstances in which we had to refer the Bill to the Law Commission for advice, there had been some delay in bringing forward the legislation. The Ordinance has to be replaced by a Bill within six weeks, that is to say by 5th September. As the House is aware,

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the Ordinance prohibited the right of the true owners to file a suit in respect of any property held benami and no defence based on any right in respect of any property so held would also be allowed in any suit, claim or action. It provided exceptions only to properties held by coparceners and by trustees on behalf of the beneficiaries. The Law Commission while justifying the provisions of the Ordinance had recommended that in order to be effective the entering into of benami transactions should be made an offence. It also felt that most of the benami transactions were entered into for the purpose of defeating tax laws, ceiling laws, etc. Both the parties to the transaction are equally guilty and as such the Ordinance should not allow one of the parties to obtain an undue advantage, that is to say, to retain the property. It has, therefore, suggested that in addition to making the entering into of benami transactions an offence, it should also provide for acquisition of the property from the benamidar. This would also provide a check against the benamidar retransferring the property back to the true owner after the commencement of the Ordinance for no consideration thus resulting in circumventing the provisions of the law. The Law Commission has, however, made two more recommendations, to check the entering into of benami transactions by authorising voluntary agencies to file complaints before tribunals designated for the purpose and to appoint an authority like the Charity Commissioner for supervising private trusts. It is proposed to accept all the recommendation of the Law Commission. The Bill, apart from including the provisions of the Ordinance, includes the recommendations of the Law Commission for prohibiting the benami transactions and for providing for acquisition of properties held benami. The only exception to the entering into of benami transactions is the purchase of a property by the father or the husband for the benefit of an unmarried daughter or wife, And a presumption has also been included that in respect of such transactions, it should be presumed that the transactions had been entered into for the benefit of the unmarried daughter or wife. As mentioned by the Law Commission and in the Statement of Objects and Reasons attached to the Bill, the doctrine

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of acquisition as prevailing in the English law has been incorporated in the Indian law. The specific provisions for authorising private agencies and creating an authority like the Charity Commissioner for private trusts have not been included in the Bill as we feel that by the prohibition of benami transactions and for the acquisition of properties held benami, the concerned authorities will come to know of the existence of the benami transactions and voluntary agencies would automatically be sending their complaints even without their being specifically authorised. The objects would be amply achieved by these provisions.

As the House is aware, this Bill is relatable to a matter in the Concurrent List and both the Central and the State Governments are competent to pass legislation. In fact, Parliament will come in only for the purpose of legislation and it is the State Governments who have to administer the provisions of such law. As such we are not in a position to immediately specify the authority for acquisition of properties in the legislation itself. This will be taken care of by the rules which will be made after consultation with the State Governments.

A point may be raised that this provision may amount to excessive delegation. But the House can see that the procedure for acquisition alone is included in the rules. It will not suffer from the vice of excessive delegation. Further as no step has been taken to assess the quantum entered of benami transactions entered into in the country, we are not in a position to estimate the properties that would be taken up for acquisition. As and when occasion arises, it is proposed to designate either an officer of the Central Government or a State Government to be the competent authority for the purpose of acquisition in accordance with the procedure that would be specified in the rules. As the entire proceedings for acquisition will be taken up by the existing officers, it is not proposed to create any additional staff for the purpose and no expenditure will be incurred on account of the provisions of the Bill being passed and brought into operation. This has been brought out clearly in the Financial Memorandum attached to the Bill. As

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no expenditure is involved, the re commendation of the President for the consideration of this Bill in this behalf has not been obtained.

As the Members of the House will agree, this Bill attempts to provide for a comprehensive law on Benami and it has touched all aspects. We also feel that this will be very effective in achieving the objective of preventing benami transactions. Much of the criticisms levelled against the ordinance will be met by the provisions of the Bill and the intention of the Government cannot be doubted. Further, we have brought forward this Bill after a detailed examination by an expert authority like the Law Commission and I am sure that the Bill will go a long way in achieving the objective and will have the unanimous approval of all sections of the House.

....

Mr. Vice-Chairman, I need not tell the House as to who indulge in these benami transactions, why they indulge in benami transactions and how they indulge in benami transactions. I need not the Honorable House that it is the man who earns and enriches himself to such an extent with all the black deeds and black deals which are reprehensible in the society and it is he who tries to invest such money at the cost of the nation and the entire society loses, the entire country loses. He defeats the various laws that control property dealings in this country. He defeats the tax laws, he defeats the land ceiling laws and how he does it is by surreptitiously transferring his ill-gotten money to purchase properties in somebody's name, living or dead, animate or inanimate and as observed by you, in the name of gods also.....

Sir, we have heard that properties are transferred in the name of cats, dogs, cows and, as he said, maybe carts and God knows in how many names they are transferred. It is these people who are putting the economy of the country in jeopardy. People who want to evade the tax laws are the people here and very large money is involved in this. Perhaps I will not be able to say it but I think the Finance

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Minister will be able to say about the findings of the various committees about the amount of black money in circulation in this country. But it is these people who do it.

Sir, a question was raised whether some time will be given to people to adjust their benami transactions. How can we give any time to adjust benami, illegal, transfers?

...

The implementation of the provisions of the Bill will have to be done very carefully because the purpose of the Bill is that not a single benami transaction is left out. The question is, who will bring this to the notice of the Government? I have already clarified in my speech when I introduced the Bill that those organisations themselves are competent to inform the Government and the Government will definitely take action. Not only both the parties would not be spared, but both will be held guilty and the property will be procured by the Government.

...

It is gone for the man who transfers it and it is also gone for the transferee according to this Bill. He also loses. The Government can procure the property. Sir, I need not dwell upon clause 8 which gives the authority to the Government to make the rules under the provisions and under certain circumstances enumerated in the clause.

I can only say, Sir, that I must thank the honorable Members who have supported the Bill and I can assure the House that this will not be the last act by the Government. We will do everything that is under our command which we can do for the welfare of the poor people of this country and to reduce the gap between the rich and the poor. Thank you."

Statement of Objects and Reasons for the Benami Act

- (1) *To implement the recommendations of the Fifty-seventh Report of the Law Commission on Benami Transactions, the President promulgated the Benami*

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Transactions (Prohibition of the Right to Recover Property) Ordinance, 1988, on the 19th May, 1988.

- (2) *The Ordinance provided that no suit, claim or action to enforce any right in respect of any property held benami shall lie and no defence based on any right in respect of any property held benami shall be allowed in any suit, claim or action. It, however, made two exceptions regarding property held by a coparcener in a Hindu undivided family for the benefit of the Coparceners and property held by a trustee or other person standing in a fiduciary capacity for the benefit of another person. It also repealed section 82 of the Indian Trusts Act, 1882, section 66 of the Code of Civil Procedure and section 281A of the Income-tax Act, 1961.*
- (3) *The provisions of the Ordinance received a mixed response from the press and the public. There had been criticism also that the Ordinance was a half-hearted measure and had not tackled the problem effectively and completely. It was, therefore, felt that the Bill to replace the Ordinance may be brought out as a comprehensive law on benami transactions touching all aspects and accordingly, the Law Commission was requested to examine the subject in all its ramifications. The Law Commission has submitted its 130th Report titled “Benami Transactions-a Continuum” and has made certain recommendations.*
- (4) *The Law Commission has, inter alia, recommended the inclusion of the following provisions in the Bill to replace the Ordinance, namely:*
 - (i) *benami transactions should cover all kinds of property,*
 - (ii) *entering into a benami transaction after the commencement of the new law should be declared as an offence. However, an exception should be made for transactions entered into*

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by the husband or father for the transfer of properties in the name of the wife or unmarried daughter for their benefit. By this, the doctrine of advancement as obtaining in the English law will be incorporated into the Indian Statute Book;

- (iii) voluntary organisations should be authorised to file complaints about the entering into of benami transactions and the District Judges should be designated as Tribunals. Even Gram Nayaylayas recommended by the Law Commission may also be utilised for this purpose;*
 - (iv) as both the benamidars and the true owner are equal participants to a criminal transaction, by prohibiting the true owner's right to recover property held benami as provided in the Ordinance will be provided for an undue enrichment to the benamidar. As such, the Commission has suggested that the properties should be acquired from him by resorting to a procedure analogous to Chapter XXA of the Income-tax Act, 1961. It has been suggested that the same action has to be taken when a benamidar retransfers the property back to the true owner for an apparent or no consideration to circumvent the provisions of the Ordinance,*
 - (v) in addition to section 82 of the Indian Trusts Act, 1882, as provided in the Ordinance, sections 81 and 94 of that Act should also be omitted;*
 - (vi) appointment of an authority, like the Charity Commissioner, for supervising private trusts should be provided for.*
- (5) The recommendations of the Law Commission have been examined. It is felt that all the recommendations of the Law Commission, except the recommendation regarding authorising voluntary*

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organisations to file complaints before Tribunals and the appointment of an authority, like the Charity Commissioner, for supervising private trusts, may be specifically provided in the Bill, and the other two recommendations would, it is felt, come into effect automatically as a result of the prohibition of benami transactions and the provision for acquisition of all properties held benami. The Bill accordingly provides for the following, among other things. namely-

- (a) entering into benami transactions after the commencement of the new law will be an offence, with an exception for the transfer of properties by the husband or father for the benefit of the wife or unmarried daughters;*
- (b) all the properties held benami will be subject to acquisition by such authority, in such manner and after following such procedure, as may be prescribed by rules under the proposed legislation. As a result of the provisions of the Ordinance and the prohibition of entering into benami transactions, the benamidar would be acquiring the rights to the property by the mere lending of his name and without investing any money for the purchase of such property. Accordingly, it is provided that no amount shall be payable for the acquisition of any property held benami,*
- (c) Sections 81 and 94 of the Indian Trusts Act, 1882, shall also be repealed.*
- (6) The Bill seeks to achieve the above object."*

- 14.1. The debates surrounding the enactment of the Benami Act reveals the legislative anxiety to curb the widespread misuse of benami arrangements as a vehicle for concealing illicit wealth, defeating tax laws, evading land ceiling laws, and frustrating regulatory measures. While moving the Bill, the Minister for Law and Justice stated that the earlier Ordinance of 19.05.1988 had received mixed reactions and had been

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criticised as inadequate and incomplete. It was therefore considered necessary to enact a comprehensive legislation covering all aspects of benami transactions.

- 14.2. The Minister further explained that the Government had considered the recommendations of the Law Commission, which had opined that mere denial of the true owner's right to recover benami property would unjustly enrich the benamidar. Accordingly, the proposed legislation not only prohibited benami transactions, but also contemplated acquisition of properties held benami, so that neither the ostensible holder nor the real owner could derive any benefit therefrom. It was also emphasized in Parliament that benami transactions were often funded through black money and properties were purchased in the names of living persons, deceased persons, fictitious entities, and even inanimate objects, thereby undermining the national economy and legal order.
- 14.3. The Statement of Objects and Reasons accompanying the Bill also records that the Ordinance had been viewed as a half-hearted measure and that a more effective and complete law was necessary. It further clarifies that no compensation was to be payable upon acquisition, since the benamidar acquired rights merely by lending his name without investing consideration, and the real owner was equally a participant in the illegality.
- 14.4. It is therefore manifest from the parliamentary debates and the Statement of Objects and Reasons that the dominant object of the enactment was two-fold: first, to prohibit benami transactions; and second, to deprive all parties of any benefit arising therefrom by enabling acquisition / confiscation of the property involved. The legislative intent was to strike at transactions entered into for concealing ownership, laundering unaccounted wealth, and defeating fiscal or social welfare laws.
- 14.5. The Bill was thereafter passed, and the Benami Transactions (Prohibition) Act, 1988 came into force on 19.05.1988, except Sections 3, 5 and 8, which came into force on 05.09.1988. As already stated, the object of the Act as discernible from its Preamble, was to prohibit benami transactions and the right to recover the property held in benami.

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Provisions of the Benami Act, 1988

15. The Act originally contained nine sections. Section 2(a) defined a “benami transaction” to mean any transaction in which property is transferred to one person for a consideration paid or provided by another person. Section 2(c) defined “property” to mean property of any kind, whether movable or immovable, tangible or intangible, and included any right or interest in such property.
- 15.1. Section 3(1) provided that no person shall enter into any benami transaction. Sub-section (2) carved out exceptions by excluding purchases made by a person in the name of his wife or unmarried daughter, in which case it would be presumed that the property had been purchased for their benefit. It also excluded securities held by a depository as registered owner and by a participant as an agent of a depository. Sub-section (3) prescribed punishment for entering into a benami transaction, extendable upto three years, while Sub-section (4) declared the offence to be non-cognizable and bailable. Section 4 consisted of three sub-sections. Sub-section (1) prohibited institution of any suit, claim or action to enforce any right in respect of property held benami against the person in whose name the property stood. Sub-section (2) prohibited any defence based on a claim of real ownership. Sub-Section (3) carved out exceptions in respect of property standing in the name of a coparcener in a Hindu Undivided Family for the benefit of other coparceners, and property held by a trustee or a person standing in a fiduciary capacity for the benefit of another. Section 5 provided for acquisition of benami property without payment of compensation. Section 6 clarified that the Act would not affect Section 53 of the Transfer of Property Act, 1882 dealing with fraudulent transfers or any law relating to transfers for illegal purposes. Section 7 repealed the relevant provisions of the Trusts Act, the Code of Civil Procedure, and the Income Tax Act. Section 8 empowered the Central Government to make rules, and Section 9 repealed the earlier Ordinance.
- 15.2. In consonance with its object, Sections 3 and 4 introduced two distinct forms of prohibition. Section 3 prohibited the entering into a benami transaction, whereas Section 4 prohibited

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enforcement of rights in respect of benami property or raising such claim as a defence. The exceptions contained in Sections 3 and 4 were different and operated in distinct spheres and at different stages. The exception under Section 4 could arise only when a suit or claim was instituted or defended in respect of property already held benami. In contrast, the prohibition under Section 3 related to the original acquisition of the property. Put differently, invocation of Section 4 would not arise unless there had already been a transaction falling within the ambit of Section 3. It is apposite to recall the definition under Section 2(a) which characterised a benami transaction as one where the consideration was paid or provided by another person. The test for determining whether a transaction was benami depended upon the intention and conduct of the purchaser, namely, whether the property was intended to be held for himself or to be conveyed to the person who funded the consideration, or to another nominated person at a later stage. The Act, in effect, extinguished the right of the real owner to recover the property from the person in whose name it stood.

Scope of the Benami Act

16. Reference may be made to the judgment in ***Mithilesh Kumari and another v. Prem Behari Khare***³⁸, wherein this Court considered the scope of the provisions of the Benami Act. The following paragraphs are pertinent:

“22. As defined in Section 2(a) of the Act “benami transaction’ means any transaction in which property is transferred to one person for a consideration paid or provided by another person”. A transaction must, therefore, be benami irrespective of its date or duration. Section 3, subject to the exceptions, states that no person shall enter into any benami transaction. This section obviously cannot have retrospective operation. However, Section 4 clearly provides that no suit, claim or action to enforce any right in respect of any property held benami

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against the person in whose name the property is held or against any other person shall lie, by or on behalf of a person claiming to be real owner of such property. This naturally relates to past transactions as well. The expression "any property held benami" is not limited to any particular time, date or duration. Once the property is found to have been held benami, no suit, claim or action to enforce any right in respect thereof shall lie. Similarly, subsection (2) of Section 4 nullifies the defences based on any right in respect of any property held benami whether against the person in whose name the property is held or against any other person in any suit, claim or action by or on behalf of a person claiming to be the real owner of such property. It means that once a property is found to have been held benami, the real owner is bereft of any defence against the person in whose name the property is held or any other person. In other words in its sweep Section 4 envisages past benami transactions also within its retroactivity. In this sense the Act is both a penal and a disqualifying statute. In case of a qualifying or disqualifying statute it may be necessarily retroactive. For example when a Law of Representation declares that all who have attained 18 years shall be eligible to vote, those who attained 18 years in the past would be as much eligible as those who attained that age at the moment of the law coming into force. When an Act is declaratory in nature the presumption against retrospectivity is not applicable. Acts of this kind only declare. A statute in effect declaring the benami transactions to be unenforceable belongs to this type. The presumption against taking away vested right will not apply in this case inasmuch as under law it is the benamidar in whose name the property stands, and law only enabled the real owner to recover the property from him which right has now been ceased by the Act. In one sense there was a right to recover or resist in the real owner against the benamidar. Ubi jus ibi remedium. Where there is a right, there is a remedy. Where the remedy is barred, the right is rendered unenforceable. In this sense it is a disabling statute. All the real owners are equally affected by the disability

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provision irrespective of the time of creation of the right. A right is a legally protected interest. The real owner's right was hitherto protected and the Act has resulted in removal of that protection.

23. *When the law nullifies the defences available to the real owner in recovering the benami property from the benamidar the law must apply irrespective of the time of the benami transactions. The expression "shall lie" in Section 4(1) and "shall be allowed" in Section 4(2) are prospective and shall apply to present (future stages) and future suits, claims or actions only. .."*

- 16.1. The above judgment was partially overruled by this Court in **R. Rajagopal Reddy (Dead) by LRs and others v. Padmini Chandrasekharan (Dead) by LRs**³⁹ with respect to retrospective applicability of the provision and it was held as under:

"11. ... Thus it was enacted to efface the then existing right of the real owners of properties held by others benami. Such an Act was not given any retrospective effect by the legislature. Even when we come to Section 4, it is easy to visualise that sub-section (1) of Section 4 states that no suit, claim or action to enforce any right in respect of any property held benami against the person in whose name the property is held or against any other shall lie by or on behalf of a person claiming to be the real owner of such property. As per Section 4(1) no such suit shall thenceforth lie to recover the possession of the property held benami by the defendant. Plaintiff's right to that effect is sought to be taken away and any suit to enforce such a right after coming into operation of Section 4(1) that is 19-5-1988, shall not lie. The legislature in its wisdom has nowhere provided in Section 4(1) that no such suit, claim or action pending on the date when Section 4 came into force shall not be proceeded with and shall stand abated. On

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the contrary, clear legislative intention is seen from the words “no such claim, suit or action shall lie”, meaning thereby no such suit, claim or action shall be permitted to be filed or entertained or admitted to the portals of any court for seeking such a relief after coming into force of Section 4(1). ...

The word ‘lie’ in connection with the suit, claim or action is not defined by the Act. If we go by the aforesaid dictionary meaning it would mean that such suit, claim or action to get any property declared benami will not be admitted on behalf of such plaintiff or applicant against the defendant concerned in whose name the property is held on and from the date on which this prohibition against entertaining of such suits comes into force. With respect, the view taken that Section 4(1) would apply even to such pending suits which were already filed and entertained prior to the date when the section came into force and which has the effect of destroying the then existing right of plaintiff in connection with the suit property cannot be sustained in the face of the clear language of Section 4(1). It has to be visualised that the legislature in its wisdom has not expressly made Section 4 retrospective. Then to imply by necessary implication that Section 4 would have retrospective effect and would cover pending litigations filed prior to coming into force of then section would amount to taking a view which would run counter to the legislative scheme and intent projected by various provisions of the Act to which we have referred earlier. It is, however, true as held by the Division Bench that on the express language of Section 4(1) any right inhering in the real owner in respect of any property held benami would get effaced once Section 4(1) operated, even if such transaction had been entered into prior to the coming into operation of Section 4(1), and henceafter Section 4(1) applied no suit can lie in respect to such a past benami transaction. To that extent the section may be retroactive. To highlight this aspect we may

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take an illustration. If a benami transaction has taken place in 1980 and a suit is filed in June 1988 by the plaintiff claiming that he is the real owner of the property and defendant is merely a benamidar and the consideration has flown from him, then such a suit would not lie on account of the provisions of Section 4(1). Bar against filing, entertaining and admission of such suits would have become operative by June 1988 and to that extent Section 4(1) would take in its sweep even past benami transactions which are sought to be litigated upon after coming into force of the prohibitory provision of Section 4(1); but that is the only effect of the retroactivity of Section 4(1) and nothing more than that. From the conclusion that Section 4(1) shall apply even to past benami transactions to the aforesaid extent, the next step taken by the Division Bench that therefore, the then existing rights got destroyed and even though suits by real owners were filed prior to coming into operation of Section 4(1) they would not survive, does not logically follow.

12. *So far as Section 4(2) is concerned, all that is provided is that if a suit is filed by a plaintiff who claims to be the owner of the property under the document in his favour and holds the property in his name, once Section 4(2) applies, no defence will be permitted or allowed in any such suit, claim or action by or on behalf of a person claiming to be the real owner of such property held benami. The disallowing of such a defence which earlier was available, itself suggests that a new liability or restriction is imposed by Section 4(2) on a pre-existing right of the defendant. Such a provision also cannot be said to be retrospective or retroactive by necessary implication. It is also pertinent to note that Section 4(2) does not expressly seek to apply retrospectively. So far as such a suit which is covered by the sweep of Section 4(2) is concerned, the prohibition of Section 4(1) cannot apply to it as it is not a claim or action filed by the*

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plaintiff to enforce right in respect of any property held benami. On the contrary, it is a suit, claim or action flowing from the sale deed or title deed in the name of the plaintiff. Even though such a suit might have been filed prior to 19-5-1988, if before the stage of filing of defence by the real owner is reached, Section 4(2) becomes operative from 19-5-1988, then such a defence, as laid down by Section 4(2) will not be allowed to such a defendant. However, that would not mean that Section 4(1) and Section 4(2) only on that score can be treated to be impliedly retrospective so as to cover all the pending litigations in connection with enforcement of such rights of real owners who are parties to benami transactions entered into prior to the coming into operation of the Act and specially Section 4 thereof. It is also pertinent to note that Section 4(2) enjoins that no such defence "shall be allowed" in any claim, suit or action by or on behalf of a person claiming to be the real owner of such property. That is to say no such defence shall be allowed for the first time after coming into operation of Section 4(2). If such a defence is already allowed in a pending suit prior to the coming into operation of Section 4(2), enabling an issue to be raised on such a defence, then the Court is bound to decide the issue arising from such an already allowed defence as at the relevant time when such defence was allowed Section 4(2) was out of the picture. Section 4(2) nowhere uses the words: "No defence based on any right in respect of any property held benami whether against the person in whose name the property is held or against any other person, shall be allowed to be raised or continued to be raised in any suit." With respect, it was wrongly assumed by the Division Bench that such an already allowed defence in a pending suit would also get destroyed after coming into operation of Section 4(2)...

13. According to us this difficulty is inbuilt in Section 4(2) and does not provide the rationale to hold that

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this section applies retrospectively. The legislature itself thought it fit to do so and there is no challenge to the vires on the ground of violation of Article 14 of the Constitution. It is not open to us to rewrite the section also. Even otherwise, in the operation of Section 4(1) and (2), no discrimination can be said to have been made amongst different real owners of property, as tried to be pointed out in the written objections. In fact, those cases in which suits are filed by real owners or defences are allowed prior to coming into operation of Section 4(2), would form a separate class as compared to those cases where a stage for filing such suits or defences has still not reached by the time Section 4(1) and (2) starts operating. Consequently, latter type of cases would form a distinct category of cases. There is no question of discrimination being meted out while dealing with these two classes of cases differently. A real owner who has already been allowed defence on that ground prior to coming into operation of Section 4(2) cannot be said to have been given a better treatment as compared to the real owner who has still to take up such a defence and in the meantime he is hit by the prohibition of Section 4(2). Equally there cannot be any comparison between a real owner who has filed such suit earlier and one who does not file such suit till Section 4(1) comes into operation. All real owners who stake their claims regarding benami transactions after Section 4(1) and (2) came into operation are given uniform treatment by these provisions, whether they come as plaintiffs or as defendants. Consequently, the grievances raised in this connection cannot be sustained.”

- 16.2. It is to be noted that the judgments referred to above arose out of transactions prior to 1988 or immediately thereafter, with litigations having commenced before 1988. Those judgments principally dealt with the applicability of the 1988 Act, without substantial discussion on the effect of Section 66 of the Code of Civil Procedure, 1908. In the present case, however, we are

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concerned with transactions entered into after the Act came into force in 1988 and before the amendments introduced in 2016.

(D2) THE BENAMI TRANSACTIONS (PROHIBITION) AMENDMENT ACT, 2016

17. Coming now to the subsequent developments, although the provision relating to confiscation existed in the 1988 Act, no rules were framed, and the provisions of the Act could not be effectively implemented for want of additional provisions prescribing a comprehensive procedure. There was, therefore, a necessity to fill the lacunae and bring about amendments, which ultimately materialised in 2016.

- 17.1. At this juncture, it would be apposite to refer to the Statement and Reply of the then Minister of Finance and Minister of Corporate Affairs on 2 August, 2016, when the Amendment Bill of 2016 was introduced. The same clearly indicates not only the object of Parliament in bringing about the amendment, but also the clear intent to cure the existing deficiencies by enabling action in respect of benami transactions undertaken prior to the amendment. The relevant paragraphs are extracted below for ready reference:

“Sir, I would like to say just a few words of introduction to explain the Bill. The original Act was passed in the year 1988, and when it was passed in the year 1988, in substance, the Act was that if a person pays for a particular property, and the property is held in some other person’s name, it shall be deemed to be a benami property. There is a prohibition. The property can get confiscated by the State Government, and further, there would be a penal provision for that.

Now, this Bill comprises nine Sections. Under this Bill, rules have to be framed as to the manner to the confiscation, for confiscation, compensation was payable or not payable, how it had to be operated, the competent authority that would undertake these functions, the appeal provisions under the Act, so that the power could be exercised in a reasonable manner. Now, when the matter went to the Law Ministry, the Law Ministry was of the opinion that all these are essential to a legislation, and these should have

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been a part of the principal legislation itself. If the entire functioning of the law is to be done through subordinate legislation, that would be a case of excessive delegation. So, the Law Ministry advised that the Bill would require some form of an amendment, and therefore, the rules under this were not framed. There are judgments of the Supreme Court, at least, in two cases, where what constitutes a benami property, this Act was interpreted. But actually, no acquisition took place under this Act for the reasons that the rules in order to operationalise the Act themselves were not framed. And those amendments were to be fitted into the main Act. Now the Act has only nine Sections and the amendments were over 74 or so; so new clauses were to be added. One of the reasons why it was felt necessary that you can't have a new Act altogether —there was one proposal to have a new Act—is that if you have a new Act then the penal provisions on the new Act would not be able to apply retrospectively because of Article 20 of the Constitution. And, because they could not apply retrospectively, all those who have violated the 1988 law would go scot free. As a result of which, these amendments were proposed. The matter went to the Standing Committee, which considered it, and finally, the Lok Sabha dissolved and the Bill lapsed with the Lok Sabha. The present Government again reintroduced this Bill. It has been considered by the Standing Committee and some recommendations have been made.

I have accepted most of those recommendations. There are two key recommendations which we have accepted, and these two key recommendations are: One, with regard to exceptions in the principles of benami principle. Now, there could be a property owned by a family member in the name of any other family member. That's an exception which was there in the 1988 Bill or in the case of such organizations like trust etc., where you hold property in one name but it is held as a fiduciary capacity by the principal owner. Now, these were the two exceptions. There was a third valid exception which Members of the

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Standing Committee pointed out that a large number of properties are technically registered in the name of some other person but under some arrangement like, an agreement to sell; power of attorney; in Delhi, for instance, this practice is prevalent.

These properties are effectively transferred to some other persons and possession also is given and the possession is protected under Section 53(A) of the Transfer of Property Act. Therefore, it should not apply to these transactions because there would be lakhs and lakhs of transactions of this kind. The Government has accepted that suggestion. There is one more suggestion, that the Standing Committee had made, which is related to known sources of income. That is the phrase used in the original Act itself; in the Amendments that we have proposed, whatever you buy must be from your known sources of income.

Now, the Standing Committee felt that the words 'of income' itself are superfluous because there could be cases where somebody has purchased a property not from his income but by taking a loan from a bank or by some other family member contributing to it. And, therefore, the words itself should be, 'known sources' and not 'known sources of income'.

We have accepted those suggestions and with these amendments, the Bill has already been approved by the Lok Sabha. I commend its acceptance to this hon. House."

2016 Amendment: Structural transformation of the Act

18. The 2016 Amendment introduced sweeping and comprehensive changes by insertion of new provisions and re-arrangement of the existing scheme of the statute. Even the name of the enactment itself was changed to the Prohibition of Benami Property Transactions Act, 1988. A structured mechanism for attachment, adjudication and confiscation of benami property was also introduced.
- 18.1. The amended Act consists of seventy-two sections divided into eight Chapters. Some of the relevant provisions are extracted hereunder:

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“2. Definitions.— *In this Act, unless the context otherwise requires,—*

(8) *“benami property” means any property which is the subject matter of a benami transaction and also includes the proceeds from such property:*

(9) *“benami transaction” means,—*

(A) *a transaction or an arrangement—*

(a) *where a property is transferred to, or is held by, a person, and the consideration for such property has been provided, or paid by, another person; and*

(b) *the property is held for the immediate or future benefit, direct or indirect, of the person who has provided the consideration,*

except when the property is held by—

(i) *a karta,*

(ii) *a person standing in a fiduciary capacity for the benefit of another person towards whom he stands in such capacity,* and includes a trustee, executor, partner, director of a company, a depository or a participant as an agent of a depository under the Depositories Act, 1996, (22 of 1996) and any other person as may be notified by the Central Government for this purpose;

(iii) *any person being an individual in the name of his spouse or in the name of any child of such individual and the consideration of such property has been provided or paid out of the known sources of the individual;*

(iv) *any person in the name of his brother or sister or lineal ascendant or descendant, where the names of brother or sister or lineal ascendant or descendant and the individual appear as joint-owners in any document, and the consideration*

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for such property has been provided or paid out of the known sources of the individual; or

(B) *a transaction or an arrangement in respect of a property carried out or made in a fictitious name; or*

(C) *a transaction or an arrangement in respect of a property where the owner of the property is not aware of, or, denies knowledge of, such ownership;*

(D) *a transaction or an arrangement in respect of a property where the person providing the consideration is not traceable or is fictitious.”*

(10) “benamidar” *means a person or a fictitious person, as the case may be, in whose name the benami property is transferred or held and includes a person who lends his name;”*

(12) “beneficial owner” *means a person, whether his identity is known or not, for whose benefit the benami property is held by a benamidar;”*

(26) “property” *means assets of any kind, whether movable or immovable, tangible or intangible, corporeal or incorporeal and includes any right or interest or legal documents or instruments evidencing title to or interest in the property and where the property is capable of conversion into some other form, then the property in the converted form and also includes the proceeds from the property;*

(29) “transfer” *includes sale, purchase or any other form of transfer of right, title, possession or lien;*

3. Prohibition of benami transactions.--(1) *No person shall enter into any benami transaction.*

(2) *Whoever enters into any benami transaction shall be punishable with imprisonment for a term which may extend to three years or with fine or with both.*

(3) *Whoever enters into any benami transaction on and after the date of commencement of the Benami Transactions (Prohibition) Amendment Act, 2016*

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shall, notwithstanding anything contained in sub-section (2), be punishable in accordance with the provisions contained in Chapter VII.

4. Prohibition of the right to recover property held benami.—(1) *No suit, claim or action to enforce any right in respect of any property held benami against the person in whose name the property is held or against any other person shall lie by or on behalf of a person claiming to be the real owner of such property.*

(2) *No defence based on any right in respect of any property held benami, whether against the person in whose name the property is held or against any other person, shall be allowed in any suit, claim or action by or on behalf of a person claiming to be the real owner of such property.*

5. Property held benami liable to confiscation.—*Any property, which is subject matter of benami transaction, shall be liable to be confiscated by the Central Government.*

6. Prohibition on re-transfer of property by benamidar.— (1) *No person, being a benamidar shall re-transfer the benami property held by him to the beneficial owner or any other person acting on his behalf.*

(2) *Where any property is re-transferred in contravention of the provisions of sub-section (1), the transaction of such property shall be deemed to be null and void.*

(3) *The provisions of sub-sections (1) and (2) shall not apply to a transfer made in accordance with the provisions of section 190 of the Finance Act, 2016 (28 of 2016).*

45. Bar of jurisdiction of civil courts.—*No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which any of the authorities, an Adjudicating Authority or the*

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Appellate Tribunal is empowered by or under this Act to determine, and no injunction shall be granted by any court or other forum in respect of any action taken or to be taken in pursuance of any power conferred by or under this Act.”

- 18.2. The amended Act significantly expanded the scope of the prohibition. It no longer confined itself merely to the property directly involved in a benami transaction, but also extended to assets or properties derived from the income or proceeds of such property. Section 3 categorises consequences based on the date of transaction. Benami transactions entered into during the period from 05.09.1988 to 31.10.2016 fell under Section 3(2), whereas transactions entered into after commencement of the 2016 amendment are governed by Section 3(3) read with Chapter VII.
- 18.3. Section 4 substantially continued in force, though the earlier exceptions under Section 4(3) were relocated into the definitional structure under Section 2(9). Thus, the bar against asserting claims or defences based on benami ownership continued even after the amendment. Section 5 reaffirmed that any property forming the subject matter of a benami transaction is liable to confiscation by the Central Government. Section 6 introduced a fresh prohibition against re-transfer of property by the benamidar.
- 18.4. Most significantly, Chapter IV introduced a complete machinery for attachment, adjudication and confiscation, while Chapter VII created a separate code dealing with offences and penalties. The amended statute also established an administrative hierarchy. Section 2(1) defines the Adjudicating Authority referred to in Section 7. Section 2(2) defines Administrator with reference to officers under the Income-tax Act, 1961. Section 2(4) defines Approving Authority as an Additional Commissioner or Joint Commissioner under the Income-tax Act. Section 2(6) refers to authorities under Section 18. Section 2(19) defines Initiating Officer as an Assistant Commissioner or Deputy Commissioner under the Income-tax Act. It must be noted that where a statute adopts definitions by reference from another enactment, subsequent amendments to the parent enactment

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may, depending on the nature of incorporation or reference, have to be read into the adopting provision in accordance with settled principles relating to legislation by reference.

- 18.5. Chapter II of the Act consists of Sections 3 to 6 and deals respectively with prohibition of benami transactions, bar to recovery of benami property, confiscation, and prohibition on re-transfer. Section 3, apart from declaring the prohibition, also renders the prohibited transaction punishable under sub-sections (2) and (3).

Statutory framework under the Act

19. Let us now traverse the provisions of the Act in some detail before examining the effective date of the amendment. Chapter III deals with the authorities under the Act. Section 7 provides for the Adjudicating Authority. Sections 8 to 17 stood omitted by Act 13 of 2021. Section 18 designates the Initiating Officer, Approving Authority, Administrator and Adjudicating Authority as the authorities for the purposes of the Act. Section 19 provides that such authorities shall have the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 while trying a suit. Sub-section (3) of Section 19 declares that proceedings under sub-sections (1) and (2) shall be deemed to be judicial proceedings within the meaning of Sections 193 and 228 of the Indian Penal Code. Sub-section (4) authorizes any authority under the Act to requisition the assistance of any police officer or officer of the Central or State Government for the purposes specified in sub-section (1).
 - 19.1. Section 20 enumerates the authorities under various enactments who are bound to assist the authorities in enforcement of the Act. Section 21 empowers the authorities specified in Section 18 to call for information from any person responsible for maintaining books of account or records relating to transactions concerning any property, or from any other person whose information may be useful or relevant for the purposes of the Act. Such person is under a statutory obligation to furnish the information sought.
 - 19.2. Section 22 authorises the authority to impound documents where it has reason to believe that such documents are required for inquiry under the Act. The documents may be

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retained for a period not exceeding three months from the date of the order of attachment made by the Adjudicating Authority under Section 26(3). The proviso permits further retention for reasons to be recorded in writing. The succeeding sub-sections require approval of the Approving Authority for extension of retention, prescribe that retention shall not exceed thirty days from conclusion of all proceedings, entitle the person concerned to obtain copies, and mandate return of the retained material upon expiry of the prescribed period unless release to another person is permitted by the competent authority.

- 19.3. Though Section 23 empowers the Initiating Officer, with prior approval of the Approving Authority, to conduct or cause investigation or inquiry in respect of any person, place, property, assets, documents, books of account, or other relevant matters, the Explanation clarifies that nothing in Section 23 applies, or shall be deemed ever to have applied, once notice under Section 24(1) has been issued. The Explanation clearly demarcates the proceedings under Chapter III from those under Chapter IV and delineates their respective scope. Chapter III, particularly Sections 19(3) and 19(4), makes it evident that proceedings under the Act are judicial in character and that the authorities under the Act are not police officers. The position is further fortified by Section 61, which declares offences under the Act to be non-cognizable.
- 19.4. Chapter IV deals with attachment, adjudication and confiscation. Section 24(1) empowers the Initiating Officer to issue notice calling upon the person concerned to show cause why the property should not be treated as benami property. Such notice must be founded on material in possession of the officer and on his satisfaction, i.e., reason to believe, that a person is a benamidar in respect of the property. Under sub-section (2), notice must also be issued to the beneficial owner if his identity is known. Sub-section (2A) permits reply within three months from the end of the month in which notice was issued. Sub-section (3) enables provisional attachment of the property for a period of four months from the last day of the month in which notice under sub-section (1) was issued. Under Section 24(4)(a), after making inquiries, calling for reports, and considering the material, the Initiating Officer may, within

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the said period, continue the provisional attachment with prior approval of the Approving Authority until an order is passed under Section 26(3) or revoke the provisional attachment. Under clause (b), where no prior provisional attachment had been made, the officer may provisionally attach the property with approval, pending decision of the Adjudicating Authority, or decide not to attach it. Sub-section (5) requires the Initiating officer to draw up a statement of the case and refer the matter to the Adjudicating Authority within one month from the end of the month in which an order under Section 24(4) is passed. Section 25 prescribes the mode of service of notice and provides that notice under Section 24(1) may be served by post or in the same manner as summons issued under the Code of Civil Procedure, 1908.

- 19.5. Section 26 concerns adjudication of benami property. Notice is to be issued to the beneficial owner, interested parties, and any person claiming rights in the property. The Adjudicating Authority, after considering replies, relevant materials, and after granting personal hearing to the parties as well as the Initiating Officer, shall pass an order either holding the property to be benami or otherwise, thereby confirming or revoking the attachment under Section 26(3). Sub-section (5) empowers the Adjudicating Authority to provisionally attach another property if, during proceedings, it has reason to believe that such property is also benami, and such action is deemed part of the original reference. The order under Section 26(3) is required to be passed within one year from the end of the month in which the reference under Section 24(5) was made.
- 19.6. Once an order under Section 26(3) declares the property to be benami, the Adjudicating Authority may, after affording opportunity of hearing, order confiscation of the property under Section 27. Such confiscation remains subject to the result of appeal under Section 46. Section 27(2) protects a bona fide purchaser who acquired the property before issuance of notice under Section 24(1). Section 27(3) provides that upon confiscation, all rights, title and interest in the property vest absolutely in the Central Government free from all encumbrances, and no compensation is payable.

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- 19.7. Under section 28, management of confiscated properties vests in the Administrator, who acts under directions of the Central Government. Section 29 mandates that the Administrator shall take possession after confiscation. Written notice may be issued directing the person in possession to surrender the property within one week, failing which forcible possession may be taken. For such purpose, assistance of the police may be requisitioned, and it is the duty of the officer concerned to render such assistance.
- 19.8. Chapter V concerns establishment and composition of the Appellate Tribunal, qualifications of its Chairperson and Members, their service conditions, and incidental matters. Sections 40, 46 and 49 are significant. Section 40, dealing with procedure and powers of the Tribunal, states that it shall not be bound by the procedure laid down in the Code of Civil Procedure, 1908 and may regulate its own procedure. Sub-section (2) nevertheless confers upon it the same powers as a civil court while trying a suit. Sub-section (3) provides that orders of the Tribunal shall be executable as decrees of a civil court. Sub-section (5) declares that proceedings before the Tribunal shall be deemed judicial proceedings within the meaning of Sections 193 and 228 IPC, and that the Tribunal shall be deemed a civil court for purposes of Sections 345 and 346 Cr.P.C. These provisions unmistakably establish that adjudication and confiscation proceedings cannot, by any stretch of imagination, be treated as prosecution. Confiscation is intended to ensure that a person who has violated the law is not permitted to enjoy the fruits of such violation. It is remedial and preventive, not penal.
- 19.9. Section 46 enables filing of an appeal against an order of the Adjudicating Authority. Any person, including the Initiating Officer, may prefer an appeal within forty-five days from receipt of the order passed under Section 26(3). Under sub-section (2), the Tribunal may condone delay on sufficient cause being shown. Sub-section (1A) permits an aggrieved person to appeal against an order under Section 54A as well. Sub-section (4) vests the Tribunal with all powers of the Adjudicating Authority.

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19.10. Section 49 provides for appeal to the High Court against an order of the Appellate Tribunal on any question of law arising therefrom within sixty days. Sub-section (8) states that provisions of the Code of Civil Procedure, 1908 relating to appeals to the High Court shall, as far as may be, apply. This indicates that the High Court exercises civil appellate jurisdiction in such matters. These provisions once again demonstrate that proceedings relating to attachment, adjudication and confiscation are civil in nature and cannot be equated with prosecution so as to attract Article 20(2) of the Constitution of India. The entire process from issuance of notice, provisional attachment, adjudication, confiscation, appeal to the Tribunal, and further appeal to the High Court, is a statutory civil action addressing a civil wrong, the proof of which is to be tested on the principle of preponderance of probabilities.

Offences and Prosecution under the Act

20. Let us now examine the provisions of the Act dealing with offences and prosecution. Chapter VI of the Act deals with Special Courts. Such Courts are to be established by the Central Government, in consultation with the Chief Justice of the High Court, by designating one or more Courts of Session as Special Courts for trial of offences punishable under the Act. Section 50(3) provides that the Special Court shall not take cognizance of any offence punishable under the Act except upon a complaint in writing made by the Authority or by any officer of the Central or State Government authorised in writing for that purpose. Under Section 51, unless otherwise provided, the provisions of the Code of Criminal Procedure, 1973 (now the Bharatiya Nagarik Suraksha Sanhita, 2023) apply to proceedings before a Special Court. Section 52 provides for appeal and revision, empowering the High Court to exercise, so far as may be applicable, powers under the relevant appellate and revisional chapters of the Code as if the Special Court were a Court of Session within its territorial jurisdiction.

20.1. The provisions of this Chapter also demonstrate that the Authority under the Act is only empowered to file a complaint before the Special Court and is not competent to submit a police report under Section 173 Cr.P.C. Consequently, such

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Authority cannot be equated with a police officer. It is also significant that the authorities under the Act have no power to detain a person involved in a benami transaction. In this regard, the following judgments are instructive.

- 20.2. In **Ramesh Chandra Mehta v. State of West Bengal**⁴⁰, this Court held that a Customs Officer, though vested with powers of search, seizure, arrest, and grant of bail, does not become a police officer within the meaning of Section 25 of the Evidence Act, since he cannot submit a report under Section 173 Cr.P.C. Proceedings before him are for inquiry and adjudication under the statute, and a person examined therein does not become an accused unless and until a formal complaint is filed before the Magistrate. The following paragraphs are pertinent:

“24.... Under Section 105 of the Customs Act, 1962, it is open to the Assistant Collector of Customs himself to issue a search warrant. A proper officer is also entitled under that Act to stop and search conveyances : he is entitled to release a person on bail, and for that purpose has the same powers and is subject to the same provisions as the officer-in-charge of a police station is. But these additional powers with which the Customs Officer is invested under the Act of 1962 do not, in our judgment, make him a police officer within the meaning of Section 25 of the Evidence Act. He is, it is true, invested with the powers of an officer-in-charge of a police station for the purpose of releasing any person on bail or otherwise. The expression “or otherwise” does not confer upon him the power to lodge a report before a Magistrate under Section 173 of the Code of Criminal Procedure. Power to grant bail, power to collect evidence, and power to search premises or conveyances without recourse to a Magistrate, do not make him an officer-in-charge of a police station, Proceedings taken by him are for the purpose of holding an enquiry into suspected cases of smuggling. His orders are appeal able and

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are subject also to the revisional jurisdiction of the Central Board of Revenue and may be carried to the Central Government. Powers are conferred upon him primarily for collection of duty and prevention of smuggling. He is for all purposes an officer of the revenue.

25. *For reasons set out in the judgment in Criminal Appeal No. 27 of 1967 and the judgment of this Court in Badku Joti Savant's case, we are of the view that a Customs Officer is under the Act of 1962 not a police officer within the meaning of Section 25 of the Evidence Act and the statements made before him by a person who is arrested or against whom an inquiry is made are not covered by Section 25 of the Indian Evidence Act.*

26. *It was strenuously urged that under Section 104 of the Customs Act, 1962, the Customs Officer may arrest a person only if he has reason to believe that any person in India or within the Indian Customs waters has been guilty of an offence punishable under Section 135 and not otherwise and he is bound to inform such person of the grounds of his arrest. Arrest of the person who is guilty of the offence punishable under Section 135 and information to be given to him amount, it was contended, to a formal accusation of an offence and in any case the person who has been arrested and who has been informed of the nature of the infraction committed by him stands in the character of an accused person. We are unable to agree with that contention. Section 104(1) only prescribes the conditions in which the power of arrest may be exercised. The officer must have reason to believe that a person has been guilty of an offence punishable under Section 135, otherwise he cannot arrest such person. But by informing such person of the grounds of his arrest the Customs Officer does not formally accuse him with the commission of an offence. Arrest and detention are only for the purpose of holding effectively an inquiry under Sections*

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107 and 108 of the Act with a view to adjudging confiscation of dutiable or prohibited goods and imposing penalties. At that stage there is no question of the offender against the Customs Act being charged before a Magistrate. Ordinarily after adjudging penalty and confiscation of goods or without doing so, if the Customs Officer forms an opinion that the offender should be prosecuted he may prefer a complaint in the manner provided under Section 137 with the sanction of the Collector of Customs and until a complaint is so filed the person against whom an inquiry is commenced under the Customs Act does not stand in the character of a person accused of an offence under Section 135.”

- 20.3. Likewise, in ***Illias v. Collector of Customs, Madras***⁴¹, it was reiterated that even if an officer under a special statute possesses several powers analogous to those of the police, he is not a police officer for purposes of Section 25 of the Evidence Act unless empowered to file a charge-sheet under Section 173 Cr.P.C. The following observation is pertinent:

“12. Adverting to Raja Ram Jaiswal’s case [Raja Ram Jaiswal v. State of Bihar, (1964) 2 SCR 752] it is significant that by virtue of Section 77(2) read with Section 78(3) of the Bihar & Orissa Excise Act, 1915, an Inspector or Sub Inspector was deemed to be an officer-in-charge of a police station and was entitled to investigate any offence under the Excise Act. He could exercise all the powers which an officer-in-charge of a police station could exercise under Chapter XIV of the Code. It was, therefore, held by the majority that a confession recorded by an Excise Officer during an investigation into an excise offence could not reasonably be regarded as anything different from a confession to a police officer. Barkat Ram’s case was distinguished on a number of grounds. One was that the excise officer did not exercise any

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judicial power just as the customs officer did under the Sea Customs Act 1878; secondly the customs officer was not deemed to be an officer-in-charge of a police station and, therefore, he could not exercise powers of such an officer under the Code of Criminal Procedure. Further, the customs officer could make an enquiry but he had no power to investigate into an offence under Section 156 of the Code. Even though some of the powers set out in Chapter XV11 of the Sea Customs Act were analogous to those of the police officer under the Code, they were not identical with those of a police officer and were not derived from or by reference to the Code. It was pertinently observed that the customs officer was not entitled to submit a report to a magistrate under Section 190 of the Code with a view that cognizance of the offence be taken by a magistrate. It was then said at p. 766 :

“The test for determining whether such a person is a ‘police officer’ for the purpose of Section 25 of the Evidence Act would, in our judgment, be whether the powers of a police officer which are conferred on him or which are exercisable by him because he is deemed to be an officer in charge of a police station establish a direct or substantial relationship with the prohibition enacted by Section 25, that is, the recording of a confession. In other words, the test would be whether the powers are such as would tend to facilitate the obtaining by him of a confession from a suspect or a delinquent. If they do, then it is unnecessary to consider the dominant purpose for which he is appointed or the question as to what other powers he enjoys.”

13. *Emphasis was laid on the police officers having such powers which enable them to exercise a kind of authority over the persons arrested which facilitate the obtaining from them statements which may be of incriminating nature. The case of Raja Ram Jaiswal came up for discussion in the third of series*

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of these cases, namely, Badku Joti Savant v. State of Mysore. The appellant there had been found in possession of contraband gold. He was prosecuted under Section 167(81) of the Sea Customs Act read with Section 9 of the Land Customs Act. A question arose whether the statement made by the appellant to the Deputy Superintendent of Customs and Excise was admissible in evidence. The contention raised was that the Central Excise Officer under the Central Excises & Salt Act (Act 1 of 1944), hereinafter called the "Central Excise Act", was a police officer within the meaning of those words in Section 25 of the Evidence Act. Therefore even though the Deputy Superintendent of Customs and Central Excise had acted under the power conferred on him by the Sea Customs Act, he was still a police officer and the statement made to him which was in the nature of a confession was inadmissible in evidence. This Court referred to the difference of opinion among the High Courts as to the meaning of the words "police officer" used in Section 25 of the Evidence Act. One view was that those words must be construed in a broad way and all officers would be police officers within the meaning of those words if they had powers of the police officer with respect to investigating of offences with which they were concerned even if they were police officers properly so called or not. The narrow view was that these words in Section 25 meant a police officer properly so called and did not include officers of other departments of Government who might be charged with the duty to investigate, under special Acts, special crimes like the excise or customs offences etc. The Court proceeded on the assumption that the broad view was correct. After examining the various provisions of the Central Excise Act and in particular Section 21 it was observed that a police officer for the purpose of Clause (b) of Section 190 of the Code of Criminal Procedure could only be one properly so called. A Central Excise Officer had to make a complaint under Clause (a) of Section 190

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of the Code to a magistrate to enable him to take cognizance of an offence committed under the special statute. The argument that a Central Excise Officer under Section 21(2) of the Central Excise Act had all the powers of an officer-in-charge of a police station under Chapter XIV of the Code and, therefore, he must be considered to be a police officer within the meaning of those words in Section 25 of the Evidence Act was repelled for the reason that though such officer had the power of an officer-in-charge of a police station he did not have the power to submit a charge sheet under Section 173 of the Code. Raja Ram Jaiswal's case was distinguished on the ground that Section 21 of the Central Excise Act was in terms different from Section 78(3) of the Bihar & Orissa Excise Act, 1915 which provided that for the purpose of Section 156 of the Code of Criminal Procedure the Excise Officer empowered under Section 77(2) of that Act shall be deemed to be the officer-in-charge of a police station. The following observations at page 704 are indeed important:

“All that Section 21 provides is that for the purpose of his enquiry, a Central Excise Officer shall have the powers of an officer-in-charge of a police station when investigating a cognizable case. But even so it appears that these powers do not include the power to submit a charge-sheet under Section 173 of the Code of Criminal Procedure, for unlike the Bihar & Orissa Excise Act, the Central Excise Officer is not deemed to be an officer-in-charge of a police station.”

14. *It was reiterated that the appellant could not take advantage of the decision in Raja Ram Jaiswal's case and that Barkat Ram's case was more apposite. The ratio of the decision in Badku Joti Savant is that even if an officer under the special Act has been invested with most of the powers which an officer-in-charge of a police station exercises when investigating a cognizable offence he does not thereby become a*

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police officer within the meaning of Section 25 of the Evidence Act unless he is empowered to file a charge sheet under Section 173 of the Code of Criminal Procedure.

15. *Learned counsel for the appellant when faced with the above difficulty has gone to the extent of suggesting that by necessary implication the power to file a charge sheet flows from some of the powers which have already been discussed under the new Act and that a customs officer is entitled to exercise even this power. It is difficult and indeed it would be contrary to all rules of interpretation to spell out any such special power from any of the provisions contained in the new Act. In this view of the matter even though under the new Act a customs officer has been invested with many powers which were not to be found in the provisions of the old Act, he cannot be regarded as a police officer within the meaning of Section 25 of the Evidence Act. In two recent decisions of this Court in which the judgments were delivered only on October 18, 1968 i.e. Ramesh Chandra Mehta v. State of West Bengal and Dady Adarji Fatakia v. K. K. Ganguly, Asstt. Collector of Customs and Anr., the view expressed in Barkat Ram's case with reference to the old Act has been reaffirmed on the question under consideration and it has been held that under the new Act also the position remains the same. This is what has been said in Dady Adarji Fatakia's case :*

"For reasons set out in the judgment in Cr. A. 27/67 (Ramesh Chand Mehta v. State of West Bengal) and the judgment of this Court in Badku Joti Savant's case, we are of the view that a Customs Officer is under the Act of 1962 not a police officer within the meaning of Section 25 of the Evidence Act and the statements made before him by a person who is arrested or against whom an inquiry is made are not covered by Section 25 of the Indian Evidence Act."

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The provisions of the Act, 1988, though undoubtedly vesting the authorities with powers to search, seize, and prosecute offenders under the Act, do not render them police officers, nor can they exercise all the powers vested in a police officer.

- 20.4. Chapter VII of the Act, which deals with offences and prosecution, contains seven sections, but only two substantive provisions concern punishment, namely Sections 53 and 54. Orders under Section 54A, as already noticed, are appealable under Section 46, since they arise in the course of proceedings under Chapters III and IV. Section 53 prescribes punishment for benami transactions. Sub-section (1) provides that where any person enters into a benami transaction in order to defeat the provisions of any law, evade payment of statutory dues, or defeat claims of creditors, the beneficial owner, benamidar, and any person who abets, induces, or facilitates such transaction shall be guilty of the offence. Sub-section (2) prescribes punishment of rigorous imprisonment for a term not less than one year and which may extend to seven years, along with fine which may extend to twenty-five per cent of the fair market value of the property. The provision, in our considered view, extends beyond merely identifying the transaction and proceeds to criminalise the underlying motive behind it. This is consistent with the object of both the original enactment and the subsequent amendment introduced to remedy defects and omissions in the earlier law.
- 20.5. Section 54 prescribes punishment of imprisonment for a term not less than six months, extendable up to five years, along with fine which may extend to ten per cent of the fair market value of the property, against any person who knowingly furnishes false information or false documents in any proceeding under the Act. Section 55 mandates previous sanction of the competent authority before prosecution can be instituted under Sections 3, 53 or 54. The competent authorities are specified in the Explanation thereto. Section 55A grants immunity from prosecution to persons referred to in Section 53, other than the beneficial owner, in appropriate circumstances. Thus, under the Scheme of the Act, only three provisions namely, Sections 3, 53, and 54, deal with prosecution. Section 3, as already noticed, imposes a general prohibition and also renders

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the prohibited transaction punishable. The statutory design is such that the effect of a benami transaction is nullified through confiscation of the property by civil action, while criminal punishment follows only where the requisite mental element is established.

- 20.6. The grounds for prosecution are materially wider and qualitatively distinct from the standard required to determine whether a transaction is benami for purposes of confiscation. To adjudge a transaction as benami, the standard of preponderance of probabilities may suffice. However, to convict a person under Section 53, the prosecution must establish the motive and ingredients of the offence in accordance with criminal law standards.
- 20.7. Accordingly, we have no hesitation in holding that the actions contemplated under Chapter IV and Chapter VII pursue different objects are governed by different procedures, and entail different consequences. They may therefore proceed simultaneously or successively. If action is taken under both Chapters, such course does not amount to double jeopardy under Article 20(2) of the Constitution.
- 20.8. Chapter VIII contains miscellaneous provisions. Section 60 states that application of other laws is not barred. This must be understood in harmony with the object of the enactment. Other statutes dealing with the same transaction or related misconduct may continue to operate concurrently. Section 62 deals with offences by companies and renders every person in charge of, and responsible to, the company for conduct of its business liable, including directors, managers, secretaries, or other officers, where contravention is established. Such officers may also incur personal liability where the violation occurred with their consent, connivance, or neglect. Section 65 provides that all pending cases before any court or judicial forum, other than the High Court, shall stand transferred to the Adjudicating Authority or Appellate Tribunal. This provision must be read harmoniously with Section 45, introduced in 2016. The bar under Sections 45 or 65 does not apply to matters already pending before the High Court or the Supreme Court of India. Section 66 provides that proceedings may be continued against,

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or initiated against, the legal representatives of a deceased person, except proceedings under Section 3(2) or Chapter VII. This clearly indicate that confiscatory proceedings may survive or be commenced against legal representatives, whereas penal proceedings cannot. This once again underscores the twin yet independent remedies contemplated under the Act. Section 67 gives the Act overriding effect over inconsistent laws, and Section 68 empowers the Central Government to frame rules for carrying out the purposes of the Act. Before any transfer is effected, there must be at least a *prima facie* determination that the dispute concerns a benami transaction. It is at this stage that the principles underlying Order VII Rule 11 and Order XIV Rule 2 CPC may assume relevance.

Independent nature of Confiscation and Prosecution under the Benami Law

21. Further, both before and after the amendment, the Act contemplates two distinct deterrent measures to prohibit benami transactions, namely, confiscation and punishment. Confiscation is a civil action directed against the property itself and not against the individuals participating in the benami transaction. Personal action against such individuals is by way of prosecution contemplated under Chapter VII. The consequence of adjudication and confiscation is that the property vests in the Central Government, as the rights of both the benamidar and the beneficial owner stand extinguished. Such action is in the nature of forfeiture of property, which is a civil consequence flowing from violation of the statute with recovery as its object. Penal action imposing punishment stands on a different footing. The burden of proof and presumptions applicable to the two proceedings are independent, and one does not depend upon the outcome of the other. Unless prosecution is launched under Sections 53 or 54 of the Act, the person proceeded against in adjudicatory proceedings, cannot be termed an accused. Similar provisions are found in several other enactments.

21.1. In ***Assistant Collector of Customs, Bombay and another v. L.R. Melwani and another***⁴² a Constitutional Bench of this

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Court considered whether confiscation proceedings under the Sea Customs Act amount to prosecution. Accordingly, it was held as under:

“7. Reliance on Article 20(2) is placed under the following circumstances. In the enquiry held by the Collector of Customs, he gave the benefit of doubt to accused Nos. 1 and 2. This is what he stated therein :

“As regards M/s. Larmel Enterprises (of which accused No. 1 is the proprietor and accused No. 2 is the Manager) although it is apparent that they have directly assisted the importers in their illegal activities and are morally guilty. Since there is no conclusive evidence against them to hold them as persons concerned in the act of unauthorised importation, they escape on a benefit of doubt.”

8. Despite this finding the Assistant Collector in his complaint referred to earlier seeks to prosecute these accused persons. Hence the question is whether that prosecution is barred under Article 20(2) of the Constitution which says that no person shall be prosecuted and punished for the same offence more than once. This Article has no direct bearing on the question at issue. Evidently those accused persons want to spell out from this Article, the rule of autrefois acquit embodied in Section 403, Criminal Procedure Code. Assuming we can do that still it is not possible to hold that a proceeding before the Collector of Customs is a prosecution for an offence. In order to get the benefit of Section 403, Criminal Procedure Code or Article 20(2), it is necessary for an accused person to establish that he had been tried by a “court of competent jurisdiction” for an offence and he is convicted or acquitted of that offence and the said conviction or acquittal is in force. If that much is established, it can be contended that he is not liable to be tried again for the same offence nor on the same facts for any other offence for which

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a different charge from the one made against him might have been made under Section 236 or for which he might have been convicted under Section 237. It has been repeatedly held by this Court that adjudication before a Collector of Customs is not a "prosecution" nor the Collector of Customs a "Court". In Maqbool Hussain v. The State of Bombay, MANU/SC/0062/1953 : 1983ECR1598D(SC) this Court held that the wording of Article 20 of the Constitution and the words used therein show that the proceedings therein contemplated are proceedings of the nature of criminal proceedings before a court of law or a judicial tribunal and "prosecution" in this context would mean an initiation or starting of proceedings of a criminal nature before a court of law or a judicial tribunal in accordance with the procedure prescribed in the statute which creates the offence and regulates the procedure. This Court further held that where a person against whom proceedings had been taken by the Sea Customs authorities under Section 167 of the Sea Customs Act and an order for confiscation of goods had been passed, was subsequently prosecuted before a criminal court for an offence under Section 23 of the Foreign Exchange Regulation Act in respect of the same act, the proceeding before the Sea Customs authorities was not a "prosecution" and the order for confiscation was not a "punishment" inflicted by a Court or judicial tribunal within the meaning of Article 20(2) of the Constitution and hence his subsequent prosecution was not barred. The said rule was reiterated in Thomas Dana v. State of Punjab, MANU/SC/0140/1958 : [1959] S.C.R. 274. and in several other cases."

- 21.2. In ***Divisional Forest Officer and another v. G.V. Sudhakar Rao and Others***⁴³, while dealing with confiscation under the Forest Act and prosecution for fresh offences, this Court held

43 (1985) 4 SCC 573

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that acquittal of the accused in the criminal trial, whether the paucity of evidence or otherwise, does not necessarily nullify the confiscation order based on the authorised officer's independent satisfaction that a forest offence had been committed; and that, proceedings for confiscation were held to be capable of continuing simultaneously and independently of the criminal case. The following paragraphs are pertinent:

“13. As to the scope and effect of Sub-section (2A) of Section 44 of the Act, different views appear to have prevailed in the High Court. In State of Andhra Pradesh v. P.K. Mohamad and Ors. (1978) 1 A.P.L.J. 391, Jeewan Reddy, J. held that the general power of the Court under Section 452 of the Code or that of the Magistrate under Section 457 to direct disposal of seized property, had to be read along with and in the context of the special procedure prescribed by the Amendment Act 17 of 1976. In that case, the Forest Officer produced the seized forest produce and the vehicle used for the commission of a forest offence under Sub-section (1) of Section 44 before the Authorized Officer along with a report as contemplated by Sub-section (2) thereof for purposes of confiscation, and thereafter he produced the accused before a Magistrate for trial for the commission of such offence. In those circumstances, the learned Judge held that the Amending Act by Sub-section (2A) of Section 44 created the Authorized Officer to be the competent authority to direct confiscation of any timber or forest produce on his being satisfied that a forest offence has been committed in respect thereof, and the seized property having been produced by the Forest Officer before the Authorized Officer along with a report for confiscation under Sub-section (2A) of Section 44 of the Act, the Magistrate could not have any jurisdiction to pass an order under Section 457 of the Code for the disposal of such property. A discordant note was, however, struck by a Division Bench consisting of Sambasiva Rao, C.J. and Raghuvir, J. in Smt. Haji Begum v. State of Andhra Pradesh and Ors. (1978)

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2 A.P.L.J. 191. The learned Judges held that the power of the Authorized officer to direct confiscation under Sub-section (2A) of Section 44 of the Act and that of the Magistrate under Section 45 were mutually exclusive and, therefore, there could not be simultaneous proceedings for confiscation before the Authorized Officer under Sub-section (2A) of Section 44 and also the trial of the accused for commission of a forest offence under Section 20 or 29 of the Act. Their conclusion was based on the use of the words 'either' and 'or' in Sub-section (2) of Section 44 of the Act and they held that the Forest Department had an option to adopt either of the two courses. The judgment of the High Court in Sot. Haji Begum's case was clearly wrong and was reversed by this Court in State of Andhra Pradesh v. Smt. Haji Began (supra), where it was observed:

"In our opinion, on the facts and circumstances of the case, the order of the High Court is not fit to be sustained. The High Court has taken an erroneous view of the report of the Forest Ranger to the Magistrate while forwarding the accused to him. The proceeding as to the confiscation of the property seized as also the car has got to go on before the Divisional Forest Officer."

14. *We find that a later Division Bench consisting of Kondaiah, C.J. and Punnayya, J. in Mohd. Yaseen and Ors. v. the Forest Range Officer, Flying Squad, Rayachoti and Ors (1980) 1 A.L.T. 8, approved of the view expressed by Jeewan Reddy, J. in P.K. Mohammad's case (supra), and held that the Act contemplates two procedures, one for confiscation of goods forming the subject-matter of the offence by the Authorized Officer under Sub-section (2A) of Section 44 of the Act, and the other for trial of the person accused of the offence so committed under Section 20 or 29 of the Act. The learned Judges held that the Act provides for a special machinery for confiscation of illicitly felled timber or forest produce*

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by the Authorized Officer under Sub-section (2A) of Section 44 enacted in the general public interest to suppress the mischief of ruthless exploitation of Government forests by illicit felling and removal of teak and other valuable forest produce. They further held that merely because there was an acquittal of the accused in the trial before the Magistrate due to paucity of evidence or otherwise did not necessarily entail in nullifying the order of confiscation of the seized timber or forest produce by the Authorized Officer under Sub-section (2A) of Section 44 of the Act based on his satisfaction that a forest offence had been committed in respect thereof. We affirm the view expressed by Jeewan Reddy, J. in P.K. Mohamad's case and by Kondaiah, C.J. and Punnayya, J. in Mohd. Yaseen's case.

15. *The result therefore is that the appeal succeeds and is allowed. The judgment and order of the High Court passed under Section 482 of the CrPC, 1973 for stay of the proceedings before the Authorized Officer under Sub-section (2A) of Section 44 of the Andhra Pradesh Forest Act, 1967 are set aside and the Authorized Officer is directed to proceed with the inquiry for confiscation of the seized timber in accordance with law."*

- 21.3. Similarly, in ***State of Madhya Pradesh and Others v. Kallo Bai***⁴⁴, while construing confiscation provisions under the M.P Van Upaj (Vyapar Viniyaman) Adhiniyam, this Court held as follows:

"22. *In view of the foregoing discussions, it is apparent that Section 15 gives independent power to the concerned authority to confiscate the articles, as mentioned there under, even before the guilt is completely established. This power can be exercised by the concerned officer if he is satisfied that the said objects were utilized during the commission of a*

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forest offence. A protection is provided for the owners of the vehicles/articles, if they are able to prove that they took all reasonable care and precautions as envisaged under Sub-section (5) of Section 15 of the Adhiniyam and the said offence was committed without their knowledge or connivance.

23. *Criminal prosecution is distinct from confiscation proceedings. The two proceedings are different and parallel, each having a distinct purpose. The object of confiscation proceeding is to enable speedy and effective adjudication with regard to confiscation of the produce and the means used for committing the offence while the object of the prosecution is to punish the offender. The scheme Adhiniyam prescribes an independent procedure for confiscation. The intention of prescribing separate proceedings is to provide a deterrent mechanism and to stop further misuse of the vehicle.*

24. *At the cost of repetition we clarify that confiscatory proceedings are independent of the main criminal proceedings. In view of our detailed discussion in the preceding paragraph we are of opinion that High Court as well as the revisional court erred in coming to a conclusion that the confiscation under the law was not permissible unless the guilt of the Accused is completely established.*

25. *Consequently the appeal is allowed and the judgment of the High Court is set aside.”*

- 21.4. This Court in **Radhika Aggarwal v. Union of India and Others**⁴⁵, while considering whether prosecution is maintainable prior to adjudication and the relationship between adjudication and prosecution, held as under:

“61. *However, relying upon the judgment in the case of Makemytrip (supra), it has been submitted on behalf of the petitioners, that the power under*

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sub-section (5) to Section 132 cannot be exercised unless the procedure under Section 73 of the GST Act is completed and an assessment order is passed quantifying the tax evaded or erroneously refunded or input tax credit wrongly availed. According to us, this contention should not be accepted as a general or broad proposition. We would accept that normally the assessment proceedings would quantify the amount of tax evaded, etc. and go on to show whether there is any violation in terms of clauses (a) to (d) to sub-section (1) of Section 132 of the GST Acts and that clause (i) to sub-section (1) is attracted. But there could be cases where even without a formal order of assessment, the department/Revenue is certain that it is a case of offence under clauses (a) to (d) to sub-section (1) of Section 132 and the amount of tax evaded, etc. falls within clause (i) of sub-section (1) to Section 132 of the GST Acts with sufficient degree of certainty.. ..”

Therefore, adjudication undertaken for the purpose of confiscation of benami property stands on a distinct and independent footing from criminal proceedings initiated for prosecution of offences under the Act.

- 21.5. Much reliance has been placed on the judgment of this Court in ***Union of India v. Ganpati Dealcom Private Limited***⁴⁶ to contend that the erstwhile provisions under Sections 3(2) and 5 of the Benami Act, stood struck down, and that the 2016 amendment must therefore operate prospectively. However, the judgment dated 23.08.2022 was subsequently recalled in Review Petition (Civil) No 359 of 2023 in Civil Appeal No. 5783 of 2022 *vide* order dated 18.10.2024, on the ground that the constitutional validity of those provisions had never been specifically challenged. The Court held that no declaration of invalidity could have been made in the absence of a proper *lis* and contest on constitutionality. Consequently, the earlier judgment was recalled and the appeal restored for adjudication.

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The relevant passage of the order dated 18.10.2024 is extracted below for ready reference:

“4. The Court has declared Section 3(2) of the unamended provisions of the Prohibition of Benami Property Transactions Act, 1988 as unconstitutional for being manifestly arbitrary and as violative of Article 20(1) of the Constitution. The provisions of Section 5 of the unamended Act, prior to the Amendment of 2016, have been declared to be unconstitutional on the ground that they are manifestly arbitrary.

5. It is not disputed that there was no challenge to the constitutional validity of the unamended provisions. This is also clear from the formulation of the question which arose for consideration before the Bench in paragraph 3 of the judgment, which has been extracted above. In the submissions of parties which have been recorded in the judgment, the issue of constitutional validity was not squarely addressed.

6. A challenge to the constitutional validity of a statutory provision cannot be adjudicated upon in the absence of a lis and contest between the parties. We accordingly allow the review petition and recall the judgment dated 23 August 2022. Civil Appeal No 5783 of 2022 shall stand restored to file for fresh adjudication before a Bench to be nominated by the Chief Justice of India on the administrative side.”

- 21.6. Therefore, we have no hesitation in holding that the prohibition contained in Section 3 as well as the power of confiscation vested in the Central Government, continued to remain operative during the period when the property in question was allegedly purchased by K. Raghunath with funds said to have been provided by the plaintiff, the legal effect whereof shall be considered later in this judgment.
- 21.7. Reverting now to the statutory scheme, Chapter IV deals with the mechanism for attachment, adjudication, and confiscation, while Chapter VII deals with offences and penalties. In the adjudication process, confiscation is the eventual consequence.

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The substantive power to confiscate property involved in benami transactions existed even under the unamended law; what the 2016 amendment introduced was a detailed procedural framework which was earlier absent. It must be reiterated that Chapters IV and VII are self-contained codes, inasmuch as they provide independent mechanisms governed by separate procedures and remedies under law.

(E) PROSPECTIVE OR RETROSPECTIVE OPERATION OF THE 2016 AMENDMENT

22. The next question that falls for consideration is, whether the amended provisions operate prospectively or retrospectively. In this regard, it is necessary to recall the object and reasons underlying the amendment, which can be gathered from the statements made when the amendments were proposed in Parliament. The amendments as is evident, were introduced to cure the mischiefs and omissions in the original enactment, which had failed to curb benami transactions in the manner expected, and effective steps could not be taken for want of adequate procedural provisions.
 - 22.1. It is also noteworthy that certain provisions under the unamended Act were omitted and substituted by new provisions, while several fresh provisions were inserted prescribing the procedure to be followed before confiscation of property and establishing mechanisms of appeal against orders declaring property as benami. At the same time, the foundational provisions prohibiting benami transactions, rendering them offences, extinguishing the right to enforce or defend claims based on benami arrangements, enabling confiscation of benami property, and prohibiting re-transfer, continued substantially in force.
 - 22.2. Ordinarily, every statute is presumed to be prospective unless the statute itself expressly or by necessary implication provides otherwise. Equally, it is well settled that the mere fact that a law is brought into force from a particular date does not necessarily mean that it operates only prospectively. To determine the true temporal operation of a statute, the object of the enactment must be considered. If the purpose of the amendment is to cure a defect, remove an omission, substitute

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appropriate provisions earlier lacking, effectively implement the original legislative intent, or if the amendment is clarificatory, declaratory or validating in nature, it may legitimately receive retrospective operation.

- 22.3. It is also apposite to observe that protection against retrospectivity generally extends only to vested or accrued rights. The Act of 1988 had already prohibited benami transactions. Even prior thereto, provisions under the Indian Trusts Act, the Code of Civil Procedure and the Income-tax Act imposed restrictions on such arrangements. Further, after the Forty-Fourth Constitutional Amendment, the right to property ceased to be a fundamental right and remained only a constitutional right. A person, therefore, cannot claim a vested right to enter into transactions designed to defeat or circumvent the law. It is a settled principle that what cannot be done directly cannot be permitted to be done indirectly.
- 22.4. In this context, it would be useful to refer to the settled principles laid down in **Bengal Immunity Company Limited v. State of Bihar and others**⁴⁷ wherein the rule in **Heydon case**⁴⁸ was approved, namely, that the Court must adopt such construction as suppresses the mischief and advances the remedy. The relevant paragraph reads as follows:

“27. It is a sound rule of construction of a statute firmly established in England as far back as 1584 when Heydon case [Heydon case, MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637] was decided that—

“...for the sure and true interpretation of all statutes in general (be they penal or beneficial, restrictive or enlarging of the common law) four things are to be discerned and considered—

1st. What was the common law before the making of the Act.

47 (1955) 1 SCC 763

48 MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637

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2nd. What was the mischief and defect for which the common law did not provide.

3rd. What remedy Parliament hath resolved and appointed to cure the disease of the Commonwealth, and

4th. The true reason of the remedy; and then the office of all the Judges is always to make such construction as shall suppress the mischief, and advance the remedy, and to suppress subtle inventions and evasions for continuance of the mischief, and pro privato commodo, and to add force and life to the cure and remedy, according to the true intent of the makers of the Act, pro bono publico.”

- 22.5. The Constitution Bench in ***Shyam Sunder and others v. Ram Kumar and another***⁴⁹ held that where an enactment declares or explains the previous law, such declaratory legislation ordinarily operates retrospectively, since its purpose is to remove omissions or clarify the earlier statute. The following paragraph is apposite: (SCC p. 49, para 39)

“39.... Ordinarily when an enactment declares the previous law, it requires to be given retroactive effect. The function of a declaratory statute is to supply an omission or to explain a previous statute and when such an Act is passed, it comes into effect when the previous enactment was passed. The legislative power to enact law includes the power to declare what was the previous law and when such a declaratory Act is passed, invariably it has been held to be retrospective. Mere absence of use of the word “declaration” in an Act explaining what was the law before may not appear to be a declaratory Act but if the court finds an Act as declaratory or explanatory, it has to be construed as retrospective...”

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- 22.6. In **Zile Singh v. State of Haryana and others**⁵⁰ it was reiterated that while statutes are generally prospective, the presumption against retrospectivity does not apply to declaratory or clarificatory enactments. If an amendment is introduced to cure an acknowledged evil, explain the prior law, or supply an obvious omission, retrospective operation may be inferred from legislative intent. The following paragraphs are pertinent: (SCC pp. 8-9, paras 13-15)

“13. It is a cardinal principle of construction that every statute is prima facie prospective unless it is expressly or by necessary implication made to have a retrospective operation. But the rule in general is applicable where the object of the statute is to affect vested rights or to impose new burdens or to impair existing obligations. Unless there are words in the statute sufficient to show the intention of the legislature to affect existing rights, it is deemed to be prospective only--’nova constitutio futuris formam imponere debet non praeteritis’--a new law ought to regulate what is to follow, not the past. (See Principles of Statutory Interpretation by Justice G.P. Singh, 9th Edn., 2004 at p. 438.) It is not necessary that an express provision be made to make a statute retrospective and the presumption against retrospectivity may be rebutted by necessary implication especially in a case where the new law is made to cure an acknowledged evil for the benefit of the community as a whole (ibid., p. 440).

14. The presumption against retrospective operation is not applicable to declaratory statutes... In determining, therefore, the nature of the Act, regard must be had to the substance rather than to the form. If a new Act is ‘to explain’ an earlier Act, it would be without object unless construed retrospectively. An explanatory Act is generally passed to supply an obvious omission or to clear up doubts as to the meaning of the previous

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Act. It is well settled that if a statute is curative or merely declaratory of the previous law retrospective operation is generally intended... An amending Act may be purely declaratory to clear a meaning of a provision of the principal Act which was already implicit. A clarificatory amendment of this nature will have retrospective effect (ibid., pp. 468-69).

15. *Though retrospectivity is not to be presumed and rather there is presumption against retrospectivity, according to Craies (Statute Law, 7th Edn.), it is open for the legislature to enact laws having retrospective operation. This can be achieved by express enactment or by necessary implication from the language employed. If it is a necessary implication from the language employed that the legislature intended a particular section to have a retrospective operation, the courts will give it such an operation. In the absence of a retrospective operation having been expressly given, the courts may be called upon to construe the provisions and answer the question whether the legislature had sufficiently expressed that intention giving the statute retrospectivity. Four factors are suggested as relevant: (i) general scope and purview of the statute; (ii) the remedy sought to be applied; (iii) the former state of the law; and (iv) what it was the legislature contemplated. (p. 388) The rule against retrospectivity does not extend to protect from the effect of a repeal, a privilege which did not amount to accrued right. (p. 392)*

16. *Where a statute is passed for the purpose of supplying an obvious omission in a former statute or to "explain" a former statute, the subsequent statute has relation back to the time when the prior Act was passed. The rule against retrospectivity is inapplicable to such legislations as are explanatory and declaratory in nature. A classic illustration is the case of Attorney General v. Pougett [Attorney General v. Pougett, MANU/ENRP/0454/1816 : (1816) 2 Price 381 : 146 ER 130] (Price at p. 392). By a Customs Act of 1873*

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(53 Geo. 3, c. 33) a duty was imposed upon hides of 9s 4d, but the Act omitted to state that it was to be 9s 4d per cwt., and to remedy this omission another Customs Act (53 Geo. 3, c. 105) was passed later in the same year. Between the passing of these two Acts some hides were exported, and it was contended that they were not liable to pay the duty of 9s 4d per cwt., but Thomson, C.B., in giving judgment for the Attorney General, said: (ER p. 134)

‘The duty in this instance was, in fact, imposed by the first Act; but the gross mistake of the omission of the weight, for which the sum expressed was to have been payable, occasioned the amendment made by the subsequent Act: but that had reference to the former statute as soon as it passed, and they must be taken together as if they were one and the same Act;’ (Price at p. 392)

17. *Maxwell states in his work on Interpretation of Statutes (12th Edn.) that the rule against retrospective operation is a presumption only, and as such it ‘may be overcome, not only by express words in the Act but also by circumstances sufficiently strong to displace it’ (p. 225). If the dominant intention of the legislature can be clearly and doubtlessly spelt out, the inhibition contained in the rule against perpetuity becomes of doubtful applicability as the “inhibition of the rule” is a matter of degree which would “vary secundum materiam” (p. 226). Sometimes, where the sense of the statute demands it or where there has been an obvious mistake in drafting, a court will be prepared to substitute another word or phrase for that which actually appears in the text of the Act (p. 231).*

18. *In a recent decision of this Court in National Agricultural Coop. Mktg. Federation of India Ltd. v. Union of India [MANU/SC/0243/2003 : (2003) 5 SCC 23] it has been held that there is no fixed formula for the expression of legislative intent to give*

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retrospectivity to an enactment. Every legislation whether prospective or retrospective has to be subjected to the question of legislative competence. The retrospectivity is liable to be decided on a few touchstones such as: (i) the words used must expressly provide or clearly imply retrospective operation; (ii) the retrospectivity must be reasonable and not excessive or harsh, otherwise it runs the risk of being struck down as unconstitutional; (iii) where the legislation is introduced to overcome a judicial decision, the power cannot be used to subvert the decision without removing the statutory basis of the decision. There is no fixed formula for the expression of legislative intent to give retrospectivity to an enactment. A validating clause coupled with a substantive statutory change is only one of the methods to leave actions unsustainable under the unamended statute, undisturbed. Consequently, the absence of a validating clause would not by itself affect the retrospective operation of the statutory provision, if such retrospectivity is otherwise apparent.”

- 22.7. In **Commissioner of Income Tax I, Ahmedabad v. Gold Coin Health Food Private Limited**⁵¹, this Court held that the Court must analyse the true nature of the amendment. The date from which it is brought into force is not conclusive; what is material is whether the amendment is clarificatory or substantive. The following paragraphs are pertinent:

“8. It would be of some relevance to take note of what this Court said in Virtual case [MANU/SC/0879/2007 : (2007) 9 SCC 665]. Pointing out one of the important tests at para 51 it was observed that even if the statute does contain a statement to the effect that the amendment is clarificatory or declaratory, that is not the end of the matter. The court has to analyse the nature of the amendment to come to a conclusion

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whether it is in reality a clarificatory or declaratory provision. Therefore, the date from which the amendment is made operative does not conclusively decide the question. The court has to examine the scheme of the statute prior to the amendment and subsequent to the amendment to determine whether amendment is clarificatory or substantive.”

“18. As noted by this Court in CIT v. Podar Cement (P) Ltd. [MANU/SC/0649/1997 : (1997) 5 SCC 482] the circumstances under which the amendment was brought in existence and the consequences of the amendment will have to be taken care of while deciding the issue as to whether the amendment was clarificatory or substantive in nature and, whether it will have retrospective effect or it was not so.”

- 22.8. In **Commissioner of Income Tax (Central) -I, New Delhi v. Vatika Township Private Limited**⁵² this Court recognised that declaratory or clarificatory statutes may operate retrospectively, particularly when introduced to explain the meaning of an earlier enactment or remove doubts as to its effect. The following paragraph is pertinent: **(SCC p. 23, para 32)**

“32.The circumstances under which provisions can be termed as “declaratory statutes” are explained by Justice G.P. Singh [Principles of Statutory Interpretation, (13th Edn., Lexis Nexis Butterworths Wadhwa, Nagpur, 2012)] in the following manner:

‘Declaratory statutes

The presumption against retrospective operation is not applicable to declaratory statutes. As stated in Craies [W.F. Craies, Craies on Statute Law (7th Edn., Sweet and Maxwell Ltd., 1971)] and approved by the Supreme Court (in Central Bank of India v. Workmen [Central Bank of India v. Workmen, MANU/SC/0142/1959 : AIR 1960 SC 12, p. 27,

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para 29]): "For modern purposes a declaratory Act may be defined as an Act to remove doubts existing as to the common law, or the meaning or effect of any statute. Such Acts are usually held to be retrospective. The usual reason for passing a declaratory Act is to set aside what Parliament deems to have been a judicial error, whether in the statement of the common law or in the interpretation of statutes. Usually, if not invariably, such an Act contains a Preamble, and also the word "declared" as well as the word "enacted". But the use of the words "it is declared" is not conclusive that the Act is declaratory for these words may, at times, be used to introduced new rules of law and the Act in the latter case will only be amending the law and will not necessarily be retrospective. In determining, therefore, the nature of the Act, regard must be had to the substance rather than to the form. If a new Act is "to explain" an earlier Act, it would be without object unless construed retrospective. An explanatory Act is generally passed to supply an obvious omission or to clear up doubts as to the meaning of the previous Act. It is well settled that if a statute is curative or merely declaratory of the previous law retrospective operation is generally intended. The language "shall be deemed always to have meant" is declaratory, and is in plain terms retrospective. In the absence of clear words indicating that the amending Act is declaratory, it would not be so construed when the preamended provision was clear and unambiguous. An amending Act may be purely clarificatory to clear a meaning of a provision of the principal Act which was already implicit. A clarificatory amendment of this nature will have retrospective effect and, therefore, if the principal Act was existing law which the Constitution came into force, the

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amending Act also will be part of the existing law.'

The above summing up is factually based on the judgments of this Court as well as English decisions."

- 22.9. In **Indian Performing Rights Society Limited v. Sanjay Dalia and another**⁵³, this Court reaffirmed the mischief rule of interpretation, namely, that statutory construction must suppress the mischief sought to be remedied and advance the legislative object. The following paragraph is pertinent:

"24. ... It is settled proposition of law that the interpretation of the provisions has to be such which prevents mischief. The said principle was explained in Heydon's case [MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637]. According to the mischief rule, four points are required to be taken into consideration. While interpreting a statute, the problem or mischief that the statute was designed to remedy should first be identified and then a construction that suppresses the problem and advances the remedy should be adopted. Heydon's [MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637], mischief rule has been referred to in Interpretation of Statutes by Justice G.P. Singh, 12th Edn., at pp. 124-25 thus:

"(b) Rule in Heydon's case [MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637]; purposive construction: mischief rule

When the material words are capable of bearing two or more constructions the most firmly established rule for construction of such words 'of all statutes in general (be they penal or beneficial, restrictive or enlarging of the common law)' is the rule laid down in Heydon's case [MANU/ENRP/0018/1584 : (1584) 3 Co Rep 7a: 76 ER 637] which has now attained the status of a classic (Kanai Lal Sur v. Paramnidhi Sadhukhan [MANU/SC/0097/1957 : AIR 1957 SC

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907]). The rule which is also known as “purposive construction” or “mischief rule” (*Anderton v. Ryan* [MANU/UKHL/0021/1985 : 1985 AC 560: (1985) 2 WLR 968: (1985) 2 All ER 355 (HL)]), enables consideration of four matters in construing an Act: (i) What was the law before the making of the Act; (ii) What was the mischief or defect for which the law did not provide; (iii) What is the remedy that the Act has provided; and (iv) What is the reason of the remedy. The rule then directs that the courts must adopt that construction which “shall suppress the mischief and advance the remedy”. The rule was explained in *Bengal Immunity Co. Ltd. v. State of Bihar* [MANU/SC/0083/1955 :AIR 1955 SC 661] by S.R. Das, C.J....”

- 22.10. In ***State Bank of India v. V. Ramakrishnan and another***⁵⁴, this court held that where an amendment is intended to clarify and set at rest an overbroad interpretation of an earlier provision, such amendment is clarificatory and therefore retrospective in nature.
- 22.11. In ***Ghanashyam Mishra and Sons Private Limited v. Edelweiss Asset Reconstruction Company Limited and others***⁵⁵, this Court reiterated that if the legislature supplies an obvious omission or explains a former statute, the subsequent amendment relates back to the date of the original enactment and may operate retrospectively. The following paragraphs are pertinent:

“89. *It could thus be seen that what is material is to ascertain the legislative intent. If legislature by an amendment supplies an obvious omission in a former statute or explains a former statute, the subsequent statute has a relation back to the time when the prior Act was passed.”*

“94. *We have no hesitation to say that the words “other stakeholders” would squarely cover the Central Government, any State Government or any local*

54 (2018) 17 SCC 394 : (2019) 2 SCC (Civ) 458

55 (2021) 9 SCC 657: (2021) 4 SCC (Civ) 638

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authorities. The legislature noticing that on account of obvious omission certain tax authorities were not abiding by the mandate of the I&B Code and continuing with the proceedings, has brought out the 2019 Amendment so as to cure the said mischief. We therefore hold that the 2019 Amendment is declaratory and clarificatory in nature and therefore retrospective in operation.”

- 22.12. Applying the above principles, it is clear that the 2016 amendments were enacted to cure the mischiefs and omissions in the original legislation, which had become largely unworkable in practice. The legislative intent to make the statute effective is manifest. The prohibition against benami transactions already existed. No period of limitation was prescribed either under the original Act or under the amended Act for initiating action against benami property or against persons involved in such transactions. Action for confiscation or prosecution may therefore be taken whenever the transaction comes to the notice of the competent authorities.
- 22.13. Further, when a *lis* comes before a Court disclosing a benami transaction, the Court is duty-bound to consider the applicability of the Act and enforce the statutory prohibition. The amended provisions merely introduced a complete machinery for attachment, adjudication and appeals. Though attachment and adjudication were elaborately structured for the first time, these provisions are essentially procedural and regulatory, intended to ensure fairness and avoid arbitrary action before confiscation. Unless the amendment is given retroactive operation, the very object of making the legislation workable would be defeated.
- 22.14. The appellate remedies introduced are beneficial safeguards providing checks against arbitrary exercise of power, and beneficial procedural provisions ordinarily operate retrospectively. So far as penal consequences are concerned, enhanced punishment cannot be retrospectively imposed; however, the machinery provisions enabling adjudication, confiscation and enforcement, being curative and procedural, can apply retrospectively.

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22.15. Accordingly, we hold that the 2016 amendments, insofar as they are declaratory, procedural, curative and machinery-oriented, operate retrospectively / retroactively, while penal provisions creating new offences or enhancing punishment can operate only prospectively.

(F) “FIDUCIARY CAPACITY” UNDER THE AMENDED ACT

23. Before proceeding to the facts, another aspect that requires consideration is the scope of the exception contained in Section 4(3) of the unamended Act viz-a-vis Section 2(9) of the Act post-amendment. Section 4(3) as it stood prior to amendment, exempted certain categories of transactions, namely, those between coparceners in a Hindu Undivided Family or members of a joint family, purchases in the name of wife or unmarried daughter, and transactions involving persons standing in a fiduciary capacity. The said provision was omitted, and the relevant exclusions were incorporated into the substituted Section 2(9) which defines a “benami transaction”. We have already held that such omission and substitution would operate retrospectively.

23.1. The expression “fiduciary capacity” was not defined in the original enactment. Under the amended provision, however, the explanation refers to a trustee, executor, partner, director of a company, a depository or participant as an agent under the Depositories Act, 1996, and any other persons as may be notified by the Central Government.

23.2. Ordinarily, where the legislature employs the word “includes”, the definition is prima facie extensive and enlarging. Where the word “means” alone is used, the definition is generally exhaustive. Where the expression “means and includes” is employed, the definition is ordinarily exhaustive while also clarifying its scope. However, even where only the word “includes” is used, the context, object of the statute, and the structure of the provision may indicate a restrictive or exhaustive intention.

23.3. In ***South Gujarat Roofing Tiles Manufacturers Association and another v. State of Gujarat and another***⁵⁶, a Bench of

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three Judges held that though “includes” is commonly used as a word of extension, it may, in a given statutory context, be construed in a restrictive sense where such interpretation alone advances the legislative intent. The following paragraphs are pertinent:

*“3. The question turns on a true construction of the Explanation to entry 22 which says that for the purpose of this entry potteries industry “includes” the manufacture of the nine “articles of pottery” specified therein. Pottery in a wide sense will take in all objects that are made from clay and hardened by fire, from crude earthen pots to delicate porcelain. Mr. Patel appearing for the respondent, State of Gujarat, contends that the Explanation indicates that potteries industry in entry 22 is intended to cover all possible articles of pottery including Mangalore pattern roofing tiles. Referring to the well-known use of the word ‘include’ in interpretation clauses to extend the meaning of words and phrases occurring in the body of the statute, Mr. Patel submits that the Explanation, when it says that potteries industry ‘includes’ the nine named objects, what is meant is that it includes not only these objects but other articles of pottery as well. It is true that ‘includes’ is generally used as a word of extension, but the meaning of a word or phrase is extended when it is said to include things that would not properly fall within its ordinary connotation. We may refer to the often-quoted observation of Lord Watson in *Dilworth v. Commissioner of Stamps* (1899) A.C. 105, that when the word ‘include’ is used in interpretation clauses to enlarge the meaning of words or phrases in the statute*

“these words or phrases must be construed as comprehending, not only such things as they signify according to their natural import but also those things which the interpretation clause declares that they shall include”.

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Thus where 'includes' has an extending force it adds to the word or phrase a meaning which does not naturally belong to it. It is difficult to agree that 'includes' as used in the Explanation to entry 22 has that extending force. The Explanation says that for the purpose of entry 22, potteries industry includes the manufacture of the nine "articles of pottery" specified in the Explanation. If the objects specified are also "articles of pottery", then these objects are already comprised in the expression "potteries industry". It hardly makes any sense to say that potteries industry includes the manufacture of articles of pottery, if the intention was to enlarge the meaning of potteries industry in any way.

4. *We are also unable to agree with Mr. Patel that the articles specified in the Explanation may have been mentioned out of abundant caution to emphasize the comprehensive character of the entry, to indicate that all varieties of pottery are included therein. This argument, though more plausible, does not also seem acceptable. It is possible that one might have doubts whether things like refractory or electrical or textile accessories would pass under the description pottery as that word is used in common parlance, but the Explanation also mentions crockery and toys regarding which there could be hardly any doubt. The inclusion in the list of objects which are well-recognised articles of pottery makes it plain that the Explanation was added to the entry not by way of abundant caution.*

5. *The contention of Mr. Tarkunde for the appellants is that the articles mentioned in the Explanation were intended to be exhaustive of the objects covered by entry 22. According to Mr. Tarkunde if the legislature wanted to bring within the entry all possible articles of pottery then there was hardly any point in mentioning only a few of them by way of Explanation. To this Mr. Patel's reply is that it is well-known that where the legislature wants to exhaust the significance*

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of the term defined, it uses the word 'means' or the expression 'means and includes', and that if the intention was to make the list exhaustive, the legislature would not have used the word 'includes' only. We do not think there could be any inflexible rule that the word 'include' should be read always as a word of extension without reference to the context. Take for instance entry 19 in the schedule which also has an Explanation containing the word 'includes'. Entry 19 is as follows :

Employment in any tobacco processing establishment, not covered under entry No. 3.

Explanation.-For the purpose of this entry, the expression "processing" includes packing or unpacking, breaking up, sieving, thrishing, mixing, grading, drying, curing or Otherwise treating the tobacco (including tobacco leaves and stems) in any manner.

Entry 3 to which entry 19 refers reads:

Employment in any tobacco (including bidi making) manufactory.

It is clear from the Explanation to entry 19 that there could be no other way or manner of "processing" besides what is stated as included in that expression. Though 'include' is generally used in interpretation clauses' as a word of enlargement, in some cases the context might suggest a different intention. Pottery is an expression of very wide import, embracing all objects made of clay and hardened by heat. If it had been the legislature's intention to bring within the entry all possible articles of pottery, it was quite unnecessary to add an Explanation. We have found that the Explanation could not possibly have been introduced to extend the meaning of potteries industry or the articles listed therein added ex abundanti cautela. It seems to us therefore that the legislature did not intend everything that the potteries industry turns out to be covered by the entry. What then could

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*be the purpose of the Explanation? The Explanation says that, for the purpose of entry 22, potteries industry 'includes' manufacture of the nine articles of pottery named therein. It seems to us that the word 'includes' has been used here in the sense of 'means', this is the only construction that the word can bear in the context. In that sense it is not a word of extension, but limitation; it is exhaustive of the meaning which must be given to potteries industry for the purpose of entry 22. The use of the word 'includes' in the restrictive sense is not unknown. The observation of Lord Watson in *Dilworth v. Commissioner of Stamps* (1899) A.C.105, which is usually referred to on the use of 'include' as a word of extension, is followed by these lines :*

"But the word 'include' is susceptible of another construction, which may become imperative, if the context of the Act is sufficient to show that it was not merely employed for the purpose of adding to the natural significance of the words or expressions defined. It may be equivalent to 'mean and include', and in that case it may afford an exhaustive explanation of the meaning which, for the purposes of the Act, must invariably be attached to these words or expressions".

It must therefore be held that the manufacture of Mangalore pattern roofing tiles is outside the purview of entry 22."

- 23.4. In ***Associated Indem Mechanical (P) Ltd. v. W.B. Small Industries Development Corpn. Ltd. and Others***⁵⁷, it was observed that whether the term "includes" is expansive or restrictive depends upon the purpose, context, and scheme of the enactment. The following paragraph is apposite:

"13. As the language shows, the definition of the word "premises" as given in Section 2(c) of the Act is a

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very comprehensive one and it not only means any building or hut or part of a building or hut and a seat in a room, let separately, but also includes godowns, gardens and outhouses appurtenant thereto and also any furniture supplied or any fittings or fixtures affixed for the use of the tenant in such building, hut or seat in a room, as the case may be....”

- 23.5. In **N.D.P. Namboodripad (Dead) by LRs. v. Union of India and Others**⁵⁸ this Court held that although “includes” is generally a word of enlargement, in certain contexts, it may also signify “means and includes”, “comprises” or “consists of”. The following paragraph is pertinent:

“18. The word “includes” has different meanings in different contexts. Standard dictionaries assign more than one meaning to the word “include”. Webster’s Dictionary defines the word “include” as synonymous with “comprise” or “contain”. Illustrated Oxford Dictionary defines the word “include” as: (i) comprise or reckon in as a part of a whole; (ii) treat or regard as so included. Collins Dictionary of English Language defines the word “includes” as: (i) to have as contents or part of the contents; be made up of or contain; (ii) to add as part of something else; put in as part of a set, group or a category; (iii) to contain as a secondary or minor ingredient or element. It is no doubt true that generally when the word “include” is used in a definition clause, it is used as a word of enlargement, that is to make the definition extensive and not restrictive. But the word “includes” is also used to connote a specific meaning, that is, as “means and includes” or “comprises” or “consists of.”

- 23.6. In **S.Vanitha v. Deputy Commissioner, Bengaluru Urban District and Others**⁵⁹, this Court held as under:

⁵⁸ (2007) 4 SCC 502

⁵⁹ (2021) 15 SCC 730

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"27.....The definition of the expression "shared household" in Section 2(s) uses the familiar legislative formula of a "means and includes" definition.

28. *Where the definition of an expression in an enactment adopts a 'means and includes' stipulation, it is intended to be exhaustive. The 'means' part of the definition indicates what would normally fall within the ambit of the expression, while the 'includes' element gives it an extended meaning. Together they indicate that the legislature has provided for an exhaustive enumeration of what falls within the ambit of the definition.*

28.1. *Justice G P Singh in his seminal treatise on the Principles of Statutory Interpretation 21 observes:*

The Legislature has the power to define a word even artificially. So the definition of a word in the definitions Section may either be restrictive of its ordinary meaning or it may be extensive of the same. When a word is defined to "mean" such and such, the definition is prima facie restrictive and exhaustive.

28.2. *On the other hand, "includes" is titled so as to comprehend an extensive meaning:*

Whereas, where the word defined is declared to "include" such and such, the definition is prime facie extensive. When by an amending Act, the word "includes" was substituted for the word "means" in a definitions section, it was held that the intention was to make it more extensive.....

28.3. *The use of the expression "means" is intended to make it exhaustive. On the other hand, the use of the expression "includes" is intended to make it more extensive. The legislature by using an expression "includes" evinces, notwithstanding the meaning of the phrase, an intention:*

to enlarge the meaning of the words or phrases occurring in the body of the statute.

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“Includes” is utilized so as to comprehend:

not only such things as they signify according to their nature and import but also those things which the interpretation Clause declares that they shall include.

28.4. *However, when a statutory definition incorporates the ‘means and includes’ approach, the intent is to make the definition exhaustive. Further, a definition may be in the form of ‘means and includes’, where again the definition is exhaustive.”*

[See in this context the decisions in Jagir Singh v. State of Bihar; MANU/SC/0689/1975 : AIR 1976 SC 997, pp. 999, 1001 : 1976 SCC (Tax) 204 : (1976) 2 SCC 942; Kasilingam v. P.S.G. College of Technology, supra, Bharat Coop. Bank (Mumbai) Ltd. v. Coop. Bank Employees Union, MANU/SC/1574/2007 : (2007) 4 SCC 685 (para 23) : (2007) 4 JT 573 : (2007) 2 LLJ 825 : AIR 2007 SC 2320; Paul Enterprise v. Rajib Chatterjee and Co., MANU/SC/0031/2009 : (2009) 3 SCC 709 para 28 : (2009) 1 JT 632].”

- 23.7. In the present case, while explaining the category of persons standing in a fiduciary capacity, the legislature has specified identifiable classes such as trustee, executor, partner, director, depository participant, and has further expressly reserved power to the Central Government to notify additional categories. The conferment of such specific delegated power is a significant indicator that enlargement beyond the enumerated classes was intended to occur through notification rather than unrestricted judicial expansion.
- 23.8. Accordingly, for the purposes of the Act, the expression “fiduciary capacity” must receive a restricted and controlled construction. Persons expressly enumerated would undoubtedly fall within the exception, and any additional category would ordinarily require notification by the Central Government. In the absence thereof, the scope of the exception cannot be widened merely on equitable considerations.

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(G) EXEMPTION UNDER THE ACT ON ACCOUNT OF FIDUCIARY RELATIONSHIP

24. The Plaintiff, apart from contending that the suit is founded upon the Will, has also pleaded that there existed a fiduciary relationship between him and the deceased K. Raghunath. According to the Plaintiff, acting in trust and confidence, he entered into various MOUs with K. Raghunath, transferred funds to him for the purchase of agricultural lands in the latter's name, to be held for the benefit of the plaintiff, thereafter converted into non-agricultural lands, and ultimately reconveyed or transferred in favour of the plaintiff. For the said arrangement, a consideration of Rs. 2,50,000/- per acre was allegedly fixed.
- 24.1. Reliance has been placed by the learned Senior Counsel for the plaintiff on the decisions in ***Pawan Kumar v. Babulal*** (*supra*), ***P.V. Guru Raj Reddy v. P. Neeradha Reddy*** (*supra*), ***Marcel Martins v. M. Printer*** (*supra*) and the judgments in ***Liverpool & London S.P. & I Assn. Ltd*** (*supra*), ***Hardesh Ores (P) Ltd*** (*supra*), ***Vinod Infra Developers Ltd.*** (*supra*), ***Shaifali Gupta v. Vidya Devi Gupta*** (*supra*), and ***Bharti Cellular Ltd v. CIT***⁶⁰, to contend that the existence or otherwise of a fiduciary relationship is a mixed question of fact requiring trial.
- 24.2. There can be no quarrel with the proposition that disputed questions of fact are ordinarily to be adjudicated upon trial. However, there equally exists a duty upon the Court, while considering an application for rejection of plaint, to ascertain whether any real dispute of fact arises at all and whether the suit is barred by law even if the averments in the plaint are taken at their face value. The Court must satisfy itself that the plaint discloses a genuine triable issue and not a mere illusion of cause of action.
- 24.3. We have already held that the plaint must be given a meaningful reading so as to determine whether it discloses a real cause of action and whether any statutory bar is attracted. In the present case, though the plaint does not expressly employ the phrase "fiduciary relationship", the plaintiff seeks to infer

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such relationship on the basis that the deceased K. Raghunath was a loyal employee in the group of companies run by the plaintiff's father and therefore, the relationship between the plaintiff and the deceased was fiduciary in character. We are unable to agree with the said contention.

- 24.4. Firstly, an employer-employee relationship does not, by itself, fall within the recognized categories of fiduciary relationship for the purpose of exemption under the Benami legislation. Secondly, the law does not ordinarily recognize a fiduciary relationship between a company and its employee, or between a director and an employee of the company, in the sense sought to be projected here. Rather, the recognized fiduciary duty is that of a director towards the company since a director is bound to act in the interests of the company.
- 24.5. A company is a distinct juristic entity, separate from its directors, though it necessarily acts through them. Likewise, directors are not ordinarily fiduciaries of individual shareholders, except in special circumstances where personal advice is tendered and relied upon in good faith. The limited fiduciary obligations that may arise in an employment relationship, such as duties relating to confidentiality, trade secrets, loyalty during service, or acts done in the course of employment, cannot be expanded so as to validate or transform an otherwise prohibited property arrangement into a fiduciary holding exempt from the statute.
- 24.6. In the present case, the plaintiff himself pleads that the deceased was an employee in companies run by his father. There is no pleaded personal relationship of employer and employee between the plaintiff and the deceased K. Raghunath. Even otherwise, such relationship cannot, in law, be elevated to a fiduciary relationship so as to attract the statutory exception. Hence, the contention that the matter necessarily requires trial is liable to be rejected.
- 24.7. In this regard, it would be useful to refer to ***Sangramsinh P. Gaekwad and others v. Shantadevi P. Gaekwad (Dead) through LRs and others***⁶¹, wherein this Court explained that

61 (2005) 11 SCC 314 : AIR 2005 SC 809

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fiduciary duty arises where one person is bound to protect the interests of another and must not derive personal gain from that position of trust. The Court further held that a director stands in fiduciary capacity vis-à-vis the company, but not ordinarily vis-à-vis individual shareholders, save in special circumstances. The following paragraphs are apposite:

"FIDUCIARY DUTY:

.....

42. *A Director of a Company indisputably stands in a fiduciary capacity vis--vis the Company. He must act for the paramount interest of the company. He does not have any statutory duty to perform so far as individual shareholders are concerned subject of course to any special arrangement which may be entered into or a special circumstance that may arise in a particular case. Each case, thus, is required to be considered having regard to the fact situation obtaining therein and having regard to the existence of any special arrangement or special circumstance.*

43. *The question came up for consideration as far back in 1901 in Percival v. Wright, 1902 (2) Ch. 421. In that case, the shares of the company were in few hands which were transferable only with the approval of the Board of Directors. The shares did not carry any market price and were not to be quoted at the stock exchange. The plaintiffs therein intended to dispose of certain shares where for they offered 12 / 5 s. per share purported to be based on a valuation which they had obtained from independent valuers a few months prior thereto. The said offer was accepted. The transaction pertaining to the said agreement was entered into but it was later on discovered by the plaintiffs that prior to and during their own negotiations for sale the Chairman and the Board were approached by one Holden with a view to purchase the entire undertaking of the company with a view to resell the same at a profit to a new company. The question of fiduciary obligation on the part of the Directors arose*

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therein when the plaintiff brought an action against the Chairman and the two other purchasing Directors asking for setting aside the sale on the ground that the defendants as Directors ought to have disclosed the feature of negotiations with Holden when negotiating purchase of their shares. The question therein posed was: Assuming that directors are, in a sense, trustees for the company, are they trustees for individual shareholders? The Chancery Division despite holding that the Directors must act bonafide and for the best interest of the company did not accept the argument that the relationship between the shareholders inter se are the same as that of partners in an unincorporated company holding :

“...The contrary view would place directors in a most invidious position, as they could not buy or sell shares without disclosing negotiations, a premature disclosure of which might well be against the best interests of the company. I am of the opinion that directors are not in that position. There is no question of unfair dealing in this case. The directors did not approach the shareholders with the view of obtaining their shares. The shareholders approached the directors, and named the price at which they were desirous of selling.”

44. *Percival (supra) was noticed by a 4-Judge Bench of this Court in Nanalal Zaver and Anr. v. Bombay Life Assurance Co. Ltd. and Ors. MANU/SC/0003/1950 : [1950] 1 SCR 391 in the following terms:*

“It is clear that until the Singhanian group get their names entered in the register of the members they are not shareholders but are complete strangers to the company. It has been held in Percival v. Wright, L.R. (1902) 2 Ch. 421 that ordinarily the directors are not trustees for the individual shareholders. Even if the directors owe some duty to the existing shareholders on the

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footing of there being some fiduciary relationship between them as stated in some cases [see for example In re Gresham Life Assurance Society] [L.R. 8 Ch. App. 446] I see no cogent reason for extending this principle and imputing any kind of fiduciary relationship between the directors and persons who are complete strangers to the company. In my judgment, therefore, the conduct of the respondents 2 to 9 cannot be judged on the basis of any assumed fiduciary relationship existing between them and the Singhania group. In my opinion, the respondents 2 to 9 owed no duty to the Singhania group and, therefore, the motive to exclude them cannot be said to be mala fide per se.”

...

48. *In Palmer’s Company Law, 23 rd edition, page 848, it is stated: “64-02. Relationship is with company: The fiduciary relationship of a director exists with the company: the director is not usually a trustee for individual shareholders. Thus, a director may accept a shareholder’s offer to sell shares in the company although he may have information which is not available to that other, and the contract cannot be upset even if the director knew of some fact which made the offer an attractive proposition....*

49. *In Pennington’s Company Law 6 th Edn. at page 608-09, it is stated :*

“Directors owe no fiduciary or other duties to individual members of their company in directing and managing the company’s affairs, acquiring or disposing of assets on the company’s behalf, entering into transactions on its behalf, or in recommending the adoption by members of proposals made to them collectively. If directors mis-manage the company’s affairs, they incur liability to pay damages or compensation to the

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company or to make restitution to it, but individual members cannot recover compensation for the loss they have respectively suffered by the consequential fall in value of their shares, and they cannot achieve this indirectly by suing the directors for conspiracy to breach the duties which they owed the company. However, there may be certain situations where directors do owe a fiduciary duty and a duty to exercise reasonable skill and care in advising members in connection with a transaction or situation which involves the company or its business undertaking and also the individual holdings of its members.”

50. *In Dawson International plc v. Coats Patons plc, 1988 SLT 854 Percival (supra) was relied upon holding that the Directors are, in general, under no fiduciary duty to shareholders and in particular current shareholders with respect to the disposal of their shares in the most advantageous way as directors are not their agents and as such are not normally entrusted with the management of their shares. It was, however, observed that if the directors take it upon themselves to give advice to current shareholders they have a duty to act in good faith and not fraudulently nor can mislead the shareholders whether deliberately or carelessly, in which event, they may have a remedy.*

51. *A distinction, thus, has been carved out as regards the fiduciary duty of the directors with regard to the property and funds of the company as contradistinguished from the duty of directors to current shareholders as sellers of their shares. In case of conflict between two interests, the company’s interest must be protected. The directors, however, will have a fiduciary relation if they have taken unto themselves the burden of giving advice to current shareholders.*

52. *The aforementioned principles of law found favour with the Court in Needle Industries (India) Ltd. and*

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Ors. v. Needle Industries Newey (India) Holding Ltd. and Ors. MANU/SC/0050/1981 : [1981] 3 SCR 698 wherein it was held:

“Where directors of a company seek, by entering into an agreement to issue new shares, to prevent a majority shareholder from exercising control of the company, they will not be held to have failed in fiduciary duty to the company if they act in good faith in what they believe, on reasonable grounds, to be the interests of the company. If the directors’ primary purpose is to act in the interests of the company, they are acting in good faith even though they also benefit as a result.”

55. *Fiduciary duty of the Directors to the company should not be equated with the duty to the shareholders.*

56. *In Peskin and Anr. v. Anderson and Ors., [2001] 1 BCLC 372, Percival (supra) as also other decisions taking similar or contrary view were noticed by the Court of Appeal including the judgment of the Court of Appeal in New Zealand in Coleman v. Myers as also Court of Appeal of New South Wales in Brunninghausen v. Glavanics, (1999) 46 NSWLR and held that the directors had no fiduciary duty to the shareholders in the facts and circumstances obtaining therein. However, observations were made therein that such duties may arise in special circumstances demonstrating the salient features and well-established categories of fiduciary relationship such as agency which involves duties of trust, confidence and loyalty.*

- 24.8. Further, the pleadings and the documents filed along with the plaint disclose that the alleged transfer of funds for purchase of property was based on contractual arrangements embodied in the MOUs. The transaction is commercial in nature. A fixed consideration of Rs. 2,50,000/- per acre was allegedly agreed upon. Such an arrangement, involving consideration and

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reciprocal commercial obligations, cannot be equated with property being held in trust for the benefit of another so as to constitute a fiduciary holding. A commercial arrangement, breach of which may entitle remedies in contract or common law, does not become a fiduciary relationship merely because confidence is asserted by one party. Consequently, we reject the contention of the Respondent / Plaintiff that there existed any fiduciary relationship between him and K. Raghunath so as to exempt the transaction from the rigour of the Benami law.

(H) BAR TO SUCCESSION TO THE ESTATE OF THE DECEASED

25. The learned senior counsel for the Appellants submitted that the Respondent is disentitled to inherit the estate of the deceased K. Raghunath by virtue of the disqualification contained in Section 25 of the Hindu Succession Act, 1956. On the other hand, the learned senior counsel appearing for the Respondent relying upon the judgment of the Karnataka High Court in *Ramaiah's* case (supra) contended that execution of a Will does not amount to a transfer of property and therefore, the bar under Section 25 would not apply.
- 25.1. Before adverting to the rival submissions, it is necessary to notice the relevant provisions of the Hindu Succession Act, 1956, as follows:

“5. Act not to apply to certain properties

This Act shall not apply to

- (i) *any property succession to which is regulated by the Indian Succession Act, 1925 (39 of 1925), by reason of the provisions contained in section 21 of the Special Marriage Act, 1954 (43 of 1954);*
- (ii) *any estate which descends to a single heir by the terms of any covenant or agreement entered into by the Ruler of any Indian State with the Government of India or by the terms of any enactment passed before the commencement of this Act;*
- (iii) *the Valiamma Thampuran Kovilagam Estate and the Palace Fund administered by the Palace Administration Board by reason of the powers*

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conferred by Proclamation (IX of 1124) dated 29th June, 1949, promulgated by the Maharaja of Cochin.

25. Murderer disqualified

A person who commits murder or abets the commission of murder shall be disqualified from inheriting the property of the person murdered, or any other property in furtherance of the succession to which he or she committed or abetted the commission of the murder.

27. Succession when heir disqualified

If any person is disqualified from inheriting any property under this Act, it shall devolve as if such person had died before the intestate.

30. Testamentary succession:

Any Hindu may dispose of by will or other testamentary disposition any property, which is capable of being so disposed of by him or by her, in accordance with the provisions of the Indian Succession Act, 1925 (39 of 1925), or any other law for the time being in force and applicable to Hindus.”

- 25.2. As per Section 5 of the Hindu Succession Act, the provisions of the Act do not apply only to the categories expressly excluded therein. Apart from the said exceptions, there is nothing in the Act which excludes the application of its provisions to a Hindu, who succeeds to the estate of a deceased by testamentary succession.
- 25.3. It is trite law that disposition by Will is contemplated under Section 30 of the Hindu Succession Act, 1956 and Part VI of Indian Succession Act, 1925. In **N.P. Saseendran v. N.P. Ponnamma and others**⁶², while considering whether a document was a Will or a settlement, this Court held that a Will is a testamentary instrument intended to take effect after

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the death of the testator and remains revocable during his lifetime. The relevant paragraphs read as under:

“11.2. Will is a testamentary document dealt under the Indian Succession Act, 1925. Part VI of the Act deals with the Testamentary Succession. We will consider only the relevant provisions applicable to this case. Will is defined under Section 2(h) as a legal declaration of the intention of the testator to be given effect after his death. Such declaration is with respect to his property and must be certain. As per Section 59, every person of sound mind, not being a minor, may dispose of his property by executing a Will. Section 61 states the circumstances under which a Will is void. Section 62 enables a person to revoke or alter a Will at any time while he is competent to dispose of his property by will. Needless to say, since the Will comes into effect only after his life time, he is at full liberty to revoke or alter his earlier Will any number of times as long as he is in sound state of mind and not hit by the circumstances enumerated under Section 62...

Interplay between Gift and Will

11.4. As we have seen, a will is the declaration of the intention of the testator to give away his property. Such will comes into force after the death of the testator. The most important requirement for a valid will is that it must again be a voluntary disposition in sound mind, which must be explicit from the instrument itself. Therefore, it can be concluded that every will also has an element of gift, with the difference being the disposition deferred until the death of the testator. Insofar as the revocation is concerned, the testator is at liberty to revoke or alter the will any number of times until his demise, but it is essential that he remains of sound mind while doing so.”

- 25.4. However, in the present case, we are not concerned with a mere transfer of property, but with inheritance and succession to the estate of the deceased. Succession to the estate of

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the deceased devolves in two ways, namely: (i) intestate succession, and (ii) testamentary succession. Intestate succession takes place in accordance with the rules of personal law governing inheritance. Testamentary succession takes place when property is bequeathed through a Will.

- 25.5. Section 25 of the Hindu Succession Act provides that a person who commits murder or abets the commission of murder shall be disqualified from inheriting the property of the person murdered, or any other property in furtherance of the succession to which such person committed or abetted the commission of murder. Section 27 further declares that where a person is so disqualified, the property shall devolve as if such person had predeceased the intestate. Section 30 recognises testamentary succession and enables any Hindu to dispose of property by Will or other testamentary disposition in accordance with the Indian Succession Act, 1925 or any other applicable law. Thus, the Hindu Succession Act contemplates both intestate and testamentary succession. Consequently, the bar under Section 25 applies equally to a person who seeks to inherit the estate of the deceased through testamentary succession.
- 25.6. The principle underlying Section 25 is founded upon public policy, justice, equity and good conscience, namely, that no person can be permitted to profit from his own wrong. The statutory provision merely incorporates a long-settled equitable doctrine. The bar against a murder inheriting the estate of the deceased existed even prior to the coming into force of the Hindu Succession Act, 1956. A person must not be permitted to profit from or take advantage of his own wrong. This principle is reflected in the maxim *ex turpi causa non oritur actio* and the rule that no man may benefit from his own wrong.
- 25.7. It would be appropriate to refer to the judgment of this Court in ***Union of India and others v. Major General Madan Lal Yadav***⁶³, which explain the underlying principle, as follows:

“28. Even if narrow interpretation is plausible, on the facts in this case, we have no hesitation to conclude

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that the trial began on 25-2-1987 on which date the court martial assembled, considered the charge and the prosecution undertook to produce the respondent who was found escaped from the open detention, before the Court. It is an admitted position that GCM assembled on 25-2-1987. On consideration of the charge, the proceedings were adjourned from day to day till the respondent appeared on 2-3-1987. It is obvious that the respondent had avoided trial to see that the trial would not get commenced. Under the scheme of the Act and the Rules, presence of the accused is a precondition for commencement of trial. In his absence and until his presence was secured, it became difficult, nay impossible, to proceed with the trial of the respondent-accused. In this behalf, the maxim nullus commodum capere potest de injuria sua propria — meaning no man can take advantage of his own wrong — squarely stands in the way of avoidance by the respondent and he is estopped to plead bar of limitation contained in Section 123(2). In Broom's Legal Maxim (10th Edn.) at p. 191 it is stated:

“... it is a maxim of law, recognised and established, that no man shall take advantage of his own wrong; and this maxim, which is based on elementary principles, is fully recognised in courts of law and of equity, and, indeed, admits of illustration from every branch of legal procedure.”

The reasonableness of the rule being manifest, we proceed at once to show its application by reference to decided cases. It was noted therein that a man shall not take advantage of his own wrong to gain the favourable interpretation of the law. In support thereof, the author has placed reliance on another maxim frustra legis auxilium invocat quaerit qui in legem committit. He relies on Perry v. Fitzhowe [(1846) 8 QB 757 : 15 LJ QB 239] . At p. 192, it is stated that if a man be bound to appear on a certain day, and before that day the obligee puts him in

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prison, the bond is void. At p. 193, it is stated that “it is moreover a sound principle that he who prevents a thing from being done shall not avail himself of the non-performance he has occasioned”. At p. 195, it is further stated that “a wrong doer ought not to be permitted to make a profit out of his own wrong”. At p. 199 it is observed that “the rule applies to the extent of undoing the advantage gained where that can be done and not to the extent of taking away a right previously possessed”.

- 25.8. The aforesaid principle was reiterated in ***Municipal Committee Katra and others v. Ashwani Kumar***⁶⁴, as follows:

“18. The situation at hand is squarely covered by the latin maxim ‘nullus commodum capere potest de injuria sua propria’, which means that no man can take advantage of his own wrong. This principle was applied by this Court in the case of Union of India v. Maj. Gen. Madan Lal Yadav...

19. It is beyond cavil of doubt that no one can be permitted to take undue and unfair advantage of his own wrong to gain favourable interpretation of law. It is a sound principle that he who prevents a thing from being done shall not avail himself of the non-performance he has occasioned. To put it differently, ‘a wrong doer ought not to be permitted to make profit out of his own wrong’. The conduct of the respondent-writ petitioner is fully covered by the aforesaid proposition.”

- 25.9. Similarly, in ***Binod Pathak and others v. Shankar Choudhary and others***⁶⁵, this Court explained the distinction between right arising from wrongdoing and advantages flowing from wrong doing, and reiterated that courts must not validate gains derived from abuse of process or wrongful conduct. The following paragraphs are pertinent:

“45. The genesis of the provision of Rule 10A of the Order XXII lies in the doctrine of ‘clean hands’. The

64 2024 SCC OnLine SC 840

65 2025 SCC OnLine SC 1411

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doctrine of 'clean hands' originates from the Roman Law, and finds expression in two latin maxims being (i) *ex injuria ius non oritur* and (ii) *nullus commodum capere potest de injuria sua propria*, which mean "from wrong, no right arises" and "no one can take advantage of their own wrong", respectively. [See: Schwebel, Stephen M. "Clean Hands, Principle" Eds., Rüdiger Wolfrum, Oxford University Press, 2009].

46. Although the aforesaid two maxims, semantically appear to be one and the same, with the courts often applying the two interchangeably, yet there lies a very fine but pertinent distinction between the two maxims. The two maxims are comparable to each other but they are not interchangeable, and differ in their scope. Aaron X. Fellmeth and Maurice Horwitz in the "Guide to Latin Maxims in International Law" 1st Ed., Oxford University Press, has explained the maxim *ex injuria ius non oritur* as follows: -

"A right does not arise from wrongdoing." A maxim meaning that one cannot generally rely on a violation of law to establish a new legal right or to confirm a claimed right. E.g., "As Lauterpacht has indicated the maxim *ex injuria ius non oritur* is not so severe as to deny that any source of right whatever can accrue to third persons acting in good faith. Were it otherwise the general interest in the security of transactions would be too greatly invaded and the cause of minimizing needless hardship and friction would be hindered rather than helped." Advisory Opinion on Legal Consequences For States Of The Continued Presence Of South Africa In Namibia (South West Africa) Notwithstanding Security Council Resolution 276 (1970), 1971 I.C.J. Rep. 16, 167 (separate opinion of Judge Dillard). An alternative formulation is *ius ex iniuria non oritur*. Compare with *Nullus commodum capere (potest) de sua iniuria propria*."

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48. *A perusal of the aforesaid makes it abundantly clear, that while the maxim ‘ex injuria ius non oritur’ is a principle governing the general spirit of the jurisprudence of “rights”, that a right cannot emanate or emerge from a wrongful act, the maxim ‘nullus commodum capere potest de injuria sua propria’, on the other hand, confirms the general rule of equity and prudence that no one can benefit from their own wrongdoing. The scope of the latter is wider than the former. The first maxim explains that the legitimacy of a right stands vitiated if such right, which otherwise would have been legitimately exercisable, accrues from a wrongdoing of the person claiming under or exercising such right. Although, under the law, a right may arise even if from a wrongdoing, yet if exercise of such right is allowed, it would malign the very jurisprudential underpinning of ‘right’ and ‘duty’. A right has a legal sanctity and backing to it, in order for it to have a legitimising effect, since the jural correlative of a right is duty. More particularly, the term “right” is very specific to not include every benefit, profit or advantage. The maxim solidifies the faith in law that no wrong action will be given a legal validity. The legal validity of a right flows from other legal norms or from a source of law [See: Niel MacCormick, “Rights in Legislation”, Law, Morality and Society: Essays in Honour of H.L.A. Hart, P.M.S. Hacker, and Joseph Raz (eds). 189-206, Oxford: Clarendon Press (1977)].*

49. *The maxim, ‘nullus commodum capere potest de injuria sua propria’, on the other hand, lays itself as a rule of equity. An advantage falling from wrongdoing may be a legal or illegal advantage. The maxim dictates that, be that as it may, no profit or advantage of a person’s wrongful act may be validated by the seal of law. It may very well happen, that the advantage may be legal or illegal, but the validation of law will not be extended to it by the law. Thus, the courts that have the discretion to*

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allow or disallow the availment of such advantage in ordinary circumstances, are constrained to not permit a person who has committed a wrongful act to benefit from the advantageous position afforded to him because of such wrongful action as a matter of justice, equity and fairness. Fellmeth and Horwitz rightly extend an illustration, that when a person himself destroys evidence, he cannot take shelter of the defence of lack of evidence. The advantage falling from the wrong will not be validated by the courts of law. 50. The interpretation of Order XXII Rule 10A is a manifestation of the latter and not the former i.e., the cornerstone of its nature and the effect is the maxim 'nullus commodum capere potest de injuria sua propria' or no one should derive benefit from their own wrong. This is because of the procedural nature of the provision as held in Kanan Bala (supra) and a catena of other decisions of this Court. Although, the provision aims to do justice over technicalities by casting a duty upon the pleader to apprise the court as well as all parties about the demise of his client, yet it does not prescribe any penalty for the non-compliance of the same, wilful or inadvertent. A pleader may not be put to the perils of any penalty for his failure in performing the duty under Rule 10A in law, yet it does not mean that such failure would also be of no bearing in equity or of inconsequence to the ultimate abatement of the suit or appeal.

.....

53. *We would like to remind the High Court of this very important legal maxim of 'nullus commodum capere potest de injuria sua propria'. It is the duty of the court to ensure that dishonesty or any attempt to abuse the legal process must be effectively curbed and the court must ensure that there is no wrongful, unauthorised or unjust gain for anyone by abusing of the process of the court. No one should be permitted to use the judicial process for earning undeserved gains for unjust profits. The courts' constant endeavour*

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should be to ensure that everyone gets just and fair treatment.

54. *We may clarify with a view to obviate any possibility of confusion that the maxim ‘ex injuria ius non oritur’ is different from the maxim ‘nullus commodum capere potest de iniuria sua propria’ for the reason that the former pertains to a ‘right’ that may become available to a wrongdoer due to the wrongful act and the latter relates to an ‘advantage’ or ‘benefit’ that a wrongdoer may derive from his wrongful conduct. Although both are in essence a byproduct of the doctrine of equity and share a common genealogy under the doctrine of clean hands, the field in which they operate are different and distinct. In case of the first maxim, had the right not emanated from a wrongful act, it would have been cemented in law and the person in whose favour such right had accrued, could have pleaded for vindication of the same, with sufficient guarantee, that his plea would be accepted by the court. However, in the case of the second maxim, if the advantage was not being derived from a wrongful act, the courts would nevertheless still have the discretion to hold whether the person in whose favour such advantage had arisen, could avail such advantage or not. While in such a case there would be no embargo on the courts to deny the advantage to the person eligible to benefit from the same, the courts could still rule that such person could not avail the benefit. Having considered the cases in which there is no wrong done by the person deriving the right or benefit from their actions, we shall now see how the wrongful action affects the conclusion of the courts in both such scenarios as-well. The answer to this is straightforward. In the first case, when a right accrues to the person who has committed the wrongful act due to such act, and while the law regards it as an enforceable right, yet the courts are armed with power to deny the vindication of such rights, which they ordinarily could not have done. Put it differently, while the existence of such*

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rights is undeniable in the eyes of law, yet the exercise or enforceability of such rights would nevertheless be deniable by the courts in equity. The way the maxim envisages the application of this principle is based on one another well-known principle; that equity cannot supplant the law. When the courts deny the right that may have accrued by a wrongdoing, the courts in essence are not denying the right itself i.e., they are not supplanting the right emanating from a law, rather, they are drawing upon the reservoir of equity within their conscience, to withhold its enforcement, not to contradict the law, but to ensure that the law does not become an instrument for legitimizing its own violation through the hands of courts who are expected and reposed of the faith to uphold the law in the first place. Hence, under the first maxim, the courts cannot deny such rights, as they flow from the law, but any vindication or enforcement can be if they require the touch of courts, by invoking a higher standard of fairness that guards against the instrumentalization of legal rights as vehicles of injustice.”

- 25.10. Further, Section 25 does not envisage a situation where the person claiming inheritance must necessarily stand convicted in a criminal case. The disqualification operates against a person who commits murder or abets the commission of murder. The provision does not make conviction a condition precedent. The provision imposes a civil consequence against a wrongdoer and the issue may be examined on the standard of preponderance of probabilities, independent of the strict standard of proof applicable to criminal prosecution.
- 25.11. We take judicial notice of the judgments by various High Courts following the law laid down by this Court, holding that the expression “murder” occurring in Section 25 would include culpable homicide. Reference may be made to **Anil Behari Ghosh v. Latika Bala Dassi and others**⁶⁶, **Nannepuneni Seetharamaiah and others v. Nannepuneni**

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***Ramakrishnaiah*⁶⁷, *Chaman Lal v. Mohan Lal and others*⁶⁸, *Minoti v. Sushil Mohan Singh Malik and another*⁶⁹ and *M. Nagarajan v. V.M. Nagammal*⁷⁰.**

- 25.12. The reliance placed upon *Ramaiah*'s case to contend that there is no transfer of property is misplaced. We are concerned here with inheritance and succession, and not with a mere *inter vivos* transfer. The execution of a Will is an expression of the intention of the testator that the property shall devolve upon the beneficiary after his lifetime. As held in *N. Saseendran v. N.P. Ponnammal and others* (supra), the disposition takes effect upon the death of the testator, subject to revocation during his lifetime. In any event, the judgment in *Ramaiah*'s case does not advance the case of the Respondent / Plaintiff as the present controversy concerns disqualification from succession and not transfer simpliciter.
- 25.13. In the present case, the Plaintiff has been accused of the murder of K. Raghunath and a CBI investigation is stated to be pending. The said fact has been suppressed by the Plaintiff in the pleadings. We have already held that a person guilty of suppression of material facts is not entitled to be heard and that the plaint is also liable to be rejected. We have further held that an application under Order VII Rule 11 CPC and a preliminary issue on a pure question of law may be considered together. Since the suppression is apparent on a plain reading of the plaint, we deem it unnecessary to relegate the parties to the trial Court again for adjudication of any question of law as a preliminary issue. The matter can appropriately be decided at this stage itself.

(I) WHETHER THE OBJECT OF THE CONTRACT IS LAWFUL

26. As per Sections 10 and 23 of the Indian Contract Act, 1872, a contract without lawful consideration or with an unlawful object is void. The relevant provisions read as under:

67 AIR 1970 AP 407

68 AIR 1977 DELHI 97

69 AIR 1982 BOMBAY 68

70 Second Appeal No. 225 of 2006 decided on 23.12.2011, Madras High Court

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“10. What agreements are contracts. — *All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.*

Nothing herein contained shall affect any law in force in India and not hereby expressly repealed by which any contract is required to be made in writing or in the presence of witnesses, or any law relating to the registration of documents.”

“23. What considerations and objects are lawful, and what not. — *The consideration or object of an agreement is lawful, unless—*

it is forbidden by law; or

is of such a nature that if permitted, it would defeat the provisions of any law; or

is fraudulent; or

involves or implies injury to the person or property of another; or the Court regards it as immoral, or opposed to public policy.

In each of these cases, the consideration or object of an agreement is said to be unlawful. Every agreement of which the object or consideration is unlawful is void.”

- 26.1. In the present case, the averments in the plaint, read conjointly with the documents filed therewith, disclose that the object of entering into the four MOUs was to circumvent the provisions of the Karnataka Land Reforms Act, 1961, particularly Sections 79A and 79B thereof, which imposed financial restrictions on persons or families seeking to purchase agricultural lands. The provisions also required that the holder personally cultivate the lands.
- 26.2. The pleadings further disclose that since the Plaintiff or his company was disentitled from directly purchasing the lands, a mechanism was devised whereby the Plaintiff allegedly funded

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the purchase in the name of another, caused the lands to be converted for non-agricultural use, and thereafter sought transfer in his own favour. The Plaintiff also claims to have paid the entire consideration. Such an arrangement was plainly intended to defeat the statutory mandate of the Karnataka Land Reforms Act and is therefore hit by Section 23 of the Contract Act. The MOUs, being founded upon an unlawful object, are illegal and void, and no rights can arise therefrom.

- 26.3. That apart, the transaction, in substance, bears all the indicia of a benami arrangement of the kind sought to be prohibited under the Benami Act. What cannot be done directly cannot be permitted to be achieved indirectly. The Plaintiff through careful drafting, seeks to portray the suit as one founded solely on the Will. However, the pleadings in the plaint, as also the recitals in the Will, expressly refer to the MOUs and thereby reveal the underlying illegal arrangement between the Plaintiff and the deceased. Though the expression “benami” is not used in the plaint, a meaningful and substantive reading unmistakably discloses such an arrangement. It is trite that substance must prevail over form. Courts are not bound by mere labels in pleadings and must read between the lines to ascertain the true nature of the transaction. The plaint, therefore, was wholly unsustainable in law, and the trial Court was justified in rejecting the same.

(J) RELIEFS TO WHICH THE APPELLANTS ARE ENTITLED

27. Though the plaint is liable to be rejected, the appellants cannot, for that reason alone, claim entitlement to the suit schedule properties. Their case is that the said properties were the self-acquired properties of the deceased K.Raghunath, who is stated to have executed a registered Will dated 28.01.2016 bequeathing the same in favour of his wife, pursuant to which the appellants claim to have secured mutation in the revenue records and to be in peaceful possession thereof. The appellants have substantially relied upon the averments contained in the plaint filed by the Respondent and the criminal cases registered against him.
- 27.1. We have already held that the transactions in question are benami in nature. Once such finding is returned, the properties

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become liable to confiscation in accordance with law. In that view of the matter, the appellants have failed to establish that the suit properties were acquired from the independent funds of the deceased.

V. FINDINGS

28. We are of the considered view that experience shows property is often acquired in the name of another, not out of necessity, but to circumvent statutory restrictions, defeat creditors, conceal beneficial ownership or avoid the rigours of law. Such arrangements, though outwardly innocuous, are designed to separate ostensible title from real control, enabling persons to enjoy benefits while evading corresponding legal obligations. The Prohibition of Benami Property Transactions Act, 1988, as amended, was enacted precisely to dismantle such structures and to ensure that substance prevails over form.
- 28.1. Courts, in the discharge of their adjudicatory function, must therefore remain vigilant against attempts to secure judicial recognition of what the law expressly prohibits. The judicial process cannot be employed as an instrument to enforce rights founded upon transactions forbidden by statute. Courts are duty-bound to pierce the veil of form and ascertain the real nature of the transaction, for what cannot be done directly cannot be permitted to be achieved indirectly through the medium of legal proceedings.
- 28.2. At the same time, the power to reject a plaint at the threshold under Order VII Rule 11 CPC is a serious jurisdiction to be exercised with due circumspection. While genuine causes must not be shut out prematurely, courts are equally bound to prevent misuse of judicial process where the pleadings, on their own showing, disclose no enforceable right or reveal a claim barred by law. The provision thus serves as an important filter, balancing access to justice with the need to prevent frivolous, vexatious, or legally untenable claims from being carried to trial.
- 28.3. In the present case, though the plaint is ostensibly framed as one founded upon a testamentary instrument and succession to the estate of the deceased, a meaningful and holistic reading

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shows that the real foundation of the claim is the assertion that the suit properties were purchased by the deceased with funds allegedly provided by the plaintiff and were thereafter held for his benefit. The claim is thus inseparably intertwined with an assertion of beneficial ownership arising from an arrangement which squarely attracts the mischief of the Benami Act.

- 28.4. We have already held that the initial transactions of purchase were benami transactions, against which the statutory bar continues even after the amendment. Therefore, the plaintiff cannot assert any claim thereto. The purchase of the properties by K. Raghunath is not protected by any of the exceptions contained in Sections 3 or 4 of the Benami Act, either before or after amendment, and the object of the MOUs relied upon is illegal and void. Equally, the appellants / defendants, claiming as legal heirs, are not entitled to derive any advantage therefrom, having failed to establish that the suit properties were acquired from the independent funds of the deceased.
- 28.5. The suit schedule properties are consequently liable to confiscation under Section 27 of the Act. Since the bar under Sections 45 and 65 does not operate against the High Court or this Court, it is unnecessary to relegate the parties to the Adjudicating Authority once a competent judicial determination declaring the transaction benami has attained finality. In such circumstances, confiscation may follow as a consequence of that declaration.
29. The conspectus of our discussion and findings may be summarised thus:
- (i) An application under Order VII Rule 11 can be taken up along with a preliminary objection and decided together by the trial Court;
 - (ii) Admission of a plaint is not automatic; trial Courts shall verify whether the plaint satisfies the requirements of Order VII Rule 11 CPC before issuing summons. However, merely because the plaint has been admitted and summons issued, the defendants are not precluded from seeking rejection of the plaint or raising a preliminary objection;

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- (iii) A disputed question of fact requiring the adducing and appreciation of evidence cannot ordinarily be decided as a preliminary objection or while considering an application for rejection of plaint. However, this does not preclude the Court from examining whether the very basis of such question is legally sustainable before relegating the parties to the ordeal of trial;
- (iv) There is no fiduciary relationship between a director of a company and an employee of the company. Rather, the relationship between the company and its director is fiduciary in nature. Contractual relationships supported by valid consideration also stand outside the fiduciary exception, being commercial transactions and not arrangements founded merely on trust;
- (v) The bar under Section 25 of the Hindu Succession Act, 1956 applies to both intestate and testamentary succession. A person accused of the murder of one from whom inheritance is claimed, is disentitled from asserting rights, not only under Section 25 but also on the principles of justice, fair play and equity. Strict proof is not indispensable in civil proceedings if the preponderance of probabilities points to commission of the offence;
- (vi) A contract entered into for the purpose of circumventing the law is illegal and cannot be enforced or relied upon in a court of law;
- (vii) Courts below must curtail frivolous suits which are barred by law, and cases where the cause of action disclosed is illusory, by piercing the veil of clever drafting and giving a meaningful and wholesome reading to the plaint and accompanying documents, preferably at the earliest stage of the suit;
- (viii) A curative or declaratory amendment is retrospective in operation. The scheme of the Benami Act does not prescribe any timeline for initiation of action by issuance of notice. The amendments introduced in 2016 are retrospective in operation and the provisions can be invoked in respect of earlier benami transactions as well;
- (ix) Confiscation is a civil consequence and does not amount to prosecution under the scheme of the Act. Confiscation and prosecution contemplated under the Benami Act operate in distinct spheres and are governed by different procedures. Hence, Article 20(2) of the Constitution is not attracted;

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- (x) Once a transaction is declared to be benami in judicial proceedings and such declaration attains finality, the property is liable to confiscation, and recourse to the procedure under Sections 24 to 26 of the Act need not be followed, since the Adjudicating Authority cannot sit in appeal over a judicial determination. Prosecution may thereafter proceed in accordance with Chapter VII of the Act, if not already initiated.
- (xi) Trial Courts, where any matter touching upon a benami transaction is pending, shall take up the issue as a preliminary issue and decide it at the earliest point of time, and if a prima facie case is made out, transfer the matter to the Adjudicating Authority or the Appellate Tribunal, as the case may be.

VI. CONCLUSION

- 30. Before parting, we deem it appropriate to observe that it is not uncommon in legal history that whenever the law seeks to prohibit, human ingenuity seeks to disguise. From the use of proxies in earlier times to modern layered transactions, the separation of real ownership from ostensible title has long been employed as a device to evade legal restraints. Benami transactions are but a contemporary manifestation of that tendency, where legality is outwardly simulated though never truly intended. Courts, however, are concerned not with the façade, but with the substance that lies beneath it. The judicial process cannot be invoked to validate, protect, or perfect that which the law itself declares impermissible.
 - 30.1. It is this interplay between form and reality that falls for consideration in the present case, where a claim ostensibly founded upon a testamentary instrument was, in substance, an attempt to secure judicial recognition of a transaction prohibited by law. Such an approach cannot be countenanced by this Court. Where the statute not only prohibits such transactions but also provides for stringent consequences, the Court would be failing in its duty if it were to remain a silent spectator.
 - 30.2. The power of confiscation is not merely punitive in character, but serves a larger public purpose, namely to preserve the sanctity of lawful ownership, deter colourable devices, and ensure that no person derives advantage from transactions structured to defeat the mandate of law. Stern enforcement

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of the statute, wherever warranted, alone would send a clear message that benami transactions shall neither receive judicial indulgence nor escape statutory consequences.

31. In view of the above, the impugned judgment dated 22.02.2024 passed by the High Court in R.F.A. No. 2216 of 2023 (DEC/INJ) is set aside. The Central Government is directed to appoint an Administrator and take over the suit properties, in accordance with law, within a period of eight weeks from the date of receipt of this judgment. It is made clear that since the judicial determination declaring the transaction to be *benami* has attained finality, no court shall entertain any claim in respect of the subject properties arising out of or founded upon such *benami* transaction.
32. With the aforesaid directions, the Civil Appeal stands disposed of. There is no order as to costs.
33. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal disposed of.

[†]Headnotes prepared by: Divya Pandey

Yatin Narendra Oza
v.
***Suo Motu*, High Court of Gujarat and Another**

(Criminal Appeal No. 669 of 2020)

11 May 2026

[J.K Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Issue arose whether the conviction and sentence imposed by the High Court on the appellant-President of the Gujarat High Court Advocates' Association and senior advocate, under the Contempt of Courts Act calls for interference.

Headnotes[†]

Contempt of Courts Act, 1971 – ss.2(c), 20 – Contempt of Court – Appellant-President of the Gujarat High Court Advocates' Association and senior advocate, in a live press conference made certain unwarranted and contentious allegations, including preferential treatment, and questioned the credibility of the administration of the High Court – *Suo-moto* cognizance taken by the High Court and proceedings for criminal contempt initiated – Appellant tendered an unconditional apology to the High Court – Pending the contempt proceedings appellant was issued show-cause as to why 'senior advocate' designation should not be withdrawn – Apology tendered not accepted – Appellant divested of his senior gown – High Court held appellant guilty of criminal contempt – Appeal and writ petition filed before this Court – Writ Petition disposed of , temporarily restoring the senior designation of the appellant for period of two years from subject to 'impeccable behaviour' on his part:

Held: Appellant had been fighting for a legitimate cause, however, in his pursuit to champion the cause, especially as the President of the GHCAA, he appears to have veered into a wrong path under what appears to be emotional distress – COVID-19 was such an unprecedented period where there was great global disruption, human behaviour was disoriented in a somewhat 'survivalist' overload due to the immense pressure of survival – Appellant

* Author

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must have been under immense pressure from all quarters of the Bar which lead to 'heat of the moment' errors – Appellant must realize that as a Senior Advocate, he assumes a heightened duty to exercise restraint and uphold the absolute dignity of all Courts, including the High Court, which stands as the highest judicial institution of the State – Public at large might ascribe great weight to his words and statements made by him may ultimately affect the perception in the minds of the litigants about our justice delivery system, especially so when it has also come on record that the appellant ensured that his statements are widely reported and publicized – Leader of the Bar cannot afford to let emotional volatility dictate his actions, thus, such conduct is unacceptable, especially in matters concerning the majesty and authority of the Court and even severe emotional distress cannot be used as an excuse to seek pardon for such conduct – Conduct of the appellant discernibly may fall short of decorum expected of a senior advocate – It is axiomatic that the conferment of senior status embodies the maxim '*honos habet onus-honor carries responsibility*' – Distinguished member of the Bar, by virtue of his experience, is expected to personify grace, temperance, and exemplary restraint – When addressing the Court, an advocate is not simply speaking to a presiding judge, but engaging with the very institution of justice – Thus, maintaining absolute propriety and respectful discourse is not a mere procedural formality, but a sacred duty required to uphold the dignity of the entire legal ecosystem – Insofar the appellant's statement '*Nothing else but choosing the Court, Forum Shopping at your end*' is concerned, on the perusal of the video, it seems to be a statement directed at the petitioner party, and not the Court – It appears to be a statement which has been made generally in the course of arguments by the appellant – Appellant's conduct, however contumacious, owing to his conviction for contempt, and in light of his solemn undertaking before this Court, he can be given one last opportunity for reform – He has already suffered the consequence of withdrawal of senior gown for long period of time, albeit in separate proceedings – He has shown remorse and undertaken before this Court to mend his ways – In the meanwhile, in line of the express undertaking of the Appellant in the affidavit of apology, his conduct shall remain 'impeccable' – Court wields considerable authority, yet the true essence of judicial magnanimity lies in restraint – Measured reprimand and corrective guidance remain the wiser course over sheer penal consequence – Majesty

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of the legal system is preserved not through rigid retribution, but through mutual respect, shared responsibility, and institutional grace – It is strictly within this paradigm, guided by a profound desire to preserve harmony, strengthen our shared institution, and demonstrate the inherent magnanimity of the Court that this Court chooses to afford the appellant one final opportunity to correct his course – Reasons assigned in the impugned order by the High Court do not warrant any interference, yet, extending a final act of forgiveness, in exercise of plenary powers u/Art.142, to suspended/ kept in abeyance the conviction as well as sentence of the appellant as a consequence of this judgment, indefinitely – In the meanwhile, no disqualification or disadvantage arising out of the appellant's conviction under the 1971 Act to attract, including but not limited to disqualification u/s.24-A of the Advocates Act – Full Court of the High Court to undertake periodic review of the appellant's conduct at an interval of every two years in light of the undertaking of the appellant – If the appellant found to have carried out any further act of similar nature, High Court at liberty to file application in the instant disposed of appeal seeking to give immediate effect to the appellant's conviction and sentence as directed by the High Court in the present proceedings – Constitution of India – Art. 215. [Paras 44, 51-55, 60-65]

Bar and the Bench – Relationship between – Explanation:

Held: Bar and the Bench are inextricably linked, serving as the two indispensable wheels of the chariot of justice – To steer through the complex terrain of the law and achieve fair and equitable outcomes, these wheels must move in perfect tandem, bound by a shared devotion to uphold the rule of law – Relationship between the Bar and the Bench is like two sides of the same coin, forever complementing each other – Candor and honesty on either side must be met with patience and dignity on the other – Frictionless relationship between the Bar and the Bench only furthers the purpose of justice and forwards the cause of those seeking justice – Bench, however, must adopt a somewhat 'parental' temperament, it cannot lose sight of the fact that sometimes legal practice can be immensely high-stakes – Bar, persuasive in its role, acts as the relentless seeker of truth; it presents and argues the issues, ensuring that the voice of the litigant is fearlessly articulated – Bench, completing this paradigm, does not merely stand as a decisive authority that delivers judgments – It is the

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ultimate custodian of the Constitution, tasked with interpreting the law, safeguarding fundamental rights, and dispensing impartial, timely justice with unwavering wisdom – Because their functions are distinct yet so deeply interwoven, the actions of one inevitably dictate the efficacy of the other – Diligent, ethical Bar elevates jurisprudence and enables judicial precision, whereas indiscipline obstructs the Bench and stalls the chariot of justice – Reciprocally, a patient and engaged Judiciary empowers the Bar to advocate fearlessly. [Paras 51, 62, 63]

Case Law Cited

Yatin Narendra Oza v. Khemchand Rajaram Koshti [2016] 4 SCR 756 : (2016) 15 SCC 236; *Prashant Bhushan (Contempt Matter), In re* (2021) 1 SCC 745; *Prashant Bhushan (Contempt Matter), In re* [2020] 8 SCR 510 : (2021) 3 SCC 160; *Mohit Chaudhary (Contempt Matter), In re* [2017] 8 SCR 764 : (2017) 16 SCC 78; *Mahipal Singh Rana v. State of U.P* [2016] 4 SCR 184 : (2016) 8 SCC 335 – referred to.

List of Acts

Contempt of Courts Act, 1971; Constitution of India; Code of Criminal Procedure, 1973; Advocates Act, 1961; High Court of Gujarat Designation of Senior Advocate Rules, 2018.

List of Keywords

Criminal contempt of court; Unwarranted and contentious allegations; Preferential treatment; Question on the credibility of the administration of the High Court; *Suo-moto* cognizance by the High Court; Withdrawal of senior advocate designation; Unconditional apology; Periodic review of conduct; Relationship between Bar and the Bench; President of the Gujarat High Court Advocates' Association; Senior advocate; Contempt of Court; Live press conference; Apology; Impeccable behaviour.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 669 of 2020

From the Judgment and Order dated 06.10.2020 of the High Court of Gujarat at Ahmedabad in CRLMA No. 8120 of 2020

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Appearances for Parties

Advs. for the Appellant(s):

Kapil Sibal, Dr. Abhishek Manu Singhvi, Arvind Dattar, Sushil Kumar Jain, Sr. Advs., Yashasvi Virendra, Jay Wadhwa, Prashant Singhal, Ms. Riya Shukla, Ms. Pooja Dwevedi, Dhruv Garg, Apurva Kapadia, Aditya Gupta, Abhiraj Rajput, Anurag Rathor, Sanyam Tandon, Ms. Ina Negi.

Advs. for the Respondent(s):

Vijay Hansaria, K.K. Venugopal, C. A. Sundaram, Sr. Advs., Ms. Vishakha, Ms. Nandini Rai, Utkarsh Raj Sahay, Aashay Shukla, Ms. Kavya Jhavar, E. C. Agrawala.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

‘The man who has a conscience suffers whilst acknowledging his sin. That is his punishment.’

– Crime and Punishment (Fyodor Dostoevsky’s)

1. In the present appeal, we are called upon to determine the validity of the conviction of the Appellant, Mr. Yatin Narendra Oza, President of the Gujarat High Court Advocates’ Association (in short ‘**GHCAA**’) and senior advocate, held guilty of ‘criminal contempt’ *vide* the impugned order dated 06.10.2020 of the Gujarat High Court (for brevity ‘**High Court**’) under Section 2(c)(i)¹ of the Contempt of Courts Act, 1971 (hereinafter ‘**1971 Act**’). He has been sentenced *vide* order dated 07.10.2020 till rising of the court along with fine of Rs. 2000/- with a default stipulation of 2 months of simple imprisonment under Section 12 of 1971 Act². Adding to his dismay, pending the contempt petition,

1 “criminal contempt” means the publication (whether by words, spoken or written, or by signs, or by visible representations, or otherwise) of any matter or the doing of any other act whatsoever which —

(i) scandalises or tends to scandalise, or lowers or tends to lower the authority of, any court; or
 (ii) prejudices, or interferes or tends to interfere with, the due course of any judicial proceeding; or
 (iii) interferes or tends to interfere with, or obstructs or tends to obstruct, the administration of justice in any other manner;

2 Punishment for contempt of court.

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his senior designation was also recalled by the unanimous decision dated 21.07.2020 passed by the Full Bench of the High Court.

2. At the very outset, we are constrained to note that we are faced with an unfortunate friction between two wheels of the chariot of justice, the Bar and the Bench, wherein, the Appellant being the President of the Bar Association, a long-standing reputed member of the Bar and a designated senior advocate has been found raising unfounded, unwarranted and disreputable allegations in public against the State's highest judicial forum, the High Court and its Registry. Such an impasse between the two most intrinsic pillars of our legal system has the potential to wither the faith of public at large in the justice delivery mechanism.

FACTS

3. The proceedings of contempt against the Appellant were set in motion based on his live press conference dated 05.06.2020, telecast on Facebook, wherein certain unwarranted and contentious allegations, including those of preferential treatment, were raised by the Appellant questioning the credibility of the administration of the High Court. Accordingly, the High Court in exercise of powers under Article 215³ of Constitution of India and the provisions of the 1971 Act, took *suo-motu* cognizance and initiated proceedings for criminal contempt⁴ vide order dated 09.06.2020 against the Appellant. The order lays down the broader premise of the contempt proceedings against the Appellant and hence, the relevant portion of the same is reproduced as thus:

“ *** *** ***

3. This suo motu contempt proceeding has been initiated by the Court in wake of extremely unfortunate and absolutely unpalatable event that took place in the midst of Pandemic of COVID-19 where accusing fingers have been raised against the High court, High Court Administration and the Registry by irresponsible, sensational and intemperate delivery in an interview by the President of the GUJARAT

³ High Courts to be courts of record.

⁴ Criminal Misc. Application No. 8120 of 2020.

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High Court Advocates' Association, the Senior Advocate Shri Yatin Oza in his capacity of the office bearer of GHCAA.

5. We noticed the live press conference telecast on www.facebook.com by the President of the GHCAA by calling the journalists of various Print and electronic Media ostensibly to espouse the causes of Junior advocates and those litigants having no or less means, and made serious allegations of corruption against the registry and also categorically alleged Forum shopping in no uncertain terms without any valid, significant or true basis. He thus, with frivolous grounds and unverified facts targeted the Registry of the High Court which is working day and night against all odds, risking their lives and lives of their family members in present crisis and is also attempting to adopt to the new system of filing through emails in absence of availability of module of e filing and adjusting to remote hearing of cases. He has thereby questioned the very credibility of High Court Administration and raised fingers at some of the Honourable judges indirectly with scandalous remarks of a few Advocates being successful in getting their matters circulated in three courts and also getting contemplated orders. The President in his "complete consciousness and with total responsibility" as declared by him in his interview called this August Institution a 'Gambling den' and an Institute which caters only to the litigants with means and money power, smugglers and those who are traitors. He also, for spreading sensationalism declared by his scandalous utterances that those who are not belonging to the Big industrial houses or construction Industry or having innumerable means, the High Court would kick them away. These scurrilous remarks appear to have been made without any substantive basis and without any intent to know the truth as also without approaching the Honourable the Chief Justice for any inquiry as the Head of the Institution.

6. Plain reading of details of press conference (as also available as nearest English translation at Annexure A herewith) held by Shri Yatin Oza indicate that he levelled following allegations broadly;

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(1) corrupt practices being adopted by the registry of the High Court of Gujarat,

(2) undue favour is shown to high-profile industrialist and smugglers and traitors,

(3) The High Court functioning is for influential and rich people and their advocates,

(4) The billionaires walk away with order from the High Court in two days whereas the poor and non VIPs need to suffer,

(5) if the litigants want to file any matter in the High Court person has to be either Mr. Khambhata or the builder or the company. This also was circulated in Gujarati daily Sandesh titled as 'Gujarat High Court has become a gambling den – Yatin Oza'.

17. In the aforesaid premises, it deems it appropriate to issue following directions:

*(1) The office shall register the matter as *Suo motu* Contempt Proceedings under Article 215 of the Constitution of India read with Section 15 of the Contempt of Courts Act, 1971 for the purpose of record.*

(2) Let there be a notice issued under Section 17 of the Contempt of Courts Act, 1971 to Shri Yatin Narendra Oza on address available with the Registry or on finding his present address from the Bar Association so also on his email ID and through text message on his registered mobile phone Number. This notice shall be drawn in accordance with The Contempt of Courts (Gujarat High Court) Rules, 1984. The notice shall be accompanied by this order and other materials on record i.e. the CD containing the copy of video of his live press briefing as available in public domain at <https://www.facebook.com/10470114611373/videos/573508096929988/> with its nearest English translation (as annexed at Annexure I herewith) and the aforesaid news item published in Sandesh daily, to be made returnable on 16/6/2020. In the meantime and till

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the returnable date, Shri Oza is restrained from making of any scandalous remarks or holding official meeting and passing any resolution or circulating any material or communicating directly or indirectly either himself or through others in relation to the subject matter of contempt.

.....”

4. Assailing the aforesaid contempt notice, the appellant preferred Special Leave Petition (Criminal) No. 2740 of 2020, which was dismissed as withdrawn on 16.06.2020. The Appellant before the High Court filed his affidavit-in-reply dated 10.07.2020 and tendered his apology with highest regard to the High Court, praying to accept the same. He submitted therein that he was merely voicing the grievances of the junior advocates who were facing extreme difficulties during COVID-19 pandemic in managing their practice. He was receiving several complaints from advocates qua sidelining and non-circulation of matters by the Registry of the High Court. It was merely in the context of the Registry and listing of matters. To substantiate the issue *vis-à-vis* listing of matters, Appellant *inter-alia* placed reliance on report dated 07.05.2020, styled as ‘India’s Legal System favours the rich and powerful’ from the ‘Scroll Staff’. He also placed reliance on press note dated 20.05.2020 issued by Bar Council of India, stating therein that it had received complaints of pick and choose by fixation of matters in some High Courts. The Appellant was under tremendous stress and emotional volley on account of multifarious complaints by advocates about ineffectiveness of GHCAA. He submits that he ought not to have used the terminology ‘Gambling Den’. The remark came as an emotional outburst, for which he tendered unconditional apology.
5. In the interregnum, pending the contempt proceedings, the Full Court issued show-cause dated 11.06.2020 to the Appellant seeking an explanation as to why the honour and privilege of being designated as ‘Senior Advocate’ should not be withdrawn. The operative portion of the show-cause notice for ready reference is reproduced below as thus:

“Despite the aforestated proceedings initiated and orders passed in the past you have once again acted in a manner not befitting a Senior Advocate by holding the press conference on 5th June 2020 making reckless, baseless,

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scurrilous and scandalous remarks and allegations against the Institution, its Registry and Administration as stated hereinabove.

In such circumstances referred to herein above, you are hereby called upon to show cause as to why the honour and the privilege conferred upon you by this High Court of being designated as a Senior Advocate should not be cancelled/withdrawn.”

In response, the Appellant submitted his reply on 16.07.2020, tendering his unconditional, unqualified and unequivocal apology. He also prayed that, in the alternative, if the Full Court is not inclined to accept his apology, he be permitted to make submissions on merits. Nevertheless, the Full Court in a unanimous decision taken *vide* detailed order dated 18.07.2020, divested the Appellant of his senior gown. The relevant portion of the order is reproduced below as thus:

“Now, adverting to the first and foremost contention raised by Mr Joshi to accept the apology of Mr Oza and drop the present proceedings, it is stated that the present proceedings have been initiated under the provisions contained in the Rules of 2018, more particularly under Rule 26 thereof. Hence, the procedure, forum and the consequences contained in the said Rule 26 of the 2018 Rules are absolutely different from the procedure, forum and the consequences contained in the Contempt of Courts Act, where the accused may be discharged or the punishment awarded may be remitted on an apology, being made to the satisfaction of the Court. Designation is conferred at the discretion of the Full Court based on an objective assessment of the parameters stipulated. Review of the same is written in purview of the Full Court on an objective assessment of the self-same parameters. At any stage conduct unworthy of the designation could result in the review of this distinction conferred.

26. The Full Court, however, has also independently considered the issue as to whether the apology tendered by Mr Oza should be accepted or not. Mr Joshi has repeatedly sought to import the provisions of the 1971 Act to the present proceedings. It was emphatically submitted that the

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apology tendered should be accepted and the proceedings be dropped. It may be noted that the reply containing the apology, and the explanation/justification came to be filed on 16.07.2020, after the Full Court granted him three opportunities. It is pertinent to note that the reply filed by Mr Oza is confined to the apology, the background which allegedly compelled him to hold the press conference and technical objections. There is no reply to the charges / allegations referred to in the show cause notice.

31. *Of course, the aforesaid observations have been made in the cases arising under the Contempt of Courts Act. Nonetheless the so-called apology tendered by Mr Oza is considered by the Full Court in the context of the facts and issue. It would also not be out of place to mention that such an apology has to be offered and that too clearly at the earliest opportunity available to the person concerned. In the instant case, Mr Oza had sought further time to file effective reply to the show cause notice twice on 18.06.2020 and 04.07.2020, however had not shown contrition or remorse at either of the times. **The Full Court therefore has reason to believe that the apology tendered by Mr Oza at a belated stage along with the reply on merits is nothing but a “paper apology” and a calculated strategy to avoid the rigors of Rule 26 of the 2018 Rules.***

32. *The aforestated view of the Full Court is also fortified by the various orders passed by this Court and the Supreme Court in the past in his own cases, in which Mr Oza had either misbehaved in the Court or had made reckless and baseless allegations against the Judges, and then tendered unconditional apology.....*

34. *However, Mr Oza has once again acted in the manner not befitting a Senior Advocate by holding the Press Conference on 05.06.2020, and making reckless, baseless,*

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*scurrilous and scandalous remarks against the High Court as an Institution, and publicly branding the High Court as a “gambling den”. Such a misconduct on the part of Mr Oza has brought tremendous disrepute and caused great damage to the prestige and dignity of the High Court. The Full Court therefore is of the firm view that the apology tendered by Mr Oza does not deserve to be accepted. **Having regard to the aforesaid facts, the Full Court is of the opinion that Mr Oza should not be permitted to adopt the policy of “slap - say sorry & forget”.** This policy has been habitually indulged in by Mr Oza which has brought tremendous disrepute to the institution and the legal profession as a whole. **The Full Court is further of the view that the apology tendered by Mr Oza does not deserve to be accepted as time and again Mr Oza has committed breach of the trust reposed in him by this Court and the Supreme Court of India.***

45. Having regard to the grave misconduct on the part of Mr. Oza in calling the press Conference on 05.06.2020 and publicly branding the High Court as a “Gambling Den”, apart from making other reckless and baseless allegations against the High Court, the Full Court is of the unanimous opinion that Mr. Oza is guilty of the conduct which has disentitled him to continue to be worthy of the designation of the Senior Advocate, and that this is a fit case to review its earlier decision of designating Mr. Yatin Narendrabhai Oza as a Senior Advocate and to recall the said designation under Rule 26 of the 2018 Rules. Thus, the Full Court unanimously reviews and recalls its decision dated 25.10.1999 to designate Mr. Yatin Narendrabhai Oza, Advocate as a Senior Advocate.

It is resolved accordingly”

(Emphasis supplied)

6. In the wake of Full Court’s decision, the Appellant approached this Court in Writ Petition (Civil) No. 734 of 2020. On 06.08.2020, this Court passed the following order:

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“The common theme which goes through all these submissions is that the petitioner has been a leader of the Bar and has made considerable contribution but at times has exceeded his brief in expressing his sentiments in a language which is best avoided. This appears to be another incident of the same nature as in the past.

The counsels and the petitioner state that there was an unqualified apology even before the Full Court and before the Court seized of the contempt matter. We may note that the petitioner himself has been quite apologetic before us and states that he should not have used the words he used and those words were used in the heat of the situation where everybody is troubled by the prevailing problem of Covid and the grievances of the younger members of Bar. The counsels and he both submit that his statements were uncalled for which he deeply regrets. The petitioner goes as far as to use an adjective against himself for using such intemperate language and assures not to ever in future repeat such conduct. We did put to him that the grievances may exist but can always be conveyed in a better language. Systems can be improved but imputations should not unnecessarily be made.

The contempt proceedings are still pending and in view of his unconditional apology both before the Full Court, the contempt proceedings and before us, we consider it appropriate that the contempt court itself first applies its mind to the issue. The petitioner has no hesitation in saying that he has apologized unconditionally and will apologize unconditionally in the contempt proceedings and pray for bringing to closure those proceedings.

He submits that he will also make a representation to the Full Court stating that the deprivation of his gown for the existing period already is sufficient punishment for him and he stood chastened and that the Full Court may reconsider the aspect of the restoration of the senior's gown rather than depriving him for all times to come.

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We have put to the petitioner that as a leader of the Bar and as a senior member, a far greater responsibility is expected of him to not only be more restrained but also to guide the younger lawyers in these difficult times.

We consider it appropriate to defer consideration of the present matter by two weeks and we hope, in the meantime, a finality would be given to the two aspects we have stated aforesaid.”

(Emphasis supplied)

7. Pursuant to the said order, the Appellant filed a short affidavit dated 10.08.2020 before the Full Court tendering his unconditional apology. However, upon reconsideration of its earlier decision dated 18.07.2020, the Full Court remained unpersuaded to take a divergent view and declined to accept the Appellant's apology. The Full Court noted as thus:

“15. The Hon'ble Supreme Court while observing that Mr. Oza may make a representation to the Full Court stating that deprivation of his gown for the existing period already is sufficient punishment for him and he stands chastened has also expressed hope that the High Court may give finality to the same. However, with a very heavy heart and with utmost reverence to the expression of hope, the unpardonable conduct of Mr. Oza does not persuade us to accept his apology at this point of time. The observations made by the Full Court in its decision dated 18th July 2020 bears eloquent testimony to the fact that in the past also Mr. Oza had tendered such apologies. However, he has continued to indulge in acts unbecoming of a Senior Advocate by bringing disrepute and shame to the High Court as an Institution of Judiciary. All these aspects have been threadbare gone into in our decision dated 18th July 2020. In such circumstances, it would not be in the overall interest of the Institution to accept the apology and condone the act of Mr. Oza unbecoming of a Senior Advocate.

16. Why does Mr. Oza always expect the High Court to show magnanimity and pardon him for his misconducts?

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Why cannot Mr. Oza exercise restraint and behave in a manner befitting a designated Senior Counsel? A very well-articulated and conscious attack mounted on the Institution and that too for no good cause or reason, should not be overlooked, pardoned or ignored. If such an attack is not dealt with firmly, it will affect the honour and prestige of the highest Court of the State. Such malicious, scurrilous and calculated attack on the very foundation of the Institution of the Judiciary cannot be wished away with apologies.

17. To accept any apology for a conduct of this kind and to condone it would tantamount to a failure on the part of the High Court as an Institution of Judiciary to uphold the majesty of the law, the dignity of the Institution and to maintain the confidence of the people in the judiciary. The Full Court is of the view that to accept the apology of Mr. Oza would be a failure on the part of the High Court to perform one of its essential duties solemnly entrusted to it by the Constitution and the people. The apology at such a belated stage even if it is assumed to be sincere and bonafide has to be rejected as the same has paled into insignificance in view of the irreparable damage caused to the prestige and honour of the Institution.

18. For all the reasons recorded above, the Full Court unanimously declines to accept the apology and accordingly the representation of Mr. Oza dated 10th August 2020 stands rejected.

It is resolved accordingly.”

8. Similarly, the Appellant also filed an additional affidavit dated 11.08.2020 before the High Court in contempt proceedings reiterating that he had no intention to scandalize or lower the authority of the High Court and further prayed to accept his unconditional apology. Nonetheless, the High Court by order dated 26.08.2020 refused to accept the apology tendered by Appellant *inter-alia* relying on similar past incidents, the conduct of Appellant in laying challenge to the order of contempt rather submitting an apology, etc. and noted as thus:

“21. The repeated acts and conduct of contempt would definitely be one of the guiding factors for the Court to hold that apology tendered is not bona fide and lacks sincerity

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and therefore, an unacceptable proposition. Every time scurrilous remarks against the Judges and the institution are made and when he realises that there is no escape route, the weapon of unconditional apology comes to his rescue. This was permitted in the past upkeeping a rich tradition of Kshama Virsya Bhushanam (forgiveness is the jewel of the heroes) showing magnanimity every time he acted, even hoping, trusting and believing in the wise words that every saint has a past and every sinner a future, not only it has emboldened the person to go on attacking the institute with more fervency, if still permitted, this institution would be inviting for itself more and many such unsubstantiated, unsustainable and baseless attacks from various quarters. A clear and loud message is a must to be sent that we are open to every healthy criticism respecting the fundamental right of freedom of expression and at the same time, we are obligated not to permit any attempt to tarnish the image of the Institution and to despise and damage the prestige of the same and to demean the respect it enjoys by one and all.

21.1. What speaks louder than the words is the action. Words which have no backing of either intent or deed or action are hollow and lifeless. Words which are in fact lived with sincerity and commitment ingrained, only have capacity to create an impact or otherwise, they are words without soul and heart which wholly lack authenticity. Entire gamut of facts when dispassionately and objectively viewed, we are unable to accept these words as true words of remorse and contrition and therefore, request to accept apology even if termed as unqualified, cannot be acceded to. We are also alive to the genuineness of requests of both the learned senior counsels, whose towering support to the respondent also may not persuade us to act otherwise.

22. We clarify that the expressions in this order or the findings recorded hereinabove seeming to be touching the merit of the respondent's alleged contemptuous acts and utterances or his defence in that regard are only in the context of and in relation to the consideration of question on the aspect of apology. They are the prima facie expressions

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and findings in consideration of the said specific aspect and they shall not at all prejudice the respondent in course of the further consideration of the matter.

23. In light of all the foregoing reasons and discussion, we are constrained not to accept the apology tendered by the respondent.”

9. Aggrieved upon consideration of past incidents by the High Court, the Appellant filed another additional affidavit dated 16.09.2020 urging that those incidents were not part of contempt show-cause notice and cannot be relied upon by the High Court. Taking the objection on record, the High Court heard the matter on merits and held Appellant guilty of criminal contempt *vide* impugned order dated 06.10.2020 on the following grounds:
 - a. Registry is included in the definition of ‘Court’ and even otherwise, Court cannot be conceived *sans* administrative wing. Both the judicial wing and Registry are inseparable.
 - b. On perusal of allegations raised by the Appellant in entirety, without flavoring them with any context, it is clear that they were not raised merely against the Registry, but against the Judges in the garb of Registry.
 - c. By alleging that the High Court operates solely for the rich and influential, the Appellant cast a distorted picture of judiciary. The Registry acts merely as a facilitating arm for scrutiny; it does not adjudicate. Cases are ultimately placed before a Bench, where the issuance of notice and final outcome depend entirely on the facts and circumstances of each case. As such, reckless allegations, therefore, send a loud and clear message that undermines the faith of common man in the judiciary.
 - d. None of the allegations raised by the Appellant were found to be true as per report dated 30.09.2020 of the 3-Judge Committee formed by Hon’ble the Chief Justice of High Court in furtherance of the allegations. Therefore, truth as valid defense does not survive in favour of Appellant.
10. Dissatisfied, the Appellant preferred the instant appeal assailing his conviction and the order of sentence dated 07.10.2020. The appeal was heard along with Writ Petition (Civil) No. 734 of 2020. On 28.10.2021, this Court stayed the operation of the impugned order

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and disposed-of Writ Petition (Civil) No. 734 of 2020 temporarily restoring the senior designation of the Appellant for a period of two years from 01.01.2022 subject to 'impeccable behaviour' on his part. The relevant portion of the judgment dated 28.10.2021 has been reproduced in the forthcoming paragraph 35 of this judgement.

11. In view of the above order, the hearing of appeal was deferred. However, when the matter was taken up on 25.03.2025, the learned counsel for High Court prayed for time to file an affidavit to bring on record subsequent developments. Pursuant thereto, additional affidavit dated 04.08.2025 was filed, thereby bringing on record the Full Court decision dated 15.04.2024 taken in the backdrop of incident that took place on 09.04.2024 in the 10th Court during the hearing of the Special Civil Application (SCA) No. 5013 of 2024, listed in the Supplementary Board-I of the said Court.
12. *Vide* the decision dated 15.04.2024, the Full Court unanimously resolved to withdraw forthwith the Chamber Meeting decision dated 18.01.2024 to continue with the temporary restoration of the designation of the Appellant as senior advocate for further period of one year. However, considering the pendency of the instant appeal, the resolution was not acted upon and placed on record before this Court along with the video clip of the incident on 09.04.2024.
13. Insofar as incident dated 09.04.2024 is concerned, the affidavit states that the Appellant appeared in a matter for a private respondent without a briefing counsel who had filed vakalatnama. Further, when the Court had issued notice, the Appellant stood up and started to argue the matter intervening in between and raising the issue of jurisdiction. He further cast aspersions on the Court by saying '*This is nothing else but choosing the Court, forum shopping at your end.*'
14. Refuting the said allegations, the Appellant filed counter affidavit on 12.08.2025 coupled with an affidavit of apology. He submitted that his instructing counsel Shri Pinakin Rawal possessed duly signed vakalatnama. The Appellant was only appearing for Respondent No. 3. The issue of jurisdiction was serious in nature since the order impugned was passed by State Human Rights Commission exercising its power under Code of Criminal Procedure (in short '**CrPC**') and hence, a Writ Petition (Criminal) should have been filed as against Writ Petition (Civil). The Appellant did not cast any aspersion against the senior counsel or the Hon'ble Judge at any moment. It is submitted

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that the allegation of ‘forum shopping’ was made against the client, i.e. the Petitioner and not the Court. Furthermore, the submissions were made with the leave of the Court by the Appellant.

ARGUMENTS ADVANCED

15. Arguments on behalf of Appellant were led by battery of learned senior counsels Mr. K.K. Venugopal, Mr. Kapil Sibal, Dr. Abhishek Manu Singhvi, Mr. Arvind Datar alongside Mr. Sushil Kumar Jain, who in tandem urged that a quietus be put to the instant matter considering the entirety of the attendant circumstances. The Appellant has endured substantial and sufficient punishment having been stripped of his senior gown for over 2 years and has learnt his lesson. His profession life has taken a severe hit. It has been asserted that prolonging the punishment for long would cease his right to resume his livelihood and life as a practicing advocate. The Appellant is the President of GHCAA and integral part of our legal ecosystem. He has repeatedly tendered sincere unconditional apology before High Court and this Court, showing regret for his act.
16. Insofar as the remark ‘Gambling Den’ is concerned, learned senior counsels in unanimous submitted that Appellant admits the inappropriateness of the remark and concedes that he ought not to have made such utterance against the highest judicial institution of the State. He was emotionally charged and driven due to the desperation of the young juniors at the Bar who were struggling for their livelihood during COVID-19 pandemic. Numerous complaints were being filed before him agitating issues at the Registry. The remark was devoid of any malice against the institution and was upshot of an emotional outburst. Given the lack of any malice and continuous remorse, it is urged by learned senior counsels that these proceedings be closed, and the Appellant be forgiven.
17. On merits, it is submitted that the order dated 26.08.2020, passed in contempt proceedings, rejected the apology tendered by the Appellant primarily on two grounds namely – (i) three instances of past conduct (two in 2006 and one in 2016) and (ii) the Appellant’s decision to challenge the initial order dated 09.06.2020 before this Court, rather than tendering apology to the High Court at first instance. It is contended by learned senior counsel that, the two incidents from 2006 were never referred in order dated 09.06.2020 whereby

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cognizance of criminal contempt was taken against the Appellant. As such, the Appellant never had an opportunity to defend himself on those incidents. The High Court now cannot turn the clock back in time and rely on such incidents to effectively justify its findings, especially in contempt jurisdiction. Nevertheless, in both the incidents, the apology of Appellant was accepted by the High Court, contempt was closed and observations made against him by the High Court were expunged by this Court. Therefore, nothing *per se* emanating from those incidents survived against the Appellant. Qua the third incident of 2016, it is submitted that it related to widespread agitation at the Bar regarding resolution of the Collegium transferring a Judge of the High Court, leading to non-compliance of implementation of the resolution. Such resistance led the Appellant write a letter on behalf of the Bar expressing his anguish in uncalled harsh language, for which contempt proceedings were initiated against him. However, the Appellant expressed his remorse and tendered his apology, which was accepted by this Court *vide* order dated 31.08.2016 in '**Yatin Narendra Oza v. Khemchand Rajaram Koshti**'⁵ and the contempt proceedings initiated by the High Court stood closed.

18. It is further submitted that, all the aforesaid three incidents fell for consideration of this Court in Writ Petition (Civil) No. 734 of 2020 filed by Appellant challenging the Full Court decision to divest him of his senior gown. This Court by judgment dated 28.10.2021 was pleased to pardon Appellant of his previous conduct and had temporarily restored his designation for a period of two years. Notably, no incident was reported in the interregnum against the Appellant.
19. The learned senior counsels have strenuously urged that an adverse inference ought not to have been drawn against the Appellant merely because he first chose to approach this Court challenging the order dated 09.06.2020, rather than tendering apology at the first instance to the High Court. This is a procedural choice of the litigant and merely on the pretext of exercising one option, the Appellant's apology ought not to have been rejected noting his choice of remedy.
20. Reverting again to the 'Gambling Den' remark, at the outset it is submitted that there is no justification for the same, however before

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convicting the Appellant, the High Court should have taken into consideration the relevant mitigating and attendant circumstances. Throughout the proceedings, the Appellant has maintained that as President of the Bar, he was under tremendous pressure and navigating through emotional turmoil seeing the hardship faced by young advocates at bar during COVID-19 pandemic. Many advocates could not get the matters listed and every day multiple complaints were brought to him concerning Registry. In this regard, even the Court had noted the grievance of advocates regarding listing of matters. It was in these prevailing circumstances that the unfortunate remark came out as a spontaneous emotional outburst and should have been viewed not as a deliberate attempt but as a lapse or momentary slip-on part of the Appellant, for which he is deeply regretful and has tendered apology at every stage possible.

21. The High Court to hold Appellant guilty of criminal contempt has also relied on the report dated 10.06.2020 of the 3-Judge Committee, which was never put to the Appellant. The Committee *ex-parte* found all the allegations raised by the Appellant baseless *per se* and without giving him any opportunity of hearing, gave a conclusive report. The Appellant received several complaints, whereas the report of the Committee was based on merely 5 complaints. Strikingly, the Appellant was never heard by the Committee, though the lawyers about whose complaints the Appellant had alleged in the press conference, they were heard by the Committee. The High Court had negated the entire stand of the Appellant on the anvil of the report of the Committee.
22. Regarding the latest incident of 09.04.2024 (forum shopping) which is stated to have taken place during the pendency of this criminal appeal, it is submitted that neither the instruction counsel nor the client have raised any grievance against the Appellant for appearing in the case without any authority. Had such allegations been true, there would been complaint by this time. When the matter was called upon, the Appellant had informed the Court that he has instructions to appear on behalf of Respondent No. 3. It is further submitted that Appellant had never used the word '*forum shopping*' against the litigant or opposing counsel or the Court. Since the challenge before High Court was to warrant issued by State Human Rights Commission under CrPC, a Writ Petition (Criminal) should have been filed, as against Writ Petition (Civil). The petitioner in that case had already

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filed a quashing petition for the very same dispute, wherein he did not get any order, and he appeared to have filed the Writ Petition (Civil) challenging the same warrant. It was in the said context the word was used and post thereto, even the High Court is seen saying that the same was seen passing in its mind. Even otherwise, at the end of arguments, the Appellant had tendered apology to the Bench.

23. On the question of no separate challenge to the Full Court resolution dated 15.04.2024, it has been submitted that such resolution has not been served to the Appellant till date and also not implemented by the High Court pending the present appeal. Therefore, effectively there is no operative resolution to lay challenge to.
24. Given the circumstances, it is submitted that the Court may put a quietus to the present litigation. The Appellant has already endured significant professional and personal hardship throughout these proceedings and has tendered several unconditional apologies, demonstrating his utmost respect for the dignity of the institution. Considering the Appellant's long-standing service to the Bar and in the interest of justice, it is prayed that his apology be accepted and the matter be closed once and for all.
25. Learned senior counsel appearing for the High Court, Mr. Vijay Hansaria vehemently contended that the Appellant's defence hinges on his subsequent tender of an apology. The High Court has *vide* impugned order rightly rejected his apology, noting that it is merely a paper apology and it lacked sincerity.
26. It is submitted that the trigger for Appellant's conviction for the instant contempt was his live press conference on 05.06.2020, for which he circulated a message on 04.06.2020 calling upon advocates to join a press conference, baselessly alleging that the Registry places matters '*as per choice of the advocates*'. The message further noted that '*billionaires have got their matters circulated in a day's time*' while non-VIPs wait for up to a month. During his live press conference, the Appellant scandalized the Court in the most absolute terms. He stated that the '*High Court is an absolute gambling den today, wherein only billionaires can gamble*'. When he was given an opportunity to retract, he stated, '*Whatever action the High Court wants to take against me, it can take.....I have spoken on my own conscience*'.
27. Drawing our attention to the report of the 3-Judge Committee, learned senior counsel submits that these allegations were without

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any foundation of supportive facts and deemed them '*irresponsible, and at times, outrageous*'. Even otherwise, on a plain reading of the language, it cannot by any stretch of imagination be a whistleblower acting in the public interest; rather a deliberate attempt to tarnish the institution.

28. Learned senior counsel further submits that the Appellant's established track record demonstrates a clear pattern of '*slap, say sorry, and forget*'. Shortly after being designated a senior advocate, the Appellant issued a press statement in 2006 attacking Hon'ble Mr. Justice R.S. Garg (now ret'd.), using terms like 'unbecoming, unaccountable and arbitrary'. When contempt proceedings were initiated, he tendered an unconditional apology, and the proceedings were closed. Soon thereafter, in that same year, the High Court had to record his repulsive courtroom behaviour and advise him to conduct himself properly. However, these remarks were expunged by this Hon'ble Court on his apology. In 2010, he wrote to Hon'ble the Chief Justice of India accusing Hon'ble Mr. Justice M.R. Shah (ret'd. now – but as his Lordship was then Judge of High Court) of mortgaging his allegiance to a political party. Contempt was initiated against Appellant in 2016, though yet again on offering unconditional apology, this Court accepting the same had explicitly remarked that '*the apology and repentance shall see the appellant in a different incarnation*'. Nevertheless, in March 2020, the Appellant yet wrote another letter to Hon'ble the Chief Justice of India, calling Hon'ble Mr. Justice R.M. Chhaya (ret'd. now) a 'defunct and non-performing judge, absolutely lazy and idle'.
29. This Court *vide* order dated 28.08.2021 while temporarily restoring the gown of the Appellant for two years, had in categorical terms stated that fate of the Appellant would depend on his appropriate conduct as a senior counsel before his own High Court, which will have the final say and there is a hope that the Appellant abides by his assurances and does not give any cause for the High Court or for this Court to think otherwise. However, it is submitted that, even while this very appeal is pending and the execution of his sentence suspended, the Appellant's conduct remains persistent. Despite the magnanimity of this Court, on 09.04.2024, the Appellant while appearing before a Single Judge of the High Court alleged forum shopping, compelling the Full Court of the High Court to recall the restoration of his Senior designation by resolution dated 15.04.2024.

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However, the said decision was brought to the notice of this Court considering the pendency of instant appeal and the decision has been kept in abeyance.

30. Concluding his arguments, Mr. Hansaria, learned senior counsel urges that privilege of the Senior gown comes with an absolute duty to maintain the dignity of the Court. The Appellant's statements were not made in the heat of the moment, they were planned, broadcast via live telecast, and circulated via WhatsApp. The High Court is the highest judicial institution of the State, and had it been an isolated incident, the act could have been pardoned. If this Court were to once again accept the apology from the Appellant who has a history of being in contempt, it would not be an act of magnanimity, but a retreat and cause irreparable damages to the prestige of the judiciary. Reliance is placed on ***Prashant Bhushan (Contempt Matter), In re***⁶, ***Prashant Bhushan (Contempt Matter), In re***⁷, ***Mohit Chaudhary (Contempt Matter), In re***⁸, ***Mahipal Singh Rana v. State of U.P.***⁹

FINDINGS

31. We have heard the learned counsel for the parties and have gone through the exhaustive record which details the long and chequered history of the present appeal. It is the case of a designated Senior Advocate who has found himself on the wrong side of the Court's forbearance more often than not, primarily owing to his dual-role as a Senior Advocate as well as the President of the Bar Association. The only question which arises for our consideration is *whether the conviction and sentence imposed by the High Court on the Appellant under the 1971 Act vide the impugned order requires interference by this Court?*
32. While the instant appeal arises out of an incident which occurred in 2020, the Appellant had earlier, in 2006 as well as in 2016 also had a brush with contempt. The remarks made against the Appellant by the High Court in 2006 were expunged by this Court, giving him a long rope, while this Court accepted the Appellant's apology in its

6 (2021) 1 SCC 745.

7 (2021) 3 SCC 160.

8 (2017) 16 SCC 78.

9 (2016) 8 SCC 335.

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order dated 31.08.2016¹⁰ in Criminal Appeal No. 841 of 2016 arising out of the proceedings of 2016.

33. It goes without saying that the Appellant faced two concurrent proceedings arising out of the incident of 2020 detailed above, the instant appeal arises out of the contempt proceedings where he was found guilty, while simultaneously the Full Court of the High Court also recalled his designation as a Senior Advocate *vide* the order dated 21.07.2020 under Rule 26 of the High Court of Gujarat Designation of Senior Advocate Rules, 2018. The proceedings arising out of the recalling of his designation reached this Court in Writ Petition No. 734 of 2020 which was disposed of by a detailed judgement dated 28.10.2021, maintaining the order of the Full Court while also exercising the powers under Article 142 of the Constitution of India to restore the senior designation of the Appellant for a period of 2 years from 01.01.2022 subject to the Appellant exemplifying 'immaculate behaviour'.
34. The High Court in the impugned judgement has laid emphasis on how the contempt proceedings under the 1971 Act and recalling of designation under Rule 26 are completely distinct proceedings and they can run parallel to each other, even when they arise out of the same source or incident. The Court has also found that merely because the Appellant's senior designation has been recalled by a decision of the Full Court, it cannot be considered to be sufficient punishment in order to not punish the Appellant for contempt in proceedings under the 1971 Act. We agree with this conclusion of the High Court. Indeed, criminal contempt under Section 2(c) of the 1971 Act is distinct from recalling of designation and the power to punish for contempt is not only statutory under the 1971 Act, but also Constitutional, *viz* Article 215 of the Constitution of India.
35. This Court, while disposing of the Writ Petition No. 734 of 2020 *vide* order dated 28.01.2021 which was being heard along with the instant appeal, consciously kept the instant appeal pending and stayed the conviction of the Appellant in the contempt proceedings in the record of proceedings dated 28.01.2021 in the appeal. The intent of the Court is quite luculent and can be gathered from reading the said order, relevant paragraphs whereof have been reproduced as under:

10 (2016) 15 SCC 236.

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“8. Dr Singhvi and other counsel, coming to the aid of their colleague of long standing, did not seek to justify the conduct of the petitioner. The direction of the argument has been that this Court should show compassion. The withdrawal of designation is not limited by time and is disproportionately harsh as the petitioner is not being given an opportunity to redeem himself. The filing of an application afresh for designation after the specified time bar is stated to not really be a redemption.

9. Dr Singhvi sought to explain that the petitioner had bona fide raised issues within the institution regarding non-circulation of matters, based on a large number of complaints received from the members of the Bar by him by reason of his holding the position of the President. The petitioner endeavoured to resolve the grievances within the system by writing several letters and making many representations which were in a sober and restrained language. The grievance was stated to be not one against the Judges, but against the manner of working of the Registry. On account of his helplessness and not being able to provide solace to the lives of the suffering advocates, the petitioner even resigned as the President of the Bar but on account of the unanimous opinion of the Bar, withdrew the same. The press conference was stated to be the culmination of his inability to resolve the disputes, as a last resort. The petitioner got emotionally overwhelmed during the Press Conference and made utterances of which he has been very apologetic from the very beginning. It was submitted that the emotional utterances were not preplanned, and therefore, parts of what he said are sought to be relied upon to substantiate that he was not making allegations against the Bench as a whole.

10. In the proceedings before the Full Court also it was submitted that at the threshold an apology had been submitted. However, the Full Court had opined that even if the apology would have been given at the first instance, still the apology would not have been accepted as it was not submitted at the threshold. The consequence of the

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decision of the Full Court is stated to be that the contempt proceedings became fait accompli.

11. Dr Singhvi really sought to canvas on the proportionality of the Full Court's decision, as did the petitioner who intermittently addressed the Court; even volunteering that he at times loses his balance while performing the role as the President of the Bar and that he is willing to give an undertaking that he will never contest elections to the Bar Association. We informed him that that was a decision of his own to take and we certainly would not like to inhibit his right to contest the elections as a member of the Bar. *It was his say and that of his counsel that the petitioner has learnt his lesson and, thus, an opportunity must be given to him for redemption.*

12. The withdrawal of designation was stated to be the most severe punishment for any Senior Advocate and in that behalf, the observations of Dickson, C.J. of the Canadian Supreme Court in a historic case of *R. v. David Edwin Oakes* [*R. v. David Edwin Oakes*, 1986 SCC OnLine Can SC 6] were referred to in *Modern Dental College & Research Centre v. State of M.P.* [*Modern Dental College & Research Centre v. State of M.P.*, (2016) 7 SCC 353 : 7 SCEC 1] as under : (*Modern Dental College case* [*Modern Dental College & Research Centre v. State of M.P.*, (2016) 7 SCC 353 : 7 SCEC 1] , SCC p. 415, para 63)

"63. ... '71. ... The more severe the deleterious effects of a measure, the more important the objective must be if the measure is to be reasonable and demonstrably justified in a free and democratic society.' (David Edwin Oakes case [R. v. David Edwin Oakes, 1986 SCC OnLine Can SC 6], SCC OnLine Can SC para 71)"

13. In the conspectus of the aforesaid we really find little ground to interfere with the impugned order before us. We respect the views of the High Court but still endeavour to give **one more and last chance to the petitioner.** In a way this can really be done by recourse to Article 142 of the Constitution of India as there is merit in the

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contention of the learned counsel for the High Court that there is no real infringement of the fundamental rights of the petitioner. The question is in what manner this last chance should be given?

14. We are of the view that the ends of justice would be served by seeking to temporarily restore the designation of the petitioner for a period of two years from 1-1-2022. It is the High Court which will watch and can best decide how the petitioner behaves and conducts himself as a Senior Counsel without any further opportunity. It will be for the High Court to take a final call whether his behaviour is acceptable in which case the High Court can decide to continue with his designation temporarily or restore it permanently. Needless to say that if there is any infraction in the conduct of the petitioner within this period of two years, the High Court would be well within its rights to withdraw the indulgence which we have given for two years which in turn is predicated on the assurances given by the petitioner and his counsel for the immaculate behaviour without giving any cause to the High Court to find fault with his conduct.

15. In effect, the fate of the petitioner is dependent on his appropriate conduct as a Senior Counsel before his own High Court, which will have the final say. All we are seeking to do is to give him a chance by providing a window of two years to show that he truly means what he has assured us. We can only hope that the petitioner abides by his assurances and does not give any cause for the High Court or for us to think otherwise.

16. We dispose of the writ petition with the aforesaid directions with this sanguine hope."

(Emphasis supplied)

36. The Court, in the aforesaid order has effectively given the Appellant a slap on the wrist, a breath of a new life with an opportunity for reform by exercising its powers under Article 142 of the Constitution of India, in what can only be called an exemplary show of magnanimity

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of Constitutional Courts in India. What is clear from a reading of paragraph 8 is that the counsel for the Appellant did not make a serious attempt to justify the actions of the Appellant in those proceedings. Even in the proceedings of the instant appeal, it has been submitted by the learned senior counsel appearing for the Appellant that his actions cannot be justified, but it has been prayed that the contempt proceedings should be given a *quietus* considering the order dated 28.01.2021 in the aforementioned Writ Petition and his profuse and unconditional apology and undertaking to not engage in any such acts in the future.

37. The Appellant has suffered the deprivation of his senior designation from 21.07.2020 to 31.12.2021 (since this Court restored his senior designation from 01.01.2022 onwards), a period of 1 year 5 months and 10 days which not only affected his professional working but also must have been a reason for social embarrassment and personal agony. Even though we agree with the finding of the High Court that the recalling of senior designation, even arising from the same facts, is completely distinct from the punishment for contempt, we cannot turn a blind eye to the consequences arising out of the same source which have befallen the Appellant even though it may not dampen the effect or force which is carried through these contempt proceedings.

Apology of the Appellant

38. The Appellant has shown remorse and apologized profusely at various instances before this Court and before the High Court. In response to the initiation of contempt by the High Court *vide* order dated 09.06.2020, the Appellant apologized in his very first reply dated 07.07.2020 filed on 10.07.2020 in the following terms:

“1. I state that the present proceedings have been initiated against me taking note of certain statements made by me to the press on 05/06/2020. I state that I hold the Honourable Court in the highest regard and it was not my intention whatsoever to scandalise or lower the authority of the Honourable Court in any manner whatsoever. I further state that I have not cast the slightest aspersion or made any insinuation against any Judge of this Honourable Court in my statements. I have also expressed there in

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no uncertain terms at more than one place that I have absolutely no complaints with the Honourable Judges and they have never favoured anybody. The grievances were voiced against the functioning of the Registry and though I honestly believed that criticism of the functioning of the Registry may not amount to contempt of Court, in retrospect, I do realise that the mode and manner of voicing grievances was unwarranted. I wish I was more circumspect. I should not and ought not to have alleged corrupt practice in the Registry and used terminology of 'gambling den' which was with respect to the fate of the matters in the Registry, where some are and some are not listed. For that and for all my emotional utterances that may amount to the slightest contempt of this Honourable Court, I sincerely tender my unqualified apology.

...

14. Needless to say, because of the incessant calls from the lawyer members expressing their dismal conditions, I was then passing through sleepless nights and I was terribly, terribly disturbed within. The anguish in my utterances, use of unjustified language here and there needs to be viewed in this background and may kindly be taken in stride. There are number of instances inter-alia as per ANNEXURE X hereto, where the Courts have turned a forgiving eye to criticism of itself and I pray that it may be done in this case too. I have already expressed my sincere regrets and I reiterate them here that if any action of mine constitutes the slightest contempt of this Honourable Court, I unconditionally apologize for the same. My respect for our Court is self-evident from my address of 1/5/2020 on the occasion of the 60th year of our Court, which is at ANNEXURE Y hereto.

...”

39. Likewise, in the proceedings for recalling of the senior designation before the Full Court, the Appellant tendered an unconditional apology on 16.07.2020. Upon challenging the order dated 21.07.2020 of the Full Court recalling the senior designation of the Appellant before this Court in Writ Petition No. 734 of 2020, the Appellant's apology was

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recorded by this Court as well in its interim order dated 06.08.2020 as thus:

“The common theme which goes through all these submissions is that the petitioner has been a leader of the Bar and has made considerable contribution but at times has exceeded his brief in expressing his sentiments in a language which is best avoided. This appears to be another incident of the same nature as in the past.

The counsels and the petitioner state that there was an unqualified apology even before the Full Court and before the Court seized of the contempt matter. We may note that the petitioner himself has been quite apologetic before us and states that he should not have used the words he used and those words were used in the heat of the situation where everybody is troubled by the prevailing problem of Covid and the grievances of the younger members of Bar. The counsels and he both submit that his statements were uncalled for which he deeply regrets. The petitioner goes as far as to use an adjective against himself for using such intemperate language and assures not to ever in future repeat such conduct. We did put to him that the grievances may exist but can always be conveyed in a better language. Systems can be improved but imputations should not unnecessarily be made.

The contempt proceedings are still pending and in view of his unconditional apology both before the Full Court, the contempt proceedings and before us, we consider it appropriate that the contempt court itself first applies its mind to the issue. The petitioner has no hesitation in saying that he has apologized unconditionally and will apologise unconditionally in the contempt proceedings and pray for bringing to closure those proceedings.

He submits that he will also make a representation to the Full Court stating that the deprivation of his gown for the existing period already is sufficient punishment for him and

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he stood chastened and that the Full Court may reconsider the aspect of the restoration of the senior's gown rather than depriving him for all times to come.

We have put to the petitioner that as a leader of the Bar and as a senior member, a far greater responsibility is expected of him to not only be more restrained but also to guide the younger lawyers in these difficult times.

We consider it appropriate to defer consideration of the present matter by two weeks and we hope, in the meantime, a finality would be given to the two aspects we have stated aforesaid."

(Emphasis Supplied)

40. The High Court, in a detailed order dated 26.08.2020 in the contempt proceedings, after examining the jurisprudence relating to apology under Section 12 of the 1971 Act, rejected the apology of the Appellant and proceeded to hear the matter on merits. The High Court found that his apology was neither sincere nor *bona fide*. In this context, it has been submitted by the Appellant that the High Court ought not to have rejected his apology *vide* the said order, since this Court had made an observation about his unconditional apology in its interim order dated 06.08.2020 quoted above, since a request or a hope expressed by this Court is to be construed as a direction. The said contention of the Appellant cannot be accepted; this Court had recorded the apology extended by the Appellant in its order, but it had not expressed any opinion on its merits. The Court merely observed that since the contempt proceedings are pending, the High Court must apply its mind to the issue considering the apology as tendered by the Appellant since the power of contempt is inherent to the High Court under Article 215 of the Constitution of India read with the 1971 Act and the discretion to accept or reject the apology is retained with the High Court. It cannot be said that this Court directed the High Court to accept the apology of the Appellant.

Overall circumstances

41. It has further been urged by the Appellant that there were several mitigating circumstances surrounding the statements made by him on 05.06.2020 which gave rise to the instant contempt proceedings.

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The learned senior counsel appearing for the Appellant has urged that these circumstances are not being brought to the notice of the Court in order to justify the statement made, particularly the use of the term 'gambling den', but rather for this Court to take a sympathetic and generous view by understanding the compulsions and massive pressure which he was subjected to at the relevant point of time which culminated in an emotional outburst. The statement in question was made during the first wave of the COVID-19 period after the imposition of the nation-wide lockdown. During the relevant period, Courts were functioning virtually and the Appellant claims that being the President of the Bar Association, he was under immense pressure from the advocates, specifically junior lawyers who complained to him about the non-circulation of matters by the Registry of the High Court and non-listing of their matters. The Appellant has filed several documents, including the GHCAA resolution dated 05.05.2020 detailing the complaints received by the Appellant about non-listing of matters, coupled with allegation of manifold objections raised by the Registry for non-removal of objections.

42. At this juncture, to see if mitigating factors may have some bearing on the Appellant's actions, it is imperative to examine them. The Appellant has heavily premised his case on the emotional scale, contending that he was burdened with complaints of junior advocates and was taking active steps to redress them. On perusal of GHCAA resolution dated 05.05.2020, it is seen that indeed the Appellant was receiving complaints from large faction of advocates regarding e-filing of cases and the matter was taken up with the Registrar (Judicial), whereafter certain mechanism was worked out. The resolution also bears mention about stern medical advice to the Appellant to stay away from his mobile. As is further borne from the records, the discussion continued between the Bar and the Bench to resolve the issues, however considering the grappling situation of COVID-19, the issue of listing of matters persisted. Eventually, the Appellant *vide* letter dated 02.06.2020 addressed to Secretary General of the GHCAA, resigned from the post of President. In this backdrop, the tenor of the letter assumes significance and hence, is reproduced below:

"2. It is for the first time I find myself absolutely helpless not only to redress the grievances of the majority of the Members of the Bar, but more than that, I have miserably failed to wipe out the tears, miseries and the difficulties

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being faced by them in this hard time, when they need my support the most. More than 700 juniors have either by way of telephonic conversation or by way of whatsapp message or by personal meeting, expressed their pathetic and disastrous financial situation. Almost before 15 days, I informed you that in pursuant to an order placed for food to a restaurant, a person who came to deliver the food from a restaurant through Swiggy, was a regular practitioner of our court, who preferred to serve as a delivery man rather than to meet with starvation. We mutually discussed that there are several advocates who showed their readiness for taking away of their car in lieu of financial assistance, when they were put a query by the Committee as to why they need assistance from the Bar when they own a car, practically each one of them said that their car may be taken away but financial assistance be provided. Large number of members of the Bar represented to me that since they cannot muster courage to speak, they have voted me as President so that I can take up their cause and speak on their behalf. Many of them could not vote in the Referendum because they were absolutely unaware about the mechanism to vote.

...

16. Friends, during this time of pandemic, I have been performing my duties to the best of my ability. I have answered more than 100 to 150 calls a day, 300 whatsapp messages a day. Even at mid-night hours, when Mr. Raghuvir Chaudhary messaged me at 1.30 a.m., I replied back at 1.35 a.m.. Not only have I replied to the messages, I have even talked to the advocate concerned on phone dialled from my side to either understand their grievance or to inform them that their grievance has been answered. I have taken up each and every issue put before me at different levels for its redressal. Only one message that went out of my sight was one from Mr. Nimish Kapadia which I could not pursue.

17. I have tried my level best to resolve the problem of the members of the Bar by personally attending to it. I will

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be most disgraceful if I do not mention the most friendly attitude and kind co-operation extended to me by Hon'ble the Chief Justice. On number of occasions for small matters, I sought his appointment or called him. With a smiling face, he always redressed the grievances of the Bar. On Saturday last, i.e. Managing Committee had a zoom meeting with Hon'ble the Chief Justice, where also he lent his ears to all the members of the committee.....

... ..”

43. Further, by letter dated 05.06.2020 addressed to Hon'ble the Chief Justice of the High Court, the Appellant on the insistence of around 40 junior members of the Bar, re-agitated the issue of inaction on part of the Registry, raising the allegations of nepotism and favouritism coupled with difficulties being faced in getting the matter listed despite sincere efforts. The relevant portion of the letter is reproduced:

“A group of 40 advocates came to meet me yesterday. Most of them were juniors. They specifically came to see me not only with a grievance that their matters are not being circulated for number of weeks (which they have accepted now), but to draw my attention to the fact that how matters of billionaires are circulated in no time. They not only expressed their anguish, but frustration and depression too.

*2. At least 100 advocates (reserved figure) in last three days, have either approached me or the Secretary General making a serious grievance and complaint that their matters even though filed in a single PDF, for fortnight have not been listed despite of their sincere attempts and efforts. **The Registry, it appears, is held bend determined to fall prey to nepotism and favoritism. I will only give one example. A wife filed a bail application for and on behalf of her husband and a funny objection raised by the Registry was that the sex of the wife is not stated and for this reason, the matter was not circulated for ten days.** I can give similar such 100 examples, notwithstanding your Lordship's clear instructions not to raise any objection other than vakalatnama and affidavit and circulate the matter upon an undertaking of an*

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advocate, for days and months the Registry does not circulate the matters.

... ..

5. I am prepared to come to your Lordship to show the miseries and sufferings of the advocates by their communication either by way of text messages or whatsapp messages and I am prepared to show your Lordship all the messages to appreciate the heart burning of the advocates.

6. Now let me show to your goodself why the heart burnings, depression and frustration. I have annexed for your Lordship's perusal the case status reports downloaded from the official website of the High Court. As per the case status, which has been downloaded from the website of the High Court, one Mr. Areez Khambhata filed a petition on 29th May, 2020. Everyone knows who is Mr. Areez Khambhata. He walks away with the order on 3rd of June, 2020.....

... ..

7. With a view to not make this letter lengthy I request your Lordship to give me an appropriate time suitable to your Lordship, wherein I will be further able to show five more cases graver than this, wherein the matters have been circulated in 24 hours or preponed without any note or CA. However, for your Lordship's perusal, I have annexed the details of all the five cases. Three of them are of smugglers (according to the Government of India) and two are by top industrial houses.

8. Notwithstanding juniors and non-VIP client making desperate efforts to get the matters registered by sending personal messages to the Deputy Registrar, nothing has been done in their matters. Nobody attends their phone calls. Nobody attends the helpline numbers and bar is now on the verge of frustration and depression. A very clear, unequivocal and certain message is being sent that certain Advocates get top most priority in getting their matters filed

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*and circulated and there cannot be better example than what has been stated above. **Depression and frustration have gone beyond limit amongst the advocates.....***"

44. From the above, it is gathered that undeniably the Appellant had been fighting for a legitimate cause, however, in his pursuit to champion the cause, especially as the President of the GHCAA, he appears to have veered into a wrong path under what appears to be emotional distress. Certainly, COVID-19 was such an unprecedented period in our lives where there was great global disruption, human behaviour was disoriented in a somewhat 'survivalist' overload due to the immense pressure of survival. In such circumstances, we are also aware of the immense pressure that the Appellant must have been under, from all quarters of the Bar. While we acknowledge the inherent human tendency to be swayed by emotional impulses fumed by the conviction to defend a cause, such cause must not come at the cost of the dignity of the institution, more particularly, when the allegations have the tendency to disrupt the public faith in the justice delivery system as a whole. The Appellant must realize that as a Senior Advocate, he assumes a heightened duty to exercise restraint and uphold the absolute dignity of all Courts, including the High Court, which stands as the highest judicial institution of the State. The public at large might ascribe great weight to his words and statements made by him may ultimately affect the perception in the minds of the litigants about our justice delivery system, especially so when it has also come on record that the Appellant ensured that his statements are widely reported and publicized. We must caution that a leader of the Bar cannot afford to let emotional volatility dictate his actions. Therefore, such conduct is unacceptable, especially in matters concerning the majesty and authority of the Court and even severe emotional distress cannot be used as an excuse to seek pardon for such conduct.

Decision on Merits

45. In the above conspectus, although some arguments have been made by the Appellant challenging the findings of the High Court, the conviction and sentence on merits, we are not inclined to interfere with the order impugned. The statement made by the Appellant against the High Court and its Registry was intemperate, scurrilous

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and completely irresponsible, it lowered the authority of the Court and brought down the credibility of the institution as a whole.

46. It is needless to mention here that the Courts are the foundational pillar of our judiciary. While we, judges, advocates, registry staff, supporting staff and thousands of other employees are all merely temporary tenants of these hallowed halls of justice, the institution itself is immortal, it will long outlive all of us. Courts are an edifice built to endure long after our transient contribution has concluded and the legacy, majesty and supremacy of the Courts must inevitably outlast us all. These very Courts act as the respite for litigants to seek enforcement of their rights, for the common man to seek justice. We all, therefore, as citizens of India, collectively owe a duty to the institution to keep the justice delivery system in the highest regard and to ensure that its credibility is not brought down.
47. The statements made by the Appellant although contumacious standalone, but we cannot also lose sight of the judgement of this Court in the 2016 judgement of **Yatin Narendra Oza** (Supra) where this Court accepted the apology of the Appellant in respect of contempt proceedings initiated against him in 2016. This Court, while accepting the apology had specifically observed as thus:

*“14. Coming to the case at hand, after hearing the learned counsel for the parties, we enquired from Mr Sibal and Dr Singhvi, learned Senior Counsel, whether the appellant is present in the Court and we got the answer in the affirmative. Be it stated, Mr Raval, apart from being critical of the irresponsible proclivity of the appellant, has also expressed his anguish that he has been indulging in similar activities and giving interviews to the electronic media. In essence, the submission of Mr Raval is that habits are difficult to be comatosed. Regard being had to the said submissions, we required the appellant, Yatin Narendra Oza, who is present in the Court, to file a further affidavit and for the said purpose we passed over the matter directing that it would be taken up at 12.30 p.m. When the matter was taken up at the stipulated time, the second affidavit was brought on record. **The affidavit that has been filed today in addition to the affidavit that had already been filed on 25-8-2016, reiterates***

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that the appellant tenders unconditional apology and undertakes that he shall not speak on the subject in issue in public except in court proceedings. On further hearing, it has been clarified that he shall neither speak nor give any kind of interview to either electronic or print media on the subject in question.

15. Taking note of the affidavits filed on the previous occasion and that of today, we are disposed to think that the ***appellant is repentant and the repentance is sincere; and the regret, honest. The tenor of the affidavits, as we perceive, is unmistakably relatable to the expression of regret and unconditional apology.*** Centuries ago, Demosthenes, the famous Greek thinker had said “articulation has to be sincere and honest”. ***We treat the apology offered by Mr Yatin Narendra Oza, who is present and the filed affidavits to be sincere and accordingly we exonerate him. Needless to say, if the appellant will speak in the tenor he has spoken, that may tantamount to ex facie contempt of the court.***

16. ***We possibly would have proceeded to state “all is well that ends well”, but we refrain from saying so as the unconditional apology remains on record and we have taken cognizance of the repentance as we think the regret, the apology and repentance shall see the appellant in a different incarnation. We expect the appellant to constantly remind himself that the standing and dignity of the Court matters to the nation and also to the collective.***

17. *The appeal is accordingly disposed of and consequently the proceeding for contempt initiated by the High Court stands closed.”*

(Emphasis supplied)

48. If we look to the observations made by this Court in its 2016 judgment, the Appellant’s apology was accepted and contempt proceedings were closed but he was put to caution by this Court, he was informed about the importance of the dignity of the Court and his duty to uphold it. His undertaking to act cautiously is what seems to have weighed on

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the mind of this Court and it is based on his undertaking that those proceedings were closed, giving him a final chance. This caution and acceptance of his apology in line of his undertaking, certainly has bearing on his conduct in 2020. The Court in its magnanimity has extended forbearance and forgiveness to the Appellant on various occasions but perhaps the incident of 2020 is the straw that broke the camel's back. The Court, in its magnanimity may accept apologies 100 times, but perhaps it is the 101st time that acts as the final straw. Considering that the Appellant's apology was accepted earlier and contempt proceedings of 2016 were closed by this Court, the conduct of the Appellant in 2020 should have been tempered and conditioned keeping such apology in his mind.

49. The Appellant has throughout maintained that he was merely flagging genuine issues with the Registry but the fine line between fair criticism and a contemptuous statement must be adjudged from the facts and circumstances of each case. To term a Court as a 'gambling den' cannot, in any case, be the method to criticize its functioning, by any person, let alone a Senior Advocate and more so, the President of the Bar Association. On merits, the finding of the High Court does not require any interference by this Court.
50. As per the judgement of this Court in ***Mahipal Singh Rana*** (Supra), upon conviction of an advocate for contempt under the 1971 Act, they are automatically disqualified from practicing for a minimum period of 2 years under Section 24-A of the Advocates Act, 1961 even in the absence of suspension or termination of their license to practice by the Bar Council of India. Now, we are again brought to the threshold of the same uncomfortable decision, whether the Court should, in its magnanimity, extend a final act of forgiveness to the Appellant. As noted above, even though the conduct of the Appellant in 2020 may have acted as the final straw, he has tendered unconditional apology on multiple occasions thereafter, most recently in his affidavit dated 12.08.2025. He has suffered the loss of his senior gown from 21.07.2020 to 31.12.2021 and has expressed remorse for his act. The relevant portion of the affidavit dated 12.08.2025 which is titled as an 'Affidavit of Regret and Apology' is quoted herein for reference:

"1. I state that I am extremely apologetic for all my utterances made on 05.06.2020 and I further express my

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remorse in respect of the incident cited by the Hon'ble High Court in its additional affidavit dated 04.08.2025. I assure this Hon'ble Court of impeccable conduct on my part in the future. I state that earlier as well, I had filed my reply in the contempt proceedings on 10.07.2020 before the Hon'ble High Court in which I had tendered an unconditional and unqualified apology without in any manner justifying my actions. I again tendered my apology orally before this Hon'ble Court on 06.08.2020 which has been recorded by this Hon'ble Court in its order dated 06.08.2020.

2. Appropos, (sic) the order dated 06.08.2020, I again tendered my unconditional apology on 11.08.2020 before the Hon'ble High Court. I undertake that I shall not repeat any such statements again in future and I shall conduct myself with due deference to the dignity and decorum of the judicial institution at all times and that I shall work towards rebuilding confidence and mutual respect between the Bar and the Bench. I humbly submit that the apology may kindly be accepted in the interest of justice and further be kind enough to accord quietus to the matter by setting aside the orders dated 06.10.2020 and 07.10.2020 and resolution dated 15.04.2024 of the Hon'ble High Court or any other appropriate order that this Hon'ble Court may deem fit."

51. The Court's magnanimity is unparalleled; it is a testament to the measured patience of the Court that justice must be tempered with mercy. The relationship between the Bar and the Bench is like two sides of the same coin, forever complementing each other. Candor and honesty on either side must also be met with patience and dignity on the other. A friction-less relationship between the Bar and the Bench only furthers the purpose of justice and forwards the cause of those seeking justice. The Bench, however, must adopt a somewhat 'parental' temperament, it cannot lose sight of the fact that sometimes legal practice can be immensely high-stakes. When such legal practice is coupled with the Appellant's conjoint duty of being the President of the GHCAA, the immense emotional strain can lead to 'heat of the moment' errors, especially so during COVID-19 which was an unprecedented period in our lives.

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52. The Appellant's conduct, however contumacious, we are of the opinion that owing to his conviction for contempt, and in light of his solemn undertaking before this Court, he can be given one last opportunity for reform. In our opinion, he has already suffered the consequence of withdrawal of senior gown for long period of time, albeit in separate proceedings. He has shown remorse and undertaken before this Court to mend his ways and to that extent we are inclined to invoke our extraordinary powers under Article 142 of the Constitution of India to direct that the Appellant's conviction for contempt and sentence, if any, as directed by the High Court, shall both remain suspended, kept in abeyance indefinitely even after disposal of these proceedings by this judgment. The Appellant shall not suffer any consequential disqualification or disadvantage flowing from his conviction in these proceedings during such period of suspension. In the meanwhile, in line of the express undertaking of the Appellant in the affidavit of apology dated 12.08.2025 quoted above, his conduct shall remain 'impeccable'. In order to ensure that the Appellant's conduct remains above board and that he reflects upon his solemn undertaking before this Court so that they may not merely turn into empty words, the Full Court of the High Court shall keep a vigil over the Appellant's conduct in light of the said undertaking. The High Court shall periodically review, at an interval of every two years, the Appellant's conduct, and decide whether any further acts of contempt have been committed by the Appellant and if so, the High Court shall be at liberty to move this Court with an application in the disposed of appeal seeking to give immediate effect to the Appellant's conviction in these proceedings at which stage, this Court shall apply its mind to the subsequent incident keeping in view the said undertaking. Since we are granting the High Court the liberty to file such an application, we are also making it clear that this Court shall not become *functus officio* by disposal of this appeal and it shall reach its logical conclusion in the time to come.
53. We find it apposite to make it clear that this is not a case of 'wilful blindness', but rather an act of extraordinary grace, making one final attempt to ensure reform. We are not turning a blind eye to the conduct of the Appellant. Neither are we inclined to interfere with the findings of the High Court which must be left on its own accord to decide how to uphold the majesty of the Court particularly in light of the statement of the Appellant which directly undermines the High

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Court's authority. We are inclined to put a *quietus* to the present proceedings and we are cognizant of the fallout consequences which have already befallen the Appellant, and which might follow the High Court's judgment.

54. At the same time, we cannot lose sight of the fact that this Court's hope for good conduct on the part of the Appellant in its 2016 judgment did not do much in the way of preventing the incident of 2020. In ideal circumstances, after being appropriately cautioned by this Court in 2016, the Appellant should have exercised restraint in his statements since his apology was accepted by this Court with a rider that his conduct would be better thereafter. As stated above, the instant judgment must, therefore, be construed as the final act of forgiveness extended by this Court and the Appellant must ensure that henceforth, his conduct remains above board.
55. This is the last chance, after the last chance. The order of 2016 is quite conclusive and even thereafter, the High Court has convicted him for contempt in respect of the incident of 2020, but at the same time, we also believe that the Appellant has suffered enough due to this incident and his apology can be read with the overall circumstances. However, the promises made by the Appellant and the hope expressed by this Court in its 2016 judgment eventually fell to deaf ears and it is for this reason that we are inclined to pursue what may be a recourse to measured forgiveness or forgiveness with vigil. The suspension of his conviction as well as his sentence, therefore, subject to periodic review, is a chance for him to ensure that he truly abides by his undertaking before us.

Subsequent events

56. As discussed extensively above, the order dated 21.07.2020 of the Full Court withdrawing the Appellant's designation as a senior advocate came to be challenged before this Court directly in Writ Petition No. 734 of 2020, wherein this Court, while refusing to interfere with the same, by exercise of its power under Article 142 of the Constitution of India, restored the designation for a period of two years subject to the Appellant maintaining 'immaculate conduct'.
57. During the pendency of the instant appeal, the High Court, by filing an additional affidavit dated 04.08.2025 brought to the notice of this Court the incident on 09.04.2024, pursuant to which the Full Court of

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the High Court took a decision in the meeting dated 15.04.2024 to withdraw the decision dated 18.01.2024 by which it had temporarily restored the designation of the Appellant as Senior Advocate for a period of one year. However, the said decision was resolved to be brought to the notice of this Court by means of an affidavit along with the video recording of the incident.

58. This decision of 2024 has not been given effect to, presumably awaiting the outcome of the instant appeal. In the meanwhile, on 01.07.2025, Appellant's senior designation has been continued for a further period of one year which is currently subsisting.
59. Although the subsequent incident of 2024 is not a question before this Court to decide in the present proceedings, it has been placed before us in light of this Court's decision in Writ Petition 734 of 2020 where the Appellant was put to 'immaculate behaviour' as a condition for restoration of his senior designation.
60. We have also gone through the video recording of the Court proceedings of the matter Special Civil Application (SCA) No. 5013/2024 in Supplementary Board - I of Court No. 5085 on 09.04.2024. In our perception, the conduct of the Appellant discernibly may fall short of decorum expected of a senior advocate. It is axiomatic that the conferment of senior status embodies the maxim '*honor habet onus – honor carries responsibility*'. A distinguished member of the Bar, by virtue of his experience, is expected to personify grace, temperance, and exemplary restraint. When addressing the Court, an advocate is not simply speaking to a presiding judge, but engaging with the very institution of justice. Thus, maintaining absolute propriety and respectful discourse is not a mere procedural formality, but a sacred duty required to uphold the dignity of the entire legal ecosystem.
61. Insofar the Appellant's statement '*Nothing else but choosing the Court, Forum Shopping at your end*' is concerned, on our perusal of the video, it seems to be a statement directed at the petitioner party, and not the Court. It appears to be a statement which has been made generally in the course of arguments by the Appellant. The Full Court, however, has taken a view in its decision dated 15.04.2024 that the act of the Appellant was intended to browbeat the Court which undermined the dignity of the Court and cast aspersions on the integrity of the Court. In light of the judgment in the instant appeal we are passing today, where we have not interfered with the

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impugned judgment of the High Court but suspended his conviction and sentence, subject to periodic review, we request the High Court to take a fresh decision in respect of the incident of 2024 and decide independently as to whether the Appellant's designation as a senior advocate must be withdrawn, completely uninfluenced by the previous incidents of contempt by the Appellant and keeping in view the judgement of this Court in Writ Petition (Civil) No. 734 of 2020. Needless to say, this decision of withdrawing / retaining the senior gown can also be made a subject of the periodic review after every two years which we have directed above.

62. Before we part, it is imperative to reflect upon the foundational relationship between the Bar and the Bench. They are inextricably linked, serving as the two indispensable wheels of the chariot of justice. To steer through the complex terrain of the law and achieve fair and equitable outcomes, these wheels must move in perfect tandem, bound by a shared devotion to uphold the rule of law. The Bar, persuasive in its role, acts as the relentless seeker of truth; it presents and argues the issues, ensuring that the voice of the litigant is fearlessly articulated. The Bench, completing this paradigm, does not merely stand as a decisive authority that delivers judgments. It is the ultimate custodian of the Constitution, tasked with interpreting the law, safeguarding fundamental rights, and dispensing impartial, timely justice with unwavering wisdom.
63. Because their functions are distinct yet so deeply interwoven, the actions of one inevitably dictate the efficacy of the other. A diligent, ethical Bar elevates jurisprudence and enables judicial precision, whereas indiscipline obstructs the Bench and stalls the chariot of justice. Reciprocally, a patient and engaged Judiciary empowers the Bar to advocate fearlessly. Furthermore, it is a cardinal imperative that neither conducts itself in a manner that casts a shadow of disrepute upon the other; the dignity of the Bench and the honour of the Bar are mutually reflective, and conduct that diminishes the stature of one inevitably tarnishes the sanctity of both. If one pillar loses its footing, the other cannot stand tall. The tremor of an individual's fault resonates through the entire ecosystem, risking the equilibrium of the institution itself. However, as with co-members within a family, a fault committed by one does not warrant the other to resort to punitive destruction. Accountability is paramount, but it must always be balanced with the patience to guide, reform, and elevate.

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64. The Court wields considerable authority, yet the true essence of judicial magnanimity lies in restraint. Measured reprimand and corrective guidance remain the wiser course over sheer penal consequence. The majesty of our legal system is preserved not through rigid retribution, but through mutual respect, shared responsibility, and institutional grace. It is strictly within this paradigm, guided by a profound desire to preserve harmony, strengthen our shared institution, and demonstrate the inherent magnanimity of the Court that we choose to afford the Appellant one final opportunity to correct his course.

CONCLUSION

65. In the interest of comprehension and easy understanding, we are summarizing our conclusion as follows:
- (i) The reasons assigned in the impugned order by the High Court do not warrant any interference by this Court, yet, extending a final act of forgiveness, we are inclined to exercise our plenary powers under Article 142 of the Constitution of India to suspend / keep in abeyance the conviction as well as sentence of the Appellant as a consequence of this judgment, indefinitely.
 - (ii) In the meanwhile, no disqualification or disadvantage arising out of the Appellant's conviction under the 1971 Act shall attract, including but not limited to disqualification under Section 24-A of the Advocates Act, 1961.
 - (iii) The Full Court of the High Court shall undertake periodic review of the Appellant's conduct at an interval of every two years in light of the undertaking of the Appellant quoted in paragraph 50 of this judgment. If the Appellant is found to have carried out any further act of similar nature, the High Court shall be at liberty to file an application in the instant disposed of appeal seeking to give immediate effect to the Appellant's conviction and sentence as directed by the High Court in the present proceedings.
 - (iv) Lastly, we request the High Court to take a fresh decision in respect of the incident of 2024 and the question of withdrawal of senior designation, in light of the present judgment, completely uninfluenced by the Appellant's conviction for contempt by the

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High Court in the impugned judgment. Needless to say, the decision of retaining / withdrawing the Appellant's senior gown can also be made a subject of the periodic review every two years which we have directed above.

66. We hope and expect that the Appellant's conduct remains above board and that he realizes that this final act of forgiveness is in consideration of his undertaking before this Court and he must therefore continue to abide by it in true sense and spirit.
67. Accordingly, the present appeal stands disposed-of in above terms. Pending application(s), if any, shall stand disposed-of.

Result of the case: Appeal disposed of.

[†]Headnotes prepared by: Nidhi Jain

Ann Saurabh Dutt
v.
Lieutenant Colonel Saurabh Iqbal Bahadur Dutt

(Civil Appeal No. 7457 of 2026)

12 May 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

In the C.A. No.7457 of 2026, the appellant simply urged for expunging of the observations and findings pertaining to desertion and cruelty, while not contesting the grant of divorce, whereas the respondent pressed hard for acceptance of his appeal (SLP (civil) No.28451 of 2024) and prosecution of the appellant for perjury.

Headnotes[†]

Marital Dispute – Discord between the spouses – Allegation against the appellant-wife of cruelty or desertion – The Family Court decreed the suit for divorce on the grounds of cruelty and desertion – However, the Family Court rejected an application u/s.195 of the CrPC r/w. s.340 CrPC filed by the respondent-husband – Both the parties filed appeals – The Division Bench of the High Court dismissed both the appeals – Correctness:

Held: Having gone through the above findings recorded by the Family Judge, this Court finds the approach of the Presiding Judge to be pedantic and regressive – The endeavour on the part of the appellant to choose a more secure place for bringing up her minor daughter, who suffered from a concerning medical condition, could not have been construed as an act of desertion under any circumstances – True it is that, in ideal conditions, an army officer's wife would be expected to accompany her respondent-husband even if the posting is at difficult locations – However, merely because the wife decided to reside at Ahmedabad with the primary intention to provide a safer environment and better health care to her daughter, where she could also pursue her professional career, branding such conduct as constituting cruelty or desertion was atrocious – To brandish the effort of the wife to pursue her own career goals as acts of cruelty, as the same may have hurt the sentiments of the husband or the in-laws, is highly objectionable and deplorable in the era where

* Author

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the society proudly talks of women empowerment – Respondent has an attitude of domineering and control – The steps so taken by the appellant were absolutely justified in view of the prevailing facts and circumstances – The observations made by the Family Court regarding cruelty and desertion attributed to the appellant are unjustified and untenable in the eyes of law – Same deserve to be expunged – As the appellant is no longer hopeful of a patch-up or resumption of matrimony with the respondent, the decree of divorce is upheld – As far as the SLP filed by the respondent is concerned, this Court is of the firm opinion that the allegations made by him do not disclose the necessary ingredients of the offence of perjury or giving false evidence so as to direct prosecution of the respondent – Thus, SLP is dismissed. [Paras 21-23, 29, 37, 38]

List of Acts

Code of Criminal Procedure, 1973.

List of Keywords

Marital Dispute; Discord between the spouses; Divorce; Cruelty; Desertion; Perjury; Qualified woman; Professional career; Upbringing of her child; Archaic societal assumptions; Progressive evolution of society; Dignity; Autonomy; Equal participation of woman.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7457 of 2026

From the Judgment and Order dated 12.08.2024 of the High Court of Gujarat at Ahmedabad in FA No. 4298 of 2022

With

SLP (Civil) No. 28451 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Saurabh Iqbal Bahadur Dutt, Ms. Jesal Wahi, Kabir Hathi.

Advs. for the Respondent(s):

Saurabh Iqbal Bahadur Dutt, Ms. Jesal Wahi, Kabir Hathi.

Petitioner-in-person.

Caveator-in-person.

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1. Heard.
2. Leave granted.
3. We are well into the 21st Century, and yet an attempt by a qualified woman to pursue her professional career and to secure a safe and stable environment for the upbringing of her child has been treated as an act of cruelty and desertion by the Courts below. We are constrained to observe that the approach adopted by the learned Family Court, as affirmed by the High Court, is not only legally unsustainable but also deeply disquieting. The endeavour of the appellant to establish her own dental clinic at Ahmedabad, rather than allowing the professional qualification she had earned through years of effort to lie dormant and go waste, has been viewed with disapproval, merely because her stance did not conform to the expectation of the husband and the in-laws that she must abandon her aspirations and reside with her husband at a remote location on account of his posting as an Army Officer.
4. The reasoning which permeates the impugned judgments appears to be founded upon deeply entrenched archaic societal assumptions that a wife's professional identity is subject to an implied spousal veto; that her autonomy must yield to the geographical and occupational demands of her husband; and that her decision to secure a safer and more conducive environment for the upbringing of her child, even at the cost of living separately for certain periods, would construe as a matrimonial default. Such assumptions, rooted in a conservative patriarchal understanding of marital roles, are wholly incompatible with the progressive evolution of society, where dignity, autonomy, and equal participation of women in all spheres are increasingly recognised as fundamental to social advancement.
5. It must be emphasised that a well-educated and professionally qualified woman cannot be expected to be confined within the rigid

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boundaries of matrimonial obligations alone. Marriage does not eclipse her individuality, nor does it subjugate her identity under that of her spouse. It is for both the husband and the wife to balance their marital ties in a manner that respects mutual aspirations, and not for one to unilaterally dictate the life choices of the other. As has been recognised in the evolving discourse on matrimonial jurisprudence, a woman can no longer be treated as a mere appendage to the household of the husband, and her independent intellectual and professional identity and aspirations must receive due credence and respect.

6. What is portrayed as defiance in the impugned judgments is, in truth, an assertion of independence; what is labelled as desertion is, on a closer scrutiny, a consequence of circumstances shaped by professional commitments, the welfare of the minor child, and the realities of life. To characterise such conduct as cruelty or desertion is to effectively penalise the appellant for exercising choices that are integral to her dignity and personhood. The expectation that a woman must invariably sacrifice her career and conform to traditional notions of an obedient wife meant for cohabitation, irrespective of her own aspirations or the welfare of the child, reflects a line of reasoning that is archaic, ultra-conservative, and cannot be countenanced in the present day scenario when women are leading various professional fields from the forefront.
7. The factual matrix, as it unfolds from the record, would demonstrate that the conduct attributed to the appellant as cruelty or desertion was, in reality, a manifestation of legitimate choices made in pursuit of professional fulfilment and responsible parenthood. It is in this backdrop and keeping in view the need to harmonise matrimonial obligations with the constitutional guarantee of individual autonomy, that the present *lis* warrants adjudication with a fine balance.

Background: -

8. The appellant and the respondent were married on 3rd September, 2009. The appellant is a qualified dentist, and the respondent was serving in the Indian Army and was posted at Pune.
9. The appellant started her own private dental clinic at Pune in the month of June, 2010. A year later, the respondent came to be posted at Kargil. The appellant sacrificed her dental practice to

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be besides her husband (respondent) and shifted to Kargil. Both stayed together at Kargil for over four months. During this period, the appellant conceived. Finding the circumstances not conducive to her pregnancy, particularly in view of the limited medical facilities at Kargil, the place of posting of the respondent, the appellant returned to Ahmedabad and started living with her in-laws.

10. However, as per the appellant, owing to the difference in religious background from which the parties hail (the appellant is a Christian and the respondent is a Hindu), the relationship between them started going southwards. The appellant thereafter moved to her parental home at Ahmedabad. She gave birth to a female child on 12th April, 2012, who continues to be in her care and custody.
11. After the birth of the daughter, the appellant went to Kargil to stay with the respondent, where the child developed certain medical complications, to be specific, seizure episodes, and was required to be admitted to the military hospital. As the condition of the child did not show improvement and in view of the limited specialized medical facilities available at Kargil, the parties returned to Ahmedabad with the child so that she could be provided proper further treatment.
12. The aforesaid sequence of events precipitated severe discord between the spouses. The appellant thereupon approached the competent Army authorities seeking maintenance for herself and the minor child. The Army authorities, *vide* order dated 12th May, 2014, allowed the application and directed the respondent to pay 22% of his salary to the appellant and 5.5% to the minor daughter. It appears that the said order was passed in terms of the applicable Army instructions governing maintenance to dependents.
13. The order granting maintenance was challenged by the respondent before the Armed Forces Tribunal, Lucknow. The matrimonial strife between the parties escalated, leading to initiation of multiple proceedings before different fora, including the learned Family Court No.2 of Ahmedabad City at Ahmedabad¹. During the pendency of such proceedings, efforts were made to bring about a reconciliation between the parties; however, the same did not fructify. Thereafter, by order dated 11th February, 2022, the learned Family Court granted

1 Hereinafter, referred to as the "Family Court".

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interim maintenance to the tune of Rs.55,000/- per month (Rs.35,000/- to the appellant and Rs.20,000/- to the minor daughter).

14. In revision preferred by the respondent before the High Court for assailing the said order, the quantum of interim maintenance was modified and the amount payable to the appellant was scaled down to Rs.25,000/- per month, while the amount of Rs.20,000/- per month awarded to the minor daughter as maintenance was maintained. The same terms of maintenance were finalized by the learned Family Court *vide* final order dated 30th September, 2022.
15. In the intervening period, the respondent had also filed Family Suit No. 2361 of 2017 seeking dissolution of marriage. During the course of the said proceedings, he also moved an application under Section 195 of the Code of Criminal Procedure², 1973 read with Section 340 CrPC (Exh. 54), alleging that the appellant had made false statements on oath in proceedings relating to interim maintenance, and sought her prosecution for perjury. The learned Family Court, *vide* judgment and decree dated 30th September, 2022, decreed the suit for divorce on the grounds of cruelty and desertion attributed to the appellant and simultaneously, by the same judgment, rejected the aforesaid application of the respondent (Exh.54).
16. Being aggrieved, the appellant preferred a First Appeal to the High Court at Gujarat at Ahmedabad³ challenging the decree of divorce, whereas the respondent preferred a separate First Appeal challenging the rejection of his application filed under Section 195 of the CrPC read with Section 340 CrPC.
17. While pressing the appeal, the appellant simply urged for expunging of the observations and findings pertaining to desertion and cruelty while not contesting the grant of divorce, whereas the respondent pressed hard for acceptance of his appeal and prosecution of the appellant for perjury.
18. The Division Bench of the High Court dismissed both the appeals by judgment dated 12th August, 2024 which is assailed by both the parties in this appeal by special leave.

2 For short, 'CrPC'.

3 Hereinafter, referred to as the "High Court".

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19. We have heard the learned counsel for the appellant and the respondent, who appeared in-person, and have considered the submissions advanced. The appellant Ms. Ann has just prayed for expungement of the findings of desertion and cruelty which prayer was hotly contested by the respondent Saurabh Dutt. Thus, we have perused and gone through the findings of the Family Court on these issues and find the same to be appalling and totally unacceptable.
20. At this stage, we would like to extract the findings recorded by the learned Family Court, while granting divorce and dissolving the marriage of the parties, which are as below:-
 - (i) That the appellant was not inclined to continue with the marriage, as she gave precedence to her career by operating a dental clinic at Ahmedabad;
 - (ii) That the appellant got invitation cards printed for the opening of her dental clinic and circulated the same without the knowledge of the respondent and his family, which, according to the learned Family Court, amounted to cruelty, as it was expected of a wife or daughter-in-law that any such step be taken with the knowledge of the husband or his family;
 - (iii) That the setting up of the dental clinic without informing the family was not reflective of healthy family relations and, according to the learned Family Court, such conduct, amounted to disregard for the emotions and feelings of the family;
 - (iv) That the request made by the appellant that, during visits to Ahmedabad, she be permitted to stay at her parental home was also treated as an act of cruelty, as, according to the learned Family Court, a married woman is expected to reside with her husband at the matrimonial home;
 - (v) That whenever the parties came to Ahmedabad, they resided separately, as the appellant stayed at her parental home while the respondent stayed at his own residence;
 - (vi) That the allegation of the respondent that, on one occasion, the appellant did not permit his mother to take the minor daughter in her lap or to touch her, allegedly on account of fear of infection, was also treated to be indicative of cruelty;

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- (vii) It was observed by the learned Family Court, in paragraph 26 of the judgment, that it was the bounden duty of a wife to reside with her husband wherever he may choose to reside, and that the husband could not be deprived of his conjugal rights except under special circumstances which absolved the wife of such duty. The appellant's attempt to run her own dental clinic was held to be indicative of an intent not to reside with the respondent at his place of posting and was accordingly treated as desertion;
 - (viii) In paragraph 27 of the judgment, the learned Family Court observed that the marriage between the parties had irretrievably broken down and that a decree of divorce was warranted on account of such breakdown, resulting from acts of cruelty and desertion on the part of the appellant.
21. Having gone through the above findings recorded by the learned Family Judge, we find the approach of the Presiding Judge to be pedantic and regressive, to say the least. The endeavour on the part of the appellant to choose a more secure place for bringing up her minor daughter, who suffered from a concerning medical condition, could not have been construed as an act of desertion under any circumstances.
 22. True it is that, in ideal conditions, an army officer's wife would be expected to accompany her husband even if the posting is at difficult locations. However, merely because the wife decided to reside at Ahmedabad with the primary intention to provide a safer environment and better health care to her daughter, where she could also pursue her professional career, branding such conduct as constituting cruelty or desertion was atrocious to say the least.
 23. It reflects an ultra-conservative and myopic approach of the Presiding Officer. To brandish the effort of the wife to pursue her own career goals as acts of cruelty, as the same may have hurt the sentiments of the husband or the in-laws, is highly objectionable and deplorable in the era where the society proudly talks of women empowerment.
 24. The learned Family Judge laid much emphasis on the incident wherein the appellant inaugurated her dental clinic without informing the respondent or her in-laws. The said act was held to be an act of cruelty. Looking to the approach that the respondent has displayed

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all throughout the proceedings, it is apparent that his attitude was of male chauvinism claiming an exalted status on account of Army service and never to promote or support the career of his own wife, herself a qualified Dentist. Under such circumstances, if at all, the appellant opened the dental clinic without disclosing the same to the respondent, it must have been a decision taken out of sheer compulsion and to deter her husband from obstructing her rightful pursuit of a professional career.

25. Needless to state that the appellant must have put in great efforts and expenditure for acquiring the degree in Dentistry. Thus, the approach of the Family Court was clearly meant to convey that the wife even though having a degree in Dentistry, should have sacrificed her own career to go and stay with her husband at his place of posting and failure to do so, tantamounted to committing cruelty by deserting her husband. This approach can never be countenanced and deserves to be deprecated.
26. In the present world, where women are making strides in leaps and bounds, merely because the husband was an Army Officer posted in a remote location, the expectation that the wife could not even think of pursuing her career in Dentistry, is indicative of regressive and feudalistic mindset. We are afraid that the learned Family Court would never have taken the same view if there was a role reversal and the wife was serving in the Army while the husband was a medical professional. In such circumstances the husband would never be expected to sacrifice his career merely to remain by the side of his wife; his failure to do so would certainly not be branded as cruelty and desertion.
27. We are of the firm view that in such a situation, striking a balance is necessary. If, at all, the wife intended to pursue her medical career, then the same should have been supported rather than deterring her efforts. The husband should have taken pride in the fact that his wife was in pursuit of her career goals rather than holding her responsible for breakdown of the marriage on the ground that she did not join him at Kargil by sacrificing her career. If the lady, having acquired the degree in Dentistry, did not utilise the same, that, in our opinion, would be a sinful wastage of talent and resources because the seat against which she had acquired the degree, would go abegging.

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28. It also appears that the Courts below gave much credence to the assertion of the respondent to the effect that the appellant sought to coerce him to convert to Christianity and that such conduct amounted to cruelty. In this regard, it may be noted that the material on record does not indicate any clear or credible evidence substantiating such allegations, which seem to arise in the backdrop of competing claims made by the parties during the course of intense matrimonial discord. The only circumstance that emerges with some degree of consistency is that the respondent had accompanied the appellant to the Velankanni Church in Tamil Nadu, which, by itself, would not constitute coercion or cruelty. This aspect may also be viewed in the context of the fact that the marriage between the parties was a love marriage, solemnised in accordance with the customs and rites of both Hindu and Christian faiths, and was subsequently registered under the Special Marriage Act.
29. Having observed the approach of the respondent during the course of hearings and the thrust of his submissions seeking prosecution of the appellant, we are convinced that he has an attitude of domineering and control, which must have been the probable cause for the appellant taking the steps for gaining independence and pursuing her career goals. The steps so taken by the appellant Ms. Ann were absolutely justified in view of the prevailing facts and circumstances.
30. Furthermore, the learned Family Court also attributed the irretrievable breakdown of the marriage to the so-called acts of cruelty and desertion on the part of the appellant. In view of the findings recorded *supra*, the said observations are absolutely baseless and unsustainable.
31. The judgment of the learned Family Court has been affirmed by the High Court *vide* judgment dated 12th August, 2024. Suffice it to say that having found the observations made by the learned Family Court regarding cruelty and desertion attributed to the appellant to be unjustified and untenable in the eyes of law, we are convinced that the same deserved to be expunged and scored off the record.
32. As the learned counsel for the appellant has, on instructions, stated that the appellant is no longer hopeful of a patch-up or resumption of matrimony with the respondent, and as the respondent has reportedly

Ann Saurabh Dutt v. Lieutenant Colonel Saurabh Iqbal Bahadur Dutt

remarried, we are not inclined to disturb the decree of divorce passed by the learned Family Court and affirmed by the High Court. The same is accordingly upheld, with the observations regarding cruelty and desertion being expressly expunged and set aside. The decree shall be deemed to have been passed on the ground of irretrievable breakdown of marriage.

33. The appeal is thus partly allowed.
34. Pending application(s), if any, shall stand disposed of.

SLP(Civil) No. 28451 of 2024

35. We have heard the petitioner, who appeared in-person, in support of his special leave petition assailing the rejection of his application filed under Section 195 of CrPC read with Section 340 CrPC, seeking prosecution of the respondent for perjury.
36. Having given our thoughtful consideration to the submissions of Shri Saurabh Iqbal Bahadur Dutt, the petitioner appearing in-person and after going through the impugned orders and the other material placed on record, we are of the firm opinion that the allegations made by the petitioner seeking prosecution of his ex-wife, the respondent herein, appear to be instigated by personal vendetta and spiteful approach. The same also seems to be fuelled by anger and pent-up frustration owing to multiple cases and complaints filed by the respondent against him and his family members.
37. In view of the order passed by us in Civil Appeal arising out of SLP (Civil) No.25076 of 2024, and upon thoughtful consideration of the submissions advanced by the petitioner appearing in-person, as also upon perusal of the impugned orders and the material placed on record, we are of the firm opinion that the allegations made by him do not disclose the necessary ingredients of the offence of perjury or giving false evidence so as to direct prosecution of the respondent. The grievances sought to be projected appear to stem from a hyper-technical dissection of the material on record, in the backdrop of multiple disputes between the parties arising from escalated matrimonial acrimony. Concurrent findings have been recorded by the Courts below in rejecting the application and the appeal of the petitioner and thus, we do not find any justifiable reason to entertain the prayer made in this petition seeking prosecution of

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the respondent, by taking recourse to the procedure provided under Section 195 CrPC read with Section 340 CrPC.

38. The special leave petition lacks merit and is dismissed as such.
39. Pending application(s), if any, shall stand disposed of.

Result of the case: C.A.No. 7457 of 2026 is Partly allowed and
SLP No. 28451 of 2024 is dismissed.

[†]Headnotes prepared by: Ankit Gyan

**Project Director,
National Highways Authority of India**

v.

Alfa Remidis Ltd. and Others

(Civil Appeal No. 7847 of 2026)

12 May 2026

[Sanjay Kumar* and K. Vinod Chandran, JJ.]

Issue for Consideration

National Highways Authority of India (NHAI) is aggrieved by enhancement of the compensation payable to a landowner, respondent no.1-Alfa Remidis Ltd.

Headnotes[†]

National Highways Act, 1956 – 3G(5) – Arbitration and Conciliation Act, 1996 – Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 – s.26 – Respondent no.1, claimed ownership over an extent of 1,394 square meters in Survey No. 66 of Mouza Pardi (Rithi) in Tahsil-Saoner, Nagpur District – The Deputy Collector, Land Acquisition (General) awarded compensation @ ₹161.63 per square meter – Aggrieved thereby, respondent no.1 filed an application u/s.3G(5) of the NH Act before the Arbitrator, viz., the Additional Commissioner – The Arbitrator by Award dated 22.11.2021, directed payment of compensation to respondent no.1 at ₹3,588/- per square meter – Aggrieved by this enhancement, NHAI and the Government of India filed an application u/s.34 of the Arbitration and Conciliation Act, 1996, before the District Judge – The District Judge set aside the Award dated 22.11.2021 – However, the High Court restored the Award dated 22.11.2021 – Correctness:

Held: Applying the rigours of s.26(1) of the 2013 LA Act to the case on hand, this Court finds that the Arbitrator demonstrably erred in relying upon the sale deed dated 29.03.2017 relating to residential land in an adjoining village to determine the market value of respondent no.1's land, which was being used for an industrial purpose – Clearly, the two lands were not of a 'similar type' for the purposes of s.26(1)(b) of the 2013 LA Act and the price in the said

* Author

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sale deed could not have been adopted – Further, the methodology for working out the ‘average sale price’ u/s.26(1)(b), as set out in *Explanations* 1 to 4 thereunder, does not permit placing reliance on a single sale deed for that purpose – s.34(2A) of the Arbitration Act provides for setting aside an arbitral award if it is found to be vitiated by patent illegality appearing on the face of it – Though the *proviso* thereto stipulates that an arbitral award should not be set aside merely on the ground of erroneous application of law or by reappraisal of evidence, this Court is of the opinion that the cloak of protection afforded by the *proviso* cannot be extended to the present arbitral award – The Arbitrator completely ignored the directives of s.26(1)(b) of the 2013 LA Act and the *Explanations* thereunder – Respondent No.1 had itself cited the Government rate available in the Ready Reckoner, *i.e.*, ₹2,020/- per square meter, being the rate applicable for lands on the highway in Zone 4 – Mauza Pardi (Rithi) finds mention amongst the villages named in Zone 4 – That being so, the statutory provision that should have been applied for determination of the market value of respondent no.1’s land was s.26(1)(a) of the 2013 LA Act – Respondent no.1 would, therefore, be entitled to compensation for its acquired extent of 1394 square meters @ ₹2,020/- per square meter and not @ ₹3,588/- per square meter, as decided by the Arbitrator and confirmed by the High Court. [Paras 11-13]

Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 – s.26 – Mandates:

Held: s.26(1) of the 2013 LA Act mandates that the Collector must choose the higher of the three options specified in clauses (a), (b) and (c) thereunder – The first option under clause (a) is the market value specified for the purpose of registration of sale deeds or agreements to sale in the area where the acquired land is situated, *i.e.*, for the levy of stamp duty – The second option under clause (b) is to ascertain the average sale price for similar type of land situated in the nearest village or nearest vicinity – The third option under clause (c) is not relevant for present purposes – *Explanation* 1 states that the average sale price should be determined by taking into account the sale deeds or agreements to sell registered for similar type of area in the near village or near vicinity during the immediate three years preceding the year in which the land acquisition is being made – *Explanation* 2 elaborates

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that, for determining the average sale price, one-half of the total number of sale deeds or agreements to sell, in which the highest sale price has been mentioned, should be taken into account – *Explanation 3* provides that the price paid as compensation for land acquired in the district under the provisions of the 2013 LA Act on an earlier occasion should not be taken into consideration and *Explanation 4* gives discretion to the Collector, while determining the market value and the average sale price, to discount any price paid which, in his opinion, is not indicative of the actual prevailing market value. [Para 10]

Case Law Cited

National Highways Authority of India v. P. Nagaraju alias Cheluvaiiah and Another [2022] 8 SCR 1070 : (2022) 15 SCC 1; *Madhya Pradesh Road Development Corporation v. Vincent Daniel and Others* [2025] 3 SCR 1277 : (2025) 7 SCC 798 – referred to.

List of Acts

National Highways Act, 1956; Arbitration and Conciliation Act, 1996; Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013; Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (Removal of Difficulties) Order, 2015.

List of Keywords

Land Acquisition; Compensation; Market value; Sale deeds; Land acquired; Average sale price; Compensation for land; Industrial purpose; Residential purpose; Arbitral award.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7847 of 2026

From the Judgment and Order dated 05.06.2025 of the High Court of Judicature at Bombay at Nagpur in ARBA No. 39 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Preetesh Kapur, Sr. Adv., Sumit Gupta, Ms. Jaikriti S. Jadeja, Akshay Kumar Tiwari, Ms. Tanya Shrotriya.

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Advs. for the Respondent(s):

Dhruv Mehta, Sr. Adv., Rajat Joseph, Yashraj Kinkhede, Shrirang B. Varma, Siddharth Dharmadhikari, Aaditya Aniruddha Pande.

Judgment / Order of the Supreme Court**Judgment**

Sanjay Kumar, J.

1. Leave granted.
2. Acquisition of land for four-laning of National Highway No. 547-E entailed payment of compensation. National Highways Authority of India (NHAI) is aggrieved by enhancement of the compensation payable to a landowner, Alfa Remidis Ltd. Hence, this appeal.
3. By order dated 14.11.2025, this Court directed NHAI to deposit ₹50,00,000/- and permitted Alfa Remidis Ltd. to withdraw the same. Operation of the judgment dated 05.06.2025 passed by the High Court of Judicature at Bombay, Nagpur Bench, in Arbitration Appeal No. 39 of 2023, presently under challenge, was stayed.
4. Alfa Remidis Ltd., respondent No. 1, claimed ownership over an extent of 1,394 square meters in Survey No. 66 of Mouza Pardi (Rithi) in Tahsil-Saoner, Nagpur District. Notification dated 09.05.2017 was issued under Section 3A(1) of the National Highways Act, 1956¹, for acquisition of this extent of land along with other lands for widening NH No. 547-E. The Deputy Collector, Land Acquisition (General), Nagpur, being the competent authority, determined the compensation payable for this land under Section 3G(1) of the NH Act, by order dated 27.03.2018. He classified the land as fallow (agricultural category) or dry crop land and awarded compensation @ ₹161.63 per square meter, on the basis of three sale deeds relating to agricultural land in Mouza Pardi (Rithi).
5. Aggrieved thereby, respondent No. 1 filed an application under Section 3G(5) of the NH Act before the Arbitrator, viz., the Additional Commissioner, Nagpur Division, taken on file as Arbitration Case No. 193/ARB/2019-20. Respondent No. 1 asserted therein that its land

¹ For brevity, 'the NH Act'

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had wrongly been treated as agricultural land, as it was being used for an industrial purpose. Documents were produced in proof thereof. Further, it cited the Ready Reckoner, wherein the Government rate of ₹2,020/- per square meter was set down for levy of stamp duty on sale transactions involving lands, akin to the subject land, abutting the highway. It also placed reliance on the registered sale deed dated 29.03.2017 pertaining to a residential plot of 195.09 square meters, wherein the price shown was ₹3,588/- per square meter. This sale deed related to Mouza Saoner, which was near Mouza Pardi (Rithi). Thereupon, by Award dated 22.11.2021, the Arbitrator accepted that the subject land was in non-agricultural use and, applying the rate quoted in the sale deed dated 29.03.2017, he directed payment of compensation to respondent No. 1 at ₹3,588/- per square meter.

6. Aggrieved by this enhancement, NHA and the Government of India filed an application in Arbitration Case No. 272 of 2022, under Section 34 of the Arbitration and Conciliation Act, 1996², before the learned District Judge-10, Nagpur. They sought setting aside of the Award dated 22.11.2021 on various grounds. One of the grounds was that the Arbitrator had erred in effecting enhancement of compensation contrary to Section 26(1) of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013.³ By judgment dated 11.09.2023, the learned District Judge held in their favour, agreeing that the Arbitrator had acted in contravention of Section 26 of the 2013 LA Act, and set aside the Award dated 22.11.2021.
7. Assailing the said judgment, respondent No. 1 approached the High Court by way of Arbitration Appeal No. 39 of 2023, under Section 37 of the Arbitration Act. By the impugned judgment dated 05.06.2025, the High Court restored the Award dated 22.11.2021. Therein, the High Court noted that the documentary evidence showed that respondent No. 1's land was not agricultural land. The High Court found that respondent No. 1 was running a unit thereon for production of paracetamol medicine and was, thus, using the land for an industrial purpose. The High Court opined that the Arbitrator had correctly considered the documents placed on record and applied

2 For brevity, 'the Arbitration Act'

3 For brevity, 'the 2013 LA Act'

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the rate quoted in the sale deed dated 29.03.2017, relied upon by respondent No. 1. The High Court noted that respondent No. 1 had alluded to the rate of ₹2,020/- per square meter, as per the Ready Reckoner, which was the Government rate for levy of stamp duty, but the same had not been considered. The High Court opined that, as the land in question was non-agricultural and respondent No. 1 had cited a sale transaction in relation to a smaller extent of non-agricultural land from a nearby village, the rate therein was correctly adopted, as there were no objections to its genuineness or it being in relation to land in a nearby village. Holding so, the High Court restored the Award dated 22.11.2021.

8. Before we address the issue on merits, we may note that the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (Removal of Difficulties) Order, 2015, was notified by the Government of India, with effect from 01.09.2015, clarifying that the provisions of the 2013 LA Act relating to determination of compensation in accordance with the First Schedule shall apply to all cases of land acquisition under the enactments specified in the Fourth Schedule thereto. The NH Act figures at Serial No. 6 in the Fourth Schedule to the 2013 LA Act. In effect, there can be no doubt as to the applicability of the provisions of the 2013 LA Act for determination of the compensation payable under Section 3G(1) of the NH Act. This position was made amply clear by this Court in ***National Highways Authority of India vs. P. Nagaraju alias Cheluvaiah and another***⁴, wherein it was held that all aspects contained in Sections 26 to 28 of the 2013 LA Act for determination of compensation would be applicable during the exercise of fixing the quantum of compensation payable under the NH Act.
9. Section 26 of the 2013 LA Act is titled 'Determination of market value of land by Collector'. To the extent relevant, this provision reads as under:

'26. Determination of market value of land by Collector.—(1) The Collector shall adopt the following criteria in assessing and determining the market value of the land, namely:—

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- (a) the market value, if any, specified in the Indian Stamp Act, 1899 (2 of 1899) for the registration of sale deeds or agreements to sell, as the case may be, in the area, where the land is situated; or
- (b) the average sale price for similar type of land situated in the nearest village or nearest vicinity area; or
- (c) consented amount of compensation as agreed upon under sub-section (2) of section 2 in case of acquisition of lands for private companies or for public private partnership projects,

whichever is higher:

Provided that the date for determination of market value shall be the date on which the notification has been issued under section 11.

Explanation 1.—The average sale price referred to in clause (b) shall be determined taking into account the sale deeds or the agreements to sell registered for similar type of area in the near village or near vicinity area during immediately preceding three years of the year in which such acquisition of land is proposed to be made.

Explanation 2.—For determining the average sale price referred to in Explanation 1, one-half of the total number of sale deeds or the agreements to sell in which the highest sale price has been mentioned shall be taken into account.

Explanation 3.—While determining the market value under this section and the average sale price referred to in Explanation 1 or Explanation 2, any price paid as compensation for land acquired under the provisions of this Act on an earlier occasion in the district shall not be taken into consideration.

Explanation 4.—While determining the market value under this section and the average sale price referred to in Explanation 1 or Explanation 2, any price paid, which in the opinion of the Collector is not indicative of actual

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prevailing market value may be discounted for the purposes of calculating market value.

(2)'

10. In the present case, the Arbitrator chose to adopt the sale price relating to a small residential plot of land in an adjoining village though it was the specific case of respondent No. 1 that its land was used for an industrial purpose. Section 26(1) of the 2013 LA Act mandates that the Collector must choose the higher of the three options specified in clauses (a), (b) and (c) thereunder. The first option under clause (a) is the market value specified for the purpose of registration of sale deeds or agreements to sale in the area where the acquired land is situated, i.e., for the levy of stamp duty. The second option under clause (b) is to ascertain the average sale price for similar type of land situated in the nearest village or nearest vicinity. The third option under clause (c) is not relevant for our purposes. *Explanation 1* states that the average sale price should be determined by taking into account the sale deeds or agreements to sell registered for similar type of area in the near village or near vicinity during the immediate three years preceding the year in which the land acquisition is being made. *Explanation 2* elaborates that, for determining the average sale price, one-half of the total number of sale deeds or agreements to sell, in which the highest sale price has been mentioned, should be taken into account. *Explanation 3* provides that the price paid as compensation for land acquired in the district under the provisions of the 2013 LA Act on an earlier occasion should not be taken into consideration and *Explanation 4* gives discretion to the Collector, while determining the market value and the average sale price, to discount any price paid which, in his opinion, is not indicative of the actual prevailing market value.
11. Applying the rigours of Section 26(1) of the 2013 LA Act to the case on hand, we find that the Arbitrator demonstrably erred in relying upon the sale deed dated 29.03.2017 relating to residential land in an adjoining village to determine the market value of respondent No. 1's land, which was being used for an industrial purpose. Clearly, the two lands were not of a 'similar type' for the purposes of Section 26(1)(b) of the 2013 LA Act and the price in the said sale deed could not have been adopted. Further, the methodology for working out the 'average sale price' under Section 26(1)(b), as

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set out in *Explanations* 1 to 4 thereunder, does not permit placing reliance on a single sale deed for that purpose. Reference may be made to ***Madhya Pradesh Road Development Corporation vs. Vincent Daniel and others***⁵, wherein this Court considered the scheme of Section 26(1) of the 2013 LA Act and observed that the language used therein implied that there should be multiple deeds available for reference, as singular deals may not supply adequate and reliable data.

12. Though the High Court laboured over various decisions of this Court, the position obtaining under the statutory provision and the legal principles laid down in the above referred judgments were neither noted nor given effect to. Section 34(2A) of the Arbitration Act provides for setting aside an arbitral award if it is found to be vitiated by patent illegality appearing on the face of it. Though the *proviso* thereto stipulates that an arbitral award should not be set aside merely on the ground of erroneous application of law or by reappraisal of evidence, we are of the opinion that the cloak of protection afforded by the *proviso* cannot be extended to the present arbitral award. The Arbitrator completely ignored the directives of Section 26(1)(b) of the 2013 LA Act and the *Explanations* thereunder, by adopting a sale exemplar of a totally dissimilar type of land and, at that, a single sale exemplar, which was contrary to the statutory mandate. Respondent No. 1 had itself cited the Government rate available in the Ready Reckoner, i.e., ₹2,020/- per square meter, being the rate applicable for lands on the highway in Zone 4. Mauza Pardi (Rithi) finds mention amongst the villages named in Zone 4. That being so, the statutory provision that should have been applied for determination of the market value of respondent No.1's land was Section 26(1)(a) of the 2013 LA Act.
13. Respondent No. 1 would, therefore, be entitled to compensation for its acquired extent of 1394 square meters @ ₹2,020/- per square meter and not @ ₹3,588/- per square meter, as decided by the Arbitrator and confirmed by the High Court. Needless to state, respondent No. 1 would also be entitled to all consequential statutory benefits under the 2013 LA Act. The sum of ₹50,00,000/- already withdrawn

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by respondent No. 1 shall be taken into account while disbursing the balance compensation due and payable to respondent No. 1 pursuant to this order.

The appeal is allowed in the aforestated terms.

Parties shall bear their own costs.

Result of the case: Appeal allowed.

†Headnotes prepared by: Ankit Gyan

[2026] 6 S.C.R. 241 : 2026 INSC 488

Soumya Ranjan Panda & Ors.

v.

Subhalaxmi Dash & Ors.

(Civil Appeal No(s). 7861-7862 of 2026)

14 May 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

Issue arose whether the students transferred to private medical colleges liable to pay fees at Government rates or at the rates applicable to private medical colleges; how the differential liability, if any, is to be apportioned between the students and the Educational Trust; whether the State of Odisha and/or the MCI/NMC should be directed to make good the deficiency; and whether the entire liability should be fixed on the Education Trust.

Headnotes[†]

Education/Educational Institutions – Medical colleges – Denial of renewal of recognition to medical institution-SRMCH due to certain deficiencies – Directions by the High Court to relocate/transfer students from SRMCH to other recognized medical colleges within the State, and that the Students admitted under Government quota could be accommodated in Government medical colleges, whereas students under the management/private quota could be accommodated in private medical institutions – Appeal before this Court that such relocation to Government medical colleges, disturbed the existing admission framework – Issuance of interim orders from time to time to regulate the relocation and continuation of the students in other private medical institutions – State Government relocated/transferred students to transferee private medical colleges – Interlocutory applications seeking directions as regards the payment of the fees:

Held: It would amount to unjust enrichment of these transferee students while being conscious of the fact that they had to face a

* Author

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chaotic situation of being transferred to different medical colleges mid-session – However, all interests of these students duly protected by this Court ensuring that they cleared the medical course without losing a single academic year – Thus, neither the students can be given undue advantage or bonanza nor can the defaulting institution-SRMCH/Trust, be permitted to take benefit of its own follies – Maxim *commodum ex injuria sua nemo habere debet* states that no one should derive a benefit from their own wrong – While the admitted students had undertaken to pay the prescribed fees to SRMCH, it is equally true that, upon payment of such fees, they were entitled to complete their course without any hitch or difficulty – However, owing to the deficiencies in SRMCH, its recognition was not renewed, resulting in the students being subjected to a very tumultuous and volatile situation, putting their future in grave risk – As regard the manner in which the resultant financial liability is to be apportioned between the parties while balancing the equities, since the students were transferred and admitted to these colleges pursuant to the directions of this Court in exceptional circumstances, the primary brunt of liability must be fastened upon SRMCH, subject to such adjustments as may be permissible in law – As regards the disbursement of amounts deposited by the SRMCH, the amount of Rs.10 crores furnished by the Trust by way of bank guarantees with the MCI/NMC, along with the amount of Rs.2 crores deposited before this Court, with accrued interest thereupon, to be payable to the transferee colleges – As regards the liability of students, the passed-out students cannot be allowed the benefit of a windfall or a bonanza merely by dint of the interim orders passed by this Court, which was in form of an emergent measure in order to tide over the situation where the students faced risk of losing their entire careers – By virtue of the orders passed by this Court, the students have completed the medical courses, as such they should be asked to make good their outstanding fee obligations – Transferee colleges to make representations to the MCI/NMC as regards the exact shortfall of the fee due from each student applying SRMCH rates, for recovery of their remaining dues – NMC to provide due redressal to the colleges for recovery of the deficit amount, and upon compliance such students would be entitled to receive academic and course completion documents, certificates. [Paras 36-46, 52-54]

Soumya Ranjan Panda & Ors. v. Subhalaxmi Dash & Ors.**Case Law Cited**

Priya Gupta v. State of Chhattisgarh [2012] 5 SCR 768 : (2012) 7 SCC 433; *Hind Charitable Trust & Ors. v. Union of India & Ors.* [2024] 14 SCR 1361 : W.P. (Civil) No. 469 of 2014; *Sardar Rajas Medical College v. Uol, Writ Petition (C) No. 681 of 2014 – referred to.*

List of Acts

Constitution of India.

List of Keywords

Students transferred to private medical colleges; Liability to pay fees; Government rates or rates applicable to private medical colleges; Differential liability; Apportionment between the students and the Educational Trust; Denial of renewal of recognition to medical institution-SRMCH due to certain deficiencies; Relocate/ transfer students to other recognized medical colleges.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 7861-7862 of 2026

From the Judgment and Order dated 18.11.2015 and 09.12.2015 of the High Court of Orissa at Cuttack in WPC No. 12224 of 2015

Appearances for Parties

Adv. for the Appellant(s):

Kedar Nath Tripathy.

Advs. for the Respondent(s):

Pratap Venugopal, V. Giri, Gauravh Sharma, Ashok Kr Parija, Sr. Advs., Amarjit Singh Bedi, Ms. Surekha Raman, Shreyash Kumar, M/S. K J John And Co, Merusagar Samantaray, Kanishk, Anurag Yadav, M. Gireesh Kumar, Ankur S. Kulkarni, Sanjay Singh, Ashok Kumar, Milind Kumar, Kedar Nath Tripathy, Ms. Aswathi M.k., Anand Chandra Swain, Ms. Sunshine Anand Swain, Ms. Vaishnavi Sahoo, Janmejaya Verma, Manish Chaurasia, Ms. Khushi Chhetri, Piyush Garg, S. K. Verma, Siddhartha Chowdhury, Anand Chandra Swain, Ms. Sunshine Anand Swain, Ms. Vaishnavi Sahoo, Ms. Akanksha Verma Chandok, Dhawal Mohan, Praeek Bhatia, Gaurav Khanna, Avnish Kumar Sharma, Abhisek Dash, Ramendra Mohan Patnaik.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Mehta, J.**

1. Heard.
2. Leave Granted.
3. Application(s) for impleadment/intervention are allowed.

Scope of the Present Controversy: -

4. These appeals, though arising out of special leave petitions challenging the judgment and order dated 18th November, 2015, and 9th December, 2015 passed by the High Court of Orissa¹, have, over the course of time, assumed a distinct and focused contour. What commenced as a challenge to the directions issued by the High Court concerning the relocation of students from Sardar Rajas Medical College, Hospital and Research Centre, Jaring, Kalahandi, Odisha² was subsequently shaped by a series of interim orders passed by this Court regulating the process of relocation and safeguarding the academic interests of the students. By order dated 8th January, 2016, this Court expressed reservations with the approach adopted by the High Court in directing relocation based strictly on quota distinctions. Thereafter, another order dated 12th January, 2016 was passed permitting the continuation of students in recognised private institutions and enabled the State authorities to carry out relocation in a manner consistent with maintaining academic continuity. Pursuant to these directions, the relocation process was undertaken through a State-supervised counselling mechanism, ensuring that the students were accommodated in recognised private medical colleges (transferee colleges) thereby preventing loss of an academic year.
5. During the course of these proceedings, the transferee private medical colleges, namely, Kalinga Institute of Medical Sciences (KIMS), Bhubaneswar, Institute of Medical Sciences & SUM Hospital, Bhubaneswar, and Hi-Tech Medical College & Hospital, Bhubaneswar³,

1 Hereinafter, referred to as the "High Court".

2 For short, "SRMCH".

3 Hereinafter, referred to as the "transferee colleges".

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have filed interlocutory applications being I.A. Nos. 73763 of 2019, 69514 of 2019 and 151684 of 2022, seeking issuance of appropriate directions/clarifications, *inter alia*, for payment/reimbursement of fees for the education imparted by them to the transferred students pursuant to the orders of this Court.

6. The present controversy is no longer centred around the validity of the impugned orders passed by the High Court but is focused on a fair resolution of the financial liabilities arising out of an extraordinary situation, where the academic trajectory of the students was preserved through judicial intervention, but the resultant financial burden remains to be equitably apportioned. In view of the subsequent developments and the directions issued by this Court, the *lis* now stands crystallised around the adjudication of the claims raised in the said interlocutory applications.

Background: -

7. The brief background facts are that two batches of students for the MBBS course were admitted in a college named SRMCH, which is under the control and management of the Selvam Educational and Charitable Trust⁴ (respondent No.76). The admissions pertain to the academic sessions 2013-2014 and 2014-2015. After the students had undergone a few academic sessions, numerous deficiencies in infrastructure, facilities, and regulatory compliances were noticed in the college by the Medical Council of India⁵ during its inspections, resulting in denial of renewal of recognition to the institution. These developments, during the academic sessions 2013-2014 and 2014-2015, led to a situation wherein the academic future of the students admitted in these batches was placed in grave jeopardy.
8. Initially, the controversy was taken up by the High Court, which passed various directions in order to safeguard the interests of the students and accordingly ensured that the students be relocated/transferred from SRMCH to other recognized medical colleges within the State. The High Court, while directing relocation, had also observed that students admitted under Government quota could be accommodated in Government medical colleges, whereas students admitted under the management/private quota could be accommodated in private

4 Hereinafter, referred to as the "Selvam Trust".

5 Hereinafter, referred to as the "MCI/NMC".

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medical institutions, which led to further controversy regarding disruption of the admission framework in the Government colleges.

9. The said orders came to be challenged before this Court by way of the present appeals, *inter alia*, on the ground that such relocation, particularly to Government medical colleges, disturbed the existing admission framework and adversely affected other aspirants who, despite being higher in merit, would be deprived of opportunity to secure admission in the Government institutions.
10. While taking up the appeals, interim orders were issued by this Court from time to time to regulate the relocation and continuation of the students in other private medical institutions, keeping open the issue of fee liability and financial adjustment between the parties.
11. Consequent to these directions, the State Government relocated/ transferred the students to three transferee private medical colleges (referred to *supra*), which have preferred the present interlocutory application(s) for intervention and seeking further directions for payment of the fees due to them on account of education imparted to the transferred students. A total of 124 students were affected by the relocation process, comprising admissions under both Government quota and Management/Private quota. As one student withdrew, 123 out of the total of 124 candidates were subjected to online counselling by the Director of Medical Education and Training, Odisha and 41 students each were allocated to the three applicant/transferee colleges; however, at this stage, one more candidate did not take admission, resulting in 122 provisional admissions. Ultimately, 41 students each were relocated to KIMS and IMS, and 40 to Hi-Tech Medical College, as is evident from the record.
12. The transferee colleges have stated that the students admitted in their institutions have paid only the Government-rate fee (approximately Rs.30,000/-per annum) pursuant to interim directions of this Court, and that too for a limited period, and that a substantial portion of the academic fees payable for the courses imparted to these students remains outstanding and payable to these colleges as per their entitlement.
13. It is further submitted that the transferee colleges at the initial stage could not raise any protest regarding shortfall of fees, as the students were transferred to their institutions pursuant to the directions of this Court.

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14. The transferee colleges have also placed on record charts indicating the fees due from each student, along with a comparative analysis of the fee structure prevailing in their respective institutions vis-à-vis the fee chargeable at SRMCH. A comparative chart in respect of one such transferee college, namely, KIMS, is set out hereinbelow by way of illustration: -

KIMS**a. Batch of 2013-14. [Total 33 Students]**

SEMESTER	FEE in KIMS	FEE in SRMCH
4th Semester	Rs.3,00,000/-	Rs.2,12,500/-
5th Semester	Rs.3,00,000/-	Rs.2,12,500/-
6th Semester	Rs.3,00,000/-	Rs.2,12,500/-
7th Semester	Rs.3,00,000/-	Rs.2,12,500/-
8th Semester	Rs.3,00,000/-	Rs.2,12,500/-
9th Semester	Rs.3,00,000/-	Rs.2,12,500/-
Total	Rs.18,00,000/-	Rs.12,75,000/-

Fee for 33 Students (2013-14 Batch) as per SRMCH	33 x 12,75,000/- = Rs.4,20,75,000/-
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b. Batch of 2014-15. [Total 8 Students]

SEMESTER	FEE in KIMS	FEE in SRMCH
3rd Semester	Rs.3,00,000/-	Rs.2,12,500/-
4th Semester	Rs.3,00,000/-	Rs.2,12,500/-
5th Semester	Rs.3,00,000/-	Rs.2,12,500/-
6th Semester	Rs.3,00,000/-	Rs.2,12,500/-
7th Semester	Rs.3,00,000/-	Rs.2,12,500/-
8th Semester	Rs.3,00,000/-	Rs.2,12,500/-
9th Semester	Rs.3,00,000/-	Rs.2,12,500/-
Total	Rs.21,00,000/-	Rs.14,87,500/-

Fee for 8 Students (2014-15 Batch) as per SRMCH	8 x 12,75,000/- = Rs.1,19,00,000/-
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- c. 33+8 transferred students would have paid Rs.4,20,75,000/- + Rs.1,19,00,000/- = **Rs.5,39,75,000/-** as Fee in SRMCH.
15. The above figures clearly demonstrate that the fee structure of KIMS was substantially higher than that of SRMCH. Similarly, the fee structures of the other transferee colleges are also higher than that of SRMCH, though their detailed charts are not being reproduced herein for avoiding repetition.
16. We may also note here that pursuant to the order of this Court dated 19th April, 2016, the Selvam Trust, under whose aegis SRMCH was being run, had deposited a sum of Rs.2 crores with the Registry of this Court, which, along with accrued interest, now stands at Rs.3,58,69,331/-.
17. Furthermore, the Selvam Trust had furnished a sum of approximately Rs.10 crores, as recorded in the order of this Court dated 8th January 2016, with the MCI/NMC by way of bank guarantees as security in connection with regulatory requirements relating to the establishment and functioning of the institution.

Submissions advanced on behalf of the Parties: -

18. The students (respondents before us), who were transferred to the aforesaid three colleges, have, *inter alia*, contended through Shri Pratap Venugopal, learned senior counsel, that they were admitted to SRMCH through a valid admission process and were subsequently compelled to shift to private medical institutions for no fault of theirs. It is submitted that they have already paid fees at Government rates in compliance with the interim directions of this Court and have since completed their medical courses after facing great hardship and uncertainty. It is, therefore, urged that these passed-out students should not be burdened with any additional financial liability at this belated stage.
19. The Selvam Trust, represented by Shri V. Giri, learned senior counsel, has contended that the findings regarding deficiencies in SRMCH are still under challenge before the competent forums. He submitted that the Trust is contesting the said findings by raising issues with the MCI/NMC and that the question of its liability cannot be conclusively determined in the present proceedings without due adjudication of such disputes. It is further urged that the students

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have already derived the benefits of continued education in other recognised medical institutions, which would be either equivalent to or even better than the institution in which they were originally admitted i.e. SRMCH, and therefore, the entire financial burden ought not to be saddled upon the Trust. It is emphatically contended that no additional liability should be fastened on the Trust without determining its defaults, *vis-à-vis*, the regulatory mechanism.

20. The transferee colleges, being the intervenors, have contended that they undertook the burden of accommodating the transferred students pursuant to the directions of this Court, without a demur, and provided them the requisite infrastructural and logistic facilities and high-quality education by facing significant challenges. It is also submitted that only a meagre proportion of actual fees calculated at Government rates was paid by the students, and that too for a limited duration, and that a substantial amount towards the fees chargeable by the colleges remains outstanding. Not only this, but these students were also paid stipends as per the course module. It is further urged that these institutions, having been burdened with additional students, suffered unprecedented financial loss, and are entitled to receive the difference of fees and stipend amounts applicable to their respective institutions and cannot be compelled to impart education at Government-rate fees which are highly subsidised. It is urged that the colleges ought to be fully compensated for the cost of the education imparted, along with appropriate interest for the delayed payment.
21. The Medical Council of India (now the National Medical Commission), represented by Shri Gaurav Sharma, learned senior counsel, has taken a stand that the fee structure is required to be determined in accordance with the applicable statutory and regulatory framework. It is submitted that the admission categories ought to be classified on a quota-based system, whereby students admitted under the Government quota would be liable to pay fees at Government rates, whereas those admitted under the management quota would be liable to pay higher fees as applicable to such category.
22. Shri Gaurav Sharma has further submitted that the bank guarantee of Rs.10 crores furnished by the Selvam Trust with the MCI/NMC ought not to be adjusted towards the dues of the private medical colleges, as the said amount may be subject to regulatory disposition, including possible transfer to the State Government.

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23. The State of Odisha has contended that the admissions to SRMCH were conducted through a valid admission process undertaken by the State authorities. It is submitted that, before determining the issue of payment of fees to the transferee colleges (applicants), it would be apposite to examine the question of quota classification and then decide the applicable rate of fees reimbursable to the transferee colleges.

Discussion and Findings: -

24. We have considered the submissions advanced at Bar and have gone through the material placed on record.
25. In our opinion, the only controversy surviving in the present *lis* is as to how the issue of fee liability is to be resolved, keeping in mind the following probable scenarios: -
- (a) Whether the students transferred to private medical colleges are liable to pay fees at Government rates or at the rates applicable to private medical colleges;
 - (b) How the differential liability, if any, is to be apportioned between the students and the Selvam Educational and Charitable Trust;
 - (c) Whether the State of Odisha and/or the MCI/NMC should be directed to make good the deficiency.
 - (d) Whether the entire liability should be fixed on the Selvam Education and Charitable Trust.
26. We are of the view that the issue regarding classification of the transferred students against Government/private/management quota does not arise for consideration because there is no material on record to show that any of the three transferee colleges had any vacant seats against the Government quota. Needless to state that the question of admitting students against Government quota seats would only arise if there were any vacancies of such quota in the transferee colleges. In the absence of material to indicate such vacancies, we need not delve into the question as to whether any of the transferee students could have been adjusted against the Government quota. Hence, it is to be presumed that all the students were accommodated against private/management quota seats and the fee structure applicable to such seats would have to be applied for deciding the issues of liability and entitlement.

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27. As per the material available on record, during the academic year 2014-15, when inspections were carried out, they revealed the existence of serious fundamental deficiencies in the defaulting institution (SRMCH), particularly in relation to infrastructure, availability of teaching faculty, and other essential requirements mandated by law and procedure for imparting medical education.
28. In view of these crucial deficiencies, the Executive Committee of MCI/NMC, upon due consideration, recommended to the Central Government that renewal of permission for admission of the second batch of 100 MBBS students for the academic year 2014-15 ought not to be granted. The said recommendation was duly communicated and accepted by the Competent Authority, resulting in denial of renewal to SRMCH. The said decision was assailed by the medical college before this Court by way of Writ Petition (C) No. 681 of 2014⁶. However, by order dated 8th August, 2014, the said writ petition was dismissed *in limine*. The dismissal of the said writ petition lends credence to the findings and allegations of MCI/NMC regarding inadequate infrastructure, faculty, and other essential facilities at SRMCH during the relevant years, thereby affirming that the institution was not compliant with the prescribed standards. Manifestly, the decision not to continue the recognition had a cascading effect on the 2013-2014 batch of students as well. However, we make it clear that these observations may not be construed to be prejudicing the rights of the defaulting institution, i.e., SRMCH, in appropriate proceedings, if any.
29. It is equally pertinent to note that, in a separate proceeding being W.P.(Civil) No. 469 of 2014 titled ***Hind Charitable Trust & Ors. v. Union of India & Ors.***, this Court, by an interim order dated 18th September, 2014, permitted admissions to MBBS courses in certain private medical colleges, including those whose renewal of recognition was either pending or denied, subject to compliance with specified conditions. Subsequently, by order dated 25th September, 2014, this Court directed that the fees chargeable from such students shall be at par with the fees applicable in Government medical colleges and that admissions shall be made through a common State list, without any distinction between Government and management quota. These

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directions had a direct bearing on the admissions made in SRMCH for the academic sessions 2013-2014 and 2014–2015.

30. The Court further directed that the Government-rate fee shall continue to be applicable till the students so admitted complete their course. Thus, under the interim arrangement made by this Court, the entire course duration of the students admitted in the academic session 2014-2015 was governed by this subsidised fee structure. Both the orders stated above are reproduced hereinbelow for ease of reference:

Order dated 18th September, 2014

“Heard the learned senior counsel appearing for both the sides. Looking at the peculiar facts and circumstances of the case and, especially, when several seats for medical admission are likely to remain vacant for the academic year 2014-15, we are of the view that these matters require urgent consideration and we are giving these interim directions under the provisions of Article 142 of the Constitution of India.

There is one more reason for passing this interim order. We are conscious of the fact that number of physicians in our country is much less than what is required and because of non-renewal of recognition of several medical colleges, our citizens would be deprived of a good number of physicians and therefore, we are constrained to pass this order, whereby at least there would be some increase in the number of physicians after five years. We are running against time because the last date for giving admissions to MBBS Course for the academic year 2014-15 is 30th September, 2014.

We also desire to reconsider the directions given by this Court in the judgment of *Priya Gupta v. State of Chhattisgarh* [(2012) 7 SCC 433], but at this juncture, as we do not have sufficient time to decide all these petitions finally, we are passing this interim order and the matter with regard to reconsideration of the aforestated judgment would be considered while finally disposing of this group of petitions.

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It has been submitted on behalf of the learned senior counsel appearing for all the petitioners/ respondents, who are managing medical colleges, that the defects which had been recorded at the time of the last inspection by the representatives of the Medical Council of India have been duly rectified and at present, the defects pointed out in the reports do not exist. The said fact can be ascertained only by having a fresh Compliance Verification/Inspection. However, the stand taken by the Central Government and the Medical Council of India is to the effect that no such inspection can be undertaken in the present academic session because of paucity of time and it would violate the time schedule laid down by this Court in the case of Priya Gupta (supra).

The learned senior counsel appearing for the Medical Council of India has also submitted that the petitioners do not have any legal right for getting renewal of the recognition, especially in view of the fact that the Verification/Inspection Reports are not available for the period in question. The learned senior counsel has relied upon some of the Judgments to substantiate his case and according to him, it would not be just and proper to permit the said medical colleges to take fresh batch of students.

Looking at the peculiar facts of the case and the circumstances stated hereinabove, we direct the petitioners to file undertakings by President/Chairman and Secretary of the petitioners' institutions running medical colleges within 10 days from today, to the effect that there is no defect in the medical colleges run by them and they would also state that their deposit with the MCI, which is around Rs.10 crores, be forfeited by way of penalty if the statement made in the undertaking is found to be incorrect at the time of the next inspection. A draft undertaking has been given to this Court. A copy of the undertaking, which might be filed by the institutions, shall be served upon the office of the Medical Council of India as well as to the Ministry of Health and Family Welfare, Govt. of India, New Delhi.

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We also record the fact that in the recent past, the Medical Council of India has renewed recognition of Government Medical Colleges on the basis of undertakings and therefore, we see no reason not to permit the private colleges to admit students on the basis of undertakings given by their office bearer as a special case.

Notwithstanding any direction given in the case of Priya Gupta (supra), if undertakings as stated hereinabove are filed by the institutions managing medical colleges for the academic year 2014-15, admissions shall be given to the students from the merit list prepared by the States and they shall be charged fees prescribed by the Government Medical Colleges of their respective States. The State Authorities, i.e., the Directorate of Medical Education & Research, of the respective States shall send students, in order of their merit, to the medical colleges run by the petitioners, which are situated within their States, within one week from the date of receipt of a copy of this order and the said students shall be admitted to the MBBS Course in accordance with the rules and regulations of the MCI and also regulations dated 16.04.2010 framed by the Medical Council of India, provided undertakings as mentioned above are filed on behalf of the concerned institutions.

It is also clarified that there would be no further counselling in respect of the students who are to be given admission, even if it might result into some heart burning among other students, but in the peculiar facts of the case, we give this direction.

In no case, the admission shall be given after 30th September, 2014. This order shall also apply to all the institutions which had filed their petitions earlier for renewal of their recognition for the academic year 2014- 15, but their petitions were rejected or withdrawn for whatever reason, provided undertakings as stated hereinabove are filed by President/Chairman and the Secretary of those institutions. All those petitions shall be deemed to have

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been revived and this order shall be deemed to have been passed in those cases also. This order shall only be in respect of renewal of recognition and not for creation of additional seats or for new colleges. We also record that the Union of India has supported the petitioners in the interest of students.

We also direct the Union of India to give wide publicity to this order in print as well as electronic media in the interest of the concerned students.

It is directed that the list of students getting admission in pursuance of this order shall be placed on record of this Court by 1st October, 2014 by the concerned institutions and a copy thereof shall also be sent to the MCI.

These matters shall be treated as part-heard and shall be notified for further hearing in the month of December, 2014.”

Order dated 24th September, 2014

“After hearing the learned counsel for the parties we deem it appropriate to issue following clarifications with regard to our earlier order dated 18th September, 2014. These clarifications shall be read into the said order as if they were always part thereof : -

1. **The order dated 18th September, 2014 shall also apply to cases where colleges or institutions were seeking increase in intake capacity and in the current year have been denied permission to admit students after first or second or third or forth renewal/inspection. In our view such institutions where Renewal/Inspection with respect to increase in capacity were conducted in the present academic year are also entitled to the benefit under the order dated 18th September, 2014.**
2. **We also clarify that fees chargeable from the students admitted pursuant to our order dated 18th September, 2014 shall be at the same rates as applicable to the students in Government**

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medical colleges in respective States and such fees shall be at the same levels as that of the Government medical colleges till the students so admitted pass out from the private medical colleges or institutions.

3. Our order shall also apply to all similarly situated institutions irrespective of the fact whether any petitions were or are pending in this Court or in any of the High Courts or even if they had not approached any court at all. This order shall also apply even in cases where there were orders of stay in favour of the Medical Council of India restraining the colleges from admitting students for the current academic session.
4. The order shall not apply to colleges or institutions which have been disqualified by the Medical Council of India and/or the Central Government and have been prohibited from making any admissions for the current academic year 2014-15.
5. In cases where two separate lists are prepared and sent by the State agencies one relating to State quota and the other relating to management quota in private institutions, we clarify that for the current academic year there shall be only one list and that shall be the "State quota" alone. There shall not be any management quota list to be sent to the private colleges or institutions taking the benefit under our order dated 18th September, 2014. The Management quota shall also be filled through the State list and the fees chargeable for the management quota shall also be charged at the same levels and rates as applicable to State quota list.
6. We further clarify that private institutions taking benefit under our order dated 18th September, 2014 shall have to take students only from the State agencies and at fees chargeable for students in Government

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medical colleges as stated above, regardless of their status or claim as Minority Institutions or Deemed Universities.”

[Emphasis supplied]

31. It is further borne out from the letter dated 20th January, 2015 written by Directorate of Medical Education & Training, Odisha that Sardar Rajas Medical College (SRMCH) had already collected fees @ of Rs.4,25,000/- per student. However, since only Rs.30,000/- per student, being the fee applicable to Government medical colleges, was permissible in terms of the aforesaid directions, the competent authorities directed the college to refund the excess amount of Rs.3,95,000/- per student.
32. It may be further noted that the payment of fees at Government rates by the students of 2014-2015 batch was in pursuance of the interim directions issued by this Court in the present proceedings. In addition, insofar as the students admitted in the academic session 2014–2015 are concerned, the said position also stood reinforced by the directions issued by this Court in **Hind Charitable Trust (supra)**, whereby it was mandated that such students would be liable to pay fees at rates applicable to Government medical colleges. However, clearly this direction was in the nature of an interim arrangement devised in order to tide over the prevailing exigencies arising from the non-renewal of recognition of the concerned institution(s) by the MCI/NMC and the attendant issues relating to Government and management quota admissions.
33. It cannot be denied that admissions to private medical colleges, particularly under the management/private quota would carry a substantially higher fee structure than that applicable to Government Medical Colleges. The students had initially taken admission in SRMCH, which indisputably was a private medical institution operating under a public-private partnership framework within the State of Odisha, wherein admissions were conducted through the State counselling process, comprising both Government quota and management quota seats. Thus, these students had consciously contracted to pay at the higher fee standards charged by the private medical college. Possibly, on their own merit, these students may not have got admission into the Government medical colleges.

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34. Be that as it may, on account of subsequent developments and the intervention of this Court, they continued their education and completed the same in the three transferee colleges.
35. In this scenario, what arises for consideration is whether the students, who had initially taken admission in a private medical college having a higher fee structure, can be permitted to continue to avail the benefit of Government-rate fees on account of the interim directions issued by this Court even though in the first place, they had not qualified for the Government colleges in the admission process conducted for this purpose.
36. This, in our opinion, would amount to unjust enrichment of these transferee students while being conscious of the fact that they had to face a chaotic situation of being transferred to different medical colleges mid-session. However, all interests of these students were duly protected by this Court ensuring that they cleared the medical course without losing a single academic year. Thus, neither the students can be given undue advantage or bonanza nor can the defaulting institution, i.e., the SRMCH/Selvam Trust, be permitted to take benefit of its own follies.
37. Undeniably, the finding of deficiencies taken note of by the MCI/ NMC during inspection of the infrastructure/faculty of the SRMCH is no longer under debate, as the SRMCH/Selvam Trust failed to maintain the requisite standards for imparting MBBS course to the students admitted by it by charging much heavier fees than what is applicable in Government colleges. The Writ Petition (C) No.681 of 2014, filed by the college having been dismissed, these findings of deficiencies stood firmly affirmed.
38. The situation at hand is well defined by the latin maxim *Commodum ex injuria sua nemo habere debet* i.e., no one should derive a benefit from their own wrong. While the admitted students had undertaken to pay the prescribed fees to SRMCH, it is equally true that, upon payment of such fees, they were entitled to complete their course without any hitch or difficulty. However, what transpired subsequently, as noted in the preceding paragraphs, presents an entirely different picture. Owing to the deficiencies in SRMCH, its recognition was not renewed, resulting in the students being subjected to a very tumultuous and volatile situation, putting their future in grave risk.

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39. Hence, the core question which arises for consideration pertains to the manner in which the resultant financial liability is to be apportioned between the parties while balancing the equities.
40. It is indicated from the record that, despite directions issued to SRMCH to refund the excess fee collected from the students admitted in the academic session 2014-2015, the said amount has not been paid till date and SRMCH/Selvam Trust continues to retain the same.
41. A bank guarantee to the tune of approximately Rs.10 crores was furnished by the Selvam Trust with the MCI/NMC. A further sum of Rs.2 crores was deposited by the Trust with the Registry of this Court pursuant to the order dated 19th April, 2016. The charts placed on record by the transferee colleges indicate that the fee structure prevailing in these institutions was substantially higher than that being charged by SRMCH.
42. However, since the students were transferred and admitted to these colleges pursuant to the directions of this Court in exceptional circumstances, the primary brunt of liability must be fastened upon SRMCH/Selvam Trust, subject to such adjustments as may be permissible in law.
43. It has not been demonstrated before this Court that the MCI/NMC has an overriding charge or exclusive lien over the amount of Rs.10 crores secured by way of bank guarantee furnished by the Selvam Trust. Even otherwise, assuming that any such claim exists, the MCI/NMC, being a statutory regulatory authority vested with powers relating to recognition and de-recognition of medical institutions, would be at liberty to take appropriate steps in accordance with law to recover applicable levies, if any, from the defaulting institution.

Disbursal of amounts deposited by the SRMCH/Trust: -

44. We, therefore, direct that the amount of approximately Rs.10 crores furnished by the Selvam Trust by way of bank guarantees with the MCI/NMC, along with the amount of Rs.2 crores deposited before this Court, together with accrued interest thereupon, shall be payable to the three transferee colleges.
45. It is accordingly ordered that the amount of approximately Rs.10 crores covered by the bank guarantee furnished by the Trust with the MCI/NMC, shall be made available for distribution amongst

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the three transferee colleges in equal proportions. The MCI/NMC shall ensure that the said amount is released and paid to the three colleges in their respective bank accounts within a period of three months from today.

46. The amount of Rs.2 crores deposited by the Trust with the Registry of this Court, along with accrued interest thereupon, shall also be divided into three equal portions and disbursed to the transferee colleges.
47. The bank details of the respective colleges shall be furnished before the Registry by their respective AOR within a period of two weeks from today, upon which the Registry shall take necessary steps for disbursement.

Liability of Students: -

48. An interim arrangement was made by this Court whereby the students were permitted to deposit fees in the private medical colleges at Government rates. The said fee was approximately one-eighth of the fee being charged by SRMCH per semester. However, owing to the prevailing circumstances and pursuant to the directions issued by this Court, the students were transferred to the applicant colleges, where they continued their studies and completed the courses, *albeit* without loss of an academic year save for exceptions. Additionally, these students were paid stipends by transferee colleges as and where applicable. An argument has been advanced that the students did not pay all tranches of the Government fees also. However, it would be difficult for this Court to verify the said assertion at this belated stage.
49. Going by the chart of calculations prepared by the three applicant colleges and placed for perusal of this Court, the students transferred to these colleges would have paid approximately Rs.5,39,75,000/- to each college, if the fee structure prevailing at SRMCH were to be applied. The fee structure of the transferee colleges is slightly higher but the learned counsel representing the colleges fairly conceded on instructions that they would be satisfied by reimbursement of due fees at the rates being charged by SRMCH. Thus, in aggregate, the total amount payable to the three colleges would work out to approximately Rs.16.2 crores. This amount is significantly lower than the fee ordinarily chargeable by the transferee colleges from their

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own students at private rates and does not account for the interest which would have accrued in the intervening period. The total amount secured by way of bank guarantees furnished by the Trust, together with the amount deposited before this Court along with accrued interest, would aggregate to approximately Rs.14 crores. Even upon applying the fee standards of SRMCH, the transferee colleges would still face a shortfall in the recovery of their lawful dues.

50. We may note that the students who have passed out from the transferee colleges have virtually undertaken the full MBBS course by paying the fees at the Government rates, which would be only a pittance of what they would have paid to the SRMCH under normal circumstances.
51. The factual situation available on record is not clear on the aspect as to the number of students originally admitted in SRMCH under the Government quota and those admitted under the private quota/management quota.
52. It is also borne out from the record that the transferee colleges had obtained undertakings from the transferred students at the time of issuance of course-completion documents/certificates, wherein the students acknowledged that the issue relating to fee liability was pending consideration before this Court and undertook to abide by the final directions passed herein. Thus, the passed-out students cannot be allowed the benefit of a windfall or a bonanza merely by dint of the interim orders passed by this Court, which was in form of an emergent measure in order to tide over the situation where the students faced imminent risk of losing their entire careers. Now that, by virtue of the orders passed by this Court, the students have completed the medical courses, it is the right time when they should be asked to make good their outstanding fee obligations.
53. The present status of these passed out students is not available to the Court. Thus, looking to the piquant situation, we permit the transferee colleges to make representations to the MCI/NMC with details of the exact shortfall of the fee due from each student (applying SRMCH rates) for recovery of their remaining dues, if any. It is expected that, upon such representations being made, the NMC shall provide due redressal to the colleges for recovery of the deficit amount, if any, from these passed out students. Excess amount, if any, received from the students may be utilized to recoup the

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amount of bank guarantee (Rs. 10 Crores) which we have directed MCI/NMC to pay to the applicant colleges. Furthermore, at the time of evaluation, the MCI/NMC shall take into account and adjust the amount initially paid by these students at the time of admission to SRMCH. We further provide that observations made in this order shall not prejudice the claims/defences, if any, of the Selvam Trust or SRCMH in appropriate proceedings, if any.

54. For the sake of clarification and in view of the directions issued hereinabove, it is provided that the students who comply with the fee liability determined in terms of the present judgment shall be entitled to forthwith receive such academic and course-completion documents, certificates and other consequential records, which are ordinarily issued upon completion of the course and are required by the students, in accordance with the applicable rules/regulations.
55. I.A. Nos.73763 of 2019, 69514 of 2019, and 151684 of 2022 (applications for direction/clarification) are disposed of as above. Other pending application(s), if any, shall also stand disposed of.
56. The appeals are closed and consigned to the record.

Result of the case: Appeals closed.

Interlocutory applications disposed of.

[†]Headnotes prepared by: Nidhi Jain

Rohit Chaturvedi
v.
State of Uttarakhand & Others
(Writ Petition (Criminal) No. 446 of 2023)

15 May 2026

[B.V. Nagarathna* and Ujjjal Bhuyan, JJ.]

Issue for Consideration

Matter pertains to the premature release of the petitioner sentenced to life imprisonment for the murder of the deceased, and has been in jail for approximately twenty-two years.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.432(7) – Bharatiya Nagarik Suraksha Sanhita, 2023 – s.473 – Remission/Premature Release – Petitioner along with other co-accused convicted for the murder of the deceased by the Special Judge u/s.120B/302 IPC and sentenced to life imprisonment and fine – Investigation initially carried out by UP police and was later transferred to the State of Uttarakhand – Order of conviction and sentence upheld by the High Court and this Court – Having undergone more than twenty-two years of incarceration, the petitioner sought premature release from prison – Rejected by the respondent-Union of India on the ground of heinousness of the crime whereas the State of Uttarakhand recommended the premature release of the petitioner – However, the Ministry of Home Affairs (MHA), Union of India by the impugned letter dated 09.07.2025 disallowed the recommendation of the State Government – Instant writ petition seeking quashing of the letter dated 09.07.2025 of the Ministry which rejected the recommendation of the State of Uttarakhand and disallowed the plea of premature release of the petitioner who has been in jail for approximately twenty-two years:

Held: Denial of remission cannot rest solely on the ground of heinousness of the crime – Remission is not an extension of the sentencing process, but a distinct executive function concerned

* Author

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with the present and future, namely, the prisoner's conduct, evidence of reformation, and prospects of reintegration into society – To predicate its denial only on the heinous nature of the offence is to collapse this distinction and to reconvert remission into a retrospective reaffirmation of guilt, which the criminal justice system has already adjudicated upon – Criminal justice system that refuses to look beyond the gravity of the offence to the offender's transformation will betray its reformatory ideal particularly at the remission stage – Justice does not permit permanent incarceration of an individual in the shadow of their worst act – Nature of the offence cannot, thus, be the sole ground for denying remission – Emotive retribution is a course, incompatible with constitutional values – Decision on remission must emerge from a holistic assessment of the prisoner and after balancing societal interests with the prisoner's right to be considered for release on fair and reasonable criteria – State Government, being directly concerned with prison administration and the implementation of remission policies, has not found any reason to deny the petitioner the benefit of premature release – Petitioner's custody certificate specifically records that his conduct during incarceration has been good – Petitioner has already undergone more than twenty-two years of incarceration – Co-accused in the very same offence arising out of the same incident has been granted the benefit of premature release after undergoing a lesser period of incarceration, the denial of similar consideration to the petitioner necessarily requires the existence of cogent, rational, and clearly discernible distinguishing circumstances, and no such reasons are forthcoming in the instant case – Petitioner's case to be considered in light of the reformatory theory underlying the modern criminal justice system – Object of punishment is not merely retribution, but also the reformation and rehabilitation of the offender so as to enable his eventual reintegration into society – Continued incarceration in such circumstances would run contrary to the reformatory object underlying remission and premature release policies particularly, when his co-accused has already been released – Impugned letter of MHA which disallowed the plea of premature release of the petitioner arbitrary, non-speaking, unsustainable in law and merit and thus, set aside and quashed – Petitioner entitled to the benefit of premature release/remission. [Paras 7, 7.1, 8.1-10]

Rohit Chaturvedi v. State of Uttarakhand & Others**Case Law Cited**

Radheshyam Bhagwandas Shah Alias Lala Vakil v. State of Gujarat and Another (2022) 8 SCC 552; *Bilkis Yakub Rasool v. Union of India* [2024] 1 SCR 743 : (2024) 5 SCC 481; *Laxman Naskar v. State of W.B* [2000] Supp. 3 SCR 62 : (2000) 7 SCC 626; *Laxman Naskar v. Union of India* [2000] 1 SCR 796 : (2000) 2 SCC 595; *State (NCT of Delhi) v. Prem Raj* [2003] Supp. 2 SCR 235 : (2003) 7 SCC 121; *Sarat Chandra Rabha v. Khagendranath Nath* [1961] 2 SCR 133 : AIR 1961 SC 334; *State of Haryana v. Mahender Singh* [2007] 11 SCR 932 : (2007) 13 SCC 606; *Satish v. State of U.P.* (2021) 14 SCC 580; *Mohd. Giasuddin v. State of A.P.* [1978] 1 SCR 153 : (1977) 3 SCC 287 – referred to.

List of Acts

Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023; Delhi Special Police Establishment Act, 1946; Penal Code, 1860; Prisons Act, 1894; Constitution of India.

List of Keywords

Uttarakhand State (for Remission/Premature Release of Convicted Prisoners Sentenced to Life Imprisonment by Courts) Permanent Policy, 2022; Remission/Premature Release; Convicted prisoners sentenced to life imprisonment; Twenty-two years of incarceration; Premature release from prison; Ministry of Home Affairs (MHA).

Case Arising From

CRIMINAL ORIGINAL JURISDICTION: Writ Petition (Criminal) No. 446 of 2023

Under Article 32 of the Constitution of India

With

Miscellaneous Application No. 1370 of 2024 in Writ Petition (Criminal) No. 446 of 2023 and Miscellaneous Application No. 2339 of 2024 in Writ Petition (Criminal) No. 446 of 2023

Appearances for Parties

Advs. for the Petitioner(s):

N. Hariharan, Sr. Adv., Pradeep Misra, Daleep Dhyani, Suraj Singh, Aditya Vaibhav Singh, Ms. Vanya Gupta, Ms. Aarushi Singh, Aman Akhtar, Ms. Riya Parihar, Ms. Rekha, Arjan Singh Mandla.

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Adv. for the Respondent(s):

Vikramjit Banerjee, A.S.G, Ms. Suveni Bhagat, Sudarshan Singh Rawat, Sunny Sachin Rawat, Pradeep Misra, Mukesh Kumar Maroria, Raman Yadav, Siddhartha Sinha, Ms. Sonali Jain, Bharat Sood, Ms. Srishti Mishra, Anmol Chandan, Suraj Mishra, Animesh Upadhyay, Sahil Bhalotia, Arvind Kumar Sharma, Shashank Manish, Ms. Nidhi Sahay, Ms. Pragati Singh, Ms. Subhadra S. Chatterjee, Ms. Debjani Sarswat, Hitesh Kumar Sharma, Akhileshwar Jha, Anupam Kumar, Ms. S. Kaveri.

Judgment / Order of the Supreme Court

Judgment

Nagarathna, J.

The petitioner has filed the present writ petition seeking a writ of certiorari for quashing letter dated 09.07.2025 of the Ministry of Home Affairs (MHA) (for short “impugned letter”) which rejected the recommendation of the State of Uttarakhand and disallowed the plea of premature release of the petitioner who has been in jail for approximately twenty-two (22) years.

2. This case has a chequered history and its facts may briefly be adverted to. On the basis of a complaint dated 09.05.2003 of the elder sister of the deceased, Case No.162/2003 under Section 302 of the Indian Penal Code, 1860 (for short, “IPC”) was registered at Mahanagar Police Station, Lucknow, Uttar Pradesh (U.P.) against the petitioner and other accused persons. The investigation was initially carried out by the U.P. State Police and thereafter by CB-CID. However, vide Notification dated 24.06.2003, the case was transferred to Central Bureau of Investigation (CBI). Pursuant to the investigation, the petitioner along with other co-accused faced Trial before the Sessions Judge, Lucknow, U.P. However, this Court, by its order dated 08.02.2007, in Transfer Petition No.456/2005, transferred the trial to Dehradun, Uttarakhand with a request to the then Chief Justice of Uttarakhand to create a Special Court for the trial of the case. The petitioner along with other co-accused was convicted for the murder of the deceased by the Special Judge, Dehradun vide judgment dated 24.10.2007 in Sessions Trial No.411/2005 under Sections 120B/302 IPC and sentenced to life imprisonment and fine.

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- 2.1 Aggrieved by the same, the petitioner preferred Criminal Appeal No.507/2007 before the High Court of Uttarakhand at Nainital but the same came to be rejected by judgment dated 16.07.2012 and the conviction and sentence awarded by the Trial Court was affirmed. The petitioner then preferred SLP (Crl.) No.7507/2013 against the judgment dated 16.07.2012. However, the same was also dismissed by order dated 19.11.2013 by this Court.
- 2.2 On 06.09.2022, the petitioner made a representation to the Principal Secretary, Office of the President of India seeking premature release from prison. The said representation was forwarded to the Chief Secretary, Government of Uttarakhand for proper action. Since no action was taken on the said representation, the petitioner approached the High Court of Uttarakhand at Nainital in Writ Petition (Crl.) No.2146/2022 seeking a writ of mandamus directing the State of Uttarakhand to consider premature release of the petitioner. The High Court by its order dated 13.01.2023 directed the respondents to consider the premature release of the applicant within a week failing which the applicant would be released on bail. The State of Uttarakhand having failed to take a decision within a week, the petitioner approached the Trial Court for bail and was granted bail vide order dated 30.01.2023 by the Special Judge, Anti-corruption, Dehradun.
- 2.3 Subsequently, the petitioner received a letter dated 07.06.2023 wherein it was mentioned that the appropriate Government *vide* G.O. dated 07.05.2023 had rejected his premature release application and consequently, the petitioner was directed to surrender immediately. The petitioner, accordingly, surrendered on 17.06.2023 at District Jail, Haridwar, Uttarakhand.
- 2.4 Sometime later, the petitioner preferred Writ Petition (Crl.) No.896/2023 before the High Court of Uttarakhand at Nainital seeking a writ of mandamus directing the State of Uttarakhand to furnish grounds in support of the rejection of premature release of the applicant, which according to him were never furnished to him. However, the said writ petition came to be dismissed as withdrawn by order dated 06.07.2023 with liberty to challenge the said decision, as the grounds were furnished by the State of Uttarakhand in the Court. Briefly put, the premature release was rejected on the ground that the petitioner fell within clause 5 of the Uttarakhand State (for Remission/Premature Release

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of Convicted Prisoners Sentenced to Life Imprisonment by Courts) Permanent Policy, 2022 which is a prohibited category for grant of premature release being a case investigated by the CBI under the Delhi Special Police Establishment Act, 1946.

By order dated 15.12.2023, this Court passed the following order in this Writ Petition:

“... The point now being raised by the petitioner is that the Government of Uttar Pradesh would have been the proper authority for considering the remission plea as the offence had occurred within that State. This appears to be the position of law, as enunciated by a Coordinate Bench of this Court in the case of ***Radheshyam Bhagwandas Shah Alias Lala Vakil Vs. State of Gujarat and Another*** reported in 2022 (8) SCC 552. In this judgment, it was held:

“14. In the instant case, once the crime was committed in the State of Gujarat, after the trial had been concluded and judgment of conviction came to be passed, all further proceedings have to be considered including remission or premature release, as the case may be, in terms of the policy which is applicable in the State of Gujarat where the crime was committed and not the State where the trial stands transferred and concluded for exceptional reasons under the orders of this Court.”

This being the position of law, the entire exercise conducted by the State of Uttarakhand appears to be without jurisdiction and hence not sustainable under the law. We, accordingly, direct that the remission plea which was filed by the petitioner-convict be sent to the Home Secretary, State of Uttar Pradesh by the State of Uttarakhand. This shall be done within a period of three weeks from date. Thereafter, the State of Uttar Pradesh shall examine the question and take a decision in that regard within a further period of eight weeks.

The State of Uttar Pradesh shall consider the plea without being influenced in any manner by the order passed by the State of Uttarakhand and any observation made therein.

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The present petition shall stand disposed of in the above terms.”

- 2.5 However, on expiry of the said period, since no action was taken by the State of U.P., the petitioner preferred a representation dated 11.03.2024 to the Additional Chief Secretary (Home Department), Government of U.P. highlighting the above issue and praying to consider his premature release in terms of the order dated 15.12.2023 passed in this Writ Petition. The State of U.P. having failed to decide on the premature release of the petitioner in terms of the order dated 15.12.2023 passed in this case by this Court, the petitioner preferred an application before this Court. This Court, by its order dated 02.12.2024, recalled its earlier order dated 15.12.2023 on the ground that in ***Bilkis Yakub Rasool vs. Union of India, (2024) 5 SCC 481, (“Bilkis”)*** this Court had held the judgment in ***Radheshyam Bhagwandas Shah vs. State of Gujarat, (2022) 8 SCC 552*** to be *per incuriam* and *non est* in law and had further held the appropriate Government as defined in Section 432(7), Code of Criminal Procedure, 1973 (“CrPC”) for considering remission or suspension or commutation is the Government of the State in which the trial and conviction took place and not where the crime was committed. Accordingly, the application of the petitioner for remission was directed to be considered by the State of Uttarakhand on its own merits and in accordance with the applicable policy.
- 2.6 Thereafter, on 31.01.2025, this Court noted that the instant case was investigated by the CBI. Therefore, in terms of sub-Section (1) of Section 477 of the Bharatiya Nagarik Suraksha Sanhita, 2023 (for short, “BNSS”), the State Government could take a decision on the prayer for grant of remission under sub-Section (1) of Section 473 of BNSS only after the concurrence of the Central Government. Accordingly, it directed that the State Government shall forward its decision for concurrence of the Central Government and the appropriate authority of the Central Government shall take a decision within a period of one month from the receipt of the reference from the State Government. Noting no progress in the matter and considering the long period of incarceration, this Court granted interim bail to the petitioner on 21.05.2025.

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- 2.7 On 28.07.2025, this Court recorded the submission of the State Government that the Ministry of Home Affairs (MHA), Union of India by the impugned letter dated 09.07.2025 had disallowed the recommendation of the State Government which had proposed to release the petitioner. However, since the same had not yet been communicated to the petitioner, this Court directed that the same be made within two weeks from the date of its order. Subsequently, the petitioner filed Crl. M.P. No.239654/2025 seeking amendment of this Writ Petition to add an additional prayer for a writ of certiorari quashing the impugned letter dated 09.07.2025 which disallowed the premature release of the petitioner. The same was allowed and an amended petition in the above terms has been filed before us.
- 2.8 The counter affidavit on behalf of the Union of India/MHA has also been filed. The following is stated therein:
- a) Since the present case was investigated by the CBI, the respondent-MHA sought comments of the CBI, and in response, the CBI furnished their comments by way of a letter dated 08.04.2025 stating that considering the seriousness of the crime committed by the petitioner, he may not be released in the interest of justice.
 - b) Subsequently, vide order dated 02.05.2025 this Court *inter alia* directed the CBI as well as respondent-MHA to immediately take a decision on the basis of the recommendation forwarded by the State of Uttarakhand and report compliance. Pursuant thereto, the Government of Uttarakhand by way of letter dated 12.06.2025 forwarded the proposal for premature release of petitioner to the MHA.
 - c) However, respondent-MHA communicated on 09.07.2025 to the State of Uttarakhand on their proposal of premature release of the petitioner, informing that it does not concur with the proposal of Government of Uttarakhand for premature release of the petitioner.
 - d) The said decision was later communicated to the Advocate-on-Record of the petitioner by way of letter dated 30.07.2025.

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3. We have heard learned counsel for the petitioner, learned standing counsel for the State of Uttarakhand, and learned ASG on behalf of the Union of India and have also perused the material on record.
 - 3.1 Learned counsel for the petitioner submitted that the writ petition has been amended and an additional prayer has been sought seeking quashing of the impugned letter dated 09.07.2025 of the respondent-Union of India/CBI. By the impugned letter, the application filed by the petitioner for premature release/remission of his life sentence has been rejected. It was contended that the impugned letter is a non-speaking one and does not provide reasons for disagreeing with the recommendation of the State Government to release the petitioner. It was also brought to our notice that the Government of Uttar Pradesh, by notification dated 24.08.2023, has already granted the benefit of premature release to one of the co-accused, namely, Amarmani Tripathi who had undergone approximately seventeen (17) years of actual sentence and only twenty (20) years with earned remission, keeping in view his age and conduct. Therefore, the petitioner, who is in custody for more than 22 years, too, is entitled to the relief of remission of his sentence on the ground of parity. It was further argued that no purpose would be served in remanding the matter to the respondent-Union of India as on merits they have already decided, albeit incorrectly, that the petitioner is not entitled to the remission of his sentence having regard to the facts and circumstances of this case. The petitioner prayed that by order dated 21.05.2025, this Court had granted interim bail to him and that the said interim order may be extended pending disposal of this writ petition. Learned counsel for the petitioner stressed on the fact that the State of Uttarakhand had recommended premature release of the petitioner but it is the respondent-Union of India/CBI/MHA which has come in the way of granting relief of remission to the petitioner herein, hence the said order may be quashed.
 - 3.2 Learned Standing Counsel for the State of Uttarakhand also confirmed that the State had recommended premature release of the petitioner. However, the respondent-Union of India has declined to grant the relief to the petitioner, hence appropriate orders may be passed in this case.

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4. *Per contra*, learned Additional Solicitor General (ASG) Sri Banerjee appearing for the respondent-Union of India contended that there is no merit in this petition. The role of the petitioner in the crime has to be considered from the proven facts of this case, and it is apparent that the petitioner played a very significant role in the death of the deceased. Merely because the co-accused has been released from the prison is no reason to grant similar relief to the petitioner. The impugned letter holding that the petitioner is not entitled to the relief of remission has been rightly passed. Having regard to the facts and circumstances, the impugned letter may be sustained and the writ petition may be dismissed.
5. Having given our anxious consideration to the rival submissions and on perusal of the material on record, we are of the view that the impugned letter of the MHA which disallowed the premature release of the petitioner ought to be quashed on account of it being a non-speaking and cryptic order. The letter, in relevant paragraph, noted:

“3. The relevant documents having regards to all facts and material placed on record produced by the Government of Uttarakhand vide aforesaid letter, the judgements of the court of Special Judge/ Session Judge, Dehradun, Hon’ble High Court, Uttarakhand and Hon’ble Supreme Court of India were considered by the Competent Authority. After considering the above facts, documents and material on record, Competent Authority is not concurred with the proposal of the Uttarakhand Government for premature release of life convict, Rohit Chaturvedi s/o Suresh Chandra Chaturvedi.”

Quite clearly, the letter is *ex facie* non-speaking, as it does not disclose any reason whatsoever for the conclusion arrived at by the Competent Authority. While it makes a bare reference to the consideration of certain documents, including the letter of the Government of Uttarakhand and the judgments of the Special Judge, Dehradun, the High Court of Uttarakhand, and this Court, it conspicuously fails to indicate what weighed with the Competent Authority in rejecting the proposal for premature release.

- 5.1 It is a settled principle of law that any order affecting rights of a person and particularly his liberty must be with reasons and

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must reflect due application of mind. Recording of reasons is not an empty formality, it is a safeguard against arbitrariness and ensures transparency, fairness, and accountability in decision-making. The absence of reasons renders it bald and makes it impossible to ascertain whether relevant factors were duly considered or not.

- 5.2 In the present case, the order merely states that the Competent Authority “does not concur” with the proposal, without disclosing any basis for such disagreement. There is no discussion of the petitioner’s conduct, applicable remission policy, or any specific adverse material, if at all, against the petitioner. The letter, therefore, fails to meet the minimum requirement of a reasoned order and reflects complete non-application of mind. Such a cryptic rejection not only violates the principles of natural justice but also frustrates the petitioner’s right to seek effective judicial review as the absence of reasons deprives a constitutional Court of the opportunity to examine the propriety of the decision.

Executive discretion, though broad in matters of remission, is not uncanalised and must necessarily be exercised on relevant, rational, and non-discriminatory considerations and not being rejected owing to irrelevant and extraneous reasons.

- 5.3 In this regard, we may usefully refer to the case of **Laxman Naskar vs. State of W.B., (2000) 7 SCC 626**, in which the jail authorities were in favour of releasing the petitioner, but the review committee constituted by the State Government recommended the rejection of the claim for premature release on three grounds. They were (i) the two witnesses who had deposed during the trial as also the people of the locality were apprehensive that the release of the petitioner will disrupt the peace in the locality; (ii) that the petitioner being 43 years old had the potential of committing another crime; (iii) the incident is not an individual act of crime but a sequel of a political feud. This Court while placing reliance on **Laxman Naskar vs. Union of India, (2000) 2 SCC 595** stipulated certain factors that govern the grant of remission. These are namely:
- (i) Whether the offence is an individual act of crime without affecting the society at large?

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- (ii) Whether there is any chance of future recurrence of committing crime?
- (iii) Whether the convict has lost his potentiality in committing crime?
- (iv) Whether there is any fruitful purpose of confining this convict anymore?
- (v) Socio-economic condition of the convict's family.

Based on the above factors, this Court held in the said case that the decision to reject the claim of remission was based on irrelevant reasons. Consequently, the Court quashed the order of the government and directed it to consider the matter afresh, as under:

“8. If we look at the reasons given by the Government, we are afraid that the same are palpably irrelevant or devoid of substance. Firstly, the views of the witnesses who had been examined in the case or the persons in the locality cannot determine whether the petitioner would be a danger if prematurely released because the persons in the locality and the witnesses may still live in the past and their memories are being relied upon without reference to the present and the report of the jail authorities to the effect that the petitioner has reformed himself to a large extent. Secondly, by reason of one's age one cannot say whether the convict has still potentiality of committing the crime or not, but it depends on his attitude to matters, which is not being taken note of by the Government. Lastly, the suggestion that the incident is not an individual act of crime but a sequel of the political feud affecting society at large, whether his political views have been changed or still carries the same so as to commit crime has not been examined by the Government.”

- 5.4 In the instant case, even the bare attempt to give any reason, good or bad notwithstanding, is also not made out. On that basis alone, this Court can quash the impugned letter dated 09.07.2025 on the ground that it is a non-speaking order and remand the matter to the respondent—Union of India for fresh

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consideration. However, in our view, such a course would serve no useful purpose in the peculiar facts of the present case. The respondent—Union of India has defended its decision before this Court by contending that the petitioner is not entitled to remission having regard to the role attributed to him in the offence. The stand of the respondent on merits thus stands fully stated and conclusively articulated before this Court. In such circumstances, remanding the matter to the very authority which has already taken a firm view against the petitioner would amount to an empty formality. The controversy before this Court, therefore, appears not to be one of absence of consideration, but the legality and sustainability of the conclusion already reached. In that light, remand may not be directed mechanically where it would not serve any substantive purpose. Considering that the petitioner has already undergone more than twenty-two (22) years of incarceration and all relevant material is already before this Court, relegating the petitioner to another round of administrative consideration would only prolong the proceedings unnecessarily. Sending the matter to the very same authority for reconsideration would be futile and not serve the interests of justice, particularly when the basis of that rejection is already fully articulated before this Court on merits. We, therefore, proceed to examine the case on merits.

6. The principles governing the grant of remission, as distinct from commutation, pardon, and reprieve, may be understood with reference to the judgment of this Court in ***State (NCT of Delhi) vs. Prem Raj, (2003) 7 SCC 121 (“Prem Raj”)***. Articles 72 and 161 of the Constitution of India deal with the clemency powers of the President of India and the Governor of a State, respectively. These provisions confer the power to grant pardons, reprieves, respites, or remissions of punishment, as well as the power to suspend, remit, or commute sentences in specified cases. Under Article 72, the President’s power extends, inter alia, to (i) all cases where the punishment or sentence is for an offence against a law relating to a matter to which the executive power of the Union extends; and (ii) all cases where the sentence is one of death. Similarly, Article 161 empowers the Governor of a State to grant pardons, reprieves, respites, or remissions of punishment, or to suspend, remit, or commute the sentence of any person convicted of an offence against a law relating to a matter to

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which the executive power of the State extends. In **Prem Raj**, it was observed that the powers under Articles 72 and 161 are absolute in nature and cannot be fettered by statutory provisions such as Sections 432, 433, or 433-A of the CrPC akin to Sections 473, 474 and 475 of BNSS, or by prison rules.

6.1 The judgment in **Prem Raj** further clarified the distinctions between the various forms of clemency:

- a) A pardon is an act of grace from the authority entrusted with the execution of laws, which exempts the individual from the punishment imposed for the offence committed. A pardon affects not only the punishment prescribed for the offence but also the guilt of the offender itself.
- b) A pardon must, however, be distinguished from amnesty, which is a general pardon of political prisoners and an act of oblivion. Amnesty may result in the release of the convict, but it does not erase any disqualification incurred by reason of conviction.
- c) A reprieve means a stay or postponement of the execution of a sentence, particularly a capital sentence.
- d) A respite refers to the awarding of a lesser sentence instead of the prescribed penalty, having regard to mitigating circumstances, such as the absence of prior convictions, etc. It is akin to release on probation for good conduct under Section 360 of the CrPC akin to Section 401 of the BNSS.
- e) Remission, in contrast, merely reduces the period of sentence without altering its character. In the case of remission, neither the conviction nor the guilt of the offender is affected. The sentence imposed by the court also remains intact, except to the extent that the convict is relieved from undergoing incarceration for the entire term awarded. Thus, remission only shortens the duration of actual imprisonment.
- f) Finally, commutation involves the substitution of one form of sentence with a lighter sentence of a different nature.

In this context, Section 432 of the CrPC akin to Section 473 of BNSS empowers the appropriate Government to suspend or remit sentences.

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- 6.2 In this regard, reference may be had to ***Sarat Chandra Rabha vs. Khagendranath Nath, AIR 1961 SC 334***, wherein this Court clarified that an order of remission does not interfere with or alter the judicial order of conviction and sentence. The conviction and sentence continue to stand exactly as passed by the court; only the obligation to undergo the entire term of imprisonment is curtailed. The power of remission, being an executive power, cannot produce the same effect as an appellate or revisional order reducing the sentence judicially imposed by the trial court and substituting it with a lesser sentence. The cutting short of a sentence by an act of clemency is an exercise of executive power which abridges the enforcement of the judgment, but does not alter the judgment itself.
- 6.3 The same principles were reiterated in ***State of Haryana vs. Mahender Singh, (2007) 13 SCC 606***, wherein this Court observed that the right of a convict to be considered for remission under the governing remission policy must surely be regarded as a legal right. Such a right emanates not only from the Prisons Act, 1894, but also from the Rules framed thereunder. Although no convict can claim remission as an absolute constitutional right, except under Articles 72 and 161, the existence of a remission policy nevertheless confers a legal entitlement to be considered for remission in terms of that policy. The Court further held that where a policy decision has been formulated, whether by statutory rule or otherwise, all persons falling within its ambit are entitled to equal treatment.
- 6.4 In ***Satish vs. State of U.P., (2021) 14 SCC 580 (“Satish”)***, this Court held that neither the length of the sentence nor the gravity of the original offence can, by themselves, constitute the sole basis for refusing premature release. Any assessment regarding the likelihood of reoffending upon release must instead be founded on the antecedents of the prisoner and his conduct while in custody, rather than merely on age or apprehensions expressed by victims or witnesses. The Court further observed that although remission cannot be claimed as a matter of right, once the appropriate legislature has enacted a law governing remission, the executive cannot indirectly defeat or subvert its mandate. It was also held that where executive authorities fail to discharge their statutory obligations despite judicial directions,

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a Constitutional Court exercising powers of judicial review may itself intervene and secure compliance through the issuance of a writ of mandamus. Having regard to the fact that the petitioners in **Satish** had undergone nearly two decades of incarceration and had suffered the consequences of their actions, the Court sought to strike a balance between individual reformation and societal welfare by directing their conditional premature release, subject to continued good conduct. Consequently, the State Government was directed to release the prisoners on probation under Section 2 of the U.P. Prisoners Release on Probation Act, 1938 within two weeks.

7. Reverting to the present case, the faint ground invoked by the respondent-Union of India in support of rejection of the petitioner's plea for premature release is that the crime committed by the petitioner was a heinous one. We wish to make it clear that in a constitutional polity governed by the rule of law, the denial of remission cannot rest solely on the ground of heinousness of the crime. As we have already stated above, remission is not an extension of the sentencing process, but a distinct executive function concerned with the present and future, namely, the prisoner's conduct, evidence of reformation, and prospects of reintegration into society. To predicate its denial only on the heinous nature of the offence is to collapse this distinction and to reconvert remission into a retrospective reaffirmation of guilt, which the criminal justice system has already adjudicated upon. The gravity and heinousness of the offence stand exhausted at the stage of sentencing and the judicial determination of punishment necessarily incorporates these considerations. A criminal justice system that refuses to look beyond the gravity of the offence to the offender's transformation will betray its reformatory ideal particularly at the remission stage. Justice does not permit permanent incarceration of an individual in the shadow of their worst act.
- 7.1 The nature of the offence cannot, therefore, be the sole ground for denying remission. Emotive retribution is a course, incompatible with constitutional values. The decision on remission must emerge from a holistic assessment of the prisoner and after balancing societal interests with the prisoner's right to be considered for release on fair and reasonable criteria.

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7.2 As Plato, the Greek Scholar and Philosopher, said any means, of word or deed, privilege or deprivation, that can be used to make the unjust man or the criminal, hate injustice and avoid recidivism are to be employed: the inculcation of an all but instinctive aversion to injustice “is quite the noblest work of law” (Thomas L. Pangle, *The Laws of Plato*, Basic Book Publishers, 1980). Thus, Plato reminds us to treat punishment as an instrument with a definitive end, namely, to produce in the offender an instinctive aversion to injustice sufficient to prevent recidivism. Reading this into the law of remission will yield a clear conclusion: a remission authority is not revisiting the gravity of the crime; it is assessing whether the purpose of punishment continues to subsist. In that sense, Plato supplies a legal test for remission decisions: If the offender’s conduct and record in custody indicate that this “instinctive aversion to injustice” has taken root, then continued incarceration becomes unnecessary and arguably contrary to its own objective. The deprivation of liberty no longer serves correction but becomes retribution. In a liberal constitutional order, punishment and all its incidents, including remission, must necessarily be justified through reason and not outrage.

7.3 Invoking Plato again, as this very court noted in *Bilkis* as follows:

“1. ...punishment is to be inflicted, not for the sake of vengeance, for what is done cannot be undone, but for the sake of prevention and reformation (Thomas L. Pangle, *The Laws of Plato*, Basic Book Publishers, 1980). In his treatise, Plato reasons that the lawgiver, as far as he can, ought to imitate the doctor who does not apply his drug with a view to pain only, but to do the patient good. This curative theory of punishment likens penalty to medicine, administered for the good of the one who is being chastised (Trevor J. Saunders, *Plato’s Penal Code : Tradition, Controversy, and Reform in Greek Penology*, Oxford University Press, 1991).”

In Plato’s rejection of punishment as retroactive vengeance lies the deep insight that the past cannot be changed. Instead, punishment is justified only insofar as it serves a future-oriented

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purpose, namely, prevention, reform, and the restoration of order. The comparison between the judge and the doctor is also significant. A doctor may incidentally cause pain through surgery or medicine, but the pain is not the objective, healing is. Likewise, punishment may involve suffering, but suffering itself is not normatively valuable. Its legitimacy comes only from its capacity to heal the individual and protect the *polis* (a political/civic community).

8. All relevant considerations necessary for adjudicating the petitioner's entitlement to remission already being before this Court, we will now proceed to examine the same on merits.

- 8.1 *Firstly*, the State Government of Uttarakhand had recommended the petitioner's premature release after considering the relevant factors pertaining to his incarceration and conduct. The learned Standing Counsel appearing for the State has also taken the stand before this Court that appropriate orders may be passed in the present case. Thus, the only impediment to the grant of remission is the refusal by the respondent—Union of India. The recommendation of the State assumes significance, as the State authorities are best placed to assess the petitioner's behaviour during custody, his reformation, institutional discipline, and the likelihood of his reintegration into society. The fact that the State Government, after evaluating the petitioner's case in its entirety, found him fit for premature release shows that the petitioner satisfies the parameters ordinarily relevant for consideration of remission. This assumes importance particularly because the State Government, being directly concerned with prison administration and the implementation of remission policies, has not found any reason to deny the petitioner the benefit of premature release. In fact, the petitioner's custody certificate dated 16.05.2025 specifically records that his conduct during incarceration has been good.

- 8.2 *Secondly*, the petitioner has already undergone more than twenty-two years of incarceration. The petitioner having spent more than two decades in continuous custody, the sentence undergone by him is itself a relevant consideration while examining his entitlement to premature release/remission. The prolonged incarceration undergone by the petitioner

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demonstrates that he has already suffered the consequences of the conviction for an extensive duration and has remained subject to the rigours of imprisonment for a considerable part of his life.

- 8.3 *Thirdly*, one of the co-accused, namely, Amarmani Tripathi, has already been granted the benefit of premature release by the Government of Uttar Pradesh vide notification dated 24.08.2023 after undergoing approximately seventeen years of actual imprisonment and twenty years with earned remission. The petitioner's plea of parity is therefore founded on an admitted factual position arising out of the treatment accorded to another convict in the very same case. Despite this, the respondent–Union of India has opposed the petitioner's plea of premature release both in the impugned letter and before this Court by relying upon the role attributed to the petitioner in the offence. Once a co-accused in the very same offence arising out of the same incident has been granted the benefit of premature release after undergoing a lesser period of incarceration, the denial of similar consideration to the petitioner necessarily requires the existence of cogent, rational, and clearly discernible distinguishing circumstances. In the absence of such reasons, differential treatment between co-accused would fall foul of the constitutional requirement of fairness and non-arbitrariness. No such reasons are forthcoming in the present case.
- 8.4 *Fourthly*, the petitioner's case deserves to be considered in light of the reformatory theory underlying the modern criminal justice system. The object of punishment is not merely retribution, but also the reformation and rehabilitation of the offender so as to enable his eventual reintegration into society. In ***Mohd. Giasuddin vs. State of A.P., (1977) 3 SCC 287***, Krishna Iyer, J., while emphasizing the reformatory philosophy of sentencing, quoted George Bernard Shaw's observation that: "*If you are to punish a man retributively, you must injure him. If you are to reform him, you must improve him and men are not improved by injuries.*" The learned Judge also observed that modern penology regards sentencing as a process of reshaping a person who has deteriorated into criminality and that society itself has a vital stake in the rehabilitation of the offender as a means of social defence. The reformatory approach to

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punishment, therefore, constitutes an integral component of criminal jurisprudence and remission policies are founded upon this principle. In the present case, the petitioner has undergone more than twenty-two (22) years of incarceration and his custody certificate records that his conduct during imprisonment has been good. The recommendation of the State Government for his premature release also indicates that the petitioner's conduct and rehabilitation have been found satisfactory by the competent authorities. Continued incarceration in such circumstances would run contrary to the reformatory object underlying remission and premature release policies particularly, when his co-accused has already been released.

9. In view of the cumulative reasons above, we have no hesitation to hold that the impugned letter dated 09.07.2025 of MHA which rejected the recommendation of the State of Uttarakhand and disallowed the plea of premature release of the petitioner is arbitrary, non-speaking, unsustainable in law and merit and is therefore set aside and quashed.
10. Since we have held that the petitioner is entitled to the benefit of premature release/remission and since he is already on interim bail, his surrender shall not be required, and the respondents shall treat him as having been prematurely released/remitted in terms of the present order.
11. This Writ Petition is allowed and disposed of in the aforesaid terms.
12. The Miscellaneous Applications are also disposed of in the aforesaid terms.

Result of the case: Writ Petition disposed of.

Miscellaneous Applications disposed of

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v.
Prem Latha Uppal (Dead) Through Lrs.

(Civil Appeal No. 7460 of 2026)

12 May 2026

[S.V.N. Bhatti* and Vijay Bishnoi, JJ.]

Issue for Consideration

Whether the impugned judgment in setting aside the order of punishment exceeded the scope of judicial review of a decision taken in the disciplinary proceedings initiated against an employee; whether Regulation 10 of the Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976 is mandatory or directory in deciding whether a common cause of action against more than one employee should be through a common or independent disciplinary proceeding.

Headnotes[†]

Disciplinary Proceedings – Judicial Review – Scope of – Writ Petition filed by Respondent-employee challenging the order of punishment of reversion to a lower grade, dismissed by Single Judge – Respondent filed Writ Appeal – Allowed, order of punishment set aside – Appellant-Bank assails the findings of the Division Bench on the merits of the matter, arguing *inter alia* that the re-appreciation of evidence to test the veracity of findings recorded by the disciplinary authority and Single Judge was illegal and erroneous – Whether the impugned judgment in setting aside the order of punishment exceeded the scope of judicial review of a decision taken in the disciplinary proceedings initiated against an employee:

Held: Findings recorded in the impugned judgment on the merits of the matter are available, and there is no departure from the settled position of law – Errors noted by the High Court against the findings recorded in respect of the first Respondent are not material – Impugned judgment confirmed to that extent. [Para 14]

* Author

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Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976 – Regulation 10 – Common Proceedings – Whether Regulation 10 is mandatory or directory in deciding whether a common cause of action against more than one employee should be through a common or independent disciplinary proceeding:

Held: “may” in Regulation 10 of the 1976 Regulations, from any standpoint, is directory – Construing “may” as mandatory would remove the discretion available to the employer in dynamic circumstances – The roles of charge-sheeted employees may not be the same or similar in cases that fall under a common category – Similarly, the disciplinary authority may be different, such as Assistant General Manager, Regional Manager, Chief General Manager or Executive Director, to initiate disciplinary action depending upon the cadre of the charge-sheeted employee – View taken in the impugned judgment with respect to Regulation 10 of the 1976 Regulations, set aside. [Para 17]

Interpretation of Statutes – Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976 – Regulation 10 – “may”; “shall”:

Held: The interpretation, particularly before a court of law, is not a conundrum, inasmuch as it is based on the interpretative cannons – A word or a section is interpreted not as what one thinks but what it means – Further, in the process of interpretation, there must be no stress or strain to the sentence subjected to interpretation – “May” is not understood as “must”, so long as the English language retains its meaning – Then it may be a question of which cases an authority or body with the power to interpret the words treats “may” as mandatory, thereby interpreting “may” as “shall” – The enabling words are construed as compulsory whenever the object of the said authority is to effectuate a legal right. [Para 15]

Case Law Cited

T. Baba Prasad v. Andhra Bank, Hyderabad and Others (2011) **SCC OnLine AP 276 – approved.**

Arun Kumar Alva v. The Vijaya Bank, M.G. Road, Bangalore and Others (2006) **SCC OnLine Kar 178**; *Natvarlal Nagindas v. Emperor* **AIR (1931) Bom. 198**; *State of U.P. v. Babu Ram Upadhyaya*, **AIR (1961) SC 751 – referred to.**

Canara Bank v. Prem Latha Uppal (Dead) Through Lrs.**List of Acts**

Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976; Andhra Bank Officer Employees (Discipline and Appeal), Regulations 1981.

List of Keywords

Disciplinary proceedings; Scope of judicial review in disciplinary proceedings; Scope of judicial review not exceeded; Misconduct; Order of punishment; Reversion to a lower grade; Regulation 10 of the Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976; Directory; Common Proceedings; Common cause of action against more than one employee; Common or independent disciplinary proceeding; "may"; "shall".

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7460 of 2026

From the Judgment and Order dated 15.02.2023 of the High Court of Karnataka at Bengaluru in WA No. 6228 of 2013.

Appearances for Parties

Advs. for the Appellant(s):

Naveen R. Nath, Sr. Adv., Ms. Hetu Arora Sethi, Ms. Lalit Mohini Bhat, Rahul Jain, Siddrth Agarwal, Ms. Disha Gupta.

Advs. for the Respondent(s):

Shailesh Madiyal, Sr. Adv., Mahesh Thakur, Anchit Singla, Narveer Yadav, Siddhartha Sati, Dr. Anthony Raju, Vineeth B Prasad.

Judgment / Order of the Supreme Court**Judgment**

S.V.N. Bhatti, J.

1. Leave granted.
2. The Civil Appeal arises from the judgment dated 15.02.2023, in Writ Appeal No. 6228 of 2013 in the High Court of Karnataka at Bengaluru. Canara Bank is the Appellant, and Prem Latha Uppal/

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first Respondent, was working as a Senior Manager, Scale-III, at one of Canara Bank's branches in New Delhi. The first Respondent is Deceased, Respondent Nos. 1.1 to 1.3 are the legal heirs and representatives of the estate of the deceased first Respondent.

3. By order dated 31.05.2006, the Appellant, pursuant to disciplinary proceedings and report, by way of punishment, reduced the first Respondent to a lower grade, namely, from the SMG Scale-IV to MMG Scale-III. The first Respondent filed a Writ Petition No. 3150 of 2008, in the High Court of Karnataka at Bengaluru, challenging the order of punishment of reversion to a lower grade. On 02.09.2013, the Writ Petition was dismissed. The first Respondent, aggrieved by the order of the learned Single Judge, filed a Writ Appeal No. 6228 of 2013. Through the impugned Judgment, the Writ Appeal was allowed, and the order of punishment dated 31.05.2006 has been set aside. Hence, the Civil Appeal at the instance of Canara Bank.
4. The Appeal presents the following two questions for consideration:
 - (a) Whether the impugned Judgment in setting aside the order of punishment dated 31.05.2006 exceeded the scope of judicial review of a decision taken in the disciplinary proceedings initiated against an employee?
 - (b) Whether Regulation 10 of the Canara Bank Officer Employees' (Discipline and Appeal) Regulations, 1976 ("1976 Regulations") is mandatory or directory in deciding whether a common cause of action against more than one employee should be through a common or independent disciplinary proceeding?
5. A few relevant circumstances are that the first Respondent worked as a Senior Manager in the Diplomatic Enclave, New Delhi Branch of the Appellant-Bank. The first Respondent was one of the three members of the Credit Sanction Committee. The Credit Sanction Committee sanctioned financial assistance to M/s. Aman Trading Company and M/s. Creative Trading Company. The said sanction of the loan was found to be vitiated by negligence and collusion amounting to misconduct under the 1976 Regulations. The gist of the misconduct is that the officers sanctioned a loan without a basic examination of the proposed borrower and without verifying the availability of the assets offered as security for the financial assistance. The first Respondent was charge-sheeted on 27.07.2005 for two Articles of

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Charges, i.e., Article I for M/s Aman Trading Company and Article II for M/s. Creative Trading Company.

- 5.1 Article I Charges cited failure to: (i) independently verify the existence of the business at the address provided and to conduct a proper credit investigation; (ii) independently check the ownership of property offered as collateral security through neighbourhood or Sub-Registrar's office enquiries; (iii) ensure the OPL from the previous banker, M/s. Jain Co-operative Bank, was obtained directly and to verify its genuineness; (iv) ensure the borrower's account with the previous banker was closed as per sanction terms; (v) notice discrepancies in financial papers, such as auditors sharing the same address as the guarantors; (vi) ensure loan documents were executed by the correct person whose photograph was on record, rather than an impersonator; and (viii) verify the identity and net worth of the guarantor. The charges further note that the first Respondent permitted large cash withdrawals without ensuring proper use of the funds and recommended renewing credit facilities without first obtaining the necessary audited balance sheets.
- 5.2 Article II charges her with failing to: (i) properly scrutinise the Legal Scrutiny Report, specifically by failing to identify a discrepancy in the address of the Sub-Registrar's office; (ii) compare and note differences between photographs and signatures on official identity documents and those on bank applications and title deeds; and (iii) verify guarantors' net worth and permit large cash withdrawals without monitoring the use of funds. The charges also note that she recommended the credit limit without independently verifying the existence of the business or the ownership of the collateral property, and that she recommended limits based on an introducer whose account did not meet the bank's minimum account age requirement of one year.
6. In the disciplinary proceedings, the charges were proved against the first Respondent. The case of the first Respondent in assailing the order dated 31.05.2006 is that the Appellant was only a Senior Manager and a member of the Credit Committee, and not the final Sanctioning Authority. Investigations into the fraudulent firms were handled by other officers, P.P. Nayak and S.S. Bhat, and she is

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being punished for duties that fall outside her Key Result Areas. The enquiry relied on statements from individuals who were not examined during the disciplinary proceedings, thus violating principles of natural justice. Furthermore, she was punished by the disciplinary authority for charges that the Enquiry Officer found to be not established. The first Respondent suffered hostile discrimination, whereas six other officers involved received minor penalties, such as the denial of increments, while she was singled out for severe punishment. The Disciplinary Authority, Appellate Authority, and Reviewing Authority acted mechanically, with closed minds, and exhibited a lack of application of mind. She prayed the High Court to quash these orders and restore her to the SMG-IV rank, with consequential benefits.

7. The Appellant, apart from relying on the findings recorded by the Enquiry Officer, resisted the Writ Petition by contending that as the Senior Manager in charge of the Credit Department and a committee member, she was directly responsible for cross-checking documents and ensuring compliance with safeguards while sanctioning a loan, regardless of whether other officers acted diligently or handled parts of the verification. The strict rules of the Indian Evidence Act do not apply to domestic enquiries, and the first Respondent did not question the veracity of the statements relied upon by the Appellant during the enquiry. The enquiry authority was unbiased, specifically finding her not guilty on charges such as cash withdrawals, where evidence was lacking. There was no discrimination, as her senior position carried greater authority and responsibility than other charge-sheeted officers. Considering the gross lapses and the massive financial risk she exposed the Bank to, the Disciplinary Authority viewed her case reasonably and imposed a lenient punishment. The orders from the Disciplinary, Appellate, and Reviewing Authorities were well-reasoned, fair, and just. The Review Petition was rightfully dismissed as she presented no new material evidence. Hence, the Writ Petition lacked merit and should be dismissed.
8. The learned Single Judge on 02.09.2013 dismissed the Writ Petition No. 3150 of 2008. The Single Judge rejected the first Respondent's argument that she should receive a lesser punishment, similar to that imposed on other officials, upon observing that no material evidence was produced to prove that the charges against the first Respondent and the other officials were identical. It was observed that the first Respondent acted casually and negligently, failing to independently

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verify the existence of firms and the ownership of collateral securities, thereby prejudicing the bank's interests. Regarding Regulation 10 of 1976 Regulations, it was observed that the use of the word "may" makes holding a common proceeding discretionary for the Competent Authority. Because the charges against the Officers differed, the bank was not bound to order a joint proceeding. Further, the High Court held that the Enquiry Officer provided the respondent with a substantial opportunity to present her case. Lastly, it determined that the authorities had diligently and exhaustively considered the first Respondent's case, leaving no grounds for judicial review. The learned Single Judge concluded the writ petition was devoid of merit and dismissed it.

9. On appeal, the Division Bench, by the impugned order, set aside the order dated 02.09.2013 in the writ petition and the disciplinary order dated 31.05.2006. For convenience, we may summarise the Division Bench's consideration of the issues on the merits of the enquiry as follows:

- 9.1 The Division Bench declined to grant liberty to the appellant to proceed afresh against the respondent since granting such liberty would impact the other six officers not party to the appeal, and the bank's own pleading admitted that no criminal connivance was found against the respondent. The respondent had been promoted to SMG Scale-IV on 19.07.2004, after the very transactions in question, and the respondent had already superannuated on 31.11.2010.

- 9.2 The Division Bench, on merits, held that during the enquiry, the Presenting Officer relied upon and extracted from the statements of S.S. Bhat, MW2, and R. Chandramouli, MW3, both of whom were officers and co-accused in respect of the same cause of action. These statements, recorded by the Investigating Officer, were referred to during the cross-examination of Management Witness, MW1, and relied upon by the Enquiry Officer in recording a finding that the charges against the respondent were partly proved. However, neither of them was examined as witnesses in the departmental enquiry. The Bench held that the Enquiry Officer had relied upon material against which the respondent was given no opportunity to rebut. In fine, accordingly, the Division Bench appreciated and noted that

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MW1 cannot be considered a witness to the accusation against the respondent, and that he relies on the statements recorded during the preliminary investigation. The findings of the Enquiry Officer were vitiated for want of a semblance of evidence.

- 9.3 On a perusal of the charges framed against the respondent, the Bench found that no vigilance angle was involved. Therefore, consultation with the Central Vigilance Commission (“CVC”) was not required in the facts of the case. Since the CVC had nonetheless been consulted, the Bench answered this issue against the appellant, though it did not separately set aside the proceedings on this ground alone. Hence, the impugned order has set aside the order of punishment.
10. We have heard the learned Senior Counsel Mr. Naveen R. Nath, and Mr. Shailesh Madiyal, for the parties.
11. The Appellant assails the findings of the Division Bench on the merits of the matter, particularly by arguing that the re-appreciation of evidence to test the veracity of findings recorded by the disciplinary authority and learned Single Judge is illegal and erroneous.
 - 11.1 The next argument is that Regulation 10 of the 1976 Regulations has been interpreted as mandatory, thereby removing the Management’s discretion. The High Court of Andhra Pradesh and the High Court of Karnataka have taken inconsistent views on the meaning of the word “may” in Regulation 10, with one treating it as “directory” and the other as “mandatory”. The argument proceeds that there is no basis whatsoever in plain interpretation to read “may” as “shall” and make it mandatory.
12. For the first Respondent, it is argued that the Division Bench’s findings largely rest on the lack of evidence to support any view on the charges framed against her. It is not a case of exceeding the scope of judicial review, but of appreciating an error apparent on the face of the record. The first Respondent is no more, and it serves no purpose to remit the matter to the Disciplinary Authority for reconsideration. It is further argued that it is not a case of re-appreciation of evidence or of giving a new finding to the admitted circumstances of the case. The Division Bench recorded that the enquiry held by the Appellant was vitiated by principles of natural justice, and such findings were made for want of evidence. The precedents on the point set out a

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few limitations, such as re-appreciation of evidence, when examining an issue arising in a disciplinary proceeding. In the case at hand, the Division Bench has not exceeded the scope of judicial review. On the construction of the word “may” as mandatory or directory, it is argued that the Appellant’s effort is to get the law declared by this Court. The first Respondent, therefore, does not canvass whether one or the other view is available.

13. We have perused the record and appreciate the rival submissions.
14. We prefer to take up the first argument, namely, that the impugned judgment has exceeded the scope of judicial review. It is axiomatic that the scope of judicial review, particularly in disciplinary matters, is well settled, and we do not intend to burden the judgment with citations. We have taken note of the findings and are of the view that the findings recorded in the impugned judgment on the merits of the matter are available, and there is no departure from the settled position of law. Having perused the record, we are of the view that the errors noted by the High Court against the findings recorded in respect of the first Respondent are not material, and the impugned judgment to that extent requires confirmation.
15. The above discussion takes us to the next point on the interpretation of Regulation 10 of the 1976 Regulations, which reads as follows:

“10. Common Proceedings: Where two or more officer employees are concerned in a case, *the* authority competent to impose a major penalty on all such officer employees may make an order directing that disciplinary proceedings against all of them may be taken in a common proceeding.”

The interpretation of “may” as “shall” is a question presented for our consideration. The interpretation, particularly before a court of law, is not a conundrum, inasmuch as it is based on the interpretative canons. A word or a section is interpreted not as what one thinks but what it means. Further, in the process of interpretation, there must be no stress or strain to the sentence subjected to interpretation. “May” is not understood as “must”, so long as the English language retains its meaning. Then it may be a question of which cases an authority or body with the power to interpret the words treats “may” as mandatory, thereby interpreting “may” as “shall”. The enabling

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words are construed as compulsory whenever the object of the said authority is to effectuate a legal right.

16. The High Court of Andhra Pradesh at Hyderabad, in *T. Baba Prasad v. Andhra Bank, Hyderabad and others*,¹ interpreted “may” in Regulation 10 of the Andhra Bank Officer Employees (Discipline and Appeal), Regulations 1981 as directory (“1981 Regulations”). Regulation 10 of 1981 Regulations is *pari materia* to the 1976 Regulations. The High Court of Andhra Pradesh has taken note of the view of the High Court of Karnataka in *Arun Kumar Alva v. The Vijaya Bank, M.G. Road, Bangalore and others*,² and held that the view does not reflect the correct position of law. *T. Baba Prasad (supra)* surveys³ the case law on the point, interpreting “may” and “shall,” and concludes that “may” in Regulation 10 of the 1981 Regulations is directory rather than mandatory. While differing with the High Court of Karnataka, the learned Single Judge, *Justice Nooty Ramamohana Rao*, held that Regulation 10 of the 1981 Regulations was enacted to vest the Bank with the necessary power to order joint/common proceedings where more than one officer is involved. Without it, such proceedings might not have been permissible at all. It is a facilitative, not an obligatory, provision. Further, the context of Regulation 10 does not support reading “may” as “shall.” The judgment observes that “[t]he very context of its setting does not lend any support to the view that holding of such common proceedings is a mandatory affair.” In continuation thereof, it observes that treating “may” as mandatory either takes away or restricts the discretion vested with the Management or the dynamic situations of the different authorities, being the Competent Authority in the disciplinary proceedings. The

1 (2011) SCC OnLine AP 276.

2 (2006) SCC OnLine Kar 178.

3 See *Natvarlal Nagindas v. Emperor*, AIR (1931) Bom. 198 (Chief Justice Beaumont): “The word ‘may’ is sometimes construed as ‘shall’ but obviously its prima facie effect is merely permissive and not obligatory.” The Magistrate under Section 29-B CrPC had a discretion, not an obligation, to use the special provision;

State of U.P. v. Babu Ram Upadhyaya, AIR (1961) SC 751 (Constitution Bench, Koka Subba Rao J.): held (i) Whether a statute is mandatory or directory depends on the intent of the Legislature, not on the language in which that intent is clothed, (ii) The court must attend to the nature, design, and consequences of construing the provision one way or the other, (iii) Even the word “shall” may be directory, and “may” may be mandatory, (iv) Where invalidation of acts done in neglect of a provision “would work serious general inconvenience or injustice to persons who have no control over those entrusted with the duty without promoting the essential aims of the Legislature, the provision is directory (Maxwell on Interpretation of Statutes, 10th ed., p. 381, approved by the Privy Council in *Montreal Street Railway v. Normandin*, AC 170).

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learned Single Judge held that “*Regulation 10 does not vest any power or right in the hands of a delinquent officer/employee to either insist or ask for joint or common proceedings to be held. There is no such corresponding right vested in an employee*”, and that “[f]ailure to hold a joint enquiry [does not vitiate] the disciplinary proceedings already initiated against an individual officer.”

17. In our view, the word “may” in Regulation 10 of the 1976 Regulations, from any standpoint, is directory. Construing “may” as mandatory would remove the discretion available to the employer in dynamic circumstances. We need not elaborate on all the circumstances, but it would suffice to note that the roles of charge-sheeted employees may not be the same or similar in cases that fall under a common category. Similarly, the disciplinary authority may be different, such as Assistant General Manager, Regional Manager, Chief General Manager or Executive Director, to initiate disciplinary action depending upon the cadre of the charge-sheeted employee. We affirm the view taken by the High Court of Andhra Pradesh in *T. Baba Prasad (supra)*. Hence, we set aside the view taken in the impugned judgment with respect to Regulation 10 of the 1976 Regulations.
18. The impugned Judgment is interfered with to the extent indicated above, and the Civil Appeal is disposed of accordingly. The Appellant is directed to settle the account of the first Respondent by duly noting the outcome of the impugned Judgment within six weeks from today. Pending application(s), if any, stand disposed of.

Result of the case: Appeal disposed of.

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(Criminal Appeal No(s). 2506 of 2026)

13 May 2026

[Prashant Kumar Mishra and N.V. Anjaria,* JJ.]

Issue for Consideration

The present appeal by the appellant-convict is directed against judgment and order dated 04.02.2025 of the High Court. Thereby, the High Court confirmed the conviction and sentence against the appellant and held the appellant guilty of commission of offences u/ss.302 and 323 of the IPC and u/ss.3(2)(v) and 3(1)(x) of SC/ST Act.

Headnotes[†]

Penal Code, 1860 – ss.302 and 323 – Scheduled Castes and The Scheduled Tribes (Prevention of Atrocities) Act, 1989 – ss.3(2)(v) and 3(1)(x) – On 14.02.2013, victim-deceased had eloped with appellant’s younger sister aged 18 years – A Panchayat was held in the village and that it was decided in the Panchayat that victim would go out of the village Ogipur, and the girl would stay at her parental house – The victim came back to attend the wedding of his friend – Appellant confronted him – Quarrel took place between them – In heat of temper, the appellant took a shabad stone and started hitting victim with it – PW-1-mother of victim tried to intervene, she also suffered injuries – Victim succumbed to injuries – The deceased came from the Scheduled Caste Community ‘Mala’ – FIR was registered u/s.302, IPC and s.3(2)(v) of the SC/ST Act – The Trial Court convicted the appellant – The High Court confirmed the conviction against the appellant – Correctness:

Held: PW1 deposed that she and PW3 both rushed to the place and at that time found that the deceased was being beaten by the appellant with a stone – The prosecution case hinged on the story told in their evidence by PW1 and PW3 – However, PW3 was declared to be hostile since he resiled from the story and did not support the prosecution – The other witnesses included

* Author

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PW4 and PW5, both turned hostile – Each of the two stated that none of them had conducted any Panchayat regarding the issue of elopement of accused's sister and the deceased – There were noticeable discrepancies and mismatching details in the Inquest Report-Ex. P6, in the Postmortem Examination Report-Ex. P8 and in the evidence of PW7 in that regard, which have remained non-explanatory – The opinion given as to the cause of death was that it was 12 to 24 hours prior to the time of conducting the autopsy – If the date of 14.05.2013 is to be believed, then it does not correlate with the time of death which was indicated to be 12 to 24 hours before the time of autopsy – The doctor-PW7 who conducted postmortem examination has not been able to explain satisfactorily these discrepancies found – The interaction of evidence of PW1 and PW3 read with the evidence of PW4 and PW5, demolished the very fulcrum of the prosecution case, in as much as the very occurrence of the incident was discredited and became liable to be disbelieved, cementing doubts further by the fact that though the incident was claimed to have occurred in the open place humming with vehicular traffic, no person from the nearby was examined as a witness to support and establish the incident – Thus, the occurrence of incident itself could not be said to have been proved by the prosecution – The genesis of the incident and the motive of the crime were also not proved as the prosecution evidence could not establish the story of holding of Panchayat pursuant to the elopement of the sister of the accused and the deceased – Thus, the appellant is acquitted. [Paras 5.1, 5.1.1, 5.1.3, 5.2.2, 5.2.3, 10, 10.4]

Evidence – Interested witness – Evaluating the evidence of a related or interested witness calls for extra caution:

Held: While evaluating the evidence of a related or interested witness calls for extra caution when the evidence of such witness suffers from contradictions and discrepancies, for, knowingly or unknowingly a departure from telling the truth by a witness belonging to such category naturally leads to give rise to inconsistencies – The discrepancies and inconsistencies in the testimony of a related or interested witness will have to be viewed in such context, and more particularly when other evidence on record sufficiently demolishes the evidence of the related or interested witness, its evidence would entirely lose its reliability to stand in support of the prosecution. [Para 8.2]

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Evidence – Hostile witness – When admissible:

Held: The evidence of the hostile witness is admissible, once it gets strengthened with the help of other evidence – In *Khujji* and in *Koli Lakhmanbhai Chanabhai*, it was held that it is open to the court to have a conviction upon the testimony of a hostile witness – Therefore, when the testimony of a hostile witness is admissible subject to be feeded by corroboration and the conviction on that basis could be arrived at, the reverse is also true as a canon of appreciation of evidence – What necessarily implies is that as the evidence of a hostile witness can be used for convicting the accused, such evidence could indeed be applied and utilised also for the purpose of acquitting the accused, when what is testified by the hostile witness inspires credibility, when read with the other evidence on record, either ocular or documentary – The *dictum* would be that the testimony of a hostile witness or statement in the deposition of hostile witness could be properly employed to discredit the prosecution case and a conclusion of acquittal could well be supported through it and could be founded therein. [Paras 8.4.2, 9]

Case Law Cited

Masalti v. State of Uttar Pradesh [1964] 8 SCR 133 – followed.

Khujji @ Surendra Tiwari v. State of Madhya Pradesh [1991] 3 SCR 1 : (1991) 3 SCC 627; *Himanshu alias Chintu v. State (NCT of Delhi)* [2011] 1 SCR 48 : (2011) 2 SCC 36; *Bhaskarrao and Others v. State of Maharashtra* [2018] 4 SCR 751 : (2018) 6 SCC 591; *Ghulam Hassan Beigh v. Mohammad Maqbool Magrey and Others* [2022] 13 SCR 34 : (2022) 12 SCC 657; *Koli Lakhmanbhai Chanabhai v. State of Gujarat* (1999) 8 SCC 624; *Bhagwan Singh v. State of Haryana* [1976] 2 SCR 921 : (1976) 1 SCC 389 – relied on.

List of Acts

The Scheduled Castes and The Scheduled Tribes (Prevention of Atrocities) Act, 1989; Penal Code, 1860; Code of Criminal Procedure, 1973.

List of Keywords

Murder; Evidence; Medical evidence; Prosecution evidence; Interested witness; Hostile witness; Discrepancies; Postmortem examination; Inquest report; Autopsy; Deposition of hostile witness; Motive of crime.

Talari Naresh v. The State of Telangana**Case Arising From**

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 2506 of 2026

From the Judgment and Order dated 04.02.2025 of the High Court for The State of Telangana at Hyderabad in CRLA No. 1111 of 2017

Appearances for Parties

Advs. for the Appellant(s):

D Ramakrishna Reddy, D. Bharathi Reddy, Nishant Sharma,
D Tejaswi Reddy, Ms. Adviteeya.

Advs. for the Respondent(s):

Kumar Vaibhaw, Devrishi Tyagi, Ms. Devina Sehgal, Srikanth Varma
Mudunuru, Yatharth Kansal.

Judgment / Order of the Supreme Court**Judgment**

N.V. Anjaria, J.

Leave granted.

2. The present appeal by the appellant-convict is directed against judgment and order dated 04.02.2025 of the High Court for the State of Telangana at Hyderabad, in Criminal Appeal No. 1111 of 2017. Thereby, the High Court confirmed the conviction and sentence against the appellant recorded by learned Special Sessions Judge for Trial of Offences Under SC/ST (Prevention of Atrocities) Act-cum-VII Additional District & Sessions Judge, Ranga Reddy District at L.B. Nagar in SC/ST S.C. No.51 of 2014 and held the appellant guilty of commission of offences under Sections 302 and 323 of the Indian Penal Code, 1860¹ and under Sections 3(2)(v) and 3(1)(x) of The Scheduled Castes and The Scheduled Tribes (Prevention of Atrocities) Act, 1989².
- 2.1. The appellant was sentenced to life imprisonment and was further required to pay a fine of Rs. 5000/- in respect of his

¹ Hereinafter, "IPC".

² Hereinafter, "SC/ST Act".

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conviction for the offence under Section 302, IPC. For the offence under Section 323, IPC, the appellant was sentenced to six months' simple imprisonment. For the offence under Section 3(2)(v) of SC/ST Act, the appellant came to be sentenced to life imprisonment and a fine of Rs. 5000/- with default stipulation to undergo three months simple imprisonment. In respect of the offence under Section 3(1)(x) of SC/ST Act, he was further sentenced to imprisonment of six months and to pay a fine of Rs. 2000/- and in default of payment of fine, to suffer further one-month simple imprisonment. All the sentences were directed to run concurrently.

3. The prosecution case was *inter alia* that on 12.05.2013 at around 8:30 in the morning, the deceased named Shiva Shankar, along with his friend Narendar-PW3 was passing nearby the house of the appellant. Noticing them, the appellant questioned about Shiva Shankar's returning to the village. It was stated that earlier on 14.02.2013, deceased Shiva Shankar had eloped with appellant's younger sister aged 18 years. They both, however, returned to the village on the very next day. It was stated that in view of the said incident of elopement, a *Panchayat* was held in the village and that it was decided in the *Panchayat* that deceased Shiva Shankar would go out of the village Ogipur, and the girl would stay at her parental house. In that view, Shiva Shankar went to stay at Ekmai Village of Basheerabad Mandal to start living with his maternal uncles-PW2 and another.
 - 3.1. It was the further prosecution case that despite the aforesaid decision of the *Panchayat*, the deceased came back to village Ogipur to attend the wedding of his friend and when he was passing near the house of the appellant on the day of the incident, the appellant confronted him. It was stated that a quarrel took place between the appellant and the said Shiva Shankar, in a heat of temper. The appellant took a shabad stone sized 6 inches in length, 4 inches in width and 3 inches thick, and started beating Shiva Shankar with the said stone.
 - 3.1.1. It is the prosecution case that Narendar-PW3 who had been accompanying Shiva Shankar went to the place of mother of the deceased named Padmamma-PWI to inform her. Padmamma-PWI, having come to know about the incident, rushed to the scene of the offence. It was

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claimed that when she intervened, she also suffered injuries below her left eye. It was further stated that in course of these happenings, PW1 was abused by the appellant with a casteist slur.

- 3.1.2. PW1 took her son-injured Shiva Shankar to the Government Hospital, Tandur, where the injured was given first aid, thereafter, was advised to go to the General Hospital, Hyderabad for further treatment. When Shiva Shankar was being shifted to the Hyderabad Hospital, he died on the way succumbing to his injuries.
- 3.1.3. The appellant as well as the deceased belonged to the same village Ogipur of Ranga Reddy District. The appellant was a member of the backward class community known as '*Mudiraj*', whereas the deceased came from the Scheduled Caste Community '*Mala*'.
- 3.1.4. The incident came to knowledge of the Sub Inspector of Police, Mr. P.S. Karankote-PW8. PW8 visited the Government Hospital to inquire, recorded the statement of PW1 and registered a case as Crime No.79 of 2013 in respect of the offence under Section 324, IPC and Section 3(l)(x) of the SC/ST Act. In view of the death of Shiva Shankar, the offences under Sections 302, IPC and Section 3(2)(v) of the SC/ST Act were added.
- 3.2. The prosecution, seeking to prove its case examined in all eleven witnesses, in addition to relying on certain documentary evidence. The oral evidence was led by the prosecution through Padmamma-PW1 who was the mother of the deceased, Maruthi-PW2-the younger brother of PW1 and also one Narendar-PW3 who was claimed to have gone to PW1 to inform her when the incident occurred. PW3 was declared hostile. Tammanna-PW4 and Narsimha Reddy-PW5 were examined who too turned hostile. Ashappa-PW6 was a Panch witness examined who had signed the Panchanama-Ex. P5 along with one Mallappa, who did not enter the box. Inquest Panchanama-Ex. P7 was prepared and signed by PW6 along with said Malappa.
 - 3.2.1. Dr. Sridhar-PW7 was the Medical Officer. He conducted the postmortem examination and signed the Postmortem Report-Ex. P8. Mr. Pavan Kumar-PW8, Sub Inspector

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of Police was examined who upon receipt of information on the date of incident from Government Hospital, went there and recorded the statement of PW1. K. Anantha Reddy-PW9, was working as Tahsildar at the relevant time and who issued caste certificates of the complainant, deceased and the accused was examined. Further examined was one Shaik Ismail-PW11 in his capacity as Assistant Commissioner of Police as he took up further investigation. G. Udaya Kumar-PW10, police officer who investigated the offence and visited the scene of offence on the next day i.e., 13.05.2013 was examined.

3.2.2. Panchanama at Ex. P5 and rough sketch at Ex. P6 were produced. The FSL Report-Ex. P16 suggested that on the stone (Item No. 1) and on the cotton shirt (Item No. 3), the human blood was found. The Wound Certificate was added at Ex. P15. The Postmortem Examination Report was at Ex. P8.

3.3. The Trial Court considering the aforementioned evidence proceeded to convict the appellant. In recording guilt and consequential conviction, the Trial Court attached weight to the evidence of Padmamma-PW1-mother of the deceased and Narendar-PW3 who were the two projected as eyewitnesses to the incident. The Trial Court observed that PW1 had rushed to the place of offence and tried to rescue the deceased and at that time the accused also beat her on the left eye and abused her and mud-slanged about her caste. According to the Trial Court, immediately after the incident, PW1 informed her brothers Maruthi-PW2 and Venkataiah-LW3 telephonically. The Trial Court noticed from the prosecution story that the crime took place in the backdrop of the accused having eloped some time back with the sister of the appellant, and the dispute was subsequently settled by the *Panchayat* asking the deceased to keep himself away from the village.

3.3.1. In the view of the Trial Court, the evidence of PW2, who is the brother of PW1, was stood fully corroborated with the evidence of PW1 with regard to the fact stated by PW1 about the incident and in respect of the injuries sustained by the deceased. A view was taken also

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that recovery of the stone from the scene of offence supported the version of PW1 about the occurrence and further that the FSL Report-Ex. P16 showed the blood group tallying with the blood detected on the clothes of the deceased.

4. Heard learned counsel Mr. D. Ramakrishna Reddy assisted by learned advocate-on-record Mrs. D. Bharathi Reddy and other learned advocates for the appellant, as well as learned counsel Mr. Kumar Vaibhaw with learned advocate-on-record Mr. Devina Sehgal and other advocates for the respondent, at length.
5. Surveying the evidence briefly, both oral and documentary mentioned above, which is appreciated by the Trial Court and considered by the High Court in arriving at the finding of guilt against the appellant, would be useful in judging the merits of such conclusion. Padmamma-PW1 and Narendar-PW3 were shown as eyewitnesses who were stated to have witnessed the incident. The narrated story was that PW3 was a person who accompanied deceased Shiva Shankar while passing nearby the house of the appellant on the day of incident in the morning. According to PW1, she came to know about the incident from PW3 who stated to have rushed to PW1's place to inform her when the appellant was allegedly beating the deceased.
 - 5.1. PW1 deposed that she and PW3 both rushed to the place and at that time found that the deceased was being beaten by the appellant with a stone. PW1 further testified that her son had taken away the sister of the accused three months ago and the said event was the root cause for the incident. As per the evidence of PW1, at that time a *Panchayat* was held in the village which considered the issue of elopement of the sister of the accused and the deceased.
 - 5.1.1. The prosecution case hinged on the story told in their evidence by PW1 and PW3. However, PW3 was declared to be hostile since he resiled from the story and did not support the prosecution. While PW1 stated that PW3 informed her about the incident and the two had gone to the place of offence, the hostile PW3 deposed that the deceased asked him to go away and thereupon he returned to his house at Ogipur village and that he never went to the house of PW1. In his cross examination, PW3 stated that his statement recorded

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under Section 161, Cr.PC-Ex. P2 was false and was made at the instance of the accused. He mentioned that the place of offence was the main road where there were movement of people and the quarry trucks/lorries almost twenty-four hours.

- 5.1.2. Maruthi-PW2, younger brother of PW1 deposed that he received telephonic instructions from PW1 about the incident of beating of deceased by the accused and further that he and one Venkataiah went to the Government Hospital where the injured was shifted. PW2 also spoke on the lines of PW1, about the incident of elopement of the sister of the accused with the deceased and about the *Panchayat* having been held which decided to require the girl to be sent to her parents' house and the accused to leave the Ogipur village.
- 5.1.3. The other witnesses included Tammanna-PW4 and Narsimha Reddy-PW5. While they both stated that they knew the accused and his sister Sivamala, both became hostile witnesses. Each of the two stated that none of them had conducted any *Panchayat* regarding the issue of elopement of Sivamala and the deceased. Ashappa-PW6 and one Mallappa were the two Panchas who signed Panchanama-Ex. P5. According to PW6, a stone was found at the scene of offence which was seized. Inquest Panchanama-Ex. P7 was also signed by PW6 and said Mallappa, PW6 stated that the place of offence was the main road, a place where the quarries were situated at some distance and there was movement of vehicles.
- 5.1.4. The medical evidence consisted of testimony of Dr. Sridhar-PW7 who conducted postmortem on 13.05.2015 and issued the Postmortem Report. The evidence of PW7 and details mentioned in the Postmortem Report-Ex. P8 as well as injuries described are mentioned in detail in the succeeding discussion.
- 5.1.5. Mr. Pavan Kumar-PW8 was the Sub Inspector of Police who upon receiving the information about the incident on 12.05.2013, went to the Government Hospital, recorded the statement of PW1 and registered FIR. K. Anantha

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Reddy-PW9, working as Tahsildar at the relevant time, issued caste certificates. Further investigation was taken up by one Shaik Ismail-PW11 who referred to the FSL Report-Ex. P16 to suggest that on the stone and on the cotton shirt, the human blood was found. G. Udaya Kumar-PW10, the police officer who investigated the offence and visited the scene of offence on the next day that is, on 13.05.2013 stated that Ashappa and Mallappa were called for the purpose of preparing the Panchanama, who drew rough sketch. The stone was recovered. From the caste certificates received, the name of community of the complainant, deceased and the accused was revealed.

- 5.2. Before proceeding to consider the import and effect of the oral evidence led in support of the prosecution case, the medical evidence may be referred to for its relevance. PW7 mentioned external antemortem injuries to be of the kind and nature thus,
 - (i) Contusion over left temporal region of skull of size 2 x 1 cm with fracture of temporal bone.
 - (ii) Left black eye present.
 - (iii) Laceration over chin of size 2 x 1 x 0.5 cms.
 - (iv) Contusion over right side of forehead size 1 x 0.5 cms.
 - (v) Contusion over right forearm of size of 3 x 2 cms fracture upper end radius.
 - (vi) Contusion over chest wall of size 2 x 1 cms.
 - (vii) Laceration of size 3 x 2 x 0.5 cms over right great toe with fracture metatarsal.
 - (viii) Laceration of size of 3 x 1 x 1 cms over right lower end of radius fracture.
- 5.2.1. The Postmortem Report-Ex. P8 dated 14.05.2013 prepared by Dr. Sridhar-PW7 mentioned that the deceased died on account of “massive intracranial haemorrhage secondary to head injury leading to cardiorespiratory arrest”.
- 5.2.2. There were noticeable discrepancies and mismatching details in the Inquest Report-Ex. P6, in the Postmortem Examination Report-Ex. P8 and in the evidence of PW7 in that regard, which have remained non-explanatory. While in the Inquest Report-Ex. P7, it was mentioned that a postmortem examination was concluded at 02.30 pm on 13.05.2013. In the Postmortem Examination-Ex. P8, it was stated that the postmortem was concluded

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on 14.05.2013 at 4.00 pm. This was an evident inconsistency in the indication of time in the conclusion of the postmortem examination.

5.2.3. The opinion given as to the cause of death was that it was 12 to 24 hours prior to the time of conducting the autopsy. If the date of 14.05.2013 is to be believed, then it does not correlate with the time of death which was indicated to be 12 to 24 hours before the time of autopsy. The doctor-PW7 who conducted postmortem examination has not been able to explain satisfactorily these discrepancies found in Ex. P7 and Ex. P8 regarding the date of conducting of postmortem examination and the time of death. The answer given by PW7 in this regard was only that he erred in showing the date to be 14.05.2013 due to night duty as it was 24 hours long duty. This explanation hardly inspired credibility. A doctor conducting the postmortem examination cannot be believed to have skipped accuracy on such counts.

6. The proposition is settled that the postmortem report by itself cannot be treated as a piece of substantive evidence. It needs to be corroborated by other oral evidence. In **Ghulam Hassan Beigh vs. Mohammad Maqbool Magrey and Others**³, the above position regarding the evidentiary value of the postmortem report was stated,

‘...The post-mortem report of the doctor is his previous statement based on his examination of the dead body. It is not substantive evidence. The doctor’s statement in court is alone the substantive evidence. The post-mortem report can be used only to corroborate his statement under Section 157, or to refresh his memory under Section 159, or to contradict his statement in the witness box under Section 145 of the Evidence Act, 1872. A medical witness called in as an expert to assist the court is not a witness of fact and the evidence given by the medical officer is really of an advisory character given on the basis of the symptoms found on examination. The expert witness is expected to put before the court all materials inclusive of

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the data which induced him to come to the conclusion and enlighten the court on the technical aspect of the case by explaining the terms of science so that the court although, not an expert may form its own judgment on those material...' (Para 31)

- 6.1. Since in absence of corroboration the postmortem report is not a substantive piece of evidence, the testimony of medical expert assumes importance in establishing the facts mentioned in the postmortem report. As stated above, Dr. Sridhar-PW7 was not in a position to offer satisfactory and acceptable explanation regarding the discrepancies and contradictions found in the Postmortem Examination Report-Ex. P8. When on one hand the Postmortem Examination Report-Ex. P8 was irreconcilable in terms of the details and dates mentioned therein which could not be sufficiently explained by the doctor, and on the other hand the Wound Certificate-Ex. P15 did not bear any date, the evidentiary value of this set of medical evidence stands diminished to nil.
7. While the medical evidence in the backdrop, operated as per the above details, the conspectus of oral evidence, when analysed, was found to be containing major discrediting aspects for the prosecution. Recollecting at this stage the primary story set up by the prosecution, the version was that the deceased had earlier eloped with the sister of the appellant, and the issue had been taken up by the *Panchayat* stated to have been then held, wherein it was decided that the deceased would leave the village and the girl was sent back to parent's house. The deceased returned to the village to attend the marriage of a friend and when passing by the house of the appellant along with PW3 in the morning, the altercation occurred and the deceased Shiva Shankar was done to death by the appellant. Padmamma-PW1-mother of the deceased, according to the story, rushed to the scene of the incident upon being informed by PW3, where she was also abused in terms of her caste and it was further claimed that she also suffered some injuries below the eye.
- 7.1. Furthermore, it comes in the evidence of G. Udaya Kumar-PW10, the investigating police officer and Ashappa-PW6 who was a Panch witness as well as Narendar-PW3 who testified that the scene of offence was the main road, it was a place where quarries were located nearby and further that there was

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a vehicular traffic as trucks and lorries were used to pass day and night. It is only reasonable to believe that since the scene of offence was a public place on the main road humming with traffic, there would have been persons who had witnessed the incident. The prosecution however did not examine anybody from the nearby. This aspect gains significance, when as per the total oral evidence analysed herein, the very occurrence of the incident has slipped into a doubtful story.

- 7.2. The event of elopement of the sister of the appellant and the post-holding of *Panchayat* in the village etc. was shown to be the genesis to the incident. The material parts of the version of the prosecution evidence have destroyed the prosecution story on this score. First is the aspect of Narendar-PW3 going to the house of the mother of the deceased-PW1 to inform her about the incident and PW1 thereupon going to the scene of the incident and second, the factum that the *Panchayat* was held. The prosecution case about Narendar-PW3 going to inform PW1—mother of the deceased fell flat. PW3 turned hostile and testified in terms that the deceased asked him to go away, whereupon he returned to his house at Ogipur and never went to the house of PW1. Thus, what was deposed by PW3 in terms contradicted the statement of PW1. When PW3 was asked that he had stated about going to the house of PW1 to inform her in his statement under Section 161, Cr.PC-Ex. P2, PW3 stated that it was a false statement made at the instance of the accused.
- 7.3. Whereas PW1 asserted the said twin aspects Tamanna-PW4 and Narsimha Reddy-PW5 who both separately stated that none of them conducted any *Panchayat* about the issue of elopement of the sister of the accused Sivamala and the deceased. There is no other evidence which could corroborate the factum of holding of *Panchayat* etc.
- 7.4. The contention on behalf of the appellant that the mother of the deceased Padamma-PW1 was an interested witness and that her evidence has to be seen as doubtful could not be brushed aside lightly when evaluated in light of the aforementioned contradictions disproving her deposed narratives.
- 7.5. It is true that the court is not expected to mechanically reject the evidence of a witness on the ground that the witness is a partisan witness or relative. This Court in **Masalti vs. State**

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of **Uttar Pradesh**⁴, speaking through a five judge bench, put a note of caution in appreciating the evidence given by an interested witness,

7.6. The following observations could be applied in the present case,

‘... There is no doubt that when a criminal court has to appreciate evidence given by witnesses who are partisan or interested, it has to be very careful in weighing such evidence. Whether or not there are discrepancies in the evidence; whether or not the evidence strikes the court as genuine; whether or not the story disclosed by the evidence is probable, are all matters which must be taken into account...’ (Para-14)

8. In **Bhaskarrao and Others vs. State of Maharashtra**⁵, this Court highlighted that a witness who has a strong interest in the result should not be allowed to be weighed on the same scales with those who do not have such interest in the outcome. Treating these two categories at par, stated the court, would open the doors for the court to arrive at a perverted or distorted truth. It was observed,

‘...This sound rule which remains the bulwark of this system, and which determines the value of evidence derived from such sources, needs to be cautiously and carefully observed and enforced. There is no dispute about the fact that the interest of the witness must affect his testimony is a universal truth. Moreover, under the influence of bias, a man may not be in a position to judge correctly, even if they earnestly desire to do so. Similarly, he may not be in a position to provide evidence in an impartial manner, when it involves his interest. Under such influences, man will, even though not consciously, suppress some facts, soften or modify others, and provide favourable colour...’ (Para-36)

- 8.1. This Court opined that the above are the controlling considerations for assessing the credibility of human testimony, and the same should not be overlooked while applying the rules of evidence and while determining its weight.

4 [1964] 8 SCR 133

5 (2018) 6 SCC 591

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- 8.2. Such an approach while evaluating the evidence of a related or interested witness calls for extra caution when the evidence of such witness suffers from contradictions and discrepancies, for, knowingly or unknowingly a departure from telling the truth by a witness belonging to such category naturally leads to give rise to inconsistencies. The discrepancies and inconsistencies in the testimony of a related or interested witness will have to be viewed in such context, and more particularly when other evidence on record sufficiently demolishes the evidence of the related or interested witness, its evidence would entirely lose its reliability to stand in support of the prosecution.
- 8.3. The law as to how to appreciate and apply the evidence of a hostile witness is also not far away to search. In **Khujji @ Surendra Tiwari vs. State of Madhya Pradesh**⁶, this court observed,
- ‘...the evidence of a prosecution witness cannot be rejected in toto merely because the prosecution chose to treat him as hostile and cross-examined him. The evidence of such witnesses cannot be treated as effaced or washed off the record altogether but the same can be accepted to the extent their version is found to be dependable on a careful scrutiny thereof.’ (Para 6)
- 8.4. In **Koli Lakhmanbhai Chanabhai vs. State of Gujarat**⁷, this Court reiterated that the testimony of a hostile witness is useful to the extent which it supports the prosecution case. In **Bhagwan Singh vs. State of Haryana**⁸ also this Court held that when a witness is declared hostile and is cross examined with the permission of the court, his evidence remains admissible and there is no legal bar to arrive at a finding of conviction on the basis of the testimony of such hostile witness, if corroborated by other reliable evidence.

6 (1991) 3 SCC 627

7 (1999) 8 SCC 624

8 (1976) 1 SCC 389

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- 8.4.1. This Court in **Himanshu *alias* Chintu vs. State (NCT of Delhi)**⁹ after referring to the law on the evidence of the hostile witness as above underlined as under,

‘The aforesaid legal position leaves no manner of doubt that the evidence of a hostile witness remains admissible evidence, and it is open to the court to rely upon the dependable part of that evidence which is found to be acceptable and duly corroborated by some other reliable evidence available on record...’ (Para-31)

- 8.4.2. Thus, the evidence of the hostile witness is admissible, once it gets strengthened with the help of other evidence. In **Khuji** (supra) and in **Koli Lakhmanbhai Chanabhai** (supra), it was held that it is open to the court to have a conviction upon the testimony of a hostile witness.

9. Therefore, when the testimony of a hostile witness is admissible subject to be feeded by corroboration and the conviction on that basis could be arrived at, the reverse is also true as a canon of appreciation of evidence. What necessarily implies is that as the evidence of a hostile witness can be used for convicting the accused, such evidence could indeed be applied and utilised also for the purpose of acquitting the accused, when what is testified by the hostile witness inspires credibility, when read with the other evidence on record, either ocular or documentary. The dictum would be that the testimony of a hostile witness or statement in the deposition of hostile witness could be properly employed to discredit the prosecution case and a conclusion of acquittal could well be supported through it and could be founded therein.
10. Reverting back to the facts and the kind of evidence led by the prosecution, the interaction of evidence of PW1 and PW3 read with the evidence of PW4 and PW5, demolished the very fulcrum of the prosecution case, in as much as the very occurrence of the incident was discredited and became liable to be disbelieved, cementing doubts further by the fact that though the incident was claimed to have occurred in the open place humming with vehicular traffic, no person from the nearby was examined as a witness to support and establish the incident. Thus, the occurrence of incident itself could

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not be said to have been proved by the prosecution. The genesis of the incident and the motive of the crime were also not proved as the prosecution evidence could not establish the story of holding of *Panchayat* pursuant to the elopement of the sister of the accused and the deceased.

- 10.1. Injuries in the postmortem report became doubtful, for the Postmortem Report-Ex. P8 itself in its veracity stood strewn with discrepancies, contradictions and irreconcilable facts which the medical person in charge-PW7 could not explain. The Investigating Officer admitted that he visited the crime scene only on the next day, thus, the crime scene was not protected.
 - 10.2. In wake of such weak, contradictory and crumbling evidence, where the prosecution miserably struggled to be finally unable to prove its case, the conviction recorded by the Trial Court and confirmed by the High Court is not sustainable. Both the courts committed a concurrent error in convicting the appellant. The judgment and order of the trial court and the High Court deserve to be set at naught.
 - 10.3. As a result, judgment and order dated 04.02.2025 passed by the High Court for the State of Telangana, Hyderabad in Criminal Appeal No. 1111 of 2017 confirming the conviction and sentence recorded by learned Special Sessions Judge for Trial of Offences under SC/ST (Prevention of Atrocities) Act-cum-VII Additional District and Sessions Judge, Ranga Reddy District in SC/ST S.C. No.51 of 2014 holding the appellant guilty of offences charged against him under the IPC and under the SC/ST Act, 1989, is hereby set aside.
 - 10.4. The appellant is acquitted and shall be set at liberty forthwith unless required to be detained in respect of any other offence.
 11. The Appeal stands allowed.
- Any interlocutory application, as may be pending, shall not survive.

Result of the case: Appeal allowed.

